

Electrosteel Castings (ELECTCAST)

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20 August, 2022

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 13 August, 2022 regarding the conference call of the Company, which was held on 16 August, 2022 at 4.00 pm where the Q1-FY 23 Earnings of the Company was discussed.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of the transcript of the said call with the Investors.

Please also find hereinbelow the link of the transcript of the said call that has been uploaded on the website of the Company-
<https://www.electrosteel.com/admin/pdf/6325145789-Transcript-of-Investors-Concall-held-on-16-August-2022.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary

Page 1 of 14 Electrosteel Castings Limited
Q1 FY 23 Earnings Call
August 16, 2022

Moderator: Ladies and gentlemen, good afternoon and welcome to the Q1 FY 2023 Earnings Conference Call of Electrosteel Castings Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you sir.

Anuj Sonpal: Good afternoon, everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Electrosteel Castings Limited. On behalf of the company, I would like to thank you all for participating in the Company's Earnings

Conference call for the first quarter of financial year 2023.

Before we begin let me mention a short cautionary statements. Some of the statements made in today's Earnings Call may be forward-looking in nature. Such forward looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumption made by an information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements making any investment. The purpose of today's Earnings Call is only to educate and bring awareness about the Company's fundamental business and financial year.

Now let me introduce you to management participating with us in today's call and hand it over to them for opening remarks. We have with us Mr. Si valai Senthilnathan, Vice President Finance and Corporate Affairs. Mr. V M Sridharan, Senior General Manager of Finance and Mr. Gaurav Somani, Joint General Manager of Finance. Without any further delay, I request Mr. Senthilnathan to start with his opening remarks. Thank you and over to you sir.

Management: Good evening, everybody. It is a pleasure to welcome you to this Earnings Conference Call of the quarter of financial year 2023. Firstly, I hope that everyone is keeping safe and well. Let me first take you through the financial performance for Q1 FY 2023 of our company on a standalone basis. The total income for the quarter was Rs. 1751 crores an increase of about 72% year-on-year. EBITDA report was Rs. 226 crores a growth of about 48% year-on-year and the EBITDA margin stood 12.88% for

the quarter. Net profit after tax reported Rs.104 crores, an increase of approximately 95% year-on-year while the PAT margin stood at 5.93%. The total DIP production in Q1 FY 2023 was 164,000 metric ton as against 131,450 metric ton in Q1 FY 2022 while the total DIP sales in Q1 FY 2023 was 158,000 metric ton as against 128,000 metric ton in Q1 FY 2022 with this we can open the floor for the question and answer session.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press '*' and '1' on their telephone. If you wish to withdraw yourself from the question queue. You may press '*' and '2'. Participants are requested to use handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Sir, you mentioned the volume for current quarter at 164,000 tons and sales at 158,000 tons and what was the number for March quarter, the previous quarter?

Management: March quarter production was 178,000 and sales also was close to 178,000.

Saket Kapoor: 178,000, right. Can you help me with the EBITDA per ton number for this quarter, sir?

Management: Overall EBITDA, we reported Rs.225 crores in Q1.

Saket Kapoor: Yes, I am looking for per EBITDA and the comparable number for the March quarter.

Management: You calculate the blended EBITDA, Saketji. So, this is the total EBITDA we have generated and previous quarter, that is previous year, we did EBITDA Rs.153 crores

Saket Kapoor: Sir, could you throw some more light firstly on the business environment currently for the five sectors. The key highlights, if you could throw some more light how this current year looks like with what we have reported in the first quarter in terms of order booking.

Management: In terms of industry, the industry has been doing well nothing has changed in last 3-4 months.

So, there is ample demand, there is push from the government and as you are aware the Jal Jeevan Mission Scheme had started in 2019. So 2024, is the estimated expected date by when the government aims to provide tapped water to each and every household. So, what we understand is government is on track and the push that is required it is there. Demand side, there is ample demand. In terms of raw material prices, raw material prices were volatile during the previous financial year more towards coking coal prices which are imported. So, at which, at one point of time had hit around \$670 and recently it came down below \$200 and it is now again at around \$230. So, \$670-\$680 was more of aberration. So raw material prices have been volatile because of which the margins have been fluctuating. Going forward demand from the Page 3 of 14 demand side, we feel that there is lot of demand and we have been operating at 100% capacity or say near to 100% capacity. So, this is it.

Saket Kapoor: So how will this fluctuation in the raw material will have the bearing on our margin profile and what steps have we taken to if any to insulate ourselves. So that we can maintain our EBITDA per ton going forward.

Management: We have been able to maintain our EBITDA in Q1 though the margins have slightly come down. But absolutely, we see the absolute number it has gone up backed by higher volumes and controlling raw material prices is not possible for us. Though, we are trying to pass on the higher cost but as the prices have come down, so we feel that it will not be very difficult in coming quarters to pass on the cost.

Management: To add on what Gaurav said, Mr. Saket Kapoor, we generally the entire DI pipe industry are operating on same raw material, everything is same, There are about few players, any price increase for one player will also have an impact on others so all us. We will be affected by the price rise

e and the suppliers have to give the price hike because nobody can supply at loss. We do not anticipate great problem in getting a price revision in case if the price of raw material go up.

Saket Kapoor: So, can you give the number for NSR number sir, Mr. Senthil for this quarter.

Management: Saketji, net realization was higher than Q4. It was higher by around 10%. So it was closer to the range of around Rs.65,000 per ton.

Saket Kapoor: And the current order booking which we are doing sir, can you give the trajectory at prices and also some color on the order book sir.

Management: The present order book that we have is of around 4 months and in terms of realization, it is lower to the realization that we have done in Q1.

Saket Kapoor: Okay, that is factoring in the fall in the raw material prices. So, this is the four-month order book only we have the delivery schedule for the coming four months. These orders will be executable over a period of four months. Last quarter, I think we did some, pig iron sale also sir, if you could quantify how have those contributed for this quarter.

Management: This quarter also we have sold good amount of pig iron. So, compared to previous quarter it was higher by around 20%.

Saket Kapoor: You mean the March quarter.

Management: Yes.

Page 4 of 14 Saket Kapoor: Okay and can you provide me with your net debt number sir for June 30th and also currently we were updated by the rating agencies. So what is the current cost of fund and what are the current year maturity.

Management: Our average cost of debt would be around 7.75% which has gone up from the March quarter because of the rising rate scenario and our net debt would be around Rs.2200 crores.

Saket Kapoor: And can you split between the long term and the working capital, how much?

Management: Long term, we have around Rs.1050 crores and balance would be net working capital.

Saket Kapoor: That is again Rs.1050-1100 crores.

Management: Yes.

Saket Kapoor: And sir for this current year maturity, what is the capex?

Management: We have around Rs.100 crores further term loan payments.

Saket Kapoor: And that is to be paid for the remaining nine months or this for the entire financial year.

Management: No remaining nine months.

Saket Kapoor: So, post the payment is 1050 as on June 30th.

Management: Yes.

Saket Kapoor: And sir lastly on the Capex part I think so we were looking for debottlenecking exercises at our Electrosteel plant and also putting up another 1 lakh ton capacity for Srikalahasti plant. So, what is the current update on the same sir.

Management: We have placed orders, we have opened the LC which are required for equipment and the process is happening and we expect to complete the capacity enhancement by March 2024.

Saket Kapoor: How much have we spent sir as of now on the new capex.

Management: Not very significant amount because it is more towards now we are opening LCs, so significant expenditure would happen from Q3 onwards.

Saket Kapoor: And total expenditure for this 110 lakh would be of the total value would be.

Management: It will be around 400 crores.

Page 5 of 14 Saket Kapoor: And lastly sir, we have this change in inventory of around 107 crores. So if you could give just a ballpark figure, how much is the raw material and what is the finished goods inventory out of this Rs.108 crores or a percentage.

Management: You are asking about the consolidated figure, see break up, I do not have the break up. It will not be possible to give the break up separately.

Management: Yes Mr. Saket, these minute figures we will not have conference call but on a ballpark figure we can but then it will be very difficult which I will tell later. You can send a mail to us.

Moderator: We will now invite N M Modi individual investor. Please go ahead.

N M Modi: Generally, you used give this investor presentation and press release along with the result bu

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this time it was not been given sir.

Management: Good afternoon Modiji. Yes, this time it was not given. We will try to do it next time.

N M Modi: And sir this quarter are we selling the pig iron, this current quarter regards the prices have gone up now per guidance.

Management: Yes, we have sold some quantity.

N M Modi: Okay, no I am asking about this current quarter, July to September, are you selling now.

Management: The quantity, the volume has come down but yes we are selling the surplus.

N M Modi: And sir, our this Alloy plant, and are running okay, we are able to produce the alloy for our capex use.

Management: You mean Ferro plant is it?

N M Modi: Yes sir.

Management: Yes, it is running well.

Moderator: Thank you. The next question is from the line Darsan Jhaveri from Crown Capital. Please go ahead.

Darshan Jhaveri: I just wanted to ask, we are running at near 100% capacity, right?

Management: Right.

Page 6 of 14 Darshan Jhaveri: I think our total capacity is around 7 lakh tons if I am not mistaken. So what kind of volume numbers can we assume for the full year. Is there some seasonality play which is why there was some lower volume compared to Q4 in Q1.

Management: In this industry, Q3 and Q4 are robust quarters because the demand is coming from the state and center side. Q1 and Q2 are generally a bit slower than the second half and so from the past history, we have been able to operate at around 95% capacity. 95%-100% and for this current financial year also we are confident that we will be able to achieve the number.

Darshan Jhaveri: Okay if I have to assume a ballpark figure can we assume H1 consists of 40%-45% of the volume and H2 would be around 50%-55%.

Management: Yes, you would be correct in assuming that. You can even assume 50%-50% also, 50% in H1 and 50% in H2, may be one or two percent here and there but you can safely take 50%-50%, no problem.

Darshan Jhaveri: Okay and I also wanted to know regarding our margins. So can we assume that our margins will see a bit more uptick compared to current quarter because it seems down a bit. So could you give some color on our margins with the new order book or something.

Management: It will not be possible to give any clear indication to that because a lot of it will depend on the raw material prices, how it behaves but our aim is to try and maintain the EBITDA that we have generating.

Darshan Jhaveri: And sir, do we see any other reduction in our debt or something other than stated do we want to reduce our debt any further or could we assume the debt to be stable along for this year and next year considering we have some capex coming in.

Management: So long term debt has been coming down and working capital debt which has increased marginally it is more on account of higher prices and increased capacity. So you have to consider that but otherwise, yes long debt has come down and going forward we have this capex planned where we will be taking debt in the ratio of 1:1. So some part of the debt for capex will come in and some part which is due for repayment that would have been.

Moderator: The next question is from the line of Chetan Phalke from Alpha Invesco. Please go ahead.

Chetan Phalke: Sir, you mentioned our sales during the quarter was some 1.58 lakh tons, so how much of this volume was exports for Q1 if you can help me with the export volume and in value wise.

Management: 33,000 tons was from exports around 21%

Page 7 of 14 Chetan Phalke: Okay and how much sales from 33,000 tons.

Management: This is sales.

Chetan Phalke: And what is the sales in crores. I am trying to understand the realization for exports.

Management: Realization of exports was higher than domestic. Export value I can come back to you, export value would be around Rs.250 to Rs.260 crores.

Chetan Phalke: Okay and usually sir, the

export realization is higher by 10% to our domestic realization roughly that is what we should assume going forward as well or can it shade.

Management: No, you are right so generally it is higher by 10% -15% but having said that does mean that the margins also increase by 10%-15% because in case of exports the cost also goes up.

Chetan Phalke: Okay, how come sir, if you can help us understand the dynamics of our exports business in terms of costs and other things as you mentioned the cost is also high, is it because of the product mix or something else?

Management: Yes, the specification of the product changes. It depends on country to country where you are selling and based on the requirements because pipe also have paint coating. There are different types of coatings which are done as per the requirement of the country specific, plant specific which changes the cost dynamics.

Chetan Phalke: But when it comes to EBITDA per ton can we assume, in exports the EBITDA per ton is higher compared to domestic.

Management: Correct, yes.

Chetan Phalke: Okay, if you can quantify it by percentage or rupees per average.

Management: That will be a bit difficult because it's not a stagnant kind of number, it keeps varying from quarter to quarter but ultimately it is higher than what we make in domestic market.

Chetan Phalke: And sir, in one of our last calls, we have mentioned that there is a possibility that we might start exporting from our Srikalahasti Plant as well. But we need some plant-based approvals. Any progress on that front.

Management: We have that in mind but as of now the export is getting met out the eastern unit. So we are going a little slow on that part because there is a lot of domestic demand happening in southern India which is being catered by the southern unit.

Chetan Phalke: And sir, what is our average cost of coking coal for the quarter gone by.

Page 8 of 14 Management: It was around Rs.30,000 per ton.

Chetan Phalke: Okay, Rs.30,000 per ton and for Q2 this number will be higher than 30 or lower than 30. Will there be any partial benefit flowing through.

Management: Q2, my understanding is that it would be slightly higher than this number what we incurred in Q1 slightly because the prices of coking coal has started coming from June onwards. So that will hit our inventory only in mid Q2. So Q2 would be closer to what it was in Q1 or slightly higher than Q1 now.

Chetan Phalke: Just one more thing what was our exports for the last year FY 2022 just wanted to understand how our exports are trending are we seeing more enquiries and unlike our domestic business where in order book is usually for four months. So does the business also move on the similar lines wherein net is order book based or how does it work basically just trying to understand are we getting more enquiries etcetera. If you can throw some light on that.

Management: We have ten overseas subsidiaries and we are present into exports since last two decades. We have established presence in Europe, UK, US, Middle East, we have our subsidiaries all over here and we are also there in Singapore. We have been selling our pipes to these countries since last many years and yes, the repetitive demands are coming in and because of our permanent presence, it helps us in serving the customers there. In FY 2022, our total volumes from exports was around 133,000 tons which was around 22% of the total volumes that we had sold. So, export on an average is contributing around 20%-25% of our total volumes and depending on sometimes higher demand is coming from Middle East or sometimes higher demand comes in from US but eventually it gets balanced out we are able to get a share of around 22%-25% from our exports.

Chetan Phalke: Okay, because in the US there is this stock around replacing their entire lead water pipe system. So are we seeing

any traction from there but are we seeing more enquiries from US especially

Management: This year US has been doing good. So it could be because of the reason that you are mentioning, which I am not aware of actually but basically, we are seeing good numbers.

Management: No, we are telling our as far as this US market and all our marketing people will have a better picture than us. We are all finance people that is the reason. It is opening up well.

Chetan Phalke: What is our marketing strength overseas, I am just trying to understand what is the marketing workforce in Europe and US if you can quantify that, how many people are working for us and all of them are able to.

Management: For all these micro information we do not have on our hands, sir. Please we can give you later. Please do appreciate that.

Page 9 of 14 Chetan Phalke: Alright.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Sir what constitutes the other income components sir and as mentioned by Gauravji that we have higher better realizations for exports but when we take consolidation of our accounts.

The profitability is lower than the standalone numbers are. So, if you could explain these two factors.

Management: Saketji, see in case of consolidation when you are comparing with standalone because of Ind AS requirement some unrealized profit gets knocked out. Ultimately, the overseas subsidiaries that we have their marketing norms which are operating in stock and sale basis. So, because of this reason some part of the profit gets knocked off on the unrealized inventory. Coming to the other income, so it is more of interest income that we have received export incentive that we get and we have also received dividend from subsidiary during the quarter because of which the other income is around 22 tons.

Saket Kapoor: We have still ICD pending earlier at Srikalahasti that used to there for coal.

Management: What is it?

Saket Kapoor: Inter Corporate Deposit, do we have any Inter Corporate Deposit also income from there?

Management: No nothing.

Saket Kapoor: Last is on the raw material mix currently you mentioned about coking inventory at a price higher than Q1. How have iron ore inventory being valued sir, iron ore prices are on declining trend for the last two quarters and also the reason why is that you are mentioning that the margins will be lower for Q2. I could not follow that part also.

Management: Iron ore inventory is closer to what was in Q4 prices and iron ore prices have been kind of in a narrow range. The orders that we have are at slightly lower price compared to Q1. Having said that Q2 is also expected to be a reasonable quarter when you compare to previous Q2.

Saket Kapoor: Volumes are likely to be in this order only 160 levels because this is the fourth month but they are at a lower realization than what quarter one was.

Management: Marginally lower yes.

Moderator: The next question is from the line Rajesh K an individual investor. Please go ahead.

Rajesh K. Though stock markets has not responded to me. I have two questions, first thing Electrosteel is pure brand, big brand in DI pipes. Similarly, government is giving kind of impetus to laying lot

Page 10 of 14 of storm water a kind of sanitation line, the very natural supreme things they are making inroads. So why not Electrosteel thinking of kind of going into the plastic pipe where they can because of their reputation of last 50 years can earn a good market share. And my second question, if you allow me is about the claims lying with government of India about 1600-1700 crores. My suggestion is to why not to form some group of similar other company and create

pressure on the government to release a sizable amount so that the company is benefited.

Management: Sir, we will certainly take your advice we will present it to the top management but this is

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something to be decided at the top level at strategic level and we will certainly carry your suggestion to our top managements.

Rajesh K. The second question was regarding claims lying with government of India it getting undue time for so many years and there are other companies also. Those iron ore mines or coal mines have been constipated I understand that they raised their claims. So why not some group of companies that of operation is formed among themselves and government of India is now a days.

Management: That is what I am telling sir, all what you are suggesting are strategic decisions to be taken by the board and we at our operational cannot say anything on this. We will certainly take it to the top management and we will present it to them.

Rajesh K. Government is resting on as of doing a business, so genuine demands should be sorted out at the earliest, is not it.

Management: Certainly, we really appreciate your idea and we will certainly take it to our top management.

Moderator: Thank you. The next question is from the line of Anurag Patil from Roha Asset Managers. Please go ahead.

Anurag Patil: Sir recently one of your peers indicated that Central Government has issued advisory to states regarding inclusion of price escalation clauses in DI pipe contracts so has that become effective and are we expecting any benefit going forward from that.

Management: Sorry we do not have any such information. So we will not be able to comment on that.

Moderator: Thank you. The next question is from the line of Chetan Phalke from Alpha Invesco. Please go ahead.

Chetan Phalke: If you can just throw some light on the existing order book at a Pan India level what are the tender in pipeline at present?

Management: Tenders, we may not know because that is purely marketing and it is a confidential classified information which we cannot share but as far as the order book is concern.

Page 11 of 14 Management: We have order book of around four months and we generally sell to EPC contractors. So, we are not directly participating into tenders. EPC contractors they participate in tenders.

Chetan Phalke: But because under current journals some 9 crore households are connected and another 10 crores households remaining. So we were just trying to understand what will be the upcoming opportunities given these 10 crores households are there and then.

Management: Yes sir, we understand your question.

Chetan Phalke: Sir, if you can quantify the opportunity in million tons or whatever just wanted to understand how far is the runway for us.

Management: Actually sir, we have four months order book in our hand and this order book apart from this we will be also getting our regular order. So, there is no doubt for orders as far as the future things are concern which contract where, what tender and all. We at our operational level difficult and all this we cannot also tell but as I told you. The government of India has taken lot of initiatives for this general mission and as per the government's old this one by 2024m, they were planning to have "Har Ghar Nal." Every house should have a Nal Jal. So that way there is an impetus, there is focus on that and in view of that that we do not foresee any doubt of order and we are confident we will dispatch or we will sell whatever we are producing and now you know both this our Khardah plant that is a West Bengal plant is already in a big way in exports and we are also doing lot of initiative in our Srikalahasthi plant for exports. We have already started exporting to Singapore and all. So we do not find any problem in selling whatever we are producing. We do not anticipate any problem.

Chetan Phalke: Yes sir, I was just trying to understand, what is the runway and what is kind of opportunity that we are looking at when it comes to 5-7 years. So that was the only motive.

Management: 5-7 years is a longer horizon but Ga

urav you can just tell him what is our plan, at least for the next 2-3 years in terms of Srikalahasthi going up 5.5 and all.

Chetan Phalke: Apart from "Nal Se Jal" and other segment that is driving the demand for us sir, agriculture or any other segment that is picking up.

Management: Yes, irrigation is a new thing which is opening up now you know this open irrigation by canals is now being replaced by pipes and not only that sir, what happened is city is also extending.

Now if you come to Bombay, the Bombay was maximum you your Thane and all. It has gone to Borivali, Karjat, Kasara, Virar and one fine morning it will even Gujrat it will go up. So those orders will come apart from this. This 'Nal Jal' is only for the existing. Future orders also we are expecting sir, so we do not find any problem in selling whatever we produce.

Page 12 of 14 Chetan Phalke: Okay, so for agriculture over the long distance, the large diameter pipe versus DI pipes, what is the competitive intensity, price wise we are better, quality wise DI pipes are better, how does it work?

Management: See what happens is one side of the canal if they pump 1 TMC water by the time it reaches the

end it will be only 0.2 because there is pilferage, evaporation, drawing by people along the route. Now once you put the pipeline where will not be seepage or anything. I TMC put inside it will reach 0.9 TMC on the other side irrespective of the distance, number 1. Number two, there is no digging and the area of operation also will be very lower like you need not have a bigger trench like 4 feet and all. So these are advantages and DI pipe is certainly a preferable one as compared to other mode of transportation of water, conveyance of water. Management: Just to add to what Mr. Sridharan said that the durability is an advantage of DI pipes. It is a long 70 years plus and very easy to lay and fit and all. Service also very easy to do. So maintenance free almost.

Chetan Phalke: But when it comes to pricing sir, are DI pipes cheaper to the steel pipes?

Management: Yes overall, see if you take the cost of the land, cost of digging, water wastage and all. So DI pipe is certainly a better option and that is the reason that market is opening up because of that one only.

Chetan Phalke: And generally, sir in any such project what would the DI pipe cost compared to overall project cost?

Management: I do not know but it should be predominant because laying only the gaskets and because even the ditches, the cost of that only will be there. I do not think cost of laying will be so high only

DI pipes should be, I do not know it must 70%-80% of the total cost, in terms of laying.

Chetan Phalke: What is the number in 'Nal Se Jal' for the water transportation pipeline it is the same number?

Management: Yes, everywhere. The only thing is from the beginning the diameter of the pipes will vary but the cost will be almost the same what I told.

Moderator: Thank you. The next question is from the line Praveen Yadav, an individual investor. Please go ahead.

Praveen Yadav: Sir, I have two questions, one is what is the percentage of government orders and the other is private and the export orders.

Management: See all the orders are coming from government only ultimately because all these projects are

government projects but for us, the customers are mainly EPC contractors. So 80%-90%, 90%

Page 13 of 14 of our sales are happening to EPC contractors and some 10% happens to government directly and 20%-25% comes from exports.

Praveen Yadav: My second question is regarding the debt. Right now the term debt is 1050. So where do you see the debt coming down in coming years or like for the capex. We will continue holding this kind of debt?

Management: Long term debt has a payment schedule and gradually it will come down.

Praveen Yadav: Yes, but

for future capex, you need to like take debt to increase

Management: As I said we have 1:1 planned for the upcoming cap ex. So that will not be a very significant debt. Over a two-year, three-year period, you will see that this number has reduced significantly.

Moderator: Thank you. The next question is a follow up question from Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Yes sir, Mr. Gaurav, you were explaining to us about the 2-3 years the projection at SriKalahasti the capacity being increased to 5.5. So please continue and complete that part please.

Management: What projection?

Saket Kapoor: You were explaining to us about SriKalahasti capacity moving up to 5.5 lakh but the answer was not completed.

Management: No, in SriKalahasti, the four-lakh ton capacity is already put in and we are achieving 100% of capacity as of now. So as far as the present capacity from 4 lakh-5.5 lakhs we are increasing. it is done in every month something and it will be completed in March 2024 as the factory will be producing all the piled-up lakh ton by April 2024. This is the SriKalahasti position.

Saket Kapoor: And sir in the fitting business what should be the contribution for this quarter?

Management: We do not have segment results Saketji.

Saket Kapoor: In percentage, I think fittings also form a good part of the business so just wanted to understand how would be the contribution going ahead and sir on the finance cost front when we look at numbers for the Q-Q finance costs that has gone up by around 10 crores. So is mainly account of the increase in cost or because of the increase in raw material prices the working capital has gone up and these two factors put this or do we have any forex element to it.

Page 14 of 14 Management: No, it is mainly on account of higher working capital utilization and the increase in interest rates that has happened across the industry. The rates as you are aware already the repo rates have gone up. So that has also come into play.

Saket Kapoor: And do forex have a play in that numbers, unhedged portion. Anything restating of loans in foreign currency or it is all Indian rupees.

Management: As of now we have all the long-term loans are Rupee loans only and the foreign currency loans that we have on account of import are more or less fully hedged.

Saket Kapoor: Last point is that when we look at your revenue at the console level the cost element sheet goes off disproportionately. If you take, I can understand the inventory part which you said that gets knocked off whatever is unsold but still then I think to employee cost, the other expenses

are not commensurate to what the revenue increase is from Rs.1729 crores it goes up to Rs.1767 crores wherein if you look at your employee benefit cost that goes up significantly from 84 to 101 and 15, 16 crores is increased on a topline gain of only 30 crores. So, if you could explain to us the reason for the same. I think so this is the line-item employee benefit expense from 84 crore is on topline of Rs.1729 crores and it goes up to rs,101 crores with an increase of only 30 crores. So what gets factored in here.

Management: Saket, first of all, the employee cost goes up, down only on production. It is not on topline or sales. I just giving an example a company 50,000 tons and sells only 25,000 tons then based on the sales, the figures will not go up or go down, correct? So, you cannot compare with the topline that is what I am trying to tell.

Saket Kapoor: Sir, going ahead, at the next call, we should have more numerical data available as requested earlier also either in the form of press release and also some investor presentation so that the small details which we are ticking during the call can be addressed much before the call if that could be addressed that is a request.

Management: We certainly take into consideration.

Moderator: Thank you. As there

are no further questions, I now hand the conference over to management from Electrosteel Castings Limited for closing comments.

Management: Thank you all for actively participating in this conference call and wish you all safe and well and I thank Valorem and Chorus for organizing this call. Thank you all.

Moderator: Thank you, on behalf of Electrosteel Castings Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

21 November, 2022

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

We refer to our intimation dated 19 November 2022 vide which we had uploaded the link of transcript of the conference call of the Company, which was held on 14 November 2022 at 4.00 pm where the Q2-FY 23 Earnings of the Company was discussed.

Further to our letter dated 19 November 2022 the link of the transcript of the said call provided to you was not opening due to some technical glitch.

Accordingly, please find below the revised link of the transcript of the said call that has been uploaded on the website of the Company-

<https://www.electrosteel.com/admin/pdf/1653478-Transcript-of-Investors-Concall-held-on-14-November-2022.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary

Page 1 of 17 Electrosteel Castings
Q2 FY23 Earnings Conference Call
14 November 2022

Moderator: Ladies and gentlemen, Good day and welcome to the Q2 FY23 Earnings Conference Call of Electrosteel Castings Limited hosted by Valorem Advisors.

As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone telephone.

I now turn the conference over to Purvangi Jain from the Valorem Advisors. Thank you and over to ma'am.

Purvangi Jain: Thank you. Good evening, everyone and a warm welcome to you all. My name is Purvangi Jain, AVP from Valorem Advisors. We represent the investor relations of Electrosteel Castings Limited. On behalf of the Company. I would like to thank you all for participating in the Company's Earnings Conference Call for the second quarter of the financial year 2023. Before we begin, let me mention a short cautionary statement. Some of the statements made

in today's earnings con call may be forward looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from both anticipated. Such statements are based on management belief, as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings conference call is purely to educate and bring awareness about the Company's fundamental business and financial quarter under review.

Now, let me introduce you to the management participating with us in today's earnings call.

We have here with us. Mr. Sivalai Senthilnathan - Vice President Finance and Corporate Affairs, Mr. V. M. Sridharan - Senior General Manager of Finance, Mr. Neelesh Daga - General Manager of Accounts and Finance and Mr. Gaurav Somani - Joint General Manager of Finance.

Without any further delay, I will hand over to Mr. Sivalai Senthilnathan for his opening remarks.

Thank you and over to you sir.

Sivalai Senthilnathan: Thank you Purvangi Jain. Good evening, everybody. It is a pleasure to welcome you this Earnings Conference Call of the second quarter of financial year 2023.

Page 2 of 17 Let me first take you through the financial performance for the second quarter and then half year of our Company on a standalone basis. The total income for the quarter stood at Rs. 1,725 crores, an increase of about 59% year on year. EBITDA

reported was Rs. 177 crores and

increment of about 32% year on year, with the EBITDA margin at 10.24%. Net Profit After Tax reported was with Rs. 64 crores, an increase of approximately 18% year-on-year basis while the PAT margin stood at about 4%. The revenue in H1 FY23 stood Rs. 3476 crores, an increase of 65% year on year. EBITDA reported was Rs. 402 crores, an increment of about 41% year-on-year basis while EBITDA margin stood at 11.57%. Net profit after tax for H1 FY23 stood at Rs. 168 crores which grew about 56% year-on-year basis. PAT margins stood at 4.84%. On the operational front, the Company has achieved nearly 100% of its capacity utilization in Ductile Iron Pipes in the second quarter Ductile Iron Pipes sales volume have increased by 34% to 1,66,875 tons year-on-year, while it grew 28% to 3, 24,793 tons year-on-year in the first half of 2023. The Company's Board of Directors has approved raising about Rs. 115 crores through preferential issue of warrants or any other instruments.

With this, we can now open the floor for the question-and-answer session.

Moderator: Thank you very much. Ladies and gentlemen. We will now begin the question and answer session.

Anyone who wishes to ask a question may press "*" and "1" on your touchtone telephone. If you wish to remove yourself from the question queue you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and Gentlemen we will wait for a moment while the question queue assembles, thank you.

The first question is from the line of Kamlesh Bagmar from Lotus Asset Managers. Please go ahead.

Kamlesh Bagmar: Okay, so one question on the part of your increase in Inter Corporate Deposits, like say it's around Rs. 172 crores in this particular quarter or first half, why such a sharp increase in the Inter-Corporate Deposits despite the fact that we have huge borrowing on the balance sheet and based on our annual report for the last year, we are just getting 7% interest rate on that, other than that, we can easily repay the debt or up on the working capital.

Management: Yeah, hi, thank you for your great query. So, we have total ICD investment of around Rs. 225 crores as on date, and this is out of the cash surplus that the Company has. On the debt front, the borrowings are in two parts one is long-term and short term. So, all the short-term borrowings is more towards working capital, and if you see from FY 22, that is March 22, and as on September 22, you will notice that the overall borrowing has not increased in spite of working capital investment has gone up. So, we have also used our internal accrual funds towards working capital and have not taken additional borrowing for that. Our interest rates have gone up to some extent, from March because of the interest rate movements, and these Page 3 of 17 investments that we have in ICDs are very temporary in nature, this is a short term parking that we did in the first half, and we can withdraw at any moment.

Kamlesh Bagmar: Yeah. I appreciate that. But, that can anyways be like saying... but I would suggest that that can be brought back to the investor because they are only really yielding any return and you can expand on the expansion because the way the capacities in DI are coming, like say all the players are adding capacity, you can rather invest on those ...

Management: Sorry, we have expansion already going on...

Management: As actually pointed out by Gaurav Somani, given in short term, and as the rates are going up, we did good return in ICD and these are all payable on demand. Tomorrow I require the money, I demand it, I get it. So, there is nothing... these are temporary parking. So, it is not that, you know, I take this money and repay the debt, it is not possible like that sir, that is the reason and you know, we have to have a match of all that, ICD, fixed deposits with Mutual Funds everything, so th

at the overall return is good, that is a process.

Management: Just to add, we have around 400 crores of CAPEX, which has already begun in our Southern unit. We are at Tirupati that is Srikalahasthi, where we are increasing the capacity of the DI pipes and we are also increasing the capacity of ancillary backward requirements. So, there we will have the CAPEX requirements coming up, and the funding requirements coming up in next couple of quarters. The expansion work has already begun, we have already placed the orders for equipment, so and it will be primarily funded out of internal accruals and the cash generation. So, once the fund requirement comes up there, we will start using these funds.

Kamlesh Bagmar: We will be more happy if that money is parked into the Mutual Funds, that's just a suggestion.

Management: Now we have a mix of all the investments, we have some money parked in fixed deposit, some in Mutual Funds also and some in ICD. So, we have a basket of all the investments

Kamlesh Bagmar: Thanks a lot.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Greetings sir. Firstly, if you could share the H1 production and Sales number?

Management: So, our H1... DI Pipe production was around 3,44,000 tons.

Saket Kapoor: Okay.

Management: Sales was around 3,25,000 tons.

Page 4 of 17 Saket Kapoor: Instead, what should we look forward for H2 in terms of... we were informed that we are running at 100%.

Management: Yeah, so the capacity of utilization is 100%, and in our industry H2 is generally better than H1, we definitely expect sales volume to go up in H2 compared to H1. This has been the past trend and we have delivered better in terms of volumes in H2.

Saket Kapoor: Do you have the last year H2 volume numbers?

Management: Last year H2 volume... just a second... so last year in terms of sales, we did around 3,42,000 tons.

Saket Kapoor: 342, so we are looking forward for anywhere not what for 342 for H2...?

Management: Yes, our target is that only.

Saket Kapoor: Okay, so when we look at the cash flow part, we find these two line items of fair valuation of derivative instrument to PNL of 29.34 crores, and unrealized foreign exchange fluctuation and transaction of 29.32 crores. If you could explain to us what is the nature of the same, since they have impacted the profitability too and I think Re. 1 EPS have been gained out of these two transitions only.

Management: Let me clarify that there is a formula error here, the one is a positive figure and one would be a negative figure, so impact would be NIL. So, the first figure is 29.34 crores, it is the Forex MTM gain that we have, and second one is the realignment loss. So, ultimately, if you do the mathematics, it will be zero. So, the profit is not getting impacted of this numbers. Because in the cash flow part we have mentioned both these items... and there is a formula error, so the correction that what I have told you would be neutral.

Saket Kapoor: Then we should revise it and then publish a separate Release as this giving the wrong message, if that is the case.

Management: Will take this matter with the team

Saket Kapoor: This is wrong. This is wrong restatement of account also; investors will find it very difficult. If there is a mistake, one should revisit and the revised statement provision should be there.

Management: Sure, we will take this up.

Saket Kapoor: Looking at the order booking part sir, how is our order book currently?

Page 5 of 17 Management: We have a healthy order book in terms of months, we have our we are sitting on our order book of around six months. In the past, in the sense, till the previous quarter, our order book was around four months, now we have gone up to six months.

Saket Kapoor: Okay, and sir if you could give some more color on... in terms of the EBITDA margins, which we may expect or the

trajectory likelihood for H2.

Management: As mentioned in my earlier calls also, EBITDA margins is a difficult parameter. As you would understand that when the raw material prices start going up, the realization also starts moving up, and our contribution for EBITDA per ton is more or less what we try is to maintain the EBITDA per ton. So, if you go for margins, you will find dip when the prices are high, and when the prices are low, you will find that the EBITDA margins are on an upward direction. If you look from the EBITDA per ton purview, you will find that Q2 EBITDA per ton is in line with what we did in previous year. Compared to Q1, the EBITDA per ton was lower, but it was well within what we had estimated. Going forward, our target would be to maintain this EBITDA per ton, and we are very confident that we will be able to maintain because raw metal prices have started coming down. Coking coal prices, which was very volatile, somewhere around May-June, has kind of stabilized in Q2, and it is around \$300. Iron Ore prices are also kind of stable only, and since we have a healthy order book, we feel that Q3-Q4 would be definitely better for us.

Saket Kapoor: On the coal composition front, any update or near term date, you have anything to share on that sir?

Management: No sir, there's not much update on it. What I mentioned in the earlier quarter, the status is the same.

Saket Kapoor: Correct sir, and when we look forward for this Press Release part so kindly look into our request for Press Release and investor presentation also that will suffice a lot of our questions and queries going ahead. Kindly look into...

Management: Yes, this time we have uploaded the investor presentation, and the Press Release as well I will take it up again.

Saket Kapoor: Lastly as the earlier participant also mentioned, this ICD part also we know that the management is credible, you are taking the due diligence everything is in perfect shape, but ICD are not looked in the right eye by investing community. So, give or take of a percent or 1% gain, we are falling... it is a red tick that happens whenever ICD comes into play that is my understanding of how we look at companies going for this ICD part, so if the management thinks that they can avoid this ICD issue altogether, just for the understanding from the investor point of view, please look into the same where avoiding these exposures in terms of ICD...

Page 6 of 17 Management: We are actually generalizing the concept. We have been facing ICDs in previous years also in Srikalahasthi also you have been seeing it, and the same are to names, we know it's not a very significant portion... as I said, we are maintaining our investments in a basket, and these are temporary funds, short term funds, majorly you will find that this funds will get used towards our CAPEX, which we are doing, and in the past also we have used the funds in our CAPEX, so, this is just a temporary parking of funds, nothing more than that.

Saket Kapoor: Lastly, what is the combined capacity currently, and how much it will go up going ahead?

Management: Combined capacity is 7 lakh tons.

Saket Kapoor: Will it go up by 1 lac?

Management: 1 to 1.5, because we are having some debottlenecking exercise going on in our eastern unit also. So, once completed, we should be at around 8.5 approximately.

Saket Kapoor: Okay, and what is the CAPEX involved in this, for 1.5 lakhs?

Management: It would be around 450 to 500 crores approximately.

Saket Kapoor: 500 crores, and current cost of fund for us?

Management: Current cost of fund... see it has gone up now. So, because of the increase in the repo rates, our current costs would be around 8.5%

Saket Kapoor: 8.5% and the breakups are long term and short-term borrowing.

Management: Long-term and short-term borrowing... Long term would be around Rs.1,050 crores, and short term would be around Rs. 1,700 crores, this is the gross

debt...

Saket Kapoor: The total debt is... this a gross debt number, and the net debt number?

Management: The net debt would be around 2,350 crores.

Saket Kapoor: 2350?

Management: Correct.

Saket Kapoor: For March, what should we look for the target, March 23?

Management: March 23, I think it will be lower than this

Saket Kapoor: Below 2350.

Page 7 of 17 Management: Right.

Saket Kapoor: Sir we will look forward for this explanation of this formula, but do well address so that investor get the right correct figures, and thank you for the answer. Thank you.

Management: Thank you.

Moderator: Thank you. Reminder to all the participants to ask a question you may please press "*" and "1" on your touchtone telephone.

The next question is from the line of Ankit Puri, Retail Investor. Please go ahead.

Ankit Puri: Hi, thank you for taking my question. I wanted to ask what impact do we see with the starting and ramping up of the 400,000 Welspun Corporate DI plant, and also if you can throw some light on the overall market size and opportunity going forward? Thank you.

Management: Yes Welspun has recently started its plant, I think June or July, and I think they are situated in the western part of the country. So, we are catering more towards the eastern part, the northern part, the southern part and the central part, and we are also present in export market. So, for most of the players, the areas of service are segmented because DI pipes are bulky in nature. So, it is not feasible to transport from one end of the country to another part of the country. As far as demand is concerned, we have been witnessing robust demand, because the industry that we are present into fortunately the demand has been growing, because most of the households, they don't have a proper connection of tap water and the schemes which have been launched by government that is Jal Jeevan Mission to connect each and every household by 2024 has been progressing well. A lot of demand has been generated. This is a new demand which has been coming in. We have not seen the replacement demand as of now, and going forward, this is expected to continue for three to four years more, then you have the regular demand also. This is a specific scheme, which has been launched by central government, then you have state-wise schemes as well, and in future you will also see demand coming in from the irrigation sector. So, as far as demand is concerned, there is good demand and there are

few recognized players. It's not a fragmented industry. So, we don't foresee new competition as a threat.

Management: Here to add what Gaurav said, see what is happening is as he rightly said, we are only talking about the Jal Jeevan, but we will also appreciate that the cities are extending, I mean towns are extending, villages are extending. So, you know, the demand apart from this Jal Jeevan also will be there, and we don't generally foresee any problem as far as the demand or the pipes are concerned, and as he rightly said, the multiple uses of the pipes. Earlier, it was for sewage and water, and now it is also used for irrigation and something else will also come up. So, we don't foresee any problem in meeting of whatever produced, we are selling it that has been our experience. Thank you.

Page 8 of 17 Ankit Puri: Thanks for that, and what about the export markets as well, if you can throw some light on that as well, especially with regards to the war situation? How is it affecting our sales, and are we planning to ramp up our exports as discussed earlier?

Management: We have been present in the export since long for almost two decades, and we are servicing almost all the countries across the globe, majorly towards Europe and the Middle East. Now, this year, we have significantly grown into US. We had entered into US, around maybe six, seven years back, but this year, we are encashing the benefits. For us, the ma

rkets are doing good, it's

stable and we have been getting good business. We have not seen any significant impact because of the war in Europe, but it will be difficult to give any comment going forward. Since this is an essential commodity, and you know for very primary use, we feel that this will not see any slowdown in the demand. This is a basic necessity. So, I mean, we are seeing stable kind of demand coming in from exports.

Ankit Puri: Alright, thank you for that, and lastly, do you have any plans to come up with the rights issue for raising funds as well for minority shareholders?

Management: Ankit, difficult to comment on that it is a management decision. So, will not be possible for us to comment on that.

Ankit Puri: Appreciate if you can share the same with the management, if they have any plans to do that then that would be well-appreciated amongst everyone.

Management: Sure, we will place your remarks. Thank you.

Ankit Puri: Thank you so much all the best to you.

Management: Thank you.

Moderator: Thank you.

The next question is from the line of Anurag Patil from Roha Asset Managers. Please go ahead.

Anurag Patil: Thank you for the opportunity. Sir in the current condition, both iron ore and coking coal costs are stabilizing for us, and the volumes are also expected to interim increase. So, ideally your margin should be improving, while you are saying the current quarter margin should be maintained. So, am I missing here something?

Management: No. See, what I said is to summarize the coking coal prices and iron ore prices have started stabilizing from end of Q2 and Q3 onwards, and our focus is more towards maintaining the EBITDA per ton, not the margins. Margins will give the wrong picture in times when the prices are volatile. When the raw material prices are volatile, so if the raw material prices move up from 100 to 150, simultaneously the realizations will also move up, and effectively the margins Page 9 of 17 will appear to be down, but in absolute terms we will be able to maintain our profitability. So, my idea is that even our focus is to maintain our absolute EBITDA that we have been generating and improve it, basis the volume that is increasing. I hope I have been able to convey.

Anurag Patil: Yes sir, so the question is your EBITDA pattern was somewhere around 9,000 Plus Q2, and it was higher in the Q1, so can we say this 9,000 Plus will be maintained or you are referring to 12,000 number or average of both. Can you clarify?

Management: So, I think it will be better than this, we did around 10,000 in Q2. Q3 and Q4 will be better than this.

Management: Sir you would appreciate as we rightly said, our endeavor needs maintain the same EBITDA, but there are so many forces so beyond the level forward looking statements also, I am afraid we do not have but our intention is our target, our goal is to maintain EBITDA are itself branded. I think I have explained you.

Anurag Patil: Okay understood and sir on the coking coal cost... Can you specify what was our coking coal cost in Q2 on an average and what would it be currently? Any ballpark numbers will be fine.

Management: In Q2, average rate was around \$450, and at present the average coking coal price is around \$300.

Anurag Patil: Okay, so, these are the numbers at which we are buying or these are the market numbers which you are specifying sir?

Management: We are importing coking coal. So, these are basically the market numbers, and our buying is close to this level only, because these are index numbers.

Anurag Patil: Close to these numbers only, okay.. Sir what was the sales volume in the ferroalloy segment for us in Q2?

Management: In Q2 we did around 6500 tons.

Anurag Patil: Okay, and Q1 should be in the similar number or PI us Minus?

Management: Yes, Q1 also around 6500 tons.

Anurag Patil: Okay sir, so that's it for my side. Thank you very much.

Management:

Thank you.

Moderator: Thank you. Reminder to the participants to ask the question you will have to press "*" and "1".

Page 10 of 17 The next question is from the line of Aman Sonthalia a from MUGI Constructions Private Limited. Please go ahead.

Aman Sonthalia: Yeah sir, so my question is what is the percentage of our sales that comes from Europe?

Management Percentage of sales from Europe would be around 7% to 8% of total sales.

Aman Sonthalia: What is the percentage of sales from Export?

Management: Export would be around 25%.

Aman Sonthalia: 25%, and sir the margin is better in domestic market or is in the export market?

Management It is better in export market.

Aman Sonthalia: The export market?

Management: Yes.

Aman Sonthalia: Okay sir, so Is there any impact on exports in Europe because of the recession?

Management : Not as of now sir. Till the first half, we have not seen any significant impact. The business has been stable only.

Aman Sonthalia: In the second half, sir? Whether we will see some negative sales growth in the European market?

Management : Sir very difficult to comment because all this is new for everyone. So, will not be able to give you any clear picture on it. As far as our business is concerned and orders are concerned, we have stable orders, we are doing regular supplies. So, as of now, the business I think is ok

Aman Sonthalia: Sir we are expanding our capacity by 1.5 lakh ton, so since the outlook looks very robust. So, whether we can expect to expand more after this expansion?

Management : Sir we are also very optimistic and that is why if you see previous four to five years, you will notice that we have done significant expansions, and we were around maybe 5 lakh ton around four to five years back, and today we are sitting at around 7 lakh tons and we are looking at 8-1/2 lakh tons... Once this is completed, then definitely the management would look for further expansion once this expansion stabilizes.

Aman Sonthalia: Sir when we can expect this expansion to get completed.

Management : This is expected to be completed by next calendar year.

Page 11 of 17 Aman Sonthalia: Next calendar year. Okay sir, thanks a lot.

Management : Thank you.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Just a small point to understand you mentioned about this cashflow part, the formula being incorrect is that the right understanding Sir?

Management : According to the figure, which is 2932.68, which is a positive figure, it should have been a negative figure.

Saket Kapoor: Okay, If you do that that on back calculation basis then the total figure of 9031.64 total should also be then incorrect, and then the operating profit before working capital should also be not be 359 crores, is that understanding correct sir, because the entire... every line item will change.

Management : Not every line item, two-to-three-line items would change, your cash generated from operations would come down to minus 3864.

Saket Kapoor: It will come down to minus 3864.

Management : Cash generated from operations.

Saket Kapoor: No, I was just looking for the operating profit before working capital came in, if that was positive 359 crores?

Management : Therefore, the operating profit before working capital changes would be 398 crores.

Saket Kapoor: It will increase Sir?

Management : Yes, it has increased, it is 398 crores.

Saket Kapoor: Okay Sir, I will take it this answer offline although that I could not understand, I am unable to figure out, how will this happen, but anyway if you file the revised one, I will get a better understanding and Sir also on the outlook for this raw material prices I missed your comment on the same that you are commenting that raw material prices have now corrected and the benefit of the same will be felt in the coming quarter.

Management : I am

in giving you the present status, the prices have stabilized. Coal prices are around \$300.

Saket Kapoor: No Sir, the consumption rate was higher for Q2 and now going into Q3, we are going to see a dip in the same?

Page 12 of 17 Management : Correct.

Saket Kapoor: Okay and on the DI pipe realization front has there been a dip in the realization also or we will get some lag effects benefit if we have booked orders earlier at higher prices?

Management : Sir realizations have been stable, we expect Q3 to be better.

Saket Kapoor: Q3 to be better, right Sir, because very small point was that Sir on a Q-on-Q basis, there was a dent of 50 crores, from June to September. So, how much was attributable only to the raw material part to the higher raw material prices? Because I think the volumes were similar, more or less for Q1 and Q2?

Management : No Q2 volumes have been better than Q1. But infact...

Saket Kapoor: Better than Q1, then also Sir we have seen this big delta of 50 crores.

Management : Correct, so it's primarily on account of the raw material prices, and which is because of coking coal prices. Coking coal prices were very, very volatile during the month of May and June, it went up to \$650. So, that was a very abnormal situation because of which you know the profitability got impacted, in spite of that if you see year-on-year, the numbers have grown.

Saket Kapoor: Yeah Sir, year-on-year the numbers are good, but quarter-on-quarter only wanted to understand see this quarterly dent, how much will be reversed going ahead and will return to the normal profitability rate. I think so last year, our H2 was much stronger, and we did I think around above 260 to 270 crores EBITDA number, so that was only my understanding just to shape up how the EBITDA would be shaping up if depending upon the current RM basket.

Management : Our initial feeling is that H2, this H2 should be in line with previous H2.

Saket Kapoor: Okay Sir, I take the clarification offline, so and thank you for all the candida. Greetings.

Management : Thank you.

Moderator: Thank you. The next question is from the line of Chetan Phalke from Alpha Invesco. Please go ahead.

Chetan Phalke: Yeah. Thank you for the opportunity, sir. Sir, what are the export realization in Q2 and first half of the year and any indicative EBITDA per ton in our export markets?

Management : Sir I will not be able to give you specific numbers, but our export realizations were significantly higher than the domestic realizations.

Chetan Phalke: In percentage terms, can you indicate how higher it is?

Page 13 of 17 Management : In percentage terms, basically it would be higher by around 15% to 20%, maybe 15% not 20% but 15%, but that does not completely flow down to the bottom line because in the case of exports, the cost is also higher than the domestic cost.

Chetan Phalke: Okay, and when we say let's say if you have to compare EBITDA per ton of domestic versus exports... any similar impact if you can quantify it in percentage terms 10%, 15%, higher compared to domestic.

Management : Compared to domestic, it would be higher by around Rs. 3000 to Rs. 4000 per ton.

Chetan Phalke: Okay, so this gap is being maintained despite the volatility in the prices. So, these Rs. 3000 to Rs. 4000 per tons incremental EBITDA button is being maintained right.

Management : Yes. We continue to generate that.

Chetan Phalke: Okay. Now outlook remains similar, because I think in earlier comment you just mentioned that our exports to US... they are finally seeing some traction. So, just wanted to understand if we export more to the US markets will it be margin accretive? Is it a higher margin market per se?

Management : The challenge for us is we also have to maintain the domestic you know, market share. So, we cannot push you know, certain extent to exports so what we are doing is we are compromising on some other regions, we are compromising on

some other low-cost orders and fulfilling the

better price orders. So, US this time we had a better opportunity, so, we focused more there and we compromised in some other regions.

Chetan Phalke: Okay, so in absolute terms, let's say compared to FY 22, will we see our exports going up or exports will remain flat and only we are just rerouting our exports from one market to another market, and net export amounts... the volume will remain flat, is that the correct understanding then?

Management : No, the volume would more or less be flat, but in absolute terms, the value will increase because of higher realizations and the currency also, because the currency has depreciated. So, we will have... in absolute term it will increase.

Chetan Phalke: Okay, but the volumes will be flat?

Management : More or less similar to what we did.

Chetan Phalke: Okay, but going forward Sir, the next year, next to next year, when the new capacities come up, do we plan to export more or we will stick to the same strategies where we will retain our domestic market share and exports...?

Management : No. Gradually we will try to increase our exports by around 25% to 30%.

Page 14 of 17 Chetan Phalke: Okay, 25% to 30% of the overall volumes, that's what we intend to export?

Management : Correct.

Chetan Phalke: Okay, and also from what we understand most of our revenues are coming from these 700-millimeter diameter pipes. So, is the market moving towards large diameter pipes in India?

Because I think that's what has happened in China and other countries as well, and is it margin accretive if we move towards large diameter pipes in the longer run?

Management : See, I would not like to comment on this specifically, because we are producing of all sizes, of all diameters ranging from 100mm to 1200mm, and the demand is going in for all the pipes, it

depends more towards where the pipe is intended to be used. If it is more towards the end use, the diameter would be lower and if it is more towards the supply zone, the diameters would be higher. So, the demand that is coming in is a mix of all the diameters.

Chetan Phalke: Okay, but incrementally What do you see, trend wise is the...

Moderator: Chetan Phalke request you to please join the queue for follow up question.

Chetan Phalke : Sure. Thank you ma'am.

Moderator: In order to ensure that the management is able to address questions from all the participants in the queue, we request to please limit the questions after two.

We move to the next question from the line of Anurag Patil from Roha Assest Managers. Please go ahead.

Anurag Patil: Thank you for the follow up. Sir this 115 crores of undraising you are planning will it be entirely from promoters?

Management : Yes, sir.

Anurag Patil: Okay, that's it from my side. Thank you very much.

Moderator: Thank you. The next question is from the line of Nikhil Goel from Shivansh Overseas. Please go ahead.

Nikhil Goel: Good evening Sir. My question is, I just want to ask maybe some petition is filed by your Company in the High Court, can you just put some light on that? Like, how much, after how much time that amount will be refunded and this update on the case?

Management : Sir I think you are talking about the coking coal mine compensation. So, see, this mine was deallocated in 2015, and we are still waiting for the compensation to come in, matter is in Delhi Page 15 of 17 High Court. Delhi High Court has already given the order in sometime in March 2017 and had directed the Ministry of Coal to expedite and clear the dues. But we don't have a significant update on it. We have been pursuing with the Ministry for releasing our compensation and have been submitting all the required information that they have been demanding from us. All we understand is that our claim is a genuine one, and we should get paid what we have claimed when it would come we also don't have answer to that.

Nik

Nikhil Goel: Sir what is the amount that you had claimed?

Management : Our claim is around 15,00 crores.

Nikhil Goel: Okay, and secondly sir, I just want to ask you what's your trade receivables?

Management : Our trade receivables, as on 30th September, were around 1,250 crores.

Nikhil Goel: Has that has been increased from the previous quarter?

Management : Yes, it has increased from the previous quarter, it is because of higher sales, the sales have gone up.

Nikhil Goel: Thank you Sir..

Management : Thank you.

Moderator: Thank you. The next question is from the line of Aman Sonthalia from MUGI Constructions Private Limited. Please go ahead.

Aman Sonthalia: What is the reason for a certain jump in the interest costs?

Management : Interest costs have increased globally if you see RBI, the Central Bank has increased the repo rate by around 2% this year. So, in line with that, the banks have also increased the rates and we have been trying to use the low-cost funds as far as possible. So, for us the interest cost, interest rate has not gone up to that extent, but the interest rates are on the higher side

Aman Sonthalia: No, it has increased substantially compared to last year

Management: Correct sir, because the interest cost has gone up, interest rate has gone up.

Aman Sonthalia: So, our loan funds remain the same just because of the higher rate of interest, our interest cost has gone up.

Management: Yes.

Page 16 of 17 Aman Sonthalia: Okay. Thank you Sir.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Chetan Phalke from Alpha Invesco. Please go ahead.

Chetan Phalke: Yeah. Thank you for the opportunity again. Since raw material prices have come down, what will be the impact on our working capital? How much working capital will get released in the second half? Can we quantify the expected release of the working capital?

Management: When we see a cooling off, the working capital should reduce but it will happen only towards the end of Q4. Not immediately

Chetan Phalke: Okay, but any expected quantum let say assuming iron ore prices and coking coal prices that remain at the current level.

Management: So, we will definitely see a drop in the working capital, but how much I will not be able to give you a clear figure on that, but definitely it will come down.

Chetan Phalke: Sir, a few quarters back, one of our competitors have given a commentary on their call that they think that the pricing power and DI pipes industry can eventually come back because the demand is very strong and the pipeline looks robust. So, do we see any signs of pricing coming back or is it still highly intense or bidding driven market and the realizations are under pressure

or how are... if you can just give us some color on the current scenario and the pricing?

Management: Sir in our industry see there are many factors which are driving the margins. So, from the demand side, the demand has been robust over the last many years, and going forward also we see a very robust demand because DI pipes is the best suited pipe for transportation of drinking water then the profitability also depends on the raw material prices. So, raw material prices, generally, they were volatile for a couple of months, now they are stabilizing. In terms of our operations, in terms of our production capabilities, we have been operating at nearly 100%, and we have been doing expansions from time to time. Along with that we have also done backward integrations from time to time to improve our margins. So, all in all, I don't know about the pricing power and I would not like to comment on that, but we foresee a very good future for our business and for our Company. Our balance sheet has also strengthened and we are seeing good demand.

Chetan Phalke: Okay. Basically, I just wanted to understand if there is some sense on let us say the pricing discipline which is c

oming back in the industry or the competence continues to remain high that's it.

Management: Yeah, sorry, I didn't get you...

Page 17 of 17 Chetan Phalke: Yeah, so sir, just one last question from my end. Do we see a market for...can DI pipes be used

in gas transportation as well, and I think in one of your comments during the call you mentioned that in agri and sewerage the demand will come up eventually. So, is it already play out or will it play out like few years down the line, do we see some traction in agri and sewerage as well already year over year or quarter over quarter?

Management: Sewerage it is already there, but the new demand is coming in from the irrigation channel. So, irrigation is a new avenue for the demands. Because till now in India irrigation has been happening through open canals. So, gradually states are moving to pipes. For gas, I am not sure, but to the best of my knowledge maybe my other colleagues will be able to add, to the best of my knowledge for gas I think these pipes are not very suitable. Its MS pipes or maybe steel pipes are more suitable for gas.

Management: Yeah, I mean as of now it is used for water and sewerage only.

Chetan Phalke: Okay, can we quantify what percentage of our volumes are going into agri and sewerage, any indicative number, is it still in low single digits or already in double digits?

Management: No, it is in very nascent stages. Irrigation is a very new demand and very few states, two to three states have started placing orders for pipes for irrigation.

Chetan Phalke: Okay, any particular state, which states have started usage of DI pipe for agri?

Management: Orissa, MP mainly.

Chetan Phalke: Do you see any other states opening up very soon this year or next year?

Management: I will not be able to specify names not possible but going forward definitely all the states will start placing orders for irrigation for DI Pipes.

Chetan Phalke: Okay, okay. All right. That's it from my end. Thank you very much.

Management: Thank you.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I now hand the conference over to the management for the closing comments, over to you sir.

Management: Thank you all for actively participating in this conference call. I take this opportunity to thank the Valorem team and Chorus team for conducting this conference very effectively. Thank you all once again. Thank you all.

Moderator: Thank you members of the management. On behalf of Electrosteel Castings Limited that conclude this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

ELECTROSTEEL CASTINGS LIMITED

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19 November, 2022

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code: 500128

ISIN : INE086A01029 National Stock Exchange of India Limited

Exchange Plaza, Sandra Kurla Complex,

Sandra (E),

Mumbai - 400 051

Symbol: ELECTCAST

Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 11 November 2022 regarding the conference call of the Company, which was held on 14 November 2022 at 4.00 pm where the Q2-FY 23 Earnings of the Company was discussed.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of the transcript of the said call with the Investors.

Please find below the link of the transcript of the said call that has been uploaded on the website of the Company- <https://www.electrosteel.com/admin/pdf/1653478-Transcript-of-Investors-Concall-held-on-14-November-2022.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra

Company Secretary

Follow the Electrosteel Group on

Dr-JffflIII@

Page 1 of 17 Electrosteel Castings

Q2 FY23 Earnings Conference Call

14 November 2022

Moderator: Ladies and gentlemen, Good day and welcome to the Q2 FY23 Earnings Conference Call of Electrosteel Castings Limited hosted by Valorem Advisors.

As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone telephone.

I now turn the conference over to Purvangi Jain from the Valorem Advisors. Thank you and over to ma'am.

Purvangi Jain: Thank you. Good evening, everyone and a warm welcome to you all. My name is Purvangi Jain, AVP from Valorem Advisors. We represent the investor relations of Electrosteel Castings Limited. On behalf of the Company. I would like to thank you all for participating in the Company's Earnings Conference Call for the second quarter of the financial year 2023.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from both anticipated. Such statements are based on management belief, as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions.

The purpose of today's earnings conference call is purely to educate and bring awareness about the Company's fundamental business and financial quarter under review.

Now, let me introduce you to the management participating with us in today's earnings call.

We have here with us. Mr. Sivalai Senthilnathan - Vice President Finance and Corporate Affairs, Mr. V. M. Sridharan - Senior General Manager of Finance, Mr. Neelesh Daga - General Manager of Accounts and Finance and Mr. Gaurav Somani - Joint General Manager of Finance.

Without any further delay, I will hand over to Mr. Sivalai Senthilnathan for his opening remarks.

Thank you and over to you sir.

Sivalai Senthilnathan: Thank you Purvangi Jain. Good evening, everybody. It is a pleasure to welcome you this Earnings Conference Call of the second quarter of financial year 2023.

Page 2 of 17 Let me first take you through the financial performance for the second quarter and then half year of our Company on a standalone basis. The total income for the quarter stood at Rs. 1,725 crores, an increase of about 59% year on year. EBITDA reported was Rs. 177 crores and increment of about 32% year on year, with the EBITDA margin at 10.24%. Net Profit After Tax reported was with Rs. 64 crores, an increase of approximately 18% year-on-year basis while the PAT margin stood at about 4%. The revenue in H1 FY23 stood Rs. 3476 crores, an increase of 65% year on year. EBITDA reported was Rs. 402 crores, an increment of about 41% year-on-year basis while EBITDA margin stood at 11.57%. Net profit after tax for H1 FY23 stood at Rs. 168 crores which grew about 56% year-on-year basis. PAT margins stood at 4.84%. On the operational front, the Company has achieved nearly 100% of its capacity utilization in Ductile Iron Pipes in the second quarter Ductile Iron Pipes sales volume have increased by 34% to 1,66,875 tons year-on-year, while it grew 28% to 3, 24,793 tons year-on-year in the first half of 2023. The Company's Board of Directors has approved raising about Rs. 115 crores through preferential issue of warrants or any other instruments.

With this, we can now open the floor for the question-and-answer session.

Moderator: Thank you very much. Ladies and gentlemen. We will now begin the question and answer session.

Anyone who wishes to ask a question may press "*" and "1" on your

touchtone telephone. If

you wish to remove yourself from the question queue you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and Gentlemen we will wait for a moment while the question queue assembles, thank you.

The first question is from the line of Kamlesh Bagmar from Lotus Asset Managers. Please go ahead.

Kamlesh Bagmar: Okay, so one question on the part of your increase in Inter Corporate Deposits, like say it's around Rs. 172 crores in this particular quarter or first half, why such a sharp increase in the Inter-Corporate Deposits despite the fact that we have huge borrowing on the balance sheet and based on our annual report for the last year, we are just getting 7% interest rate on that, other than that, we can easily repay the debt or up on the working capital.

Management: Yeah, hi, thank you for your great query. So, we have total ICD investment of around Rs. 225 crores as on date, and this is out of the cash surplus that the Company has. On the debt front, the borrowing are in two parts one is long-term and short term. So, all the short-term borrowings is more towards working capital, and if you see from FY 22, that is March 22, and as on September 22, you will notice that the overall borrowing has not increased in spite of working capital investment has gone up. So, we have also used our internal accrual funds towards working capital and have not taken additional borrowing for that. Our interest rates have gone up to some extent, from March because of the interest rate movements, and these Page 3 of 17 investments that we have in ICDs are very temporary in nature, this is a short term parking that we did in the first half, and we can withdraw at any moment.

Kamlesh Bagmar: Yeah. I appreciate that. But, that can anyways be like saying... but I would suggest that that can be brought back to the investor because they are only really yielding any return and you can expand on the expansion because the way the capacities in DI are coming, like say all the players are adding capacity, you can rather invest on those ...

Management: Sorry, we have expansion already going on...

Management: As actually pointed out by Gaurav Somani, given in short term, and as the rates are going up, we did good return in ICD and these are all payable on demand. Tomorrow I require the money, I demand it, I get it. So, there is nothing... these are temporary parking. So, it is not that, you know, I take this money and repay the debt, it is not possible like that sir, that is the reason and you know, we have to have a match of all that, ICD, fixed deposits with Mutual Funds everything, so that the overall return is good, that is a process.

Management: Just to add, we have around 400 crores of CAPEX, which has already begun in our Southern unit. We are at Tirupati that is Srikalahasthi, where we are increasing the capacity of the DI pipes and we are also increasing the capacity of ancillary backward requirements. So, there we will have the CAPEX requirements coming up, and the funding requirements coming up in next couple of quarters. The expansion work has already begun, we have already placed the orders for equipment, so and it will be primarily funded out of internal accruals and the cash generation. So, once the fund requirement comes up there, we will start using these funds.

Kamlesh Bagmar: We will be more happy if that money is parked into the Mutual Funds, that's just as suggestion.

Management: Now we have a mix of all the investments, we have some money parked in fixed deposit, some

in Mutual Funds also and some in ICD. So, we have a basket of all the investments

Kamlesh Bagmar: Thanks a lot.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company.

Please go ahead.

Saket Kapoor: Greetings sir. Firstly, if you could share the H1 production and Sales number?

Management: So,

our H1... DI Pipe production was around 3,44,000 tons.

Saket Kapoor: Okay.

Management: Sales was around 3,25,000 tons.

Page 4 of 17 Saket Kapoor: Instead, what should we look forward for H2 in terms of... we were informed that we are running at 100%.

Management: Yeah, so the capacity of utilization is 100%, and in our industry H2 is generally better than H1, we definitely expect sales volume to go up in H2 compared to H1. This has been the past trend and we have delivered better in terms of volumes in H2.

Saket Kapoor: Do you have the last year H2 volume numbers?

Management: Last year H2 volume... just a second... so last year in terms of sales, we did around 3,42,000 tons.

Saket Kapoor: 342, so we are looking forward for anywhere not what for 342 for H2...?

Management: Yes, our target is that only.

Saket Kapoor: Okay, so when we look at the cash flow part, we find these two line items of fair valuation of derivative instrument to PNL of 29.34 crores, and unrealized foreign exchange fluctuation and transaction of 29.32 crores. If you could explain to us what is the nature of the same, since they have impacted the profitability too and I think Re. 1 EPS have been gained out of these two transitions only.

Management: Let me clarify that there is a formula error here, the one is a positive figure and one would be a negative figure, so impact would be NIL. So, the first figure is 29.34 crores, it is the Forex MTM gain that we have, and second one is the realignment loss. So, ultimately, if you do the mathematics, it will be zero. So, the profit is not getting impacted of these numbers. Because in the cash flow part we have mentioned both these items... and there is a formula error, so the correction that what I have told you would be neutral.

Saket Kapoor: Then we should revise it and then publish a separate Release as this giving the wrong message, if that is the case.

Management: Will take this matter with the team

Saket Kapoor: This is wrong. This is wrong restatement of account also; investors will find it very difficult. If there is a mistake, one should revisit and the revised statement provision should be there.

Management: Sure, we will take this up.

Saket Kapoor: Looking at the order booking part sir, how is our order book currently?

Page 5 of 17 Management: We have a healthy order book in terms of months, we have our order book sitting on our order book of around six months. In the past, in the sense, till the previous quarter, our order book was around four months, now we have gone up to six months.

Saket Kapoor: Okay, and sir if you could give some more color on... in terms of the EBITDA margins, which we may expect or the trajectory likelihood for H2.

Management: As mentioned in my earlier calls also, EBITDA margins is a difficult parameter. As you would understand that when the raw material prices start going up, the realization also starts moving up, and our contribution for EBITDA per ton is more or less what we try is to maintain the EBITDA per ton. So, if you go for margins, you will find dip when the prices are high, and when the prices are low, you will find that the EBITDA margins are on an upward direction. If you look from the EBITDA per ton purview, you will find that Q2 EBITDA per ton is in line with what we did in previous year. Compared to Q1, the EBITDA per ton was lower, but it was well within what we had estimated. Going forward, our target would be to maintain this EBITDA per ton, and we are very confident that we will be able to maintain because raw metal prices have started coming down. Coking coal prices, which was very volatile, somewhere around May-June, has kind of stabilized in Q2, and it is around \$300. Iron Ore prices are also kind of stable only, and since we have a healthy order book, we feel that Q3-Q4 would be definitely better for us.

Saket Kapoor: On the coal composition front, any update or near term date, you have any

thing to share on that sir?

Management: No sir, there's not much update on it. What I mentioned in the earlier quarter, the status is the same.

Saket Kapoor: Correct sir, and when we look forward for this Press Release part so kindly look into our request for Press Release and investor presentation also that will suffice a lot of our questions and queries going ahead. Kindly look into...

Management: Yes, this time we have uploaded the investor presentation, and the Press Release as well I will take it up again.

Saket Kapoor: Lastly as the earlier participant also mentioned, this ICD part also we know that the management is credible, you are taking the due diligence everything is in perfect shape, but ICD are not looked in the right eye by investing community. So, give or take of a percent or 1% gain, we are falling... it is a red tick that happens whenever ICD comes into play that is my understanding of how we look at companies going for this ICD part, so if the management thinks that they can avoid this ICD issue altogether, just for the understanding from the investor point of view, please look into the same where avoiding these exposures in terms of ICD...

Page 6 of 17 Management: We are actually generalizing the concept. We have been facing ICDs in previous years also in Srikalahasthi also you have been seeing it, and these are to names, we know it's not a very significant portion... as I said, we are maintaining our investments in a basket, and these are temporary funds, short term funds, majorly you will find that this funds will get used towards our CAPEX, which we are doing, and in the past also we have used the funds in our CAPEX, so, this is just a temporary parking of funds, nothing more than that.

Saket Kapoor: Lastly, what is the combined capacity currently, and how much it will go up going ahead?

Management: Combined capacity is 7 lakh tons.

Saket Kapoor: Will it go up by 1 lac?

Management: 1 to 1.5, because we are having some debottlenecking exercise going on in our eastern unit also. So, once completed, we should be at around 8.5 approximately.

Saket Kapoor: Okay, and what is the CAPEX involved in this, for 1.5 lakhs?

Management: It would be around 450 to 500 crores approximately.

Saket Kapoor: 500 crores, and current cost of fund for us?

Management: Current cost of fund... see it has gone up now. So, because of the increase in the repo rates, our current costs would be around 8.5%

Saket Kapoor: 8.5% and the breakups are long term and short-term borrowing.

Management: Long-term and short-term borrowing... Long term would be around Rs.1,050 crores, and short term would be around Rs. 1,700 crores, this is the gross debt...

Saket Kapoor: The total debt is... this a gross debt number, and the net debt number?

Management: The net debt would be around 2,350 crores.

Saket Kapoor: 2350?

Management: Correct.

Saket Kapoor: For March, what should we look for the target, March 23?

Management: March 23, I think it will be lower than this

Saket Kapoor: Below 2350.

Page 7 of 17 Management: Right.

Saket Kapoor: Sir we will look forward for this explanation of this formula, but do well address so that investor get the right correct figures, and thank you for the answer. Thank you.

Management: Thank you.

Moderator: Thank you. Reminder to all the participants to ask a question you may please press "*" and "1" on your touchtone telephone.

The next question is from the line of Ankit Puri, Retail Investor. Please go ahead.

Ankit Puri: Hi, thank you for taking my question. I wanted to ask what impact do we see with the starting and ramping up of the 400,000 Welspun Corporate DI plant, and also if you can throw some light on the overall market size and opportunity going forward? Thank you.

Management: Yes Welspun has recently started its plant, I think June or July, and I think they are situated in the western part of the country. So, we are catering more towards

towards the eastern part, the

northern part, the southern part and the central part, and we are also present in export market.

So, for most of the players, the areas of service are segmented because DI pipes are bulky in nature. So, it is not feasible to transport from one end of the country to another part of the country. As far as demand is concerned, we have been witnessing robust demand, because the industry that we are present into fortunately the demand has been growing, because most of the households, they don't have a proper connection of tap water and the schemes which have been launched by government that is Jal Jeevan Mission to connect each and every household by 2024 has been progressing well. A lot of demand has been generated. This is a new demand which has been coming in. We have not seen the replacement demand as of now, and going forward, this is expected to continue for three to four years more, then you have the regular demand also. This is a specific scheme, which has been launched by central government, then you have state-wise schemes as well, and in future you will also see demand coming in from the irrigation sector. So, as far as demand is concerned, there is good demand and there are few recognized players. It's not a fragmented industry. So, we don't foresee new competition as a threat.

Management: Here to add what Gaurav said, see what is happening is as he rightly said, we are only talking about the Jal Jeevan, but we will also appreciate the cities are extending, I mean towns are extending, villages are extending. So, you know, the demand apart from this Jal Jeevan also will be there, and we don't generally foresee any problem as far as the demand or the pipes are concerned, and as he rightly said, the multiple uses of the pipes. Earlier, it was for sewage and

water, and now it is also used for irrigation and something else will also come up. So, we don't foresee any problem in meeting of whatever produced, we are selling it that has been our experience. Thank you.

Page 8 of 17 Ankit Puri: Thanks for that, and what about the export markets as well, if you can throw some light on that as well, especially with regards to the war situation? How is it affecting our sales, and are we planning to ramp up our exports as discussed earlier?

Management: We have been present in the export since long for almost two decades, and we are servicing almost all the countries across the globe, majorly towards Europe and the Middle East. Now, this year, we have significantly grown into US. We had entered into US, around maybe six, seven years back, but this year, we are encashing the benefits. For us, the markets are doing good, it's stable and we have been getting good business. We have not seen any significant impact because of the war in Europe, but it will be difficult to give any comment going forward. Since this is an essential commodity, and you know for very primary use, we feel that this will not see any slowdown in the demand. This is a basic necessity. So, I mean, we are seeing stable kind of demand coming in from exports.

Ankit Puri: Alright, thank you for that, and lastly, do you have any plans to come up with the rights issue for raising funds as well for minority shareholders?

Management: Ankit, difficult to comment on that it is a management decision. So, will not be possible for us to comment on that.

Ankit Puri: Appreciate if you can share the same with the management, if they have any plans to do that then that would be well-appreciated amongst everyone.

Management: Sure, we will place your remarks. Thank you.

Ankit Puri: Thank you so much all the best to you.

Management: Thank you.

Moderator: Thank you.

The next question is from the line of Anurag Patil from Roha Assest Managers. Please go ahead.

Anurag Patil: Thank you for the opportunity. Sir in the current condition, both iron ore and coking coal costs are

stabilizing for us, and the volumes are also expected to interim increase. So, ideally your margin should be improving, while you are saying the current quarter margin should be maintained. So, am I missing here something?

Management: No. See, what I said is to summarize the coking coal prices and iron ore prices have started stabilizing from end of Q2 and Q3 onwards, and our focus is more towards maintaining the EBITDA per ton, not the margins. Margins will give the wrong picture in times when the prices are volatile. When the raw material prices are volatile, so if the raw material prices moves up from 100 to 150, simultaneously the realizations will also move up, and effectively the margins Page 9 of 17 will appear to be down, but in absolute terms we will be able to maintain our profitability. So, my idea is that even our focus is to maintain our absolute EBITDA that we have been generating and improve it, basis the volume that is increasing. I hope I have been able to convey.

Anurag Patil: Yes sir, so the question is your EBITDA pattern was somewhere around 9,000 Plus Q2, and it was higher in the Q1, so can we say this 9,000 Plus will be maintained or you are referring to 12,000 number or average of both. Can you clarify?

Management: So, I think it will be better than this, we did around 10,000 in Q2. Q3 and Q4 will be better than this.

Management: Sir you would appreciate as we rightly said, our endeavor needs maintain the same EBITDA, but there are so many forces so beyond the level forwarded looking statements also, I am afraid we do not have but our intention is our target, our goal is to maintain EBITDA are itself branded. I think I have explained you.

Anurag Patil: Okay understood and sir on the coking coal cost... Can you specify what was our coking coal cost in Q2 on an average and what would it be currently? Any ballpark numbers will be fine.

Management: In Q2, average rate was around \$450, and at present the average coking coal price is around \$300.

Anurag Patil: Okay, so, these are the numbers at which we are buying or these are the market numbers which you are specifying sir?

Management: We are importing coking coal. So, these are basically the market numbers, and our buying is close to this level only, because these are index numbers.

Anurag Patil: Close to these numbers only, okay.. Sir what was the sales volume in the ferroalloy segment for us in Q2?

Management: In Q2 we did around 6500 tons.

Anurag Patil: Okay, and Q1 should be in the similar number or Plus Minus?

Management: Yes, Q1 also around 6500 tons.

Anurag Patil: Okay sir, so that's it for my side. Thank you very much.

Management: Thank you.

Moderator: Thank you. Reminder to the participants to ask the question you will have to press "*" and "1".

Page 10 of 17 The next question is from the line of Aman Sonthali from MUGI Constructions Private Limited. Please go ahead.

Aman Sonthalia: Yeah sir, so my question is what is the percentage of our sales that comes from Europe?

Management: Percentage of sales from Europe would be around 7% to 8% of total sales.

Aman Sonthalia: What is the percentage of sales from Export?

Management: Export would be around 25%.

Aman Sonthalia: 25%, and sir the margin is better in domestic market or is in the export market?

Management: It is better in export market.

Aman Sonthalia: The export market?

Management: Yes.

Aman Sonthalia: Okay sir, so is there any impact on exports in Europe because of the recession?

Management: Not as of now sir. Till the first half, we have not seen any significant impact. The business has been stable only.

Aman Sonthalia: In the second half, sir? Whether we will see some negative sales growth in the European market?

Management: Sir very difficult to comment because all this is new for everyone. So, will not be able to give you any clear picture on it. As far as our business is concerned and order

s are concerned, we

have stable orders, we are doing regular supplies. So, as of now, the business I think is ok

Aman Sonthalia: Sir we are expanding our capacity by 1.5 lakh ton, so since the outlook looks very robust. So, whether we can expect to expand more after this expansion?

Management: Sir we are also very optimistic and that is why if you see previous four to five years, you will notice that we have done significant expansions, and we were around maybe 5 lakh ton around four to five years back, and today we are sitting at around 7 lakh tons and we are looking at 8-1/2 lakh tons... Once this is completed, then definitely the management would look for further expansion once this expansion stabilizes.

Aman Sonthalia: Sir when we can expect this expansion to get completed.

Management: This is expected to be completed by next calendar year.

Page 11 of 17 Aman Sonthalia: Next calendar year. Okay sir, thanks a lot.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company.

Please go ahead.

Saket Kapoor: Just a small point to understand you mentioned about this cashflow part, the formula being incorrect is that the right understanding Sir?

Management: According to the figure, which is 2932.68, which is a positive figure, it should have been a negative figure.

Saket Kapoor: Okay, if you do that that on back calculation basis then the total figure of 9031.64 total should also be then incorrect, and then the operating profit before working capital should also be not be 359 crores, is that understanding correct sir, because the entire... every line item will change.

Management: Not every line item, two-to-three-line items would change, your cash generated from operations would come down to minus 3864.

Saket Kapoor: It will come down to minus 3864.

Management: Cash generated from operations.

Saket Kapoor: No, I was just looking for the operating profit before working capital came in, if that was positive 359 crores?

Management: Therefore, the operating profit before working capital changes would be 398 crores.

Saket Kapoor: It will increase Sir?

Management: Yes, it has increased, it is 398 crores.

Saket Kapoor: Okay Sir, I will take it this answer offline although that I could not understand, I am unable to figure out, how will this happen, but anyway if you file the revised one, I will get a better understanding and Sir also on the outlook for this raw material prices I missed your comment on the same that you are commenting that raw material prices have now corrected and the benefit of the same will be felt in the coming quarter.

Management: I am giving you the present status, the prices have stabilized. Coal prices are around \$300.

Saket Kapoor: No Sir, the consumption rate was higher for Q2 and now going into Q3, we are going to see a dip in the same?

Page 12 of 17 Management: Correct.

Saket Kapoor: Okay and on the DI pipe realization front has there been a dip in the realization also or we will get some lag effects benefit if we have booked order earlier at higher prices?

Management: Sir realizations have been stable, we expect Q3 to be better.

Saket Kapoor: Q3 to be better, right Sir, because very small point was that Sir on a Q-on-Q basis, there was a dent of 50 crores, from June to September. So, how much was attributable only to the raw material part to the higher raw material prices? Because I think the volumes were similar, more or less for Q1 and Q2?

Management: No Q2 volumes have been better than Q1. But in fact...

Saket Kapoor: Better than Q1, then also Sir we have seen this big delta of 50 crores.

Management: Correct, so it's primarily on account of the raw material prices, and which is because of coking coal prices. Coking coal prices were very, very volatile during the month of May and June, it

went up to \$650. So, that was a very abnormal situation because of

which you know the

profitability got impacted, in spite of that if you see year-on-year, the numbers have grown.

Saket Kapoor: Yeah Sir, year-on-year the numbers are good, but quarter-on-quarter only wanted to understand see this quarterly dent, how much will be reversed going ahead and will return to the normal profitability rate. I think so last year, our H2 was much stronger, and we did I think around above 260 to 270 crores EBITDA number, so that was only my understanding just to shape up how the EBITDA would be shaping up if depending upon the current RM basket.

Management : Our initial feeling is that H2, this H2 should be in line with previous H2.

Saket Kapoor: Okay Sir, I take the clarification offline, so and thank you for all the candida. Greetings.

Management : Thank you.

Moderator: Thank you. The next question is from the line of Chetan Phalke from Alpha Invesco. Please go ahead.

Chetan Phalke: Yeah. Thank you for the opportunity, sir. Sir, what are the export realization in Q2 and first half of the year and any indicative EBITDA per ton in our export markets?

Management : Sir I will not be able to give you specific numbers, but our export realizations were significantly higher than the domestic realizations.

Chetan Phalke: In percentage terms, can you indicate how higher it is?

Page 13 of 17 Management : In percentage terms, basically it would be higher by around 15% to 20%, maybe 15% not 20% but 15%, but that does not completely flow down to the bottom line because in the case of exports, the cost is also higher than the domestic cost.

Chetan Phalke: Okay, and when we say let's say if you have to compare EBITDA per ton of domestic versus exports... any similar impact if you can quantify it in percentage terms 10%, 15%, higher compared to domestic.

Management : Compared to domestic, it would be higher by around Rs. 3000 to Rs. 4000 per ton.

Chetan Phalke: Okay, so this gap is being maintained despite the volatility in the prices. So, these Rs. 3000 to Rs. 4000 per tons incremental EBITDA button is being maintained right.

Management : Yes. We continue to generate that.

Chetan Phalke: Okay. Now outlook remains similar, because I think in earlier comment you just mentioned that our exports to US... they are finally seeing some traction. So, just wanted to understand if we export more to the US markets will it be margin accretive? Is it a higher margin market per se?

Management : The challenge for us is we also have to maintain the domestic you know, market share. So, we cannot push you know, certain extent to exports so what we are doing is we are compromising on some other regions, we are compromising on some other low-cost orders and fulfilling the better price orders. So, US this time we had a better opportunity, so, we focused more there and we compromised in some other regions.

Chetan Phalke: Okay, so in absolute terms, let's say compared to FY 22, will we see our exports going up or exports will remain flat and only we are just rerouting our exports from one market to another market, and net export amounts... the volume will remain flat, is that the correct understanding then?

Management : No, the volume would more or less be flat, but in absolute terms, the value will increase because of higher realizations and the currency also, because the currency has depreciated. So, we will have... in absolute term it will increase.

Chetan Phalke: Okay, but the volumes will be flat?

Management : More or less similar to what we did.

Chetan Phalke: Okay, but going forward Sir, the next year, next to next year, when the new capacities come up, do we plan to export more or we will stick to the same strategies where we will retain our domestic market share and exports...?

Management : No. Gradually we will try to increase our exports by around 25% to 30%.

Page 14 of 17 Chetan Phalke: Okay, 25% to 30% of the overall volumes, that's what we intend to e

xport?

Management : Correct.

Chetan Phalke: Okay, and also from what we understand most of our revenues are coming from these 700-millimeter diameter pipes. So, is the market moving towards large diameter pipes in India?

Because I think that's what has happened in China and other countries as well, and is it margin accretive if we move towards large diameter pipes in the longer run?

Management : See, I would not like to comment on this specifically, because we are producing of all sizes, of all diameters ranging from 100mm to 1200mm, and the demand is going in for all the pipes, it depends more towards where the pipe is intended to be used. If it is more towards the end use, the diameter would be lower and if it is more towards the supply zone, the diameters would be higher. So, the demand that is coming in is a mix of all the diameters.

Chetan Phalke: Okay, but incrementally What do you see, trend wise is the...

Moderator: Chetan Phalke request you to please join the queue for follow up question.

Chetan Phalke : Sure. Thank you ma'am.

Moderator: In order to ensure that the management is able to address questions from all the participants

in the queue, we request to please limit the questions after two.

We move to the next question from the line of Anurag Patil from Roha Assest Managers. Please go ahead.

Anurag Patil: Thank you for the follow up. Sir this 115 crores of undraising you are planning will it be entirely from promoters?

Management : Yes, sir.

Anurag Patil: Okay, that's it from my side. Thank you very much.

Moderator: Thank you. The next question is from the line of Nikhil Goel from Shivansh Overseas. Please go ahead.

Nikhil Goel: Good evening Sir. My question is, I just want to ask maybe some petition is filed by your Company in the High Court, can you just put some light on that? Like, how much, after how much time that amount will be refunded and this update on the case?

Management : Sir I think you are talking about the coking coal mine compensation. So, see, this mine was deallocated in 2015, and we are still waiting for the compensation to come in, matter is in Delhi Page 15 of 17 High Court. Delhi High Court has already given the order in sometime in March 2017 and had directed the Ministry of Coal to expedite and clear the dues. But we don't have a significant update on it. We have been pursuing with the Ministry for releasing our compensation and have been submitting all the required information that they have been demanding from us. All we understand is that our claim is a genuine one, and we should get paid what we have claimed when it would come we also don't have answer to that.

Nikhil Goel: Sir what is the amount that you had claimed?

Management : Our claim is around 15,00 crores.

Nikhil Goel: Okay, and secondly sir, I just want to ask you what's your trade receivables?

Management : Our trade receivables, as on 30th September, were around 1,250 crores.

Nikhil Goel: Has that has been increased from the previous quarter?

Management : Yes, it has increased from the previous quarter, it is because of higher sales, the sales have gone up.

Nikhil Goel: Thank you Sir..

Management : Thank you.

Moderator: Thank you. The next question is from the line of Aman Sonthalia from MUGI Constructions Private Limited. Please go ahead.

Aman Sonthalia: What is the reason for a certain jump in the interest costs?

Management : Interest costs have increased globally if you see RBI, the Central Bank has increased the repo rate by around 2% this year. So, in line with that, the banks have also increased the rates and we have been trying to use the low-cost funds as far as possible. So, for us the interest cost, interest rate has not gone up to that extent, but the interest rates are on the higher side

Aman Sonthalia: No, it has increased substantially compared to last year

Management: Correct sir, because the interest cost has gone

up, interest rate has gone up.

Aman Sonthalia: So, our loan funds remain the same just because of the higher rate of interest, our interest cost has gone up.

Management: Yes.

Page 16 of 17 Aman Sonthalia: Okay. Thank you Sir.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Chetan Phalke from Alpha Invesco. Please go ahead.

Chetan Phalke: Yeah. Thank you for the opportunity again. Since raw material prices have come down, what will be the impact on our working capital? How much working capital will get released in the second half? Can we quantify the expected release of the working capital?

Management: When we see a cooling off, the working capital should reduce but it will happen only towards the end of Q4. Not immediately

Chetan Phalke: Okay, but any expected quantum let say assuming iron ore prices and coking coal prices that remain at the current level.

Management: So, we will definitely see a drop in the working capital, but how much I will not be able to give you a clear figure on that, but definitely it will come down.

Chetan Phalke: Sir, a few quarters back, one of our competitors have given a commentary on their call that they think that the pricing power and DI pipes industry can eventually come back because the demand is very strong and the pipeline looks robust. So, do we see any signs of pricing coming back or is it still highly intense or bidding driven market and the realizations are under pressure or how are... if you can just give us some color on the current scenario and the pricing?

Management: Sir in our industry see there are many factors which are driving the margins. So, from the demand side, the demand has been robust over the last many years, and going forward also we see a very robust demand because DI pipes is the best suited pipe for transportation of drinking water then the profitability also depends on the raw material prices. So, raw material prices, generally, they were volatile for a couple of months, now they are stabilizing. In terms of our operations, in terms of our production capabilities, we have been operating at nearly 100%,

and we have been doing expansions from time to time . Along with that we have also done backward integrations from time to time to improve our margins. So, all in all, I don't know about the pricing power and I would not like to comment on that, but we foresee a very good future for our business and for our Company. Our balance sheet has also strengthened and we are seeing good demand.

Chetan Phalke: Okay. Basically, I just wanted to understand if there is some sense on let us say the pricing discipline which is coming back in the industry or the competence continues to remain high that's it.

Management: Yeah, sorry, I didn't get you...

Page 17 of 17 Chetan Phalke: Yeah, so sir, just one last question from my end. Do we see a market for...can DI pipes be used

in gas transportation as well, and I think in one of your comments during the call you mentioned that in agri and sewerage the demand will come up eventually. So, is it already play out or will it play out like few years down the line, do we see some traction in agri and sewerage as well already year over year or quarter over quarter?

Management: Sewerage it is already there, but the new demand is coming in from the irrigation channel. So, irrigation is a new avenue for the demands. Because till now in India irrigation has been happening through open canals. So, gradually states are moving to pipes. For gas, I am not sure, but to the best of my knowledge maybe my colleagues will be able to add, to the best of my knowledge for gas I think these pipes are not very suitable. Its MS pipes or maybe steel pipes are more suitable for gas.

Management: Yeah, I mean as of now it is used for water and sewerage only.

Chetan Phalke: Okay, can we quantify what percentage of our volumes are going into a

agri and sewerage, any

indicative number, is it still in low single digits or already in double digits?

Management: No, it is in very nascent stages. Irrigation is a very new demand and very few states, two to three states have started placing orders for pipes for irrigation.

Chetan Phalke: Okay, any particular state, which states have started usage of DI pipe for agri?

Management: Orissa, MP mainly.

Chetan Phalke: Do you see any other states opening up very soon this year or next year?

Management: I will not be able to specify names not possible but going forward definitely all the states will start placing orders for irrigation for DI Pipes.

Chetan Phalke: Okay, okay. All right. That's it from my end. Thank you very much.

Management: Thank you.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I now hand the conference over to the management for the closing comments, over to you sir.

Management: Thank you all for actively participating in this conference call. I take this opportunity to thank the Valorem team and Chorus team for conducting this conference very effectively. Thank you all once again. Thank you all.

Moderator: Thank you members of the management. On behalf of Electrosteel Castings Limited that conclude this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

22 February, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 14 February, 2023 intimating that a Conference Call was scheduled to be held on 17 February, 2023, at 4.00 pm IST, to discuss Q3/9M-FY 23 Earnings of the Company.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of the transcript of the said call with the Investors.

Please also find hereinbelow the link of the transcript of the said call that has been uploaded on the website of the Company-
<https://www.electrosteel.com/investor/investor-presentation-and-other-documents.php>

This is for your information and records.

Thanking you,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary

Page 1 of 14 Electrosteel Castings Limited
Q3 FY23 Earnings Conference Call
February 17, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q 3 FY23 Earnings Conference Call of Electrosteel Castings Limited hosted by Valorem Advisors. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to sir.

Anuj Sonpal : Thank you. Good afternoon everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors, we represent the investor relations of Electrosteel Castings Limited. On behalf of the company, I'd like to thank you all for participating in the company's earnings call for the third quarter and nine months ended of Financial Year 2023.

Before we begin, let mention a short cautionary statement. Some of the statements made in today's earnings call may be forward looking in nature. Such forward-looking statements are subject to risks and uncertainties which could cause actual results to differ from those

anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr. V.M. Sridharan, Senior General Manager of Finance. Mr. Neelesh Daga, General Manager Accounts & Finance, and Mr. Gaurav Somani, Joint General Manager of Finance. Without any further delay, I request Mr. Sridharan to start with his opening remarks. Thank you and over to you sir.

V.M. Sridharan: Thank you Anuj. Good evening everybody. I am Sridharan. I am the Senior General Manager, Finance of Electrosteel Castings Limited. It's a real pleasure to welcome you to the Earnings Conference Call for the third quarter of Financial Year 2023.

Let me first take you through the financial performance for the third quarter and then the nine months ended of our company on a standalone basis. The total income for the quarter stood at Rs. 1,751 crores, an increase of about 24.5% year-on-year. EBITDA reported was

Rs. 184

crores a decrease of 7% year on year with the EBITDA margins at 10.50%. Net profit after tax reported was Rs. 65 crores, a decrease of approximately 31% on a year-on-year basis while PAT Page 2 of 14 margin stood at 3.73%. The revenue in nine months Financial Year '23 stood at Rs. 5,227 crores, an increase of 49% year on year EBITDA reported was Rs. 586 crores an increase of 21% year on year basis while EBITDA margin stood at 11.21%. Net profit after tax for nine months Financial Year '23 stood at Rs. 234 crores, which grew by 15% on year on year basis.

PAT margins stood at 4.47%. On the operational front, we are happy to say that the company has achieved 100% of its capacity utilization in Ductile Iron Pipes. In the third quarter Ductile Iron Pipe sales volume has increased by approximately 18% to 792,000 year on year, while it grew 24% to 517,000 year on year in the nine months of 2023.

With this, we can now open the floor for question-and-answer session. Thanks a lot.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press "*" and "1" on their touch tone telephone. If you wish to withdraw yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking a question. We request participants to avoid asking repeated questions and limit their questions to two per participant. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Ladies and gentlemen, you may enter "*" and "1" to ask a question. The first question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Thank you for the opportunity. If you could give us some color how the Q4 deliverables are lined up in terms of tonnage?

Management: Q4 Saket ji we expect it to be a good quarter and Q3 we did around 1,92,000 tonnes. Broadly, we expect Q4 to be in line with Q3 or better than Q3.

Saket Kapoor: Okay, so nine months was 517 and over and above 192. So, we'll be closing higher of 7 lakh for the entire year. That should be the broad number.

Management: Yes.

Saket Kapoor: If you could give us some color on how the raw material basket is shaping up. If we take sir the reason for the dip in profit, if my understanding is correct, it's the impact of the higher raw material and I think so the fixed contract which we have, where there is no pass on the higher RM prices. Currently, how is the raw material basket shaping up? Also give us some color on order booking and also the business environment and the dynamics that are working for the DI Pipe industry?

Management: So, you have asked multiple questions. Number one, raw material, our two key raw materials are coking coal and iron ore. We import coking coal and iron ore we procure from nearby states.

As far as iron ore is concerned, the prices have cooled off compared to previous quarters. As far as Coking coal is concerned, the prices have been kind of in uptrend during the year.

Page 3 of 14 Because of this, our profitability in terms of margins had lowered a bit, but otherwise, if you see in absolute terms the quarter we did a very good EBITDA. We did around Rs. 184 crores compared to 177 crores in Q2. So, Q3 we were able to report a higher EBITDA. Going forward, the coking coal that we have in inventory, the prices are of lower cost. But as of now, the prevailing prices, if you see of Coking coal, it has again started rising and as we speak it is around \$385. Considering that the order book that we are intaking that is happening, the intake which is happening is happening according to that current prices only. This is about the order book and raw material prices. Order book we have around 7 months of order book right now.

Business dynamics that you are seeing as of now, the demand is very good. It's mainly because of the Jal Jeevan Mission

Scheme which was launched by the government in 2019 and the

Amrut 2.0 which is happening. All this is leading to a lot of substantial demand coming up. We

have been able to operate our plant at more than 100% capacity. We have been able to execute the delivery also. For Q3 it was for us, it was a very remarkable quarter because we did the highest production and highest sales in the company's history in Q3. So, the demand is very nice. Demand is robust and we are also prepared for it. We have our plants operating at more than 100%.

Saket Kapoor: As per your reply, we can see improvement in margin going ahead since the effect of the higher RM is already over and consumed in the order execution. So, going ahead, sir, can we see the improvement in the EBITDA margin?

Management: Absolutely. We expect the same and the endeavor is to focus and get the margins trying for improvement in margins.

Saket Kapoor: Okay. Another small point is about the update on the CAPEX part. What are we in terms of CAPEX in Srikalahasthi? Where are we in midst of the CAPEX that was announced?

Management: Okay. In Kalahasthi unit, the CAPEX was happening in two phases. The first phase of 1 lakh tonne was already completed in August 2021 and it has already been implemented. We are operating the plant at full capacity now. So, 1 lakh is on stream and another 1 lakh tonne, another 1.5 lakh tonne, which will take the plant to 5.5 lakh ton, the CAPEX is progressing well. There was some delay because of China issues. China slowed down. But yeah, it is progressing well and we are hoping that by the end of next financial year, the enhancement would be complete and our capacity would increase by around 1,50,000 tonnes there and by around 40,000 tonnes in eastern unit. Altogether we should be at around close to 9 lakh tonnes by the end of next financial year.

Saket Kapoor: You mentioned about China. Is it the equipment that we are importing from China that got delayed?

Management: Correct. Yes. All the equipments, mostly all the equipments are being imported from China. So, there was delay on that account.

Page 4 of 14 Saket Kapoor: How much have we spent? What is the capital work in progress. What will be the CAPEX for the next year?

Management: By next year the complete CAPEX will be completed and as of now we have spent around Rs. 150 crores. So, balance would happen next year.

Saket Kapoor: Balance amount is?

Management: Balance amount would be around say, Rs. 400 crores, approximately.

Saket Kapoor: 400. What is the net debt number, sir as on 31st December?

Management: 31 December, net debt is around Rs. 2,650 crores including the long-term debt and the short term debt.

Saket Kapoor: Please give me a break up.

Management: Long term would be around Rs. 1,050 crores.

Saket Kapoor: Balance is short term and the cost of funds?

Management: Cost of funds would be close to 10%.

Saket Kapoor: Okay, sir again the finance cost is also a key line item that is lowering our PAT margins. What steps are in the anvil to lower the impact of this line item, sir? I think so now with the interest rate on the rising trend, what steps are we or the mitigation steps we are taking to lower the impact of higher interest costs from profitability or steps whether they are introducing in terms of efficiency? How are we going to take on this higher interest cost part? Lastly, also on this year maturity, what is payable for FY23?

Management: So, if you see Mr. Saket, the overall debt, if you compared to the figure that was on 31st March 22, the overall debt has not increased much, whereas the working capital requirement has gone up, which is on two accounts. You have to understand that, one that the capacity has increased. Number two, the prices have moved, because of which the working capital requirement has gone up. Considering that still we have been able to keep our debt level at the same

same level with what it was on 31st March 22, this is because we have used our own fund for working capital requirement after seeing that the cost has been rising. Now the interest cost has gone up for everyone because the Repo rates have increased and during the year it has increased by around I think 2.5%. All the banks have passed on that cost and the same has happened with us also. Still, we have been trying and putting in all efforts to keep our cost under check. Going forward, we expect that the working capital cycle has peaked out assuming that the raw material prices remain where they are. We feel that now the debt should start coming down. Next year we have a repayment of around Rs. 350 crores till FY 24 of long term loan repayments. Next year we will be generating our own cash as well. All these funds will be used primarily for lowering debt and for funding CAPEX.

Moderator: Thank you. Participants, if you wish to ask any questions, please enter "*" and "1". The next question is from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Shah: Sir, what is our current capacity?

Management: Our current capacity for DI pipes, which is our main product, is around 7 lakh tonnes.

Vipul Kumar Shah: So, that will increase to 9 lakh tonnes post expansion?

Management: Right.

Vipul Kumar Shah: So, per tonne of manufacturing DI pipe, how much iron ore and how much coke you require, and have any in-house manufacturing, in-house blocks for production of coking coal?

Management: Thumb rule is that for 1 tonne of liquid metal, you need around 1.6 tonnes to 1.7 tonnes of iron ore and 1 tonne of coking coal. We do not have coking coal mine or iron ore mine, but otherwise all our facilities are completely backward integrated. We have our coke oven batteries, we have a sinter plant. We import coal and convert it to coke.

Vipul Kumar Shah: We import coal and convert it to coke right?

Management: Right.

Vipul Kumar Shah: So, we import thermal coal.

Management: No, for steel making, you need Coking coal. So, we import coking coal from Australia.

Vipul Kumar Shah: Okay coking coal. So, that price is around 400 right now?

Management: Yes.

Vipul Kumar Shah: Okay. On your slide number 4, you have mentioned coke is 524, 000 TPA. That is your capacity of your coke oven battery, right?

Management: Correct. Yes.

Vipul Kumar Shah: Okay. This is the first time I am attending the call. There are a lot of long notes on our investment in that coal block which was taken over by the Supreme Court decrees. So, cumulatively, how much money we have lost in that block?

Management: It would not be right to say that we have lost money.

Page 6 of 14 Vipul Kumar Shah: Right now, it is in non-productive asset for which how much money we have spent for development of that block, because we have got very miniscule amount from the government, I think?

Management: Allow me to give you a little background on that.

Vipul Kumar Shah: Yes, please.

Management: The Coking coal mine, which was allocated to us somewhere in 2006 and we had started development of that Coking coal mine. This was primarily an underground Coking coal mine.

This got de-allocated towards the end of 2014 and early 2015. It was an operational underground Coking coal mine which is used for making steel and cancellation took effect from April 2015. After the cancellation, our claim amount was Rs. 1,500 crores. This amount was calculated, this is the act of the government and the new successful bidder is supposed to pay the compensation to the old owners. But somehow the calculation was misinterpreted and this led to litigation. In sometime in 2017, Delhi High Court had passed the order on the compensation matter and which was in our favour, post that the nominated authority under the Ministry of Coal, they had appointed a valuer and the valuation exercise has progressed.

exercise has progressed.

Now, as part of the valuation exercise, the nominated authority has further appointed an agency to verify the bills and the vouchers which are related to the coal mine CAPEX. Just to add, in case of other coal mine allocations for the purpose of the land valuation circle rate on the date of vesting has been considered. Going by the same principle, our claim amount becomes justified. Now the mines have been put under auction under the 16th tranche of auction under Coal Mines Act and JSW Steel and Vedanta they have shown interest and they have bid for the mine in January 2023. This mine has a very perfect location. This is located around 10 kms from the steel plant of Vedanta, which is in Jharkhand and 30 kms from Bokaro Steel plant. Once the new bidder comes in, we will receive the final compensation amount from the new successful bidder. What I'm trying to say is that all in all, a lot of positive movements are happening, as I mentioned and we are regularly following up and we are also hopeful of receiving the compensation, although timelines cannot be given. But this is a substantial amount. Once this Rs. 1,500 crores comes in, whenever it comes in, our long-term debt is only Rs. 1,000 crores. You can fairly assume where we will stand.

Vipul Kumar Shah: As and when this matter will come to its logical conclusion, you are very hopeful that you will receive almost entire amount of Rs. 1,500 crore. You said Delhi High Court had passed the order in 2017. What was the amount in that particular order?

Management: Mr. Shah we are extremely hopeful that we will receive compensation. The order that was passed by the Delhi High Court was on the principle, it was on the matter that the compensation should be given to the prior allottee. It did not mention any amount. The amount was to be calculated by the Ministry of Coal, the nominated authority to which they have started the exercise. They have already done it and now things are progressing. That's why I'm Page 7 of 14 saying that we are now hopeful that we will receive compensation. Again, as I said, timelines cannot be given.

Vipul Kumar Shah: Okay. Plead for my ignorance, but compensation will be given by new allottee or it will be given by Ministry of Coal?

Management: Compensation will be given by the new allottee.

Moderator: Thank you participants we request you to please limit your questions to two per participants.

Should you have any further questions, you may come back in the queue. We'll move to the next question from the line of Chetan Phalke from Alpha Invesco. Please go ahead.

Chetan Phalke: Yeah, good afternoon and thank you for the opportunity. Sir, my question is just a follow-up to

the last participant's question. I was just going through the list of the 16th round of bidders and JSW and Vedanta have bid for it. Sir, if at all it happens, what will be the flow of this transaction as the winner of the bid will give you the money directly or will it go to some central agency, then it will be routed to us. I mean, what is the exact process around this particular thing?

Management: Mr. Chetan the important part to focus is that the money will eventually come to the prior allottee. We should not, we will avoid getting into the process in this call, which is not important for us to discuss that. The most important part is that things are progressing well and we are quite hopeful because we have been waiting for some time now. This happened, it started in 2015. Now we are quite hopeful that things are moving and is progressing and the money will come in. It will come in from the new allottee. How it will come, what will be the process? We would prefer not going into that details in this call.

Chetan Phalke: Okay, so usually such things take a lot of time. Let's say, even if the bid happens. I'm just trying to get some sense on the timeline whether it

happens immediately or again it is a lengthy process of 2, 3 years.

Management: No, here I would like to disagree. It won't be a lengthy process because once the tenders is out for the bidding of mine, it will happen very quickly, because when the new allottee comes in, it will take over the mine. They will take over the mine and hand over the money. I don't think that there will be any delay once the process is complete.

Chetan Phalke: Okay, just in a hypothetical scenario, let's say the bid is at, let's say 500 crores. I'm just putting a ballpark number to it. If it happens way below than the claim that we have, then what will be our stance? Will we contest the bid in the courts or what are you planning to do in that scenario?

Page 8 of 14 Management: So, Mr. Chetan, I would like to avoid commenting on hypothetical questions. You should leave this to the management. We have our team working on it. We also have legal support. I would request you to wait when you have already waited for so much time. Wait for some more time and let the clarity emerge.

Chetan Phalke: Thank you, sir. Just one last question on competitive intensity sir. The Welspun plant is now operational. How do you see this scenario of panning out with other players who are also around in their intention to come up with the Dhipes plant. What is your outlook on the supply side per se and how do we plan to cope with the increasing competitive intensity?

Management: First of all, demand is robust you have to understand that. And why it is robust, because of the population, there are huge there are many households still not having proper connection of drinking water. That is why the government's focus is on providing each and every household with at least a tap connection under which this is happening at the Jal Jeevan Mission Scheme and Amrut. Demand is robust and it has been growing and there are still many households to be connected. What I understand from the latest data is around 58% of the rural households have connectivity now and still 42% is yet to be connected. For everyone, for every manufacturer, there is enough on the table. Welspun coming in is not a concern and in fact, it is good for all the players. It shows that there's a lot of demand there. Further, see, Welspun is in the western part of the country whereas our plants are in the Eastern part and the southern part of the country. So, geographically, we are present in the eastern, northern market, southern market and central market whereas we are also into exports. Competition will only improve the market size and the pricing power. We are not at all concerned about the competition.

Moderator: Thank you. We'll move to the next question from the line of Ankit Puri an individual investor. Please go ahead.

Ankit Puri: Good evening gentlemen. My question is regarding the inventory levels. Can you throw some light on that? Secondly, if you can throw some light on the dividend, is there any dividend policy of Electrosteel Casting as such?

Management: Hello, Mr. Puri. So, in terms of inventory, we have built up our inventory this year. That is why our working capital requirement has gone up as I mentioned in my earlier query also. Our coking coal inventory is of around 5.5 months and iron ore inventory we have around 3 to 4 months. As far as dividend policy is concerned we have been regularly paying dividend. Last time it was 80%. Aim would be to maintain this, subject to Board's decision.

Ankit Puri: All right. Thanks so much for that. Lastly, I'd like to also, if you can, throw some light on the debt numbers going forward as well if you can, do we plan to reduce, if yes, by how much and how do we see the next year panning out With regards to the debt?

Page 9 of 14 Management: In terms of debt up to FY24 we have around Rs. 350 crores of long-term repayments lined up, and FY 25 again we have repayment

of around Rs. 250 to Rs. 260 crores. So, gradually the debt would come down.

Moderator: Thank you, sir. Participants if you wish to ask any further questions, you may join the queue back. The next question is from the line of Saket Kapoor from Kapoor Company. Please go

ahead.

Saket Kapoor: Sir I have the question firstly, on the Kalahasthi and Electrocast merger, the rationale for that was to create a single entity bring in this energy, create value. What we have seen that operationally things have really worked well and we have been able to put forward the enhanced capacity of Kalahasthi, selling the same into the system and the market supporting us. But on the point of value creation for investors we find two years also down the line things are not working in favor of your investors. I'm talking about the minority as well as the majority shareholders. What's the thought process of the management that in spite of getting all the support from the investors in terms of the merger and in spite of doing all the right things, somehow market is unable to give the right valuation, that was the reason that we were looking for somebody from the promoter entity to address or to answer the queries of investors, so that was I know the operational people won't be in a position to comment anything but again we would be waiting for the management to comment on the same sir. Next point is about the ICD sir. What are the inter-corporate deposits due as on 31st December? What was the opening and what's the closing balance?

Management: In earlier calls the feedback was given by the shareholders, by you also regarding ICD, we had placed that feedback to the management and so now the reversal has started happening. We have already received around Rs. 25 crores of ICD and in another maybe one, two months the full amount is expected to be coming into the company. ICD will come in and ICD will become zero.

Saket Kapoor: I was telling that going ahead will not participate in these ICD transactions. Can that also be confirmed for management or we will continue with this process of disbursing fund under ICD?

Management: As I said, we have already conveyed this to the management and post that only the decision has taken to recall the ICDs.

Saket Kapoor: Okay, so what is the closing balance sir as on 31 December, how much is the money due?

Management: Near about Rs. 200 crores.

Saket Kapoor: 200 crores and this will be expected.

Management: Another 1, 2 months it will come back.

Page 10 of 14 Saket Kapoor: On the value creation aspect sir, I think the trust and branding aspects are lacking. Being the largest player in the sector, the kind of enterprise value Electrocast currently commanding does not suffice the reason why is that happening. Management needs to create that trust and brand and needs to speak to investors. So, that was the point I am reiterating on the same, that should be conveyed to them and a message from the promoters to the investing community should be given on either this platform or in any other medium, whichever is correct on the part and that's all from my side, sir. Thank you.

Management: Thank you.

Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Shah: So, what will be your CAPEX that if I heard you correctly, your next year CAPEX is

Management: Your voice is not very clear. Can you just repeat your question again?

Vipul Kumar Shah: So, if I heard you correctly your next year CAPEX is Rs. 400 crores, for that you will have to raise the further debt. So, what will be our peak debt?

Management: Debt is already tied up and as I mentioned we have repayments also lined up, term loan repayments. You can fairly assume that as of now the long-term debt is what the levels that we are at the moment is the peak level.

Vipul Kumar Shah: Okay. In

spite of CAPEX there will not be any material increase in long term debt.

Management: No sir, no.

Vipul Kumar Shah: And sir on your slide 4 your various business mix and capacities have been given. If you don't mind, can you explain in brief the manufacturing process how in centering what is done, we require ferro silicon also. If you don't mind, can you briefly explain your manufacturing process for DI pipes?

Management: Surely, I'll give you an overview about it. First of all, our plants are fully backward integrated. There are two main raw materials which is required for DI pipe making. Till the manufacturing of liquid metal, the process is similar to a steel company. We need iron ore and we need coking coal. From coking coal, we convert it to coke. We have our own coke oven batteries, the capacity which is given in the presentation for the coke oven battery. From coke oven battery we make coke and also waste heat gases are generated, this waste heat gases help in production of power. We have our own captive power plants. The power that has been generated is not from thermal coal but from waste heat gases. Hence the cost of power generation is also very minimal. Now this coke which is transported to the blast furnace. In blast furnace we use coke and iron ore. The iron ore is converted to liquid metal which is eventually sent to the manufacturing process of DI pipes, where the pipes are cast and later on sorry I missed out one thing. We also buy iron ore, the iron ore comes in two natures. One is lumps and one is fines. We have our sinter plant where we buy iron ore fines and convert it into sinter. Hence iron ore fines are actually cheaper than iron ore lumps. So, we get an

advantage there. Along with this we have also our own ferro silicon plant. Ferro silicon is also required for the manufacturing process. So, part of it is captively consumed and the surplus is sold in the market. Similarly for coke also, maximum portion is captively consumed and small portion the surplus is sold in the market. Coming back to the DI pipes, when the DI pipes are made, it is internally coated with cement. We have our own cement plant in the southern unit. Again, the cement is used for captive purpose and a gain surplus is sold in the market. We also have a paint plant. So, we manufacture paints. These paints are used for outside coating of DI pipes to give it more strength, because these pipes are eventually laid below the ground and are subject to corrosion. So, we make our own paint also. This is about the manufacturing process Mr. Vipul.

Vipul Kumar Shah: Lastly, power we are 100% captive or we have to buy certain power from the grid?

Management: We have to buy certain power from the grid. But that amount is not much. Maximum amount is met through captive only.

Moderator: Thank you. The next question is from the line of Chetan Phalke from Alpha Invesco. Before I promote the next participant, I would request all the participants if you wish to ask questions please enter "*" and "1". Chetan Phalke, your line has been unmuted. Please proceed with your question.

Chetan Phalke: Thank you for the opportunity again. Sir, as and when our current round of CAPEX is done from 7 lakh tonnes to 9 lakh tonnes, do we have enough land to do CAPEX in our current complex or either in Kalahasti or Bengal or are we looking at some other locations going forward? I'm just trying to understand what are the plans beyond the current 9 lakh tonnes capacity plan?

Management: In the southern unit yes, there would be a marginal scope, but most of the land has been used for this expansion so there would be a marginal scope. But always, see we also do debottlenecking and try to improve our capacities in the existing plant itself and for further expansions, for larger expansions of course we will need land. We will have to evaluate those at the right time.

Chetan

Phalke: Tentatively, what kind of incremental capacity can happen in our existing complexes I mean just not asking for any particular number but just ballpark 5%, 10%?

Management: As of now we are already increasing it to 9 lakh tonnes. Beyond that we will need some time to work on that.

Page 12 of 14 Chetan Phalke: Okay, so tentatively can we go to million tonnes or difficult in the existing capacity existing land bank?

Management: Yes of course.

Chetan Phalke: That's it for my side. Thank you. Thank you very much.

Moderator: Thank you participants. If you wish to ask any questions please enter "*" and "1". The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Gaurav ji when we look at the raw material to sales percentage, last year nine months average was 49%. Correct me there whether the calculation part is correct or not and this year is 56.

Going ahead and the type of now order booking and the type of vis-à-vis which we are seeing in the raw material scenario, what should be an ideal number? I think the last year this 6%, 7% jump is what has hit in our EBITDA margins. Can you give us some understanding what should be the ideal number and how are we aligning ourselves in the business process that this RM to sales percentage would hover around, which level?

Management: Saket ji, there are a couple of facts. See in terms of nine-month numbers for this financial year compared to nine month numbers of the previous financial year, we have been able to maintain our EBITDA per tonne, even though you see that margins have come down. But more importantly, we have been able to maintain absolute EBITDA, which is more important.

Addressing the raw material percentage that you are talking about; the coking coal cost last year was substantially lower compared to what it is now. Obviously the percentage has gone up because of that, the raw material cost and now it will not be easy for us to comment on the future numbers because lot will depend on the price movements of coking coal. What we can say is that the endeavor would be to maintain the EBITDA and try to improve that.

Saket Kapoor: So, what is the EBITDA per tonne for the quarter and nine months?

Management: I would not like to mention any number, but it was in line with what it was last year and it is within the range that we are targeting.

Saket Kapoor: Correct. For the Elavur land sell, what is our line of action going at? I think so the same notes is copy paste for every quarter so any development or how are we going to get hold of our land or what is the future behind that for? I think that the land is valued around Rs. 300 crores at Elavur.

Management: You're right. The matter is pending in the court and whenever the hearing happens then only it will be concluded. That is why the note that you are seeing is appearing as it is. The value of the land is Rs. 300 crores and Elavur contributes a round 2% to 3% of our total turnover. It is a very miniscule number and it contributes around 8 to 10 crores of EBITDA. The plant is operational, it is profit making, though it is not a significant amount. But as far as the case is concerned, we are very confident that the merits of the case is in our favor and whenever it

gets concluded, it will get concluded in our favor.

Saket Kapoor: This is a vacant piece of land or the plant where the plant is situated already occupied?

Management: We have a plant on this land.

Saket Kapoor: We have a plant on this land. So, this is not a vacant space.

Management: It's not completely vacant part of it is vacant, part of it has plant.

Saket Kapoor: Lastly on the consolidation part. How should the investors made into your consolidated number? I asked last time also you told me to look at this standalone but as investors we have to monitor the consolidated number last quarter and this quarter again we find that there is

an increase in the profitability but the costs that are involved is setting significantly higher. I think that is only on account of the trading part that the logistics and the freight cost that are eating away the margin, how should one read into and what exactly contributes to these profits in the consolidated number? If you could explain Gujarat and you have been very candid and very explanatory today in the call. Kudos to you sir for explaining everything in good details and I hope for a detailed answer for this also?

Management: Thank you. Saket ji I have explained earlier also, so you can look at both the standalone numbers and the consolidated numbers. In terms of profitability, you will find that the numbers are as far as standalone consolidated are concerned, they are more or less at the similar level. You have to understand the business model. In case of consolidation, we have our subsidiaries in many countries which are more of the marketing arms which help us in sales of our export products. If you see the EBITDA, it is more or less in line with what we have done in standalone and we have done Rs. 593 crores in nine months at consolidated level and Rs. 586 crores at standalone level. In consolidation we have around 5 or 6 crores more. Otherwise, if you see the numbers are more or less similar. You can look at any of the numbers and you will find it more or less in line. There will not be much of a deviation.

Moderator: Thank you. Next question is from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Shah: Sir I just wanted to know whether legally we can bid for the same block or not?

Management: Sir as of now the coking coal mine block that we had has big reserves. As of now, the management is not interested for bidding for that mine again, already JSW Steel and Vedanta have expressed their interest and have submitted the bid. Now things are progressing well and we look forward for the compensation amount.

Page 14 of 14 Vipul Kumar Shah: Lastly, these DI pipes some major consumers must be government agencies. How is the working capital cycle for these pipes?

Management: You are correct. The major customer is the government only. Ultimately its government only, but it's through EPC contractors. Most of our sales happen to EPC contractors. Big names like L&T, Nagajuna, Megha Engineering. The payment cycle is on time. In case of domestic, the domestic aging is not very high. It's around say 60 to 90 days. But in case of exports, it's slightly higher because of the transportation time and the stocking that happens at the subsidiary level. All in all, our net working capital days would be around 5 months, 5 to 5.5 months. It has gone up slightly because, as I mentioned, that we had increased our inventory position of coking coal considering the prices were moving up. That was a conscious decision taken by the management to increase the inventory when the prices were lower. But considering our manufacturing business, I think we are at a comfortable working capital cycle.

Moderator: Thank you. Ladies and gentlemen that was the last question for today. I now hand the conference over to management from Electrosteel Castings Limited for closing comments.

Management: Thank you everyone. It was really a pleasure interacting with you all and answering the valuable questions and also taking your advices. We look forward to meeting you all again in the next quarter. Thank you so much.

Moderator: Thank you very much.

Management: Thank you.

Moderator: On behalf of Electrosteel Castings Limited, that concludes this conference, thank you for joining us. And you may now disconnect your lines.

Call: May 2023

24 May, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 15 May, 2023 intimating that a Conference Call was scheduled to be held on 18 May, 2023, at 3.30 pm IST, to discuss Q4 & FY 23 Earnings of the Company.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of the transcript of the said call with the Investors.

Please also find hereinbelow the link of the transcript of the said call that has been uploaded on the website of the Company-

<https://www.electrosteel.com/investor/investor-presentation-and-other-documents.php>

This is for your information and records.

Thanking you,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary

Page 1 of 16 Electrosteel Castings Limited
Q4 FY23 Earnings Conference Call
May 18, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY23 Earnings Conference Call of Electrosteel Castings Limited. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Diwakar Pingle from Ernst & Young LLP. Thank you and over to you Mr. Pingle. Diwakar sir please go ahead.

Diwakar Pingle: Good afternoon, everyone. Welcome to the earnings call of Electrosteel Castings Limited for Q4 and FY23. Today we have with us the management represented by Mr. Madhav Kejriwal, Whole Time Director; Mr. Ashutosh Agarwal, Whole Time Director and Chief Financial Officer;

Mr. Pankaj Poddar, Executive Director and Chief Marketing Officer, and Mr. Gaurav Somani who is Joint General Manager of Finance.

Before we start, I would like to remind you that the remarks today might include forward looking statements and actual results may differ materially from those contemplated by those forward-looking statements. Any statements we make on this call today is based on our assumptions as on date, and we have no obligation to update the statement as a result of new information or future events. I would now like to invite Madhav Kejriwal, the Whole Time Director of Electrosteel Castings to make his opening remarks. Over to you Madhav.

Madhav Kejriwal: Thank you. A very good afternoon to all and on behalf of the entire management team of Electrosteel Castings, a very warm welcome, to the company's Q4 and FY23 earnings concall. Before I get started, I'll take a quick minute to introduce myself. I am Madhav Kejriwal, I am part of the promoter group, and I am currently overlooking the sales and marketing functions of Electrosteel Castings. My journey with Electrosteel began in 2014 as a management trainee on the shop floors of the Jharkhand steel plant. After gaining some understanding of the production, I joined the sales and marketing team where I was a part of the team which was successful in penetrating the company's wire rod product reach in the domestic markets. As on 2019, I took over as the Executive Director of Srikalahasthi Pipes and since have gone on to look over the entire sales and marketing, both domestic and export. Before we go into the company's performance and business opportunities, I'd like to introduce Electrosteel's business

model for the benefit of the market participants who are listening in to Page 2 of 16 us for the first time. Electrosteel has six decades of rich experience and is the pioneer of ductile iron pipes and fittings in India. We have a rated capacity of 6.8 lakh tonnes per annum, which makes us the industry leader. We also have a very strong brand recall in the export markets. Our DI pipes and fittings are laced with internationally acclaimed certificates, including international global certificates.

ECL has a presence in over 110 countries and 5 continents. And we have managed to make good deep inroads in the export market with presence in Western Europe, UK, USA, Middle East, Asia, and Africa. The company has a well-diversified product portfolio which includes ductile iron pipes, ductile iron fittings, ductile iron flange pipes and restraint joint pipes. Additionally, ECL manufactures cast iron pipes, metallurgical Coke, sponge iron, cement, ferro silicon, pig iron, and power. We have five technologically advanced integrated manufacturing units in Khardah, Bansberia, Haldia, Elavur and Srikalahasthi. The company continues to meet and win domestic and export customers trust owing to a strong R&D framework with its quality right at the first time and robust quality management system proposition.

We at Electrosteel command a leadership status both in the domestic market with a 25% market share and a 65% share of exports from India. With strong entry barriers to the industry, market dominance, promoter enterprise, one stop solution provisions for water infra needs, R&D focused back, huge industrial tailwinds in domestic as well as exports has made Electrosteel amongst the preferred partner for ductile iron and allied products. More than 20,000 water supply projects have already been implemented in India and abroad with DI pipes and fittings made by Electrosteel Castings.

Moving on to Electrosteel Castings FY23 performance, it gives me immense pleasure to share with all our stakeholders that the company has recorded its highest ever top line of 7013 crores, registering a 37.6% year-on-year growth in FY23. This has been fueled by a domestic business growth of 41% and an export growth of 29%. Our volumes stood at 710,000 tonnes, which is a 19.5% growth year-on-year. The flagship program of honorable Prime Minister, the Jal Jeevan Mission, which aims to connect every rural household with tap water connections has achieved up to 61% of his nationwide target. Around 8 crore rural households have received safe drinking water till FY23. Of India's total 19 crore rural households, nearly 11.6 Crore of them, now have a safe drinking water connection. ECL continues to be amongst the key beneficiaries of JJM scheduled due to accelerated spending by the government for meeting its Har Ghar Jal target in 2024. Additionally, ECL will continue to benefit from the government's increasing attention towards the country's water infrastructure needs, with initiatives such as Jal Jeevan Mission, Amrut 2.0.

ECL has also undertaken the capital expenditure in two phases to meet the growing demand of water infrastructure. Phase one got completed in August 2021 and is operating at 100% and phase two is on the progress. The ductile iron pipe industry is a sunrise sector as it is globally accepted and is best suited pipe for water transportation and sewage. DI Pipes has an inherent Page 3 of 16 edge on other pipes as it has a long shelf life of 70 to 90 years. It has an easy installation process, low maintenance cost, greater tensile strength, along with the ability to handle both internal and external pressure. Keeping these things in mind the company is seemed to be in a sweet spot and is poised to benefit from the growing water infrastructure spent both in domestic and export markets. I would now like to hand over the floor to Mr. Ashutosh Agarwal, the Whole Time

Director and CFO for taking us through the Electrosteel Castings FY23 financial highlights.

Ashutosh Agarwal: Thank you Madhav. Good evening and a warm welcome investor fraternity for joining Electrosteel Castings Q4 and FY23 result discussions. I would like to start our discussion in four parts. Part one is Q4 results and performance of the company. Company recorded its highest ever quarterly results and EBITDA. ECL total income grew by 13% YoY to INR 1,786 crores, owing to a strong and DI pipe volume growth of 8.4% during the quarter. The Company reported EBITDA of INR 233 crores, EBITDA margin stood to 13.1%, margin was slightly lower on account of higher prices of coking coal. PAT stood INR 101 crores, PAT was impacted due to higher interest cost during this quarter on account of increase in interest rate and higher utilization of funds due to steep rise in raw material prices.

Second portion of my statement is about the financials full year performance of the company. Company registered its highest ever revenue during the year and EBITDA and PAT also. ECL total income surged by 38% YoY to INR 7,013 crores due to strong DI pipe volume growth of 20% YoY. Additionally, both domestic and export grew by 41% and 29% YoY respectively. EBITDA grew by 14% YoY to 819 crores, EBITDA margin was 11.7%, PBT was 433 crores, PAT was 335 crores. About the balance sheet highlights, the net debt to equity was 0.43 times as on March 23. The Adjusted ROCE and ROE is 13.1% and 11.3% respectively as on 31st March 2023.

I would like to highlight something about the CAPEX plan also. Company plan to ramp up the existing capacity of 6.8 lakh tonnes to 9 lakh tonnes by the year 2025. In order to fuel our CAPEX plan, ECL will incur a CAPEX of 610 crores out of which INR 170 crores already spent, and INR 440 crores is about to be spent in two years' time. Company is sitting on the cash balance of around INR 600 crores as on 31st March 2023. With this I would like to open the floor for the question answer session. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aashav Patel from Molecule Ventures. Please go ahead.

Aashav Patel: Sir, my question is regarding our ongoing dispute petition which was filed regarding one of the coal block investments done by us earlier. So, in the past we have never mentioned in notes to accounts about a specific conclusion coming through, but recently as you have mentioned that government has allotted that particular mine, Parbatpur mine to JSW Steel. So now, do you see some more visibility in terms of the dispute getting resolved? If yes, what would be the new timeline as per you for the same and what amount are we expecting?

Page 4 of 16 Gaurav Somani: Good afternoon Mr. Aashav. So, first of all just to clarify this is not a dispute, the coking coal mine was de-allotted in 2015. And since then we have been waiting for the compensation to come in. So as rightly said, the mine was put for auction and JSW Steel was declared as the winner. So as per the rules, the new allottee should pay to prior allottee. So now things are moving well and as was briefed in the last call as well that the nominated authority had appointed a valuer to conduct the valuation of the mine. So, bills and everything has been verified. And now it's a matter of time and we are hopeful to get some positive response. So, once that comes in, we will definitely inform every one.

Aashav Patel: Sure. So, before this compensation is cleared, JSW cannot go ahead and use that mine, right is that correct understanding?

Gaurav Somani: Yes, your understanding is correct.

Aashav Patel: Okay. And sir regarding I understand that independent valuation professional would be assigned, but what will be our expectation from the company side. How much are we expecting from the same?

Gaurav

Somani: So, there is no point of expectation, because as per the rules, whatever CAPEX that we have incurred, and is appearing in the audited annual report is the amount which needs to be paid. So, if you go by that logic, whatever is coming in the annual report is supposed to be received by us.

Aashav Patel: Sure. But it won't be less than that even if the independent valuation professional assigns the value lower than that?

Gaurav Somani: Mr. Aashav we cannot jump on that because since this is a matter with Ministry of Coal, and the government is involved, you can understand that we will have to go by what decision is taken by them. Having said that, we will have to wait for some more time, when we have already waited for seven years, we will have to wait for some more time to get the clarity.

Aashav Patel: But do you feel sir in FY24 itself can we expect the proceeds in this financial year itself?

Gaurav Somani: Yes, we are hopeful that it should happen in this financial year.

Aashav Patel: Sure. Sir my last question is basically what sort of steel inventory do we generally maintain on our books, so just want to in order to understand more in terms of our gross margin bit?

Gaurav Somani: So, Mr. Aashav, last two years, our working capital requirement has gone up. And it's mainly on account of increase in capacity as Mr. Madhav had pointed out earlier that we had increased the capacity by 100,000 tonnes in August 2021. So, in last two years because of capacity the inventory position has gone up. The second point is that the commodity prices had gone up because of which the value of inventory had gone up. But if you see from FY22 to FY23 our

Page 5 of 16 inventory has come down by INR 150 crores despite volumes going up by one lakh tonne. And

as far as the policy is concerned, we have two main raw materials, one is coking coal and one is iron ore. So coking coal we import from Australia, and we have to maintain a significant inventory just to ensure that there is no problem in production process. So we generally maintain four months of inventory of coking coal, and iron ore can vary from two to three months, but coking coal can come down to three months also gradually, we aim to bring it down to three months.

Aashav Patel: Sure. So, given the fact that coking coal has been correcting off late it is down from almost \$400 to around \$250 to \$275. So can we expect assuming even if we hold one quarter of inventory, Q2 onwards our gross margin should be significantly better than at what point we are selling right now?

Gaurav Somani: See, as far as that is concerned, we are hopeful that margins will improve from here on, but how much we can't comment on that. And you are right that coking coal prices have corrected and have moderated in last one month, two months or so, and that is why there will be a dual effect – one, the margins would improve and second, the cash flows would also improve because inventory would also come down. But yes, from maybe second half, or maybe the remaining nine months would be in a much better shape.

Moderator: Thank you. The next question is from the line of Vikash Singh from Phillip Capital. Please go ahead.

Vikash Singh: Sir my first question is related to the competitive intensity, Sathavahana plant will most likely would start very soon, which is very closer to Sri Kalahasti plant. So how do you see that this is impacting your margins or is there enough orders for both the players in the South India, to enjoy a good order book and margins. So just wanted some thought process on that?

Madhav Kejriwal: There is ample demand in the market at the moment and the same is applicable specifically for the Southern market. The coming up of the Sathavahana plant does not seem to pose any form of issue for us in terms of our margins and our market presence.

Vikash Singh: Understood sir. Sir my second question pertains

to our margin. If I look at the quarter-on-quarter basis basically, it's still kind of a flatish. So just wanted to understand since the commodity price especially coking coal has fallen significantly, when do we expect that to reflect and our understanding was that since pipe was a fixed margin contract. So six months back when the coking coal prices high, you would have got a very high margin, that order if you execute now should have given you a very high margin. So just wanted to understand this lease lag effect when it would start reflecting, and when do we expect our margin to pull up?

Gaurav Somani: Mr. Vikash, the commodity prices were up and because of which the realizations, the higher cost was passed on and hence realizations were up. If you see we have been able to maintain Page 6 of 16 our absolute numbers, we have been able to report higher EBITDA, in terms of margins it's very obvious that it will come down, it will soften a bit compared to the previous years when the denominator was lower. So this year, the denominator has increased because of this, the margins have got impacted. Going forward, since the coking coal prices have moderated, we feel that margin would start moving up again.

Vikash Singh: Understood. Sir does our order mix basically have a fixed price orders. Or we have also started shifting to a kind of a sum portion variable considering the last year had a very bitter experience. So just wanted that how we are booking the new orders now?

Madhav Kejriwal: The industry trend remains to be on fixed prices,

Moderator: Thank you. Next question is from the line of Karthik Muthuswamy from Trident Advisors. Please go ahead.

Karthik Muthuswamy: How do you look at this demand supply panning out over a longer period, a 10-year period, because if I look at your numbers in say 2009, you used to make around 2.5 lakh million tonnes of DI pipes now you are heading towards 9 lakh tonnes. And if I were to look at capacity addition being announced, multiple players wanting to enter the space. In Western region couple of new players have announced, couple of players in the East who wanted to put up new capacities. And if you look at programs like Jal Jeevan Mission, you guys say 61% is done. So, is there a structural overcapacity industry heading to not in the near term, but we take a 10-year view. And in that context, why are we also adding capacity or despite the completion of the Jal Jeevan Mission, you think there will be enough orders coming in, given particularly the state of state government finances, this kind of large capacity addition of the last 10 years and ongoing capacity addition can be sustained?

Madhav Kejriwal: Sir, the way we look at it is that India is at the cusp of an infrastructure boom. And if you see any past trend of countries or continents which have seen a similar trend, you will see that this sort of demand surge lasts for 10 to 15 years easily considering India's population and landmass, we don't see India moving towards any different way, in fact it will probably be a bit more exaggerated in the case of India. Considering this even with the capacity coming in and considering the market dominance and leadership that Electrosteel has, it seemed like a but-obvious decision for us to go ahead and increase capacity.

Moderator: Thank you. Next question is from the line of Rajesh Agarwal from Moneyore. Please go ahead.

Rajesh Agarwal: Sir, my first question is, why is there a difference in profitability between standalone and

consolidated results, what is the major item for that?

Gaurav Somani: Mr. Rajesh see in consolidated results, we have around 10 overseas subsidiaries, whose numbers are getting added into our consolidation accounts and these subsidiaries are mainly Page 7 of 16 trading arms. They are not the manufacturing arms but they are just the trading arms. So, most of the exports that is

happening from Electrosteel Castings India is happening to subsidiary which is in turn being sold in the overseas markets.

Rajesh Agarwal: Okay. So, the subsidiary is making losses because net profit has come down in consolidated?

Gaurav Somani: So, subsidiaries are in fact profit making subsidiaries and it's just because of the accounting treatment that the profit in the consolidation part is appearing to be lower than the standalone numbers.

Rajesh Agarwal: Okay. So, it has always been like that only?

Ashutosh Agarwal: Yes, it is always like that only whatever contract we are having with subsidiary companies with the holding company it has to be cancelled. Now if subsidiary company giving dividends to the holding company that is getting cancelled that's why there is impact.

Rajesh Agarwal: Understood. For our purpose we always have to go by consolidated results.

Ashutosh Agarwal: Standalone numbers are better.

Rajesh Agarwal: Okay. But the market, or the valuations and everything will be on the consolidated results?

Ashutosh Agarwal: No, it will always be on standalone basis only. If you see and visit consolidated figure also but standalone is the better proposition.

Rajesh Agarwal: Okay. And sir what is outlook for the growth, will volumes grow by double digit this year?

Gaurav Somani: Mr. Rajesh, we have Mr. Pankaj Poddar with us. He is the Executive Director and Chief Marketing Officer, he has been with the company for 25 years and he has taken exports from almost zero to INR 1500 crores where we are now. So, he will be the best person to address this query, I will handover to him.

Pankaj Poddar: Well Mr. Rajesh the main issue here like when you say that, whether there will be growth, there absolutely will be growth because of two major reasons that is that the Indian market because of the JJM scheme and the Amrut scheme is booming. The export markets are also doing well and other than that our capacity is going up. So, because of these reasons, we will definitely be seeing strong growth numbers going forward.

Rajesh Agarwal: Are margins better in export orders or local orders, domestic order?

Pankaj Poddar: The margins are significantly better in export than in domestic.

Page 8 of 16 Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Firstly, thanks to the representation from the promoter side, Mr. Madhav for joining the call and addressing the investor. So, this was a long pending request from the investing community and thank you for adhering to the same and we hope for the continuity of the same. My first question to you only sir is, to take into account the shareholder value creation path. If you could give us some understanding what are the tasks that are still left unturned, which are still pending for getting the right valuation for the company. Over a period of time investors have not been able to realize the right value for the investment that they have made both Electrosteel Castings as well as for Srikalahasthi Pipes. However, the investors have supported for the merger that has gone through two years ago, but the valuations have remained more or less the same over if we take a longer period of time. So, this is the first observation from the investing community that, the right valuation the market is not giving us the right valuation. So, I would request the team to look into the areas and the reason why we are not valued correctly if I may use the term so. And now coming to my question part, firstly on the capacity augmentation from seven to nine, if you could give how are the capacity is going to kick in from seven to nine which year, what would be the capacity addition sir?

Madhav Kejriwal: Sir the capacity enhancement for phase two is going on and we're hoping to see that come into play around the mid of the next financial year.

Saket Kapoor:

For this financial year, there will be no capacity addition?

Madhav Kejriwal: No sir, this year we will be spending the money and its effects will come into play next financial year at least.

Saket Kapoor: Sir for this year there will be improvement on margins only on account of the efficiencies that will kick in no volume growth, because we are already running at above 100%?

Madhav Kejriwal: Yes sir.

Saket Kapoor: Okay. Now for the finance part, when we look at the finance cost line item that has gone up significantly. So, if you could give us the breakup on how much is on account of finance paid to loans due to banks and other cost also, and the key reasons for the same and the net debt number also?

Gaurav Somani: Saket, Gaurav here. So, total debt has come down since FY22 it has come down by around INR 300 crores and our net debt figure as on 31st March stands at INR 1,800 crores. Interest has gone up to INR 272 crores compared to INR 180-185 crores in FY22. The major two reasons for

this the rise in interest rates, which all the companies have faced, the repo rate had gone up by 2.5% and the International rates which are SOFR rates had gone up by around 4.5%. So, we Page 9 of 16 had an impact of the rising rate. And number two is the working capital requirements had gone up because last year if you recall, coking coal prices had touch even \$550, +\$600. So, despite our total debt coming down from 31st March 22 to 31st March 23, in between the average utilization had gone up and because of these two factors, the interest burden for the year had gone up. And as I mentioned in my earlier call also based on what we are seeing on the market movement on the T-bill and the Gsec and RBIs decision to stay put on the repo rate, we feel that this has peaked out and so has our working capital requirement and going forward which should come down.

Saket Kapoor: Sir just a follow up sir, INR 1,800 crore is the net debt number for FY23?

Gaurav Somani: Right.

Saket Kapoor: And what would be our endeavor for the next year sir. And what are the current maturities, if you could give us some color?

Gaurav Somani: Next year FY24 we have around INR 160 crore of term loan repayments scheduled. And after that, following year we have around INR 250 crores of long-term repayment scheduled. So, these are scheduled details. And further movement in debt would depend on the working capital.

Saket Kapoor: Any numbers you can share what we are looking to end the next year or it is too early right now.

Gaurav Somani: Correct. So, no point of going that far. But obviously, since even this year we have reduced our debt by INR 300 crores despite so challenging times. So, you can understand that the idea is to bring down the debt.

Moderator: Next question is from the line of Jayesh Lad from Central Advisors. Please go ahead.

Jayesh Lad: My question was regarding CAPEX. So, the phase two CAPEX which has been going on, my question was exactly at which facility is it going on and also by what time can we expect the full capacity to come online?

Gaurav Somani: So, we are having expansion in both the locations, that is Srikalahasthi, which is in the South India, where the main CAPEX is happening, where we are increasing the capacity by around 150,000 tonnes. So right now, we are at 4 lakh tonnes which will go to 5,50,000 tonnes this will happen by mid of next financial year. And a small increase is happening in our Eastern unit. So, there will be at around 350,000 tonnes. So, all together in the next 18 months approximately we should be at close to nine lakh tonnes.

Moderator: Thank you. Next question is from the line of Chetan Phalke from Alpha Invesco. Please go ahead.

Page 10 of 16 Chetan Phalke: Sir, my question is with respect to our exports. So, this year our exports have gone up, especially to US, our exports have gone up from under INR 50 crores to +IN

R 200 crores. So,

what is the reason in this uptick and if you can just help us understand the dynamics of the US demand supply when it comes to DI pipes and who are we competing against in the US markets, because I understand the players in US markets, they are making the DI pipes via the scrap or the EF route. So, what is the differential in their cost of production versus our cost of production, if you can help us understand?

Pankaj Poddar: Well regarding the demand in the US market, the US is one of the biggest markets for ductile pipe and the US government has put a lot of focus on infrastructure development, which is needed by that country. And you will be happy to note that Electrosteel is the only manufacturer that exports into the US, no other manufacturer is selling into the US other than the local manufacturers. Regarding your question on the method of manufacturing, well, the method of manufacturing can be different. It depends on what is more in abundance, in what geography, it does not make a big difference. But of course, producing by the blast furnace route is not only efficient and cost effective, but it's also qualitatively better. So, we are positioned well in the US market and going forward we do expect to maintain similar numbers or improve.

Chetan Phalke: Okay. So what will be the difference in the cost of production of a US player versus us, tentatively 20%, 30% more than that?

Pankaj Poddar: So it's difficult to comment about the cost of production of other manufacturers and that to in a completely different geography in which there is a big difference in not only raw material, but labor and all sorts of things. So, it's better not to compare from that perspective.

Chetan Phalke: Okay. Because there is very little information available on the US consumption or Europe consumption, what is the opportunity size. So, if you can help us understanding what is the size of the US market and Europe market and how are they currently procuring their DI pipes from where are they procuring, etc.?

Pankaj Poddar: The US market as I said, is procuring most of its products domestically because they have traditionally a strong DI pipe industry, and we are the only company from which they are importing. The size of the market is almost eight to nine lakh tonnes. So it's a huge market as I said earlier. The European market is more of a replacement market. In the last few years, it has

not really grown, but it has maintained in terms of the demand because it's more of a replacement market. But recently there has been a lot of funding coming in from the European Union through the European Commission, a lot of funding has come in because of which there is robust demand also in Europe. In Europe, we have a strong manufacturer and a couple of small manufacturers and again in the European market we are the second most preferred supplier and probably we are the only company of any significance that is supplying to the European market other than the local manufacturers.

Page 11 of 16 Chetan Phalke: Okay. So, sir what gives us this advantage that we are the preferred suppliers and other players

let's say Tata metallic or Welspun, despite having capacity, are not able to penetrate into Europe and US markets. Is it that we have set up subsidiaries since a very long time that gives us a head start, or it takes a lot of time for regulatory approvals, what is really making the difference over here?

Pankaj Poddar: There are a host of reasons, one is our focus into the export market. Secondly, we suit our products to local needs. Thirdly, there are certifications involved. Fourthly, as you rightly said, we are present in the market so, we have our ears close to the ground. So, there are a number of reasons, and it is difficult to attribute what percentage to what reason but yes, we are working hard to remain one of the preferred suppliers in both these

premium markets.

Moderator: Thank you. Next question is from the line of Vikash Singh from Phillip Capital. Please go ahead.

Vikash Singh: Sir, regarding the CAPEX which you said INR 440 crore yet to be spent, can you bifurcate the FY24 and FY25 spending?

Ashutosh Agarwal: It is in the process of deciding how much money will be spent in FY24 and how much money will be paid in FY25, but you can presume 50:50.

Vikash Singh: Understood. And Sir just one bookkeeping question, can you give us the quarterly volumes for 4Q and 3Q?

Gaurav Somani: Quarterly volume of DI pipe for Q4 we sold around 193,000 tonnes.

Vikash Singh: Okay, that's for the sequential as well as Y-o-Y number?

Gaurav Somani: Y-o-Y it was, last financial year it was 178,000 tonnes.

Vikash Singh: Okay. And Q3 sir?

Gaurav Somani: Q3 it was 192,000 tonnes.

Moderator: Thank you. Next follow up question is from the line of Aashav Patel from Molecule Ventures. Please go ahead.

Aashav Patel: Two questions, do we use pet coke in any of our process, the entire value chain?

Gaurav Somani: No, we don't use pet coke we require coking coal.

Aashav Patel: Only coking coal, okay. And sir the last question is regarding all the mine de-allocation which was done by the government, have you seen any instances where actually after the mine is re-allocated to someone else the payment actually flows into the company.

Page 12 of 16 Madhav Kejriwal: Yes, please there have been precedents of the same.

Aashav Patel: Sir, can you please name couple of them?

Madhav Kejriwal: I will have to revert to you on that sir, I have not equipped with the exact names.

Aashav Patel: Sure. And just to know it has been recent, it has been off late like over last six or 12 months or it's been like that for some time now?

Madhav Kejriwal: Sir, I do not have the exact answer to that question I will have to revert to you on that.

Moderator: Thank you. Next question is from the line of Shriram R, Individual Investor. Please go ahead.

Shriram R: My question is on the industry capacity utilization. What is the industry capacity utilization for FY23 and how much capacity is coming up for the next couple of years?

Gaurav Somani: Mr. Shriram, approximately total industry capacity should be close to 3 million tonnes. And this industry is not a fragmented industry there are very limited number of players and the renowned ones which are operating at near to 100% capacity. Recently, new plant has come up which is of Welspun, but I'm not sure at what utilization they are working, not 100% that is sure. And during the current financial year, maybe one lakh tonnes or two lakh tonnes might come up, not more than that.

Shriram R: But you are saying the existing capacity is running at 100% for all the players, right?

Gaurav Somani: Not all the players, the renowned ones. The other ones, the smaller ones are not operating at 100%.

Shriram R: Okay, so, overall, I just want to get a sense like how much it will like 80%?

Gaurav Somani: Approximately 3 million tonnes. So you can say at around 80%.

Shriram R: Okay, thank you. So, just one more question on slide number #15 you have given the DI pipe is expected to grow at 11% to 13%. So, just wanted to know from where you got this data from?

Gaurav Somani: This is our estimation, and this is based on the past trends. If you see data of last say five years, 10 years, 15 years, you will find that industry has grown at a much more rate than that and with all the schemes which are being promoted by the government, both the central government and state government, we are hopeful and this is our internal estimation that this would be kind of growth that we would see in the coming years.

Moderator: Thank you. Next question is from the line of Vijay Agarwal from Federal Bank Limited. Please

go ahead.

Page 13 of 16 Vijay Agarwal: Just, I wanted to know that, the co

mpany has to in cur capital expenditure of INR 440 crore, then how it will be funded, then what will be the debt mixture of this capital expenditure?

Gaurav Somani: Mr. Vijay, this would be mostly funded out of our internal sources. And if required, the debt is tied up if required we might go in for a small debt but mostly out of internal sources.

Moderator: Thank you. Next question is from the line of Sake t Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Sir in your cash flow statement, we find the three -line items firstly, the sundry write off balances of INR 29 crore, provision for absolutions of inventories to the tune of INR 24 crore, and provision for regulated reserves and other risk to the tune of INR 18 crore. If you could explain the nature of the same so, regulated reserv e is the line item that has appeared for this year, last year there was no comparative number?

Gaurav Somani: So Mr. Saket, INR 28 crore write off if you rememb er that had happened in the first quarter which was on account of one of our railway siding.

Saket Kapoor: The rest two points, provision for absolution of i nventories, we have also absolute inventories to the tune of INR 24-25 crore. What is the nature of this absolution of INR 24 crore and also on the regulated reserve and other risk we have pro vided for INR 18.38 crores?

Gaurav Somani: You are talking about the standalone number?

Saket Kapoor: Sir, I am talking from the consolidated statement of cash flow?

Gaurav Somani: So, INR 18.38 crores is on account of the dividend part. As we told that, dividend has come in from the subsidiary to the standalone company, Elec trosteel India. So, it has come out of the reserves, so that is why that number is reflecting there.

Saket Kapoor: Okay. And for the inventory acquisition absolution sir?

Ashutosh Agarwal: Whatever material pipes we are selling to the inte rnational market we are selling through subsidiary companies right. And whatever stock is l ying on the year end, at the subsidiary level end, that profit component has to be knocked off in the consolidation level as per the account practice.

Saket Kapoor: Sir didn't get you, come again sir what you are tr ying to explain?

Ashutosh Agarwal: Mr. Saket. We are selling from India to internatio nal company right, international company is a buyer for us, but when we are consolidating the a ccount of subsidiary company with the holding company, whatever unsold stock is lying in the subsidiary company has been knocked off with the holding company in the console figure. So, whatever unsold pipes that are lying in Page 14 of 16 the subsidiary company level, the profit component has to be knocked off, there is no actual profit.

Saket Kapoor: No, sir here it is, here you are going for absolut ion of inventory, this means that these inventories are no longer needed. So, this is the e xplanation for it?

Management: That we will check and come back to you Mr. Saket.

Saket Kapoor: Okay, sir. And lastly about the share application pending, Madhav if you could give us some color, what is the timeline from the promoter end o f putting up the balance 75%. And also one question to CFO sir about the ICD closing balance, what is the closing balance as on 31st March for the ICD that we generally used to give?

Ashutosh Agarwal: ICD balance as on today is nine crores only and we are hopeful that it will come on time, hopefully by June end, and all the money already ca me back.

Saket Kapoor: And we will discontinue also with this business of ICD?

Ashutosh Agarwal: Yes.

Saket Kapoor: Correct sir. And Madhav if you could give us some timeline on the spending amount on the share application money?

Madhav Kejriwal: The timeline for the remainder of the money for th e share application is around 18 months from the date of issue. So, in that due of course o f time we will be infusing the remainder of the capital.

Saket Kap

oor: Okay, sir and for the value creation idea sir what is your thought process and what step should be taken going ahead so that investors value to be created you can understand from the market capitalization and the way the market perceives the company. So what is your thought processes sir and what steps are you taking to rewa rd your shareholders who have been there through thick and thin, good and bad time with the company?

Management: So, there's two parts the answer to that question with the compensation of the coal mine coming in and with the capital expenditure that the company is undertaking this year and next year which will take us to nine lakh tonnes, there will be good value creation from both these exercises for the organization. And in regard to th e shareholders, we have announced a dividend of 90% this year which is more by 10% from the last two years and we are hoping to continue with that going forward.

Moderator: Thank you. Next question is from the line of Mira j from Arihant Capital. Please go ahead.

Page 15 of 16 Miraj: I just had one clarification in one of the answers to the earlier participants, you mentioned a

figure of eight to nine lakh tonnes of market in US , if you could just explain I somehow missed or misunderstood something if you could just explain that again?

Pankaj Poddar: So, that is the size of the market in the US, the American market annually demand is approximately eight to nine lakh tonnes of DI pipes . So, that is what I said in terms of the demand in the American market.

Moderator: Thank you. Next question is from the line of Shri ram R, Individual Investor. Please go ahead.

Shriram R: Sir, just continuing the question asked by the other participant on the shareholder value creation. If I look at your number, we are at 7% RO E and we are operating at +100% capacity.

So, like what is your target ROE few years from here on, what are the steps that are going to be taken to improve it?

Gaurav Somani: Hi Shriram, so point one on ROE, see you have to look at adjusted ROE because our compensation which is yet to come in is also being used for calculation of ROE which is impacting the ratio. So, if you see adjusted ROE, it will be around 11% and with the expansions that are happening, in the coming years definitely the profitability would increase, and the return ratios would appear much better.

Shriram R: This is on account of you are seeing purely capacity increase?

Management: Right.

Moderator: Thank you. Next question is from the line of Kumar Keswani from Strategic Advisory. Please go ahead.

Kumar Keswani: There was a question made that we should be looking at standalone and not consolidated account. Given that all the export sales of the company are routed via the subsidiary, it's important for us to look at consolidated and not individual account number one. And number two, is that from a company's perspective the point about shareholder value creation has been made. We leave it to the company to look at it and this is one of the areas we should look at, because as investors we look at consolidated accounts given that there's a lot of intra company sales.

Gaurav Somani: Your point is correct, but point is that whatever the subsidiary company is getting the material, the pipes, which all are exported from India only. So, we have already considered the export in Indian balance sheet, Indian accounts. Same thing is getting sold domestically in the international market. That is why we were suggesting and all the bankers, all the investors are considering standalone balance sheet for the valuation purpose. If you want to consider consol, Page 16 of 16 we have no objection to that you can consider but for better valuation it is advisable to consider standalone.

Gaurav Somani: Mr. Keswani the idea is, so ECL India is a manufacturing company. And so, you will have to do valuation for a manufacturing c

ompany based on the standalone numbers. And our subsidiaries are trading arms, they are nothing but marketing arms which are supporting for selling of our products. So if you take console, you are basically mixing a manufacturing company with a trading company, that is why we are suggesting you to consider standalone numbers because that will give you a better picture of the business.

Kumar Keswani: No, I completely understand the point that is being made, I'm just responding to the comments that, from a company perspective the moment you get into console numbers common entry gets adjusted, one of the people on the call went into great depth to explain why the raw material movement and prices had to be knocked down and as a result of which there was a line item in the balance sheet. The point I'm making is that as an investor, the moment you are doing sales from one entity to another, it's always better for the company as well to start looking at consolidated accounts, and try and work towards that picture because one is a manufacturing arm and another is a sales arm. You need to look at it together not individually.

Pankaj Poddar: Well, Mr. Keswani, I would like to as a matter of information tell you that the subsidiaries, the trading arms, that Gaurav was talking about have done record profits in this financial year. They have done much better than any of the earlier financial years. So now, considering the adjustments that have to be made, the numbers look a bit skewed. But once you have the detailed balance sheets going forward you will be able to see in whatever way you want.

Moderator: Thank you very much. Ladies and gentlemen that was the last question for today. I now hand the conference over to the management for closing comments.

Madhav Kejriwal: I would like to thank all the market participants and we look forward to a good year ahead. Demand is robust, we are well equipped in terms of market position. With that, I would like to conclude FY23 earnings concall. Thank you very much .

Moderator: Thank you very much. On behalf of Electrosteel Castings Limited that concludes this conference, thank you for joining us. And you may now disconnect your lines.

Call: Aug 2023

14 August , 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 9 August , 2023 intimating that a conference call was scheduled to be held on 11 August, 2023 at 4.00 pm IST to discuss the Q1-FY 23-24 Earnings of the Company .

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith a copy of the transcript of the said call with the Investors .

Please also find herein below the link of the transcript of the said call that has been uploaded on the website of the Company -

<https://www.electrosteel.com/admin/pdf/16487025 -Transcript -of-Investors -Concall -held-on-11-August -2023.pdf>

This is for your information and records.

Thanking you ,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary

Page 1 of 18 Electrosteel Castings Limited
Q1 FY24 Earnings Conference Call
August 11, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q 1 FY24 Earnings Conference Call of Electrosteel Castings Limited. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Verma from Ernst & Young LLP. Thank you and over to you sir.

Vikash Verma: Thank you Vidhya. Good afternoon everyone. Welcome to the earnings call of Electrosteel Castings Limited for quarter one FY24 results. Today we have with us the management represented by Mr. Uddhav Kejriwal, Whole Time Director, Mr. Madhav Kejriwal, Whole Time

Director; Mr. Ashutosh Agarwal, Whole Time Director and Chief Financial Officer and Mr. Gaurav Somani, Joint General Manager of Finance.

Before we start, I would like to remind you that the remarks today might include forward looking statements and actual results may differ materially from those contemplated by those forward-looking statements. Any statements we make on this call today is based on our assumptions as on date, and we have no obligation to update the statement as a result of new information or future events. With this, I would now like to invite Mr. Uddhav Kejriwal, to make the opening remarks. Over to you Uddhav.

Uddhav Kejriwal: Thank you. Good afternoon everyone. And a warm welcome to the company's quarter one of Q1 FY24 earnings conference call on behalf of the entire management team of Electrosteel Castings. Highlighting the company's quarter one operational performance and the business opportunities. Electrosteel Castings consolidated total income stood at INR 1712 crores marginally down on account of planned maintenance shutdown, at Srikalahasthi plant in the first quarter of the financial year. Electrosteel long term bank loan facilities have been upgraded by CRISIL from A+ to AA- and the short term loan facilities have been reaffirmed at A1+ respectively. This demonstrates the strong financial performance and the strengthening balance sheet with the support of all the stakeholders.

During the quarter, our ductile iron pipe sales volume stood at 1,55,137 metric tonnes and the domestic to export mix stood at 80:20. The government's flagship project, Jal Jeevan Mission for connecting every rural household with tap water

connection has achieved 65.4% of its

Page 2 of 18 nationwide target till date. The Jal Jeevan Mission has benefited 9.5 crore rural households with safe access to safe drinking water. Out of India's total 19 crore rural households, nearly 12.8 crore households now have access to safe drinking water. Electrosteel continues to be amongst the key beneficiaries of the water infrastructure, thanks to its industry pioneer and leadership position in ductile iron pipes and fittings, backed by nearly seven decades of rich industry experience and five advanced integrated manufacturing units in India. The company's quest to walk an extra mile for delivering customer delight, along with R&D thrust not only helps to maintain and widen relationships with existing clients, but it also helps to attract new domestic and export marquee clients and key projects.

The ductile iron pipe and fittings industry is currently gaining higher domestic as well as global attention for the need to secure drinking water safely along with robust wastewater management. The company is likely to maintain its leadership status with its ongoing CAPEX plan, visible cash flows and the debt reducing stance resulting in a stronger balance sheet. Electrosteel is one of the first ductile iron pipe companies in the world accredited with the ISO 14001 Certification along with the social accountability and responsibility SA 8000 Certification. The company continues to implement several environment social and governance initiatives aligning with triple bottom line sustainability towards people, profit and planet. I would now like to hand over the floor to Mr. Ashutosh Agarwal, our Whole Time Director and CFO to take you through the Electrosteel Castings Q1 financial highlight. Thanks.

Ashutosh Agarwal: Thank you Uddhav ji. Good evening and warm welcome to all the investors for joining this call today. I would like to start with quarter one results consolidated performance of Electrosteel Castings which was slightly down from the previous quarter and it is 4% year-on-year basis. The turnover is INR 1,712 crores and is down by 4% due to planned maintenance shutdown of Srikalahasthi Plant during this quarter. EBITDA stood to be INR 187 crores with a margin of 10.9% that slightly dip in the EBITDA is on account of shutdown in the Kalahasthi plant. PAT was INR 75 crores in the Q1 and PAT margin was 4.4%.

Now talking about the standalone results of Q1. Company total income stood at INR 1,530 crores against INR 1,751 crores of Q1 23. EBITDA stood at INR 184 crores, with the EBITDA margin of 12%. PAT stood at INR 81 crores and PAT margin was 5.3% during this quarter. During the quarter company did net repayment of INR 35 crores of long term debt. The company net long term debt stands to be INR 850 crores as on 30th June 2023. Gross debt has come down from INR 2,454 crores as on 31st March 2023 to INR 2,200 crores on 30th June 2023.

Highlighting our CAPEX update. As mentioned earlier, the company plans to ramp up its existing capacity from seven lakh tonne to nine lakh tonne per annum and it will be achieved by FY2025, thereby we are focused on maintaining the leadership status in the industry. We have incurred around INR 235 crores till June 2023 and balance approximately INR 360 crores will be incurred gradually. What is good is, all the CAPEX would be primarily funded by internal accruals. With this, I can now open the floor for the questions. Thanks a lot.

Page 3 of 18 Moderator: Thank you very much sir. We will now begin the question-and-answer session. First question comes from Deepesh from Anya Finance. Please go ahead.

Deepesh: Sir, what is the status of the money which was supposed to come from JSW Steel?

Madhav Kejriwal: Sir, things are progressing, we are on route to getting the evaluation's in place for the various assets with the Ministry of Coal. And as we go through

the entire list, we will get a better idea

as to the timelines, at this point we are in the midst of the exercise of the valuation of the assets.

Deepesh: As in, the valuation of the assets according to us and according to what JSW Steel is there any mismatch?

Madhav Kejriwal: Not as of now.

Deepesh: And how much are we expecting, what is the approximate valuation which we have kept for that?

Madhav Kejriwal: Our claim amount that is there on the balance sheet. And as of now, to the extent that the exercise has been done for the assets for which the exercise has been done, there is no mismatch.

Deepesh: Okay. Wanted to know about the order book status, at the start of the quarter how much orders were there, in this quarter how many orders you've received and how much have we converted into sales?

Madhav Kejriwal: So, we've started the year with approximately order book of between six and a half to eight months and as of now we've increased that to around eight and a half to nine months this quarter we've booked more orders than we have serviced.

Deepesh: Can you quantify with the numbers?

Madhav Kejriwal: I'll get back to you with the exact numbers sir. Gaurav maybe you can.

Gaurav Somani: So, that would be close to around five lakh tonnes.

Deepesh: This is the order book closing position or this is the added number to the quarter?

Gaurav Somani: This is the order book on hand.

Deepesh: Okay. Approximately five lakh tonnes?

Madhav Kejriwal: Yes.

Page 4 of 18 Deepesh: And in this quarter how many orders did we add?

Madhav Kejriwal: This quarter you mean in terms of the differential between the opening orders between April and June end?

Deepesh: No, actually what I wanted is that by April beginning how much order book was there, how much was converted into sales and how much order was added?

Gaurav Somani: So, we had a order book of around four lakh tonnes when we started the financial year. So, the order book has gone up by one lakh tonne and in between we have also done sales. So, our net order book has gone up by one lakh tonne.

Deepesh: Okay. Net order book has gone up by one lakh tonne and out of the four lakh tonnes also we've done something that has been converted to sales also right?

Gaurav Somani: Yes.

Deepesh: Okay. So, maybe the net addition will be more than that, fine. And what is the debt situation sir?

Gaurav Somani: Debt as we said in the beginning, we have a growth rate of around INR 2,200 crores which has come down by around INR 250 crores from the 31st March 2023 period.

Deepesh: Okay. And in case if we and hopefully we will get in this quarter the money from JSW Steel, most of it will go into removing the debt?

Madhav Kejriwal: So, I previously mentioned during the last call the capital received against the mine will be distributed a balance between servicing debt and potential further capital investment will be done. But the major concentration would be towards debt servicing.

Moderator: Thank you, sir. Next question comes from Arian Selma from Infinity Capital. Please go ahead.

Arian Selma: So, I have a few questions. My first question is how many Indian states ECLs products are made available right now?

Madhav Kejriwal: All of them.

Arian Selma: Okay. I was going to ask that how would you widen your distribution network any light on that?

Madhav Kejriwal: Sir we are omnipresent in India and almost the entire globe as well. There are limited countries which are exceptionally protectionist in which we are not present, but apart from that we are selling 110+ countries, so we're hitting a good number that way and growing in the sense that we are constantly looking for more opportunities, new markets.

Page 5 of 18 Arian Selma: Okay, got it. Sir my next question is, what is the domestic and export market share of ECL, in specifically DI pipe segment?

Madhav Kejriwal: For the domestic market we

will be approximately somewhere between 25% to 28% at this point, and for the export market. If we compare to the exports made from India, approximately 65% of the export from India is done by Electrosteel Castings.

Arian Selma: Okay, got it. And lastly, this Nal Se Jal program has been a great demand driver for us during recent years. So will it be sustainable post 2024 also. And a follow up of that is, we are also looking to foray into new categories like agriculture and irrigation, that kind of?

Madhav Kejriwal: So, sir we are already supplying our product for the purpose of irrigation, approximately 25% to 30% of our demand comes in from the irrigation sector globally. And in regard to the Nal Se Jal, the percentage that has been covered so far is approximately 65% or so. So, there's a long way to go and I'm very confident that the government is not going to leave this without reaching the 100% marker. So there is if you see in 2019 this was announced and it's been

around five years if you remove the COVID years as well, it still took three and a half, four years to get to 65%. So, we are hopeful that this will continue and also we have the Amrut 2.0 which is for the urban areas, which is coming in with an investment of approximately three lakh crores. So demand is very robust for a good two years to come.

Moderator: Thank you, sir. The next question comes from Saket Kapoor, from Kapoor Company. Please go ahead.

Saket Kapoor: Sir when we see the Q1 numbers, our EBITDA margins have dipped to 10.9. So taking into account the impact of the shutdown, that getting vent in the second quarter, what should be the EBITDA margin trajectory going ahead?

Ashutosh Agarwal: It will be better than the Q1, the Q1 was less as rightly said by due to shut down of Srikalahasthi unit, but the second quarter will be definitely better than Q1.

Madhav Kejriwal: We are expecting around 13% to 14% sir.

Saket Kapoor: Okay. Sir, our margin profile used to be in 14% for FY22 as its mentioned in the presentation and last year because of the volatility and the higher raw material prices impact it was at 11.2%, so for this year even factoring this 10.9 for Q1 can we look at an exit of 14+ on a blended basis 13 to 14 for the entire year as of now, depending upon the current benign prices of the raw material, is it a good understanding?

Madhav Kejriwal: Sir, it should be within that range.

Page 6 of 18 Saket Kapoor: Okay. And the other income component we see other income at INR 27 crore. So, can you give the breakup of the same, what constitutes this other income and do we have any ICD balances pending as on 30th June?

Ashutosh Agarwal: ICD balance as on today is zero and 30th June it was around INR 0.5 crores and other income is interest received.

Saket Kapoor: Okay. And this interest income is only on account of this ICD part only, or other instruments also where we have invested?

Ashutosh Agarwal: ICD and the temporary FD we have created and created out of the surplus fund.

Saket Kapoor: Firstly, I would congratulate the team for the very detailed investor presentation. It answers many of our questions and I also got the ESG part of the story which have been elaborated very well in the investor presentation so kudos to the team on account of that. Sir, in the CI Spun Pipe category. If you could elaborate, where our applications for these into and what percentage of our revenue and profitability are contributed from the CI, 91,000 or 71,000 tonne capacity is mentioned?

Madhav Kejriwal: So sir to answer the first question, the segment for which it is used is sewage. And for the percentage of revenue and profitability, I'll ask Gaurav to elaborate on that.

Gaurav Somani: Saket, CI would contribute around 2% to 3% of our total revenue, so not much.

Saket Kapoor: Okay. And the fitting part is also subjected to 2% to 3% only the DI fittings?

Gaurav Somani:

Fittings should be slightly more than that.

Saket Kapoor: Sir, when we look at the growth for the pump segment, in the pump from category do we have this synchronizing part between pipes and pump category, if there is a greater demand for pumps vis-à-vis for pipes, do we find the correlation for DI pipes also, or is it only for the long distance pipe that the pump demand generally, if we find incremental demand, do we have a correlation between them?

Madhav Kejriwal: I'm sorry, Saket I couldn't really understand your question quite clearly.

Saket Kapoor: Sir, I'm looking for a correlation between pumps and the pipe segment, is it for the DI pipes also we find pumps being installed or is it only for the long ended pipes like LSAW/HSBW so the pumps category also comes into play, I just wanted a correlation between pumps and pipes segment.

Madhav Kejriwal: So sir pumps per se have a plethora of applications beyond just the main lines, what you are referring to is the long distance mainline that are used, but pumps have a lot more of application. So, when you talk about pumps that are used for the mainline purpose, then there is a direct correlation in the sense that the demand should be equivalent in the same but again as I mentioned pumps are used for distribution lines and for many purposes beyond just that. it's difficult to put an exact number in the correlation between the two.

Moderator: Thank you. The next question comes from Vikash Singh from Phillip Capital. Please go ahead.

Vikash Singh: Sir, I just want to understand the competitive landscape basically, recently Tata Metallic's is also going for a capacity expansion which is in West Bengal and even in Southern region where you used to have known plant now Jindal Saw has come up with Sathavahana. So, just wanted to understand, if the market is expanding to accommodate everybody or there could be a little bit of high intense competitive intensity which could impact our margins going forward?

Madhav Kejriwal: Sir, in the short to mid-term, the demand is extremely robust. With the new capacities also there is adequate demand for the margins to not get impacted. As mentioned a little earlier, there is substantial investment coming into the water supply and Irrigation sector. So, we don't see that as a problem.

Vikash Singh: So, does this works on the Southern market also or we would now see Srikalahasthi margins are more normalized because historically it was a bit premium. Now with another 2 lakh tonne

capacity coming into the same space, which was previously operational demand usually grows with a lag. So, what we see more normalized margins from Srikalahasthi or we would maintain the slightly better margin than the West Bengal region?

Madhav Kejriwal: Even today with the increased demand in the Southern and the Western market which we cater to from the South. There is adequate demand for accommodating another manufacturer with Sathavahana's capacity and still to be able to command similar margins.

Vikash Singh: Understood. My second question pertains to our coking coal cost, if you could give us some insight that how the cost would move in the next quarter, coking coal as well as the overall cost of production, and if we get benefits on the fixed price contracts?

Uddhav Kejriwal: Hi, good afternoon. So, on the coking coal market in general, we all know that the market has not spurn any surprises as such and it continues to remain in a way range bound, that is the first thing. Now, as far as the company specific scenario is concerned, since we are largely dependent upon imports to take care of our coking coal requirements. So, as of now we do have certain tie ups or certain inbound in place, which should definitely take care of the way we have done our product costing and budgeting and further planning. So, definitely, if not more definitely till the last end of t

his calendar year. Now going forward, how the market is going to behave is something that I would not like to emphatically comment on. But, having said that since we are very much alive to our entire scenario and every single development or every single movement in the market, and we are personally very, very engaged and active in Page 8 of 18 the entire scenario, definitely we keep reviewing this at our end on a very, very regular basis. And whatever it may be, we would definitely take a call or decision based on any movements or indications we see in the market which we would believe at that time to be in the maximum interest of the company and try to cover ourselves maybe even beyond December if the situation so arises.

Vikash Singh: So, sir I'm a bit lost here, I just wanted to understand the coking coal costs savings movement into 2Q versus 1Q or what I can make out that we have already covered till December. So, is that at a higher price in which we have already built up inventory or the cost would keep on gradually coming down and if it is coming down then what is the cost raising on 2Q or 3Q you are expecting that's what I have asked the question.

Uddhav Kejriwal: As of now, I do not think that the inventory buildup is at a higher cost. Secondly, it is not entirely inventory buildup at our end, it is just that there is some vessels which are in process and other than that, we also have some inventory at plant. So in totality depending upon the blend, they should take care of more or less this calendar year. But beyond this, because we try to keep improving on our blends and try to see without affecting the quality of the coke how we can optimize in the cost it would not be right to share very, very exact cost data of what is the coking coal cost as such, because it is not only coal we do, the blast furnace we definitely consists of other than coke various other elements which you know like iron ore, etc.

Vikash Singh: Point taken sir. Sir, just wanted to understand right now in our contract of five lakh order book, so are these our fixed price contracts or linked to basically pig iron index how it is for us right now?

Madhav Kejriwal: The majority of them are on fixed prices.

Vikash Singh: Understood. So, on a rolling basis once as the cost start rationalizing we should benefit right, generally we should be benefiting in the subsequent quarters?

Madhav Kejriwal: That is what we are expecting, Yes.

Vikash Singh: Understood sir. And lastly, we have paid INR 250 crore so have our entire repayment for this year from debt has already been done, or some part is pending, if you could give us some insight into your debt repayment as well as the targeted repayment for this year?

Ashutosh Agarwal: The long term debt is scheduled to be paid in the span of three, four years. And this year our commitment was around INR 200 crores out of that we have paid INR 35 crore during this quarter, balance is outstanding and it will be paid on due dates. And working capital debt is on and off we are using and not using it is very, very fluctuating debt.

Moderator: Thank you. Mr. Shriram. Please go ahead.

Page 9 of 18 Shriram: So, I have three questions. So, basically what is our current capacity utilization and if you can give a break up in terms of the application wise for the DI pipes like, how much would be for irrigation, sewage, potable or clear water that would be helpful?

Madhav Kejriwal: So, the capacity utilization is 100% right now, there is no backlog by God's grace on that front because we see very robust demand. In terms of the percentage of demand between clear water, irrigation and sewage, this is something that fluctuates depending on the concentration by the various state governments. At this point, a major chunk is towards the supply of clear water, going forward with Amrut coming in we see some of the sewage picking up and reduci

ng

a little bit into, or eating a little bit into the distribution of clear water while irrigation stays at a robust 25% to 30%.

Shriram: Okay. And sir do you directly sell to the consumers or EPC ?

Madhav Kejriwal: So, the consumer here are the department sir.

Shriram: Yes, I understood so do you directly sell to them or via EPC?

Madhav Kejriwal: Both.

Shriram: Both. And how much would be the split, if you can give what is the direct versus EPC?

Madhav Kejriwal: It will be an 80:20 sort of a situation at this point.

Shriram: 80 would be?

Madhav Kejriwal: Direct to EPC. Sorry, 80 is to EPC not direct, just to clear. Through EPC I meant sorry.

Moderator: Thank you sir. The next question comes from Raj Mehta from Robo Capital. Please go ahead.

Raj Mehta: I just wanted to get a trajectory on the revenue growth going forward. So we have seen that like from 2019 to 20 was flat after that it was a 20%, 30%, 40% growth. So what would we expect going forward?

Gaurav Somani: So Q1, as we said, we had a planned shutdown. So revenue there was a dip, but generally second half of the year is robust in our industry.

Raj Mehta: And what about the full year growth sir?

Gaurav Somani: So, this year we will not have much growth because we are having the CAPEX ongoing which will be completed by close to end of next calendar year. And then we will be reaching at nine lakh tonnes. So it will be 30% more where we are right now and the full benefit we will get to see in FY26, having said that, some of the portion of the enhanced capacity expansion will come Page 10 of 18 into play in next financial year. So, next financial year, we'll have some growth over this financial year. But the majority will come in FY26. So, 10% approximately you can say in FY25 will have 10% growth and FY26, we will see the major growth.

Moderator: Thank you. The next question comes from Nagraj Chandrashekhar from Emerge Capital. Please go ahead.

Nagraj Chandrashekhar: Just sequentially you should be seeing an all in decline in cost per tonne of INR 2,000 to INR 3,000 per tonne. I just want to get a sense on given the tenure of our order books, typically nine to 12 months would we see any decline in realization per tonne or would that be stable?

Madhav Kejriwal: I'm sorry, sir.

Nagraj Chandrashekhar: You should be seeing based on what you said. A drop in your all in cost of INR 2,000, INR 3,000 per tonne sequentially. Based on the fixed price contracts we have, and the fact that our order books are nine to 12 months in tenure typically booked out at fixed prices, that should translate directly into an EBITDA gain of the same amount correct?

Madhav Kejriwal: So, to a very large extent you are correct sir, a majority of these orders are going to be serviced within the timeframe of nine months, during which we will see an improvement in the costing but it's not that there will be a direct 1:1 impact because some new orders will be picked up which will be serviced within these nine months at a lower rate owing to the lower raw material prices, but saying that, yes, there should be a substantial part of this cost correction should make its way into our margins.

Nagraj Chandrashekhar: Understood. And the shift in the industry over the last few years to your benefit of, like you mentioned selling 80% through EPC contractor reducing a receivable risk. Has that meant that the industry has moved away from fixed price contracts to sort of price escalation, the escalation loss pass through or is it purely fixed, but obviously coming at very variable intervals?

Madhav Kejriwal: Sir, majority of it is fixed apart from extreme situations such as what we faced last year where we had no other option but to get on to the renegotiation table even with our EPC partners. It's mostly fixed.

Nagraj Chandrashekhar: Understood. And was there any component in your cost this quarter of any raw material or

finished goods inventory mark to market downwards, given the declines in cost of goods?

Ashutosh Agarwal: No. Nothing great.

Moderator: Thank you sir. The next question comes from Pashawa Veer an Individual Investor. Please go ahead.

Page 11 of 18 Pashawa Veer: Well, I wanted to understand about the recent CAPEX that you said, will be happening or completed by calendar year 2024, or financial year 2024?

Ashutosh Agarwal: Calendar year 2024.

Pashawa Veer: That would be after one and a half years, am I correct?

Ashutosh Agarwal: Yes.

Pashawa Veer: And what exactly was the reason for going for CAPEX, is it more and more orders that you're getting?

Madhav Kejriwal: Yes, please. We're seeing a robust market and being the leaders in demand we find ourselves in a very opportune position to capitalize on the same.

Pashawa Veer: Okay. So major turnaround of the company would happen post the CAPEX is done, Am I understanding that correct?

Madhav Kejriwal: So we would like to believe that a good turnaround has already happened. And going forward, we'll see even better days. Even the inflow from the recovery of the coal mine stuck up capital will help substantially in that.

Pashawa Veer: By what time do you expect that capitals going back to the company?

Madhav Kejriwal: You mean in terms of the capital expenditure payback?

Pashawa Veer: No, the stuck up capital in the government organizations

Madhav Kejriwal: What we think optimistically is within this financial year, there can be a bit delay and it can be done before as well.

Pashawa Veer: Alright. And coming to the raw material costing, are you seeing the cycle on the downward side or is it almost stable compared to the last year and year before?

Uddhav Kejriwal: The raw material cycle right now is, I would like to believe and say that it is in a kind of a stable mode. Having said that, we're definitely alive to any of the factors that may result in our shift in the current situation or any change there too.

Pashawa Veer: So, currently it is stable compared to the last year, which was on the higher end if I'm not mistaken?

Page 12 of 18 Uddhav Kejriwal: Yes, last year was dramatically very, very active and we did see some record highs in the last year absolutely, you're very much correct on your knowledge on that. Yes, this year, thankfully has not seen that kind of drama in terms of the movements.

Pashawa Veer: Okay. And what would be your major raw material input cost?

Uddhav Kejriwal: Well, our major raw materials that contribute to the larger share of our cost would be coal and iron ore largely.

Pashawa Veer: Okay. So nothing on the power end, because electricity would be another thing too right?

Ashutosh Agarwal: 60% of power is captive, that's why it's not a major component. But you're right generally it is one of the major components.

Pashawa Veer: Okay, so 60% is already captive, you might be having those power plants for yourself?

Ashutosh Agarwal: Yes.

Pashawa Veer: Okay. And any benefit that you arrived at after getting the merger or Srikalahasthi pipes that happened last year, or last to last year, any significant benefits that arrived?

Madhav Kejriwal: Whenever two entities in a similar field of business merge although we were operating in a lot of sync being associate companies but post the merger we see that homogeneity creeping in even more, and definitely there are severe cultural and systematic benefits that have come out of this merger.

Pashawa Veer: But in terms of financial benefits for the company, it will be different from the cultural benefits?

Madhav Kejriwal: It will be difficult to quantify an exact number.

Pashawa Veer: Percentage is fine, any approximate percentage or an outlook that could take this company to greater heights.

Gaurav Somani: If you see the numbers and if you see the overall performance, it has improved. And if

you see

the credit rating, we have gone to AA minus by CRISIL. So that itself testifies that the performance and the balance sheet has strengthened after the merger.

Moderator: Thank you. Next question comes from Rajesh Agarwal from Money Ore. Please go ahead.

Rajesh Agarwal: Sir, can you quantify how much production was lost due to the maintenance shutdown?

Uddhav Kejriwal: We have lost approximately about 15,000 to 16,000 tonnes of production due to this shutdown. And, that is very clearly reflecting in the P&L and the EBITDA margin.

Page 13 of 18 Rajesh Agarwal: Can you quantify in terms of rupee amount, INR 100 crores or INR 200 crores?

Uddhav Kejriwal: That would be difficult.

Ashutosh Agarwal: INR 250 to 300 crores.

Rajesh Agarwal: Okay. And sir one more question, a lot of EPC contractors are saying there's a shortage of DI pipes. So in export, do we hope to get a better evaluation by the shortage of DI pipes?

Madhav Kejriwal: Yes. Sorry, can you repeat the question?

Rajesh Agarwal: Lot of EPC contractors are complaining because there's a shortage of DI pipes. And suppose, we are in to export also, can we get a better evaluation in exports to come up of the shortage?

Madhav Kejriwal: We do get a better price in the export market, than we do in the domestic market even with this deficit. There is a constant balancing act that we are looking at to maximize profitability and maintaining long term market presence.

Rajesh Agarwal: Okay. And EBITDA margins will improve because of the realization improving or the cost coming down?

Madhav Kejriwal: Both.

Rajesh Agarwal: Okay. And will there be a growth in volumes this year?

Madhav Kejriwal: Not really sir. As mentioned earlier, the impact of the capital expenditure will come in by the later quarters of the next financial year.

Rajesh Agarwal: So major profitability will come by increase in margins by 2% to 3%?

Madhav Kejriwal: Right.

Rajesh Agarwal: And quarter-to-quarter there's been a saving in the finance cost, we have paid debt. So, how has the working capital behaved this quarter?

Ashutosh Agarwal: Depending on the working capital utilizations since the prices of coking coal has fallen down, there was less utilisation of working capital and there was saving of interest cost, long term debt is already paid and there was some saving on account of that.

Rajesh Agarwal: What are the number of days for working capital this quarter?

Ashutosh Agarwal: Working capital (Debtor Days) generally 60 days.

Page 14 of 18 Rajesh Agarwal: Okay. And has been there any inventory write off because of the fall in coking coal for any

inventory write off this quarter?

Ashutosh Agarwal: Till now nothing.

Moderator: Thank you sir. The next question comes from Katherine from USG Securities. Please go ahead.

Katherine: I'm sorry, sir. I joined a little bit late. So, sir this is regarding the proceeds that you are expected to receive for the coal mine that was reallocated. Sir, I'm not sure I don't recall but I read somewhere that you're planning to reduce your debt with that particular proceeds coming in, is it true are you sticking to that or?

Madhav Kejriwal: Ma'am major chunk of what we will receive in terms of the coal mine compensation will go towards reduction of debt, but we are also looking at utilizing a portion of it towards expanding.

Katherine: Can't hear you.

Madhav Kejriwal: I'll just repeat to, a major chunk of the capital that comes in will go towards reduction of debt, but we shall also be using some of it for potential expansion.

Katherine: Okay. Could you please give us guidance on how much reduction of debt and how much for capital expenditure?

Madhav Kejriwal: Ma'am that is something which really depends on opportunities that come in front of us at that point, we are not entirely, we have not yet fixed upon the percentages so far.

Ashutosh Agarwal: It depends on how

much money we are going to receive.

Moderator: Thank you, sir. The next question comes from Sushil an Individual Investor. Please go ahead.

Sushil: So, sir in continuation to the previous question, if we differentiate our EBITDA between domestic markets and export markets, so how will it look like that is the first question. Second is, when we say 80% of our sales are through EPC how is the collection cycle different from an EPC sale or direct sale and the third one is, are there any imports into India of DI pipes, while majority of the large peers are exporting, is there any particular category or something like that where India is importing DI pipes as well. These are the three questions from my side.

Madhav Kejriwal: I will answer your questions in reverse. With the first one there are no imports coming in from any other country into India. All the demand for the product is supplied via domestic suppliers.

Can you just repeat the second question again please?

Page 15 of 18 Sushil: So when we say our 80% of the sales come from the EPC contractors, we sell to EPC contractors and they in turn sell to the government agencies. So how is our collection cycle different know when we sell it to an EPC contractor or directly to a government agency?

Madhav Kejriwal: So the EPC contractors is approximately 45 days earlier than the government bodies.

Sushil: And what is the cycle of the government bodies?

Madhav Kejriwal: Well, at this point, it should be somewhere between 90 to 120 days.

Sushil: Okay. And my third question was regarding the EBITDA differential between domestic and export?

Madhav Kejriwal: Sir, this is something that we don't like to share because considering our large chunk of exports, we can tell you this much that it's a substantial amount higher.

Sushil: Okay. Sir, one more question. If we see this Jal Se Jal scheme so how much of our top line is contributed by this government scheme?

Madhav Kejriwal: It won't be incorrect to say that, a major portion of the demand as I mentioned irrigation is one part of it, export is another. But still, 55% or say 50% to 60% of our top line is coming in from water supply. And majority of that would be Jal Se Jal and part of it is Amrut and a few parts or the other state funded projects that are coming in.

Sushil: And when all the players are coming up with a good amount of CAPEX and government has achieved 65% of the targets. So what do you see three years down the line, the government achieved 100% of the target under Jal Se Jal, so then what will drive the revenue in this segment?

Madhav Kejriwal: AMRUT 2.0 is another very big project that is going to be, that has already started taking off which at a very nascent stage though. That will see a substantial demand source for us. Another part which is important to address is that Jal Se Jal is all virgin lines of pipes that are there whereas a good chunk of India's pipelines require replacement, India's average leakage is anything between 35% to 50% today, so this is for the existing pipelines. I'm very certain that our government is taking this up very seriously and we will see a good consistent demand coming in from the replacement market.

Sushil: And what are the annual tenders that are coming under the AMRUT scheme which you mentioned, rough estimate?

Madhav Kejriwal: The total outlay for the center is around three lakh crores rupees over the next five years. There are certain other elements of Finance through state and foreign funding. It's little difficult to exactly talk about the annualized outlay for the same things.

Page 16 of 18 Moderator: Thank you sir. The next question comes from Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Sir, the volume loss that has happened due to the plant shutdown, this will make up in the other end during the remaining part of the year or what should be our volume number for

this

whole year sir?

Uddhav Kejriwal: It will be the endeavor of the company to definitely make up this volume in the next couple of quarters. And on a year-on-year closing we should not, we should close the year without any loss of volume.

Saket Kapoor: Okay. So, last year we did 7,10,000 so, we will be nearer to that?

Uddhav Kejriwal: Similar.

Saket Kapoor: Similar to that, have you provided the volume number for this quarter, the tonnage part?

Uddhav Kejriwal: Sorry?

Saket Kapoor: The tonnage we have provided for Q1 what have been our production in sale number?

Uddhav Kejriwal: Yes, obviously we have. So, we have produced for this quarter DI pipe production has been total 1,63,000 tonne, so you can say it is 1,64,000 tonnes.

Saket Kapoor: Okay. And sales?

Uddhav Kejriwal: And sales have been about 1,56,000 tonnes.

Saket Kapoor: And last year comparative numbers?

Uddhav Kejriwal: So, this was Q1 23-24 now when you look at, you want to look at the Q1 of 22-23?

Saket Kapoor: Yes.

Uddhav Kejriwal: So, Q1 22-23 production was at the same levels DI pipe production, 1,64,000 was the same figure, the sales was also 1,57,000 tonnes.

Saket Kapoor: So, when we are comparing like-to-like there is no change last year and this year?

Uddhav Kejriwal: This is when we are looking at into the pipe part. But in addition to this, last year we were able to produce in addition to this pipe quantity, we were able to produce and sell pig iron, to the tune of about 25,000 tonnes which this year we have not been able to do so far.

Page 17 of 18 Saket Kapoor: So, can you give that revenue figures for last year that contribute to the pig iron and the EBITDA

number for pig iron segment?

Uddhav Kejriwal: Separately giving this number may not be feasible but howsoever we try to.

Madhav Kejriwal: Saket we will share the production figures with you for industry standard for then you can guess it a bit.

Saket Kapoor: Yes, in understood. But we don't have any sale of pig iron in this quarter like you said due to shut down?

Madhav Kejriwal: Last time our sale was 26,000 tonne and this time it's around 10,000 tonne. And the loss of 15,000 tonne hopefully if we can keep it till pig iron sale, but our efforts to make up what we lost on pig iron.

Saket Kapoor: Sir the conversion is 1:1 for pig iron and DI pipe, 15,000 tonnes get converted to 15,000 tonne into pipes?

Madhav Kejriwal: Almost.

Saket Kapoor: Sir one understanding and one suggestion. Our numbers come at the back end of the ending season, so if you and your team can work to present the numbers early and do work on the dividend distribution policy as well, so that we get clear guidance as to how the dividends will be given to the investors. And till now there is no announcement about last year's AGM and our last year dividend is also due. So, we don't get all these information. But now we are into the next financial year and we are proceeding towards the first half H1 and still now the dividend for the last financial year is still unpaid to the investor. So, we should try to communicate all these factors within the first quarter itself and not keeping pending till December. So that has been the practice over the years. So when you are getting engaged now with investing community trying to create value for investors giving us the insight these are the problems which we as investors and people have always seen in the company. So please take steps to correct these anomalies, this can be done very easily. If you take part in this action.

Madhav Kejriwal: So we highly appreciate your feedback and we will definitely work on these elements. Thank you.

Moderator: Thank you sir. Thank will be the last question for the day. I now hand the conference over to the management from Electrosteel Castings Limited for the closing comments. Over to you sir.

Uddhav Kejriwal: I would like to thank all the market

participants for their valuable time and continued interest

in our company. We believe the company is well positioned to be benefited from the growing water infrastructure spending in domestic and export markets. Electrosteel Castings will continue to maintain industry leadership stance with its CAPEX plan, competent management, customer delight proposition backed with trust on quality, coupled with robust balance sheet. If in case you have any further queries kindly feel free to reach out to the E&Y IR team. Thank you, have a great evening.

Moderator: Thank you sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Research Bytes Conference Call Service. You may all disconnect your lines now. Thank you and have a pleasant evening everyone.

Call: Nov 2023

16 November, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 7 November, 2023 intimating that a Conference Call was scheduled to be held on 10 November, 2023, at 11.00 am IST, to discuss Q2 & H1 FY 23-24 Earnings of the Company.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of the transcript of the said call with the Investors.

Please also find hereinbelow the link of the transcript of the said call that has been uploaded on the website of the Company-

<https://www.electrosteel.com/admin/pdf/15236485-Transcript-of-Investors-Concall-held-on-10-November-2023.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary

Page 1 of 17 Electrosteel Castings Limited
Earnings Conference Call
November 08, 2023

Moderator : Ladies and gentlemen , Good day and welcome to the Q2 & H1 FY24 Earnings Conference call of Electrosteel Castings Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing “*” then “0” on your touchtone phone . I now hand the conference over to Mr. Vikas h Verma from EY. Please go ahead, sir.

Vikas Verma: Thank you Rohit. Good morning, everyone. Welcome to the earnings call of Electrosteel Castings Limited for Q2 and H1 FY24 results. Today we have with us the management represented by Mr. Uddhav Kejriwal – Whole Time Director, Mr. Madhav Kejriwal – Whole Time Director , Mr. Ashutosh Agarwal – Whole Time Director & Chief Financial Officer and

Gaurav S omani –General Manager - Finance.

Before we start, I would like to remind you that the remarks today might include forward - looking statements and actual results may differ materially from those contemplated by those forward -looking statements. Any statements we make on this call today is based on our assumptions as on date and we have no obligation to update the statement as a result of new information or future events. With this, I would like to invite Mr. Madhav Kejriwal to make the opening remarks. Over to you, Madhav.

Madhav Kejriwal: Thank you, Vikas h. A very good morning everyone and warm welcome to the Company's Q2 and H1 FY24 earnings conference call. Firstly, I'd like to extend the festive greetings of Dhanteras and Diwali on behalf of the entire management team of Electro steel to you and your family.

Highlighting the Companies Q2 FY24 operational performance, Electrosteel Castings total incomes stood at INR 1,888 crores, which has been a result of strong demand from both domestic as well as export markets. During Q2 FY24, the company registered its highest ever quarterly EBITDA of INR 331 crores and PAT of INR 184 crores with an EBITDA margin of 17.5% and a PAT margin of 9.7%. This has been fueled by lower raw material cost and better operational efficiency.

During the quarter, DI pipe volumes stood at 2 lakh metric tons. Export constituted around 18% of the volumes. The government's flagship project of Jal Jeevan Mission for connecting every Page 2 of 17 rural household with tap water connections has achieved 70.2% of his nationwide target till date. Out of India's total 19 crore rural households, nearly 13.5 crore households now have

access to safe drinking water.

Our order book stands at approximately 5 lakh metric tons which is around 8.5 months of order book. The company looks forward to maintaining its leadership position in ductile iron pipes and fittings with its integrated manufacturing facilities and optimum capacity utilization.

Electro steel Castings rich domain knowledge thrust on research and development, quality right first time proposition and customer centric approach drives the company to be the most preferred partner of key water infrastructure projects in both the domestic and export markets. We are yet to connect nearly 5.7 crore households with drinking tap water connections under the JJM scheme.

Additionally, AMRUT 2.0 will continue to drive demand for the DI pipes and fittings in the coming years. There's also a growing need for better water infrastructure products in the global market for securing drinking water safety and waste -water management. Electrosteel is well placed to tap the growing domestic and global infrastructure opportunities with its ongoing capital expansion plans, the robust cash flows and focus on reducing debt with a strong balance sheet position.

We continue to focus on sustainability and implement various environment, social and governance initiatives in its value creation journey for its esteemed stakeholders. Now I would like to hand over the floor to Mr. Ashutosh Agarwal the whole Time Director and CFO for taking you through Electro steel Castings Q2 FY24 financial highlights.

Ashutosh Agarwal: Thank you Madhav ji. Good morning everybody and best wishes for the Shubh Dhanteras and Diwali. I would like to brief you about the Q2 FY24 results consolidated performance of the company. The company's total turnover grew by 7.6% YoY basis to INR 1,938 crores. EBITDA surged by 86% YoY to INR 319 crores. EBITDA margin stood at 16.4% led by lower material cost and better operating leverage. PAT grew to 229% to INR 175 crores in this quarter. PAT margin expanded by 607 bps YoY basis to 9% during this quarter.

Now, highlighting about the stand alone performance of the company for this quarter. The Company sold 2 lakh tons of DI pipes during this quarter.

The Company's total income grew to INR 1,888 crores. Electrosteel Castings achieved EBITDA of INR 331 crores. EBITDA margin stood at 17.5%, PAT grew to INR 184 crores and PAT margin 9.7%.

Now I'm moving to the H1FY24 results on consolidated basis. The Company's total income was at INR 3,650 crores H1FY24 and EBITDA grew by 29% YoY to INR 506 crore and EBITDA margin Page 3 of 17 13.9%. PAT grew to 68% to INR 250 crores with a PAT margin of 6.8%. EPS for the H1FY24 was at INR 4.2.

Moving to stand alone performance for H1FY24. The Company sold 3,55,600 tons of pipes during the period and the company's total income was at INR 3,418 crores. EBITDA surged by 28% YoY to INR 515 crores and EBITDA margin was at 15.1%. PAT grew to 58% YoY to INR 265 crores and PAT margin 7.8%. EPS for the H1FY24 was INR 4.5. I would like to share the CAPEX update. The company has spent INR 260 crores out of INR 600 crores planned as on 30th September 2023 and ongoing capacity scheduled and we are likely to complete the project by September / October FY2025.

This will take up the company to the capacity of approximately 9 lakhs tons per annum. Thus, we'll be maintaining the leadership position in the country in DI pipe. As on September 2023 the gross debt has come down to INR 2,190 crores and net debt stands to INR 1,540 crores.

The Company's net debt and equity ratio is 0.34: 1 as on September 2023. The adjusted ROC E and ROE annualized stands to 17% and 16.6% respectively as on 30th September 2023. With this now I am opening the floor for the question asking session. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session.

The first question

is from the line of Vikas Singh from Phillip Capital. Please go ahead.

Vikas Singh: My first question pertains to the improvement, which obviously came partially from the cooking coal, so I just wanted to understand what is the cooking coal cost we have built in 2Q and how much it was down on a QoQ basis and how do we look at 3Q FY24 in terms of coking coal cost escalation?

Gaurav Somani: Our coking coal price for Q2 FY24 was close to \$300 per ton and this was around 7% to 8% down compared to Q1 FY24.

Vikas Singh: And next quarter what kind of cost escalation we are building it?

Uddhav Kejriwal: Just to answer your second part of the question, when we are talking about the coking coal cost, we are trying to also make some in-house improvements in terms of blend of the coals that we use within our limitations without compromising on the quality of the end product. So, that is also a continuous process the market being what it is, we are just trying to do our best in terms of economizing cost and that is a continuous exercise. Right now, it would be difficult to quantify what it is going to be for the coming quarter, but definitely we do not see any unpleasant surprises there at least for the coming quarter.

Vikas Singh: My second question is basically we got a little bit benefit this quarter because of coking coal. What is our sustainable level of EBITDA margin which you think one should look over a longer Page 4 of 17 period of time I understand that quarterly business keeps on fluctuating, but on an average yearly or 1.5 year perspective what is the sustainable level of EBITDA per ton one should look at?

Madhav Kejriwal: I think something with 14% to 15% would be a good sustainable EBITDA margin.

Vikas Singh: Sir, secondly you talked about your order book of being roughly about 5 lakh tons, can you please just have the better outlook which is currently basically the orders which can be bided in the next 6 months to 1 year time frame as well as in this order what is the mix of the order where the price escalation clause are there or all these are fixed price contract?

Management: So, the available orders in the market is around 5.5 million tons. Of course, this is not that will be going within one year. The dispatch of this will go over a span of a year and a half to two years. In terms of price escalation, we personally don't go into orders with the price escalation clause. I think maybe 5% of our order book must be having that. We target going in for a fixed price contract.

Vikas Singh: And just one last question if I may ask, we are already running at on a quarterly basis almost this sales looks like 8 lakh ton kind of the thing and a peak capacity could be 9 lakh including the South plant expansion. So, can you just give us what would be one or two year down the line our peak sales capacity as well as the update on our expansion plans?

Madhav Kejriwal: Yes, you're absolutely correct on the numbers in terms of what we are targeting post our expansion, we will be reaching the capacity of 9 lakh tons. Post which I think with operational efficiency and some debottlenecking we might go up by another 20,000 to 30,000 tons additionally.

As I was mentioning in the opening remarks, there are two aspects where we see demand growing. The domestic demand is very robust for the foreseeable future. There is still reasonable amount of work left to do in Jal Jeevan Mission. A MRUT 2.0 has started and also there is a big pent up demand for the export markets that we are in. So, all these three will be the major driving forces for us to be able to reach full capacity almost immediately.

Vikas Singh: And by when this the remaining 1 lakh could commission?

Madhav Kejriwal: On a pro rata basis, quarter 3 next year.

Moderator: Thank you. The next question is from the line of Saloni

Himani. Please go ahead.

Saloni Himani: My first question is regarding the CAPEX. So, we had planned the capacity of 2 lakh tons, but in that break up we have 50,000 for debottlenecking. So, I wanted to understand is the timeline for the debottlenecking same as the CAPEX or do we plan to do it ahead of it?

Page 5 of 17 Uddhav Kejriwal: I think there could be some sort of a disconnect on this because we are very much on track as far as the capacity upgradation is concerned and we will be very much at production level of about 9 lakh tons by the second-half of financial year 24-25.

Now the debottlenecking that Mr. Madhav had mentioned was just about our internal continuous effort at improvement and different qualitative things that we keep doing even now are under which is a way of life Electrosteel and that always we feel that we could be able to achieve a little more production above that 9 lakh tons with that process.

Saloni Himani: Sir, just to clarify currently our capacity is 7 lakh tons and capacity expansion is for 1.5 or 2 lakh tons?

Uddhav Kejriwal: The Capacity expansion is aimed to reach 9 lakh tons, yes.

Saloni Himani: To reach 9 lakh tons including the debottlenecking?

Madhav Kejriwal: No, ma'am the 50,000 tons which might have been mentioned in the past is over and above this capacity expansion the debottlenecking number and 50,000 tons is at the upper end of it, we are looking at something between 30,000 and 50,000 tons.

Saloni Himani: Sir, a follow-up question, currently we are operating at more than 100% utilization. So, till the next four quarters till our CAPEX basically comes up, can we expect any sort of volume growth in the numbers?

Madhav Kejriwal: This above capacity situation is also a consequence of our debottlenecking. So, at this point we've reached the higher end of our debottlenecking on the capital that has already been invested. The additional capacities will come in once the effects of the capital that we are consistently investing comes into play. So, next two quarters should be similar numbers.

Saloni Himani: Sir, can you give us the average realization for the DI pipes and how is the trend shaping up?

Madhav Kejriwal: That will be a bit difficult answer to give because there are so many markets and permutation combinations that go into it. I think margins is a better number to talk about on that front.

Saloni Himani: So, you mentioned in your PPT that our margins increased due to operational efficiencies this quarter. So, there was a quite a big jump in our margins due to operating leverage kicking in, so till the time our volume growth remains the same can we expect some improvement in margin due to the operating leverage?

Madhav Kejriwal: As I was mentioning, ma'am, I think we've reached our optimum number as of now. The remainder of the improvement you will see will be after the implementation of the capital expenditure.

Page 6 of 17 Uddhav Kejriwal: So, Madam, just to add another line to this, we are looking at closing this financial year at best sustaining this current level that is what we are now going to be on a treadmill cost kind of thing. So, we would like to sustain this level which we are currently at beyond that to go to another next milestone in this financial year it is not even within our targets for this financial year definitely.

Saloni Himani: Just wanted to get the break up of production and sales volume this quarter, Sir.

Gaurav Somani: We have produced around 2 lakh tons of DI pipes and our sales was also similar numbers.

Saloni Himani: Any kind of inventory that we are holding in coking coal and some average cost of that going forward?

Uddhav Kejriwal: It would not be appropriate for me to get into the cost details of the coking coal because we work on a blend basis where we use different percentages of different coals

to maintain the right specifications.

Having said that, we would be at like as per our policy and in keeping with the policy guidelines that we have in place we would be holding coking coal stock to the tune of one quarter or maybe we can say 3 months to 4 months stock on an average because if we are using coal X say W, X, Y, Z in our blend on an average it will be about 3 months to 4 months stock maybe it would not be so accurate when you look at each coal to coal, but yes this is the overall.

Saloni Himani: Sir, what was our pig iron sales volume this quarter because we mentioned we would not be doing it anymore?

Gaurav Somani: See pig iron sales was not significant because our concentration was towards DI types. Having said that we sold around 7,000 thousand tons of pig iron.

Madhav Kejriwal: As you can see, it's insignificant that is more of a metal balancing consequence.

Saloni Himani: So just last question from my side, can you just describe what is the traction in the export market currently and your views on the same going forward?

Madhav Kejriwal: So, Ma'am if you are tracking what's happening around the world, you would have realized that the European countries as well as parts of Africa are facing major issues in terms of water availability in their peak summer months. Fortunately, this is something that the governments over there have taken cognizance of and are now planning to find ways of connecting the water rich areas to the water poor areas.

And so we are seeing a potentially good growth on that front and from the Middle East owing to the infrastructure development in countries like Saudi Arabia, there is some traction over there as well.

Page 7 of 17 Moderator: Thank you. The next question is from the line of Avinash Nahata from Parami Financial Services. Please go ahead.

Avinash Nahata: So, given your business model as you mentioned that you do fixed price contracts mostly and the way you buy your coking coal, et cetera. So, is it fair to assume that the EBITDA margin like this quarter, 2 lakh ton volume, INR 300 crores almost INR 15,000 a ton, so on the lower side INR 9,000 to 10,000 on the higher side INR 15,000 to 16,000 and 12,000 to 13,000 on an average. So, our business model will give way to this?

Madhav Kejriwal: So, sir we would like to say that I think a target of INR 10,000 to 12,000 on a longer scale in timeline is a better number to keep in mind. Of course, you rightfully mentioned that there will be quarters with much better margins and there will be a few down quarters as well that's the nature of the business.

Avinash Nahata: And just one more question and so like if you look at our historic margins the way, I mean, from

the anecdotal data available, due to now since the domestic and export side is fungible for you, so is this too few percent point better margin possible in the entire mix because of better export content, better export mix?

Madhav Kejriwal : The advantage of a good opportunity coming up in the export market is always an option that is in fact we like to believe that that is our USP in the ductile iron industry being omnipresent globally, we do tend to see advantages on that front.

Avinash Nahata: And how much on a tonnage basis we would have done on an export side, have we done more than 2 lakh ton over the last 3 years, 4 years on the export side?

Madhav Kejriwal : In totality yes, but on a year -on-year basis we've not reached 2 lakh tons on export.

Avinash Nahata: I mean in a single year, I'm asking?

Madhav Kejriwal : Our average is between 120 ,000 to 150 ,000 that's what the average if you see the last 5 year to 10 year trend.

Avinash Nahata: Can you indicate if at all our export mix improves on a per ton basis or on a percentage basis, how much it would be better than just an indicative thing as compared to domestic?

Madhav Kejriwal : The complicat

ion in this that because every country has a very different margin. It will be difficult to put a specific number to it. It really depends on which country the additional capacity is going to which region, which country.

Avinash Nahata: No, so I understand that I'm just asking on an average. So , since we are talking about only export markets, so domestic versus rest of the world, I mean , if at all the mix improves, what kind of improvement directionally we see even if you can give a band, it is okay?

Page 8 of 17 Madhav Kejriwal : Well, let's say that maybe an improvement of 5% to 10% basis an average and of course this is

considering the demand that is there in the domestic market. What we do is that we take a decision basis the fact that we are getting a better margin. There's always scope to improve exports, but at this point the domestic market is quite strong results. So, we opt out of those opportunities where we don't see a better margins.

Avinash Nahata: And one question on procurement, do we take a call on market as far as coking coal or coke is concerned or it's a quarterly pricing we get or we do on a spot basis also on a monthly basis?

Uddhav Kejriwal : Sir, we are not buying all our coal on contract basis as such and even if we have some contracts on the supply side, it is only to guarantee tonnage. Price that we are currently operating on even for the partial tonnage that is locked under contract is the average index of the month or in which the ship sails out from the exporting country for India. So , basically it doesn't tantamount to a fixed price.

Avinash Nahata: So, basically these are a monthly average price at the best, right?

Uddhav Kejriwal : Yes. its under the contract, we definitely try to play as per the market. And in our understanding try to take the decision in the best interest of the company.

Avinash Nahata: I didn't get the last part of it. Can you please repeat?

Uddhav Kejriwal : And the quantity which is not locked under tonnage, we try to time it as per the market dynamics and the requirement of the plant and try to come to a common decision keeping all the dynamics in mind in the best interest of the company.

Moderator: Thank you. The next question is on the line of Surabhi Saraogi from SM IFS Capital Markets. Please go ahead.

Surabhi Saraogi: Sir, just needed one clarification, is there any planned maintenance shutdown of plants in H2?

Madhav Kejriwal : We do have regular maintenance shutdowns, but nothing big in the H2FY24 .

Surabhi Saraogi: Okay nothing big and there was no such thing in quarter 2, right?

Madhav Kejriwal : No, please.

Moderator: Thank you so much. The next question is from the line of Marsal. Please go ahead.

Marsal: During the Q2 how much was our production and sales and what is the current order backlog for domestic as well as export market?

Page 9 of 17 Madhav Kejriwal : So, we've produced 2 lakh tons and we've sold 2,00,500 tons so just about a little more. Our total order book is close to 5 lakh tons at this moment, both export and domestic markets put together.

Marsal: And currently what is the capacity utilization and are you planning for an extension?

Madhav Kejriwal : Going forward there is a CAPEX in the foray. We are going to be investing money out of the internal accruals that will come into effect in the second -half of the next financial year.

Marsal: So, like our current capacity is how much annual?

Madhav Kejriwal : Annual capacity is 7 lakh tons. We've bottlenecked a little and improved on that.

Marsal: And then like this the performance, the financial performance like during Q2 is it like one off or are we going to sustain this in this quarter or the next quarter and so on considering that Jal Jeevan and so much, instead of CAPEX coming like so much expense coming by the government or like if yes, if you're going to sustain it so

like what kind of , for example, you see the growth

in terms of turnover and EBITDA during the current quarter and the next quarter ?

Madhav Kejriwal : So, the capacity as we mentioned is now this is the standard by which we would like to operate

in terms of tonnages. Coming to EBITDA, I think this was a very good quarter, but going forward we do see good quarters. So, maybe a little a few percentage points here and there, but yes, I think as I mentioned earlier a 14 % to 15% EBITDA margin is quite sustainable.

Marsal: And Sir you mentioned regarding this export, so you also mentioned about Saudi Arabia. We have been attending the conference call of some other similar kind of company. So, they were saying that in Saudi they are like very specific and they don't want to promote this like foreign government expenditure like they don't want to import something like they want to buy domestically. So, are we supplying to Saudi Arabia number one. Number two which other country we are now going to open during this H2?

Madhav Kejriwal : Sir, we do supply to Saudi Arabia, it is not misplaced what you have the information you've been given, but as with many other countries, there are different types of projects, some which come with this rider that they would like to buy products made within the country itself and some projects don't have that.

Another aspect that is important to note is that Electro steel is one of the oldest brands in the Saudi Arabian market. So, we do have a slightly higher lead at a kind of up on our competitors from the Indian market. So, we are able to capitalize on that front as well.

Marsal: And sir with new country we are going to open like where this like work in advanced stage during this H2 for example for export?

Page 10 of 17 Madhav Kejriwal : I mean it will be difficult to give you a specific name.

Marsal: No numbers I'm asking how many countries?

Madhav Kejriwal : How many countries.

Marsal: Because as you mentioned like Africa and Europe, they are like they have the trust on this water supply and all those things. So I'm sure that like Electrosteel Castings is a very renowned name in this field. So, that's what like it will be like good information?

Madhav Kejriwal : We have been operating in these countries for 20 years now, so there won't really be any new country per say that we will be targeting. We've been here and we've covered the entire geography of that area. So, it won't be new.

Marsal: As we have observed that there is a good buoyancy in the DI like pipe and DI sector product across India, for example, as we have heard from you, as we have heard from the other manufacturer also. So, if there is a big demand or if the demand increasing, so naturally PAT will also increase. So, did we make any price increase during Q2 or any price increase from Q1 like from first October till now any price increase?

Madhav Kejriwal : As we were mentioning that our rates are more on fixed term basis for 6 months to 8 months. The new orders will be taken on the basis of the movement of the major raw materials which have been relatively stable in Q2FY24.

The impact of the raw materials that was there due to which our performance was not at this level, say in quarter 1 of this financial year that has been countered. There is good robust demand, yes and I think we are optimized on the pricing front as against the movement of the raw materials.

Moderator: Thank you. The next question is from the line of Prathamesh Dhiwar from Tiger Assets. Please go ahead.

Prathamesh Dhiwar: I just wanted to know how much percentage of our sale came from export for this quarter so I missed it earlier?

Madhav Kejriwal : Around 18%, yes.

Moderator: Thank you. The next question is from the line of Parv from Niveshaay Investments. Please go ahead.

Parv : So, I just wanted to understand on a broader view, what

is our margin difference if we look at export markets particularly these Middle East markets, then there is this African market and Page 11 of 17 then there is a domestic market, how does the margin profile look like across these geographical areas?

Madhav Kejriwal : Of course, for example, the Western world and we talk about the European countries they require a much higher value added product. So, the margins there are more substantially more than the domestic. When you talk about the Middle Eastern market from country to country, the margins fluctuate depending on the quality of the material that is required and also within the country, depending on the projects that come up the margin fluctuate, a particular project might require a very niche product where the margins are more and we want to capitalize on those as much as possible, but as I told you before the weighted average is between is around 7% to 10%.

Parv : And sir just one more follow up on this how would our geographical breakup look like in terms of Middle East market, Europe market and the domestic market?

Madhav Kejriwal : Of the 1,30,000 tons, 1,40,000 tons that we export around 45% -50% in tonnages goes to the European market, 30% also goes to the Middle Eastern market and the remainder is distributed amongst the other various markets that were present in and, of course, between the domestic and export we are operating at a capacity of approximately 7 lakh tons a little more. So, you can say that everything apart from the 130,000, 1,40,000 tons that we are selling in the export

market goes to the domestic.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead .

Saket Kapoor: When you were guiding for this 15% bracket for EBITDA margin, which number should we look the standalone or the consolidated numbers ?

Madhav Kejriwal : You can look at the consolidated numbers as well, you'll see a similar reflection.

Saket Kapoor: Because EBITDA margin percentage for there is a difference of 100 basis points between the standalone and the consolidated. Consolidated margins are 16.4 whereas standalone is 17.5.

So, if we take the consolidated number 15 or the standalone?

Madhav Kejriwal : Sir you can take the consolidated number to be as I was saying it will be between 18 % and 15% so that is one percentage point consolidated or standalone will it will change quarter -to- quarter. So, there are too many moving parts over there to be very precise on low percentage points on that.

Saket Kapoor: And sir as you have mentioned just I am repeating our deliverables are likely to be in the vicinity of 2 lakh per quarter for H2 also?

Madhav Kejriwal : We would like to target that, yes.

Page 12 of 17 Saket Kapoor: Sir, there is also one mention about one CAPEX of Rs. 44 crore, if you could just explain the nature of the same. We are doing this current 12 CPD rubber gasket plant at Indore at Chittor district if I would explain?

Madhav Kejriwal : So, that is a kind of let's say that this is a backward integration because this is a product that is required to be sold along with our pipes, which we are procuring from outside agencies , but we would now like to integrate that for ensuring supply chain and quality.

Saket Kapoor: This is pertaining to the fitting segment?

Madhav Kejriwal : At every joint this product is used. So every pipe that we sell is required.

Saket Kapoor: And sir when we look at our cash flow there we find that we have booked a loss on sale of fixed asset to the tune of INR 14 crores. So , if you could explain the nature of the same?

Gaurav Somani : Saket ji these are some of regular CAPEX items which are required in the course of manufacturing and on regular intervals they are charged off. So , this is on account of that.

Saket Kapoor: Come again Gaurav ji I missed your point?

Gaurav Somani: These

are some of the regular nature of items which are required for the course of manufacturing and after a certain point they are charged off to the profit and loss.

Saket Kapoor: And sir for the CAPEX part, I think so Ashutosh ji mentioned that we have a INR 600 crore CAPEX out of which we have already spent INR 360?

Ashutosh Agarwal : We have spent INR 260 crores.

Saket Kapoor: Okay Sir, sorry INR 260 Crores, we have spent and what will be the spend for H 2, sir?

Gaurav Somani: H2 would be close to around INR 200 crores.

Saket Kapoor: And the net debt number Ashutosh ji what we will be closing the year, this is for INR 1,540 Crores now?

Ashutosh Agarwal : It would be somewhere around INR 1,500 crores approximately.

Moderator: Thank you. The next question is from the line of Tarak Mehta from Kotak Securities. Please go ahead.

Tarak Mehta: Just want to understand where are we heading if we have a very clean balance sheet, very low leverage now and we are going very slow on the CAPEX . So maybe in case you can highlight what are we looking at, maybe down the line 5 years or 10 years, what are we looking at sir?

Page 13 of 17 Madhav Kejriwal : And in terms of our capacity enhancement , I think when we get to the level that we have, we will be looking at the bottlenecking as I'd mentioned. We are also studying ways by which we can improve on our margins by value added products , but nothing concrete at this moment. We would like to remain within our core business though.

Tarak Mehta: So, maybe any aspiration to reach to maybe INR 5,000 or 10,000 crore of revenue within two years , three years or some color or what are we looking at, sir?

Uddhav Kejriwal : Sir, just to add to what we have already tried to put on the table, we already have an expansion plan in place to reach 9 lakh tons by the second -half of financial year 24 -25. We have also mentioned that as a process of continuous improvements initiatives and debottlenecking we will be working to see and definitely we are confident that we will be able to make pipes a bit beyond that.

Beyond that also we are continuously evaluating initiatives whereby within our core area of business, we can add value and at the same time do certain decent margins and improve the bottom line and top line now.

Now, having said that, we also have to keep in mind going forward in whatever decisions we take that we have to be conscious of this entire carbon emission drive that is going to be taking be taken up in our country and outside our country. So , we would like to invest our capital wisely trying to balance both the channels, that is our own business dynamics of our core area of business as well as our capital involvement with carbon reducing capital projects.

Also, as has already been explained, we have also taken up a small project per se, but nevertheless important in the form of taking up the drive to setting up a rubber gasket

manufacturing plant in another location in the South, where we will be manufacturing gaskets which will be 90% consumed within our internal usage, but this also throws up some opportunity for us to look at value added products going forward which is also at the evaluation stage. So, once we are clear on this front, we could be adding supplementing this with that as well.

Tarak Mehta: So, just I was pointing that our balance sheet is maybe in comforting zone. We are going slow a bit on the CAPEX, so that's why I just want to know are we looking at the larger picture or our products are well accepted globally. So, are we still going slow or just some more color here?

Madhav Kejriwal: So, we have our eyes wide open and ears close to the ground in terms of opportunities that pop up as we were mentioning that sometimes I think it's important to wait for a good opportunity to come your way with adequate capital reserves to make use of that opportunity.

So, that is

the space that we are in at this point.

Page 14 of 17 Moderator: Thank you. The next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: I just wanted to know is there any update on our Parbatpur plant to JSW?

Madhav Kejriwal: Sir, no update from the last quarter call.

Moderator: Thank you. The next question is from the line of Rajesh Agarwal from Moneyore. Please go ahead.

Rajesh Agarwal: Indian Metal Ferro Alloy received money from Coal India, so any update regarding ours?

Madhav Kejriwal: Sir, there is no further development as from the last conference call.

Moderator: Thank you. The next question is from the line of Vikas Singh from Philip Capital. Please go ahead.

Vikas Singh: I just wanted your thought process since Europe is a quite big market for us and now CBM is gradually going to get implemented. So, how do we stand there would it how is going to impact us or we would be able to by pass it so your thought process on those?

Madhav Kejriwal: As Mr. Kejriwal had mentioned we are looking at infusing capital going forward as we go ahead for emissions, for activities to reduce our carbon emissions that is one of the thought processes that we have. We will also try and see if we can make use of our better operations to generate some capital through the trading markets. This is just a thought process at this at this point.

Vikas Singh: So, a part of your production can be converted into green production. Is that the way you are trying to communicate or is there something else?

Madhav Kejriwal: I wouldn't say entirely green at this point, but green or more definitely.

Vikas Singh: And just secondly on our debt reduction, while we are much ahead of our repayment schedule, giving the current business plan, how do you see that debt moving into the next 6 months to 1 year time frame?

Ashutosh Agarwal: I think next financial year, we will be long term debt free as per our plan.

Moderator: Thank you. The next question is on the line of Saloni Himani. Please go ahead.

Saloni Himani: Sir just some follow up question sir I don't know if I am repeating this question this year can we do 7 lakh volumes at least?

Madhav Kejriwal: Yes please.

Page 15 of 17 Ashutosh Agarwal: We are hoping for that.

Saloni Himani: Last year we did 7.15 lakh tons, so can we expect an improvement in this year?

Madhav Kejriwal: Ma'am, I would like to keep it to same number at the minimum. We are working towards seeing what best we can do beyond that.

Saloni Himani: I think in the last question you mentioned we want to be long term debt free in the next financial year, am I right?

Madhav Kejriwal: Yes madam.

Saloni Himani: So, going forward any internal targets from the total net debt in the next financial year?

Ashutosh Agarwal: Around INR 1,200 crores to 1,400 crores.

Moderator: Thank you. The next question is from the line of Chirag Jain. Please go ahead.

Chirag Jain: Sir, you just wanted an update regarding the Elavur land case which is going on, what is the current status, have we any update SARFAESI with regards to the same?

Madhav Kejriwal: No, please it is status quo at the moment.

Chirag Jain: No update with regards to the SARFAESI proceedings which were filed against us, they are still the same?

Madhav Kejriwal: Yes, please.

Moderator: Thank you. The next question is on the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Ashutosh ji what is our long-term debt as on 30th September?

Ashutosh Agarwal: 30th September INR 700 crores.

Saket Kapoor: Sir that net debt I'm only asking the long term debt which you are saying that we will be long term debt free?

Ashutosh Agarwal: I'm talking about long term debt only.

Saket Kapoor: That is INR 1,200 Crores.

Ashutosh Agarwal: No. It is INR 700 Crores.

Page 16 of 17 Saket Kapoor

oor: So, we will be retiring this long term debt by the end of next financial year and we will be having a working capital debt to the tune of INR 1,200 crore this is what we are understanding?

Ashutosh Agarwal: INR 1,200 to 1,400.

Saket Kapoor: Sir, with the improvement in our rating, what is our current cost of funds?

Ashutosh Agarwal: The Cost of fund for long -term debt is around 8.5% and working capital is 7.6% on an average as on today.

Saket Kapoor: Sir, in terms of Uddhav ji and Madhav ji as we mentioned about the increasing the product profile , we have seen in one of the cases that we are also finding OPVC pipe as a complementary to DI pipe and there are although there is only a 30,000 ton overall capacity in the country, but many plastic manufacturer, I think Supreme Industries is coming up with a CAPEX wherein they mentioned that the se pipes should be supplementing as a supplement to the DI pipe . So, taking into account does going ahead does this OP VC pipe match works? Have you worked out anything in this aspect?

Madhav Kejriwal : Sir, we are of the strong belief that for water supply and wastewater there is nothing better than the ductile iron pipes . So, we would not want to go into another product for the same purpose, saying that within the water infrastructure gambit there are a lot more products where we can look to value add , those are the opportunities we're looking at.

Saket Kapoor: And sir couple of bookkeeping questions which I can I will take offline, but I'm just mentioning them. Sir we find that the other non current liability has moved up sharply from INR 4 crore closing balance on 31st March to INR 254 crore as well as the other current liabilities have moved up from INR 300 crore to INR 505 crore, so if the nature of the same could be explained what has led to this, it maybe the regrouping also, but if that can be explained later on also Gaurav ji I can take it offline.

Madhav Kejriwal : I will request Mr. Somani to take it up with you offline.

Moderator: Thank you . As there are no further questions from the participant, I now hand the conference over to the management for closing comments.

Madhav Kejriwal : I would like to thank everybody for taking out their valuable time for attending the call and hearing us patiently and for your continued interest in our company. With the support of all the stakeholders, the company has been doing very well, growing consistently and at the same time strengthening the balance sheet.

We are well positioned to benefit from the growing water infrastructure spending both in the domestic market and in the export market and maintain our leadership position. I would like Page 17 of 17 to wish everybody a very Happy Dhanteras and a Happy Diwali. If in case you have any further queries, kindly reach out to our EY IR team. Thank you very much.

Moderator: On behalf of Electros teel Castings Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

16 February , 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 8 February, 2024 intimating that a Conference Call was scheduled to be held on 13 February, 2024, at 2.00 pm IST, to discuss Q3 & 9M FY 23 - 24 Earnings of the Company.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of the transcript of the said call with the Investors.

Please also find herein below the link of the transcript of the said call that has been uploaded on the website of the Company -

<https://www.electrosteel.com/investor/investor-presentation-and-other-documents.php>

This is for your information and records.

Thanking you ,

Yours faithfully,

For Electrosteel Castings Limited

Indrani I Mitra
Company Secretary

Page 1 of 17 Electrosteel Castings Limited
Earnings Conference Call
February 13 , 2024

Moderator : Ladies and gentlemen , Good day and welcome to the Q3 and 9 M FY24 Earnings Conference Call of Electrosteel Castings Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.

I now hand the conference over to Mr. Vikas h Verma from E&Y LLP . Please go ahead.

Vikas Verma : Thank you Tushar. Good afternoon, everyone. Welcome to the Q3 and 9 MFY24 Earnings call for Electrosteel Castings Limited.

On behalf of the Company , I would like to express our gratitude to each of you joining the call today.

To discuss the performance of the Company and to answer the questions we have with us from the Company, Mr. Uddhav Kejriwal – Whole Time Director, Mr. Madhav Kejriwal – Whole Time Director, Mr. Ashutosh Agarwal – Whole Time Director and CFO and Mr. Gaurav Somani – General Manager Finance.

Before we begin, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors which will be beyond management control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements.

Please note that this conference is being recorded. We will now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session.

I would now like to invite Mr. Madhav Kejriwal to make his opening remarks. Thank you and over to you, Madhav.

Madhav Kejriwal: Thank you. A very good afternoon to all and a warm welcome.

Page 2 of 17 Highlighting the Company's Q3 FY24 Operational Performance :

It gives me great pleasure to share with you that we have registered our highest ever quarterly EBITDA and PAT of INR 429 crores and INR 263 crores respectively. This was on the back of an income that stood at INR 1892 crores led by a strong demand from the domestic markets owing to the governments Jal Jeevan Mission, AMRUT and irrigation scheme.

Additionally on the margin front the Company registered its highest ever EBITDA margin and PAT margin of 22.7% and 13.9%. We saw our blast furnace in the Khardah unit go under repair and maintenance this quarter owing to which we will be able to see some benefits in the aforesaid coming quarters. Our balance sheet is stronger now

backed by robust performance.

We are confident that with support of all the stakeholders continued performance improvement and focus on the government to provide for India's water requirements the balance sheet will grow to be much stronger in the coming times.

This will be by a combination of various factors such as a strong order book, economies of scale and operational efficiencies. This quarter we were able to sustain our growth momentum with better volumes at our South Unit. During the quarter, our pipe volumes stood at 1,95,000 tons, the export share of this was 16%. The government's ambitious JJM project which was launched for connecting every rural household with tap water connections has achieved a 74.1% of which national target till dates over 14.3 crore rural households now have safe access to drinking water from India's total 19 crore rural households.

We opened this quarter with an order book of 6,00,000 tons which provides visibility to us for 9 months to 10 months. The ongoing CAPEX is progressing as planned thereby maintaining the Company's leadership stance. The interim budget of 2024-25 vision of Viksit Bharat by 2047 is poised to spur infrastructure spending benefiting Electro steel for varied product applications like continuous safe drinking water, sewage irrigation and others which will lead to an increased demand for ductile iron pipes.

Additionally, the rise in global water infrastructure spending adds visibility to our order book, making us a preferred partner for key water infrastructure projects both in the domestic and export markets. Nearly 5 crore households are yet to be connected with drinking tap water under the Jal Jeevan Scheme.

Additionally, AMRUT 2.0 will continue to drive demand for ductile iron pipes and fitting products in the coming years. There is a growing need for better water infrastructure products in the global market for securing drinking water as well. Owing to this, we are pretty confident about the future of the organization.

I would now like to hand over the floor to Mr. Ashutosh Agarwal – Whole Time Director and CFO for taking you through the Electrosteel Castings Q3 FY 24 financial highlights.

Page 3 of 17 Ashutosh Agarwal: Thank you, Madhav ji. Good afternoon and a warm welcome to all the investors present in this conference.

I would like to first start with the Q3 "Consolidated Performance" of the Company :

The total income stood at INR 1,892 crores in this quarter EBITDA surged by 112% to INR 429 crores in this quarter. EBITDA margin expanded by 1,183 bps year-on-year basis to 22.7%. PAT grew to 236% to INR 263 crores in this quarter. The PAT margin expanded by 972 bps year-on-year basis to 13.9%.

Now moving to Stand alone Performance of the Company:

The Company sold 195,253 tons of DI pipe during this quarter. The Company's total income was at INR 1,814 crores. EBITDA grew by 124% YoY basis to INR 412 crores in Q3 FY24. EBITDA margin expanded 1,223 bps YoY to 22.7%. PAT grew by 286% YoY to INR 252 crores in this quarter. The PAT margin expanded by 1,016 bps YoY to 13.9% during this quarter.

Moving to Consolidated Performance of 9M FY24 :

From the total income was INR 5,542 crores during 9M FY24, EBITDA surged by 58% YoY to INR 935 crores with an EBITDA margin of 16.9%. PAT grew by 126% YoY to INR 513 crores with PAT

margin of 9.3% . EPS during the 9 M FY24 was at INR 8.59.

Moving to Standalone Performance up to 9 MFY24 :

The Company sold 5,50,886 tons of pipe during the period . The Company's total income was INR 5,232 crores during this period. EBITDA surged by 58% YoY to INR 927 crores with EBITDA margin of 17.7%, PAT grew by 122% YoY to PAT to INR 517 crores with a PAT margin of 9.9%. EPS was 8.67.

Now I am talking about CAPEX plan :

The Company has spent INR 340 crore s till date for the expansion plan which is INR 650 crores.

The ongoing CA

PEX is in progress as per the plan, new capacity is expected to be started by September / October FY 2025 which will take the Company to the overall capacity of 9 lakh tons per annum.

As on 31st December 2023, the gross debt of the Company came down to INR 2,100 crores and net debt stands to INR 1,680 crores. The Company's net debt-to-equity ratio stands to 0.36 : 1 as on 31st December 2023. ECL adjusted ROCE and ROE annualized after adjusting coal mine compensation which is due to be received and appearing in the books of accounts stands to 20.2% and 20% respectively as on 31 December 2023.

Page 4 of 17 Now , I'm opening the floor for the question and answer session. Thank you everybody.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Vikas Singh from PhillipCapital . Please go ahead.

Vikas Singh: Sir my first question is regarding our profitability it is far higher or probably the best ever EBITDA per ton how much is basically sustainable in this and what factors contributed to such a significantly high profitability if you could give us some info on that?

Madhav Kejriwal : So, I'll answer in two parts. I'll start off with what are the factors that have led to this. One of the major factors that have played a key role in this would be the economies of scale and the improvement in the operational efficiencies along with the little support from good hedging scenario that we saw for our raw material prices.

In terms of sustainability, we are seeing some strong tailwinds from the demand perspective as well, and even from our continuous efforts towards operational efficiencies. So, I would say that the outlook is strong for the foreseeable future.

Vikas Singh: But going forward, would we be able to maintain the similar kind of margins or it's a very tall expectation then we should take it as of 15,000 tons to 18,000 tons kind of the range. What would you like to guide to us?

Madhav Kejriwal: Sir, I think barring minor fluctuation of a few percentage points here and there I don't think I feel that foreseeable future it seems pretty good. I was saying that we have also been planning our raw materials, hedging it according to our order book as I mentioned we have a very strong order book of 6,00,000 tons against 4.5 lakh tons last year. So, to accommodate for our increased order book and also our expansion in terms of volumes we are working on efficient utilization of working capital and keeping our raw material inventory at a certain level to maintain margins. So, that is an exercise which will help us sustain these sort of profitability and EBITDA margins.

Vikas Singh: So, my second question regarding this blast furnace realigning. So , what kind of the production loss we could experience in the next year or there is a possibility that in the later part of the year we would be able to cope up with this? So, if you would give us some idea about that?

Madhav Kejriwal: So, the loss of production that we have seen due to this would be around 25,000 tons, but we managed to make up for a good percentage of it through an improved performance by our South team. Due to the realigning , we are expecting to increase the capacity of our East unit by around 50,000 tons. So, that is the advantage that we are seeing of this for the next, for this quarter the remaining 2 months and for the next financial year.

Page 5 of 17 Vikas Singh: And since we are already running that kind of 8 lakh ton an annualized run rate. So, by when we would be able to reach that 9 plus kind of the annualized run rate?

Madhav Kejriwal: So, pro rata basis I think mid next financial year we will hit that target maybe starting Quarter 3 next year latest, but so far everything is going as per the timeline. So, you can say somewhere around mid-Quarter 2 of the next financial year.

Vikas S

ingh: And just one last question more as sir everybody is increasing their capacities tremendously. I know you have kept telling us that the market is very buoyant, but do you expect that since these capacities are all coming within a stipulated time frame and usually demand increases linear curve over the longer time. So, we can face any problem in next year or thereafter for a short period of time?

Madhav Kejriwal: Foreseeable future to give you a very frank answer I was not being able to understand how so much material will be able to be supplied by the ductile iron industry, but I think with the capacity is coming and it's only a support to the industry to maintain its stature as the most preferred product to be used in water pipelines. So, I look at it more as a support factor than a problem for some time at least.

Moderator: Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead.

Radha: Sir, my first question was that, so we are the largest exporters of DI pipe from India and for us Europe remains a key market. So, considering this we wanted to understand what are the key projects for DI pipes in Europe plus UK region and what kind of opportunities do those projects create for us. Additionally, are there any capacity expansions announced by existing players in these regions and third considering the anti-dumping duty how competitive are our products as compared to local players like St. Gobain or other local players or even considering the Chinese players?

Madhav Kejriwal: So, ma'am a lot of the projects that we are envisaging in the European territory will be a repercussion of the EU funding that has been put in place post the COVID pandemic and there is robust demand in a lot of Eastern European countries and also in France and Italy. In regard to the capacity expansion of our competitors there is no indication of any sort of capacity expansion by the local players in Europe and we see that there is enough place for both them and us to coexist considering the focus of the governments to improve and upgrade their water infrastructure.

In regard to the dumping, we do envisage this to affect our margins marginally not a lot very insignificant amount because the overall pricing situation over there is such where we have comfortable cushioning against that.

Page 6 of 17 Radha: Sir, any highlights on what is the kind of anti-dumping duty on us versus the Chinese or other countries as well?

Madhav Kejriwal: Ma'am against China we are still at a lower dumping duty than them. There is still a differential of 7% to 8% between our and their dumping duty.

Radha: Sir you mentioned that our products are quite competitive as compared to the local players. So, what gives us that edge considering that we are exporting from here and they are manufacturing there. So, considering all the logistics cost involved what gives us this competitive edge over others?

Madhav Kejriwal: Ma'am energy cost is a big aspect of it, economies of scale is another part of it labor costs and also we tend to operate our plants a little more efficiently because we are running at full capacity. They have fluctuating issues due to labor problems, fluctuating energy and also I think overall slightly less invested in their manufacturing and I would say we are continuously upgrading our machinery and our processes which they don't partake in as aggressively as we do.

Radha: And secondly on the Middle East front, so they're given to understand that Middle East is investing a lot in their water project. So, could you explain the demand supply scenario of the entire region of the Middle East countries as a whole and given these investments by government in the Middle East region what kind of opportunity is that expected to create for the DI pipes particularly in the coming 3 to 5 years?

Madhav Kejriwal: Ma'

am, the major market in the Middle East would be Saudi Arabia at the moment we are seeing some good pull also coming in from Kuwait and Oman, UAE and Qatar remain to be stable markets, but they are very niche markets requiring specialized production. Fortunately, we are one of the only manufacturers from India who is able to cater to that need. We are quite optimistic regarding Saudi Arabia at this point. I think we can add a bit of I would say approximately another improvement of 5% to 7% in our overall volumes to Saudi Arabia going forward progressively.

Although that market does have players in it as well, but there is a lot and enough for everybody and going to the fact that we've been established players we've been there for many years once we are the we are the first choice beyond the indigenous manufacturers.

Radha: But in our previous PPTs one of their presentations we had mentioned that we are expecting that Indian market is expected to grow at 11% to 13% CAGR for DI Pipe. So, given that we are seeing a lot of push in the Middle East region. So, in the near-to-medium term is it such that the Middle East is expected to grow at a higher rate as compared to the growth rate expected in India or would it be in a similar range?

Page 7 of 17 Madhav Kejriwal: I think it will be slightly lesser, ma'am. It's a geographically smaller country and even in terms of population distribution, it's not as it is in India. So, owing to that the growth will be slightly slower, but yes at the same time it will probably be at number two in terms of growth rate close to India, but slightly lower.

Radha: So, 11% to 13% for India would be correct and maybe 9% to 10% for Middle East?

Madhav Kejriwal: Yes, 8% to 10% for Middle East.

Radha: Sir you mentioned that we are one of the only players exporting there, so could you also explain how competitive are we as compared to local players in the Middle East and are key USP in that market?

Madhav Kejriwal: Well, ma'am, I'll answer the other way around. Our USP is that we have a pretty high functioning warehouse in Bahrain with also fabrication facilities which helps us give confidence to the customers of effective delivery. In terms of quality since we've been an established player for many years there is no issue with the customer on that front.

So, these are our these are two main USP. In terms of preference over local manufacturers and they are a bit of a protectionist nation so I wouldn't say that there is a preference over local manufacturers, but I would say there's an equal footing with local manufacturers that we are allowed.

Radha: Sir, preference actually giving the raw material dynamics of India iron ore and cooking coal considering that dynamics of India versus the Middle East. So, do we have any advantage over the cost of production of players in DI pipes of Middle East?

Madhav Kejriwal: Ma'am, taking into consideration the small import duty that is available and the slight protection measures that some tenders come out with wherein a price differential is allowed to the local manufacturers we somewhat end up at the same level. There is no real price advantage per say for not the entirety of the Middle East for Saudi Arabia when we talk about UAE, Qatar, Kuwait, Oman over there we have a reasonable advantage on pricing because they don't have these said duties.

Radha: Sir, recently Middle East has announced an 80 billion actually Saudi Arabia has announced this \$80 billion project for water infrastructure desalination project. So, wanted to understand that how much of this would be allocated to DI so in India if a project is announced usually we assume around 20% of the project calls to be allocated to DI. Could we take a similar number for Middle East region?

Madhav Kejriwal: This is an exercise that our team is doing it. I don't want to give you the wrong number. I think

maybe

maybe offline once we have that number we can communicate the same to you.

Page 8 of 17 Moderator: Thank you. The next question is from the line of Sailesh Raja from B& K Securities. Please go ahead.

Sailesh Raja: Sir, this question you have already answered, but I still need more clarity. So, historically DI pipes used to make say INR 9 to INR 10 EBITDA. Now industry or Electrosteel we are doing INR 16 to 18 gains. So, in this incremental rupees, can you give me the breakup of this incremental benefit that we are keeping? How much is because of scale?

How much is because of the process improvement? How much is because of raw material benefit and because of favorable dynamics benefit how much we are getting because in the industry say one year time they're adding 1 million tons of capacity actually. So, do you still think this kind of EBITDA is sustainable I need to understand sir?

Madhav Kejriwal: I'm sorry just one correction I would like to make historically DI has seen around INR 11 to INR 12.00 of EBITDA. At bad year yes, you are correct it was around INR 9 to INR 10, but we have wait a t a long -term average it's around INR 12,000 rather per ton and I think in terms of raw material that probably contributes to 2 % to 3% of the entire improvement portion of the EBITDA margins, big chunk of it is to do with the better economies of scale and the demand pull that is there.

Sailesh Raja: Could you please talk about today's rejection rate in DI pipe for us 2 years, 3 years back what was the rejection rate and how much it is now and what are the initiatives that we are taking to reduce the rejection rates?

Madhav Kejriwal: Rejection rates you mean in terms of manufacturing.

Sailesh Raja: Yeah correct sir.

Madhav Kejriwal: Sir that is a very fluctuating situation. As you know, we make pipes for all sorts of markets. So, it varies over time depending on what material we are making on dia, etc. So, this is a complicated answer to really give you a single number, but it's in the lower single digits.

Sailesh Raja: Any improvement you are seeing Sir in 2 years back, how much it was now, how much it is, any improvement you are seeing?

Madhav Kejriwal: Yes, definitely. I think there is a substantial improvement from what it was earlier because there's better machinery, more advanced machinery that we have put in and as you pick up on certain tonnages and the machine picks up on certain places and your manpower also gets more skilled. So, those factors are leading to improved rejection rates by a good margin.

Sailesh Raja: So, could you please talk about this rubber gasket project and how much you are investing, what will we pay back that we are expecting?

Page 9 of 17 Uddhav Kejriwal: So, for the rubber gasket project, I don't think it would be prudent to say anything much beyond

the fact that at present we have only envisaged to produce enough for substituting the gasket purchasing that we are doing for supplies along with our orders.

In addition to that, yes, we are at an advanced stage of contemplating how we can utilize this opportunity to do more or better or different and do other value-added products also, but since that has not yet been crystallized 100% as it would not be right to speak about that.

But yes, this gasket project will definitely take care of the entire buying that we are doing, and it will be now our own gaskets that will be used in totality after this comes into production.

Moderator: Thank you. And the next question is from the line of Pinaki Banerjee from AUM Capital Private Limited. Please go ahead.

Pinaki Banerjee: Sir, actually in this quarter actually the top line actually was absolutely flat given the fact that yes there was a plant shut down at Khardah plant and we had primarily got the advantages of

low raw material cost and the low finance cost. So, considering how

much top line numbers

are you expecting to report for FY 24 and just now you mentioned that you have about got an order book of 6,00,000 tons. So, what was the growth we are expecting in FY25 ?

Uddhav Kejriwal : As you are already aware from whatever details we have shared in public domain and also in clarifications on this call, we did have a shutdown for maintenance and improvement in our Khardah plant in the third quarter. In spite of that, we are expecting that we will be closing this financial year with definitely in EBITDA margin of around 18% if not better .

Pinaki Banerjee: And sir how much in sales how much top line you're expecting?

Uddhav Kejriwal : Going forward , the growth percentage that you are talking about, I'm sure next financial year that is 24 -25 we will see additional capacity coming upstream with our capacity increase going through in the Southern side of the operations also the Eastern side will be performing to full and improved efficiency after the activities that we have undertaken during the shutdown. So, in terms of EBITDA margin , I feel that we should be showing an improvement of a couple of percentage points over the EBITDA margin at which we closed this year.

Keeping in mind the vagaries and the cyclical fluctuations in raw material , I think it would be more prudent to say on a conservative basis that if we close this financial year around 18%, if not better marginally then definitely another 2% to 2.5% we should be seeing improvement in the next financial year if not more keeping in mind the other uncertainties in this business.

Pinaki Banerjee: My next question is let's see the general elections are coming and most probably if you see by the time it gets over half of Q1 FY25 will already be gone. So, are you expecting any slowdown in the intake of new orders are in execution?

Page 10 of 17 Madhav Kejriwal : Not at all, sir. I think unfortunately due to the COVID -19 situation and also major fluctuations

last year beginning of raw material prices there was a slight slowdown in the overall progress of Jal Jeevan Mission also since it's a state plus center initiative there were certain states which were not able to back up the requirements from capital perspective . I think there is enough pending for them to really push through the entire election period as well .

Pinaki Banerjee: So, just another years just can you break up the revenue into four regions what percentage comes from Eastern, Northern or Western and Southern region if possible?

Madhav Kejriwal : This thing you will get different in every month. This I will not be able to tell you because as you know project order which has already been booked, which requirement it will come in that basis it gets changing, but the main market I can say North, East and South are our main markets in terms of our overall revenue we are slightly lower on the Western market.

Moderator: Thank you. The next question is from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Sir this results are we going to continue in the same way?

Madhav Kejriwal : Sir as my brother was mentioning we are very optimistic about the future in terms of both demand and improvements from our end on volume terms or efficiencies, which will help on the cost front. So, the raw material support that we have gotten which I mentioned is probably to the effect of 3% or 4% that should be able to be overcome by the higher margins and economies of scale. So, in that certain uncertainties are difficult to predict on a long -term basis. So, I would say that I would maybe discount by a few percentage points and say that that would be pretty sustainable for the foreseeable future.

Rajesh Bhandari: Means 2 quarters, 3 quarters back the results which are coming nobody can even imagine that such a good result it can be congratulations your efficiency has got improved.

Secondly, 7 lakh

to 9 lakh capacity expansion I am little confused in FY25, or it is coming in FY26?

Madhav Kejriwal : The pro rata production would kick in FY 25 in the sense that monthly production capable of going up to 9 lakh tons you will see in FY25 mid, but of course since it is coming mid year , we will not be able to take advantage of it for the entire financial year. So, we would see that kick in FY26 as a whole.

Rajesh Bhandari: In one of the last investor s meet , we were told that March quarter generally is far better than the other quarters. So, this year also we can expect it will be better than the third quarter?

Madhav Kejriwal : Sir, because of the robust demand that phenomena of March quarter being better is kind of now omnipresent throughout the financial year. So, I don't see there will be that jump?

Rajesh Bhandari: No, all quarters are like March quarter.

Page 11 of 17 Moderator: Thank you. The next question is from the line of Ajay Sharma from May Bank. Please go ahead.

Ajay Sharma: Actually , I wanted to ask I mean the coking coal prices have been going up recently, so I mean how do you expect that to impact your profitability going forward and how much inventory do you carry normally?

Uddhav Kejriwal : So, on the coking coal front there are some points that we need to look into. For the quarter that has gone by that is the October to December period we have seen drastic fluctuations in the prices of the coals which is very reflective in the fluctuation in the dominating index number one.

Number two, all the categories of coal that are purchased are largely determinant or a or a percentage factor of this prime main index. Now keeping this in mind we also have to balance in terms of the inventory management and also of how invested we are in the inventory on one side and also on the other side we have to take pragmatic decisions keeping in mind the way the market is behaving and largely so because quite a few times the market the way it behaves there is complete absence of any logic or rational to what is happening also at times. So, what we have tried to do this time is we take conscious, calculated and smaller calls at different stages whenever we have felt that there is some sort of a correction or a dip keeping in mind our ultimate selling price and our working if we feel that this has kind of worked for us in this quarter it may not necessarily work always, but yes this time in this quarter and also the lingering effect of this would continue in the last quarter of the financial year. So, yeah to that extent I think we have been able to kind of ride this curve of very, very drastic fluctuations.

Ajay Sharma: And typically, how much inventory would you keep for the raw material?

Uddhav Kejriwal: So, we try to work on the basis of across all categories on an average of about 100 to 120 days of inventory. However, between each category it may slightly fluctuate depending upon how sure we are of the next parcel and also how we see the market behaving.

Ajay Sharma: And other question on the production, so your volumes you said was hit by about 25,000 tons because of the relining maintenance?

Uddhav Kejriwal: So, just add another angle to it.

Ajay Sharma: So, I was wondering in Q4 should you be able to do 20,000 tons I mean just add the 25,000 tons which you lost in terms of production and volumes?

Madhav Kejriwal: So, sir bit of the capital shutdown came into the first month of the quarter as well, but saying that we are going to be coming out of the shutdown with higher production due to the improvements that we have made and of course in the South unit we are seeing it getting better and better. So, it will be difficult to give you an exact number, but the tonnage will be close to what you're mentioning.

Uddhav Kejriwal: Also, just to add that we have not exact

ly lost so much production because before we went into shutdown, we were operating at a higher efficiency level because of which before going to shutdown we were able to actually do a little bit more than what we would have been done in ordinary course.

So, keeping that in mind maybe the loss of production would be lesser than 20K and I think that already we could say is more than made-up in totality with higher output from the other units.

So, in totality the loss of production would be very negligible when we close the year also.

Ajay Sharma: I mean you said 50,000 tons increase in capacity, is it after the relining from the Eastern unit?

Madhav Kejriwal: Annually, yes please.

Ajay Sharma: So, your overall capacity doesn't become 9,50,000 then after the expansion or would you say still 9,00,000?

Madhav Kejriwal: As I said in the past conferences as well it will the rated installed capacity will be around 9,00,000 tons and with debottlenecking we will fall somewhere between 9 to 9.5 tons something in the middle of that.

Ajay Sharma: So, it's fair to assume for the new capacity you can do like 70% utilization or what in the next year the coming years?

Madhav Kejriwal: The next coming year sir if the past is of any use of example, I would say that we will probably end up with close to 100% if not at least 95%.

Moderator: Thank you. The next question is from the line of Koushik Sekhar from Vermilion Value Advisors LLP. Please go ahead.

Koushik Sekhar: What is the amount of sales you're getting from the irrigation segment currently or for the 9 months and whether the government is going slow on irrigation because the projects on the drinking water are going on and whether this is affecting their plans for improving the irrigation using piping?

Madhav Kejriwal: Sir, could you repeat the last part of the question please?

Koushik Sekhar: Whether the government is going slow on using DI pipes for irrigation because the market is already tight for drinking water usage, the CAPEX projects for drinking water are themselves running quite tight. So, are they slowing down on the irrigation?

Page 13 of 17 Management: Sir, the overall percentage of irrigation in the demand scenario today would be 15% and the government is I don't see the government really wanting to substitute ductile iron pipes owing to its superior performance.

As mentioned, there was a bit of an over demand scenario which was momentary going forward also there is a slight gap between demand and supply, but I think the quality of the product is such that things are getting a little delayed, but the preference is still ductile iron and with the industry capacity growing we are able to meet customer requirements. This is the reason why I was mentioning earlier in the conference call that I look at this as a support rather than a problem.

Koushik Sekhar: So, actually my question is that because this supply situation is tight and they want to complete the drinking water on a timely basis, are they just pushing the irrigation projects little out in

time that was the question?

Madhav Kejriwal : So, there is a bit of a balancing act going on yes, you see the capital available with irrigation is largely a state subject there's not a lot of center support on that front. There's a lot of outside agency supports like the ADB and KfW etcetera, but since the first thing to be met is drinking water states are wanting to flow their funds towards that first as priority and then into irrigation.

There are some exceptions to this of course, but that nitty-gritty varies from state to state, but largely there is a preference towards drinking water over irrigation, yes.

Koushik Sekhar: So, would it be right to say that their potential for irrigation would be much more improved if it will possible to supply more pipes to that sector in the coming years not

now, but over 3 to 5 years?

Madhav Kejriwal : Most definitely Sir, I think as we are moving toward the situation of fluctuating climate and India being a very disproportionate country in terms of water availability, pipe irrigation will become more and more the need. Right now, we're looking at new pipelines, but we haven't even scratched the surface on converting the existing canal based irrigation pipelines to pipe. So, this is the reason why there is such a positive outlook because there are so many avenues which are yet to even start getting explored in the demand scenario that the slowdown of one over the next 2 years, 3 years will see a bring up of the other.

Koushik Sekhar: Also, are you seeing any projects where repurposing wastewater for industry by moving them around? Are there any projects in which you have Company has participated to supply?

Madhav Kejriwal : Repurposing water our South plant to the water that is used there is a repurposed water as well. So, I think the best example to give would be for that we are using the wastewater from Tirupati in our Srikalahasthi plant. So, one example is that. There are a lot of these projects now Page 14 of 17 being envisaged, a few of them have come up in states like Odisha. But AMRUT is seeing the use of this logic a lot more. So, although there is not an abundant use case for what you are mentioning going forward I'm quite optimistic on the us being a more circular economy from the water perspective.

Moderator: Thank you. The next question is from the line of Saloni Hemnani from Molecule Ventures PMS.

Saloni Hemnani: Sir my first question is regarding the realization of DI pipes. What sort of realization trend are we seeing that is shaping up for the future?

Madhav Kejriwal : Ma'am, keeping in mind that both the demand scenario and the supply scenario seems to be progressively growing. I think stability is the right word to be used for the foreseeable future in terms of realization.

Saloni Hemnani: Sir, regarding the volumes for the next upcoming quarter, I had a question because in the last call when I asked sir we were basically saying that we would be targeting around 7.15 lakh of volumes in this year, but if you see despite the shut down that we took in quarter 1 and Quarter 3 we have been able to do phenomenally well in production numbers. So, any particular quarterly run rate that are we looking at?

Madhav Kejriwal : So, the reason behind this is see we kind of worked out internally and realized that even with the shutdown because of the shutdown say in quarter 1 and now that we've taken this shutdown right now the overall gain will be far greater than the short term loss. So, we are seeing better results than what we are personally envisaged, our team is performing very well, the advantages of operational efficiencies are kicking in even greater than what we expected. With regard to a run rate ma'am, I think for the first two quarters we will be running at a pro rata of what would be close to say just a second I will help you out with the exact number. We will be seeing around a rate of close to say 8,00,000 tons per annum for the first two quarters. This is a pro rata I'm saying it will be for that and subsequently it will be a pro rata run rate of annualized 9,00,000 tons.

Saloni Hemnani: Sir a follow up on this would be because given the realizations and the RM softening, there has been a huge jump in our margins, with the operating leverage kicking and as well as the realizations being in our favor?

Madhav Kejriwal : Your voice is very muffled could you please repeat the last question please.

Saloni Hemnani: Sir my question was regarding the operating leverage kicking in and giving us around more than 20% margins. What would be sustainable because we have already mentioned that a sustainable level will look at 15% to 17% margin. So, going forward do we

stick to the same

number or are we revising it?

Page 15 of 17 Madhav Kejriwal : This is a long-term number. I think in the short to medium term we should see slightly better margins.

Saloni Hemnani: And the ballpark figure?

Madhav Kejriwal : It won't be right for me to give you an exact number. I'm positive that it will remain on the higher end little now for the long term.

Saloni Hemnani: Just one last question from my side as I know we are limited to two to three questions. So, the CAPEX done on the Srikalahasthi unit as we have planned around INR 260 crore was spent and

INR 200 crores was planned to be spent in H2. So, how much have we spent in that and is the timeline are we sticking to the timeline, will we be able to achieve that?

Madhav Kejriwal : We've spent around INR 340 crores as on Quarter 3 end. So, we are pretty much on track .

Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.

Bharat Sheth: I have only one question , the kind of demand that we are envisaging not only India so even Middle East and some of the European market that we have given in the commentary. So, what is our long term I mean say 5 years kind of growth plan because once I believe we'll be able reaching full capacity utilization somewhere in mid FY 26. So, beyond that, what exactly are we doing to grow ourselves?

Madhav Kejriwal : Sir, there is a good amount of attention being drawn towards our value -added profile. One of the products that we have seen substantial growth in is our fittings and castings unit that is a high value product. In fact, we are envisaging a most 20% growth in that in the next financial year that is one area of concentration for us.

We are looking at increasing our product basket on the value -added front as well by starting to get into other products within the water infrastructure gambit. So, yes, this is our once we establish ourselves at a certain level and ductile iron pipes we will then work on getting to even better position on our fittings and other value -added product portfolio. Apart from that keeping our ears close to the ground for any opportunities that come our way.

Bharat Sheth: So, currently value -added is how much as a percentage of our top line and where do you like to over next 3 years to see that?

Gaurav Somani : The value added products is contributing around 10% of our total revenue right now. For the immediate future it will be in this range only.

Bharat Sheth: I mean I wanted to understand our 3 year to 5-year kind of growth plan?

Page 16 of 17 Madhav Kejriwal : So, Sir because of the increase in ductile iron pipes total capacity the percentage contribution

of value -added will remain similar, but on absolute terms as I mentioned there is an immediate impact of growth of 20% in the next financial year itself. After that we are expecting to grow that at a rate of 7% to 10% and take it forward beyond that looking at the market scenario.

In regard to new products, I think it won't be correct for me to really give you anything right now because there's nothing concrete, but there are things that we are planning.

Moderator: Thank you. The next question is from the line of Subhash from Value Investments . Please go ahead.

Subhash: I just have one question on your CAPEX plan. So, I see that the total CAPEX plan that you have planned is INR 650 crores and out of that INR 340 crores has already been spent . I assume this is for phase 1 and I'm sorry if I missed this in the earlier calls. So, could you tell us if this phase 1 plan is already executed and if it is contributing to the top line?

Madhav Kejriwal : This is the Phase -2 now that we've entered in terms of our CAPEX spending. Phase -1 has already come into effect in terms of volumes, and we've reached 100% utilization for the same.

Subhash:

Because in the presentation I see that the total capacity is 6,80,000 even for FY24 estimated.

So, is it still 6,80,000 or has it gone up more than that?

Madhav Kejriwal : So, we are expecting to close the year at around 7.4 lakh tons.

Subhash: And my last question is after Phase -2 is completed you said it would come into effect starting of FY26? So, would it have completed 100% utilization or will it take some 6 months' time to get 100% utilization?

Madhav Kejriwal : I am quite optimistic seeing our trend is of the past that we will get to 100% capacity utilization very quickly.

Subhash: I mean since it gets closed in FY25 mid so you said it would come into effect by FY26. So, we can expect it to be 100% utilized by FY26?

Madhav Kejriwal : Yes, sir maybe even slightly earlier.

Moderator: Thank you. Due to time constraints, this will be the last question. Now I hand the conference to the management for closing remarks.

Madhav Kejriwal : I would like to thank everybody for taking their valuable time out for attending the call and listening to us patiently and for your continued interest in our Company . With the support of all our stakeholders, we have been growing consistently and at the same time strengthening our balance sheet.

Page 17 of 17 We're well -positioned to be benefiting from the growing water infrastructure spending in the domestic and export markets. If we have any other further queries, please feel free to reach out to our E&Y IR team. Thank you very much.

Moderator: On behalf of Electrosteel Castings Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

20 May, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 8 May, 2024 regarding the conference call of the Company, which was held on 13 May, 2024 at 4.00 pm where the Q4-FY 24 Earnings of the Company was discussed.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of the transcript of the said call with the Investors.

Please find below the link of the transcript of the said call that has been uploaded on the website of the Company- <https://www.electrosteel.com/investor/investor-presentation-and-other-documents.php>

This is for your information and records.

Thanking you,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary

Page 1 of 18 Electrosteel Castings Limited
Q4 FY24 Earnings Conference Call
May 13, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Q 4 & FY24 Earnings Conference Call of Electrosteel Castings Limited. As a reminder, all participant lines will be in the listen -only mode , there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Verma from E&Y LLP. Thank you and over to you sir .
Vikash Verma: Thank you Davin. Good afternoon everyone. On behalf of Electrosteel Castings Limited , I welcome you all to the Company's Quarter Four and FY24 Earnings Conference Call. To discuss the performance of the company and to answer the questions we have with us for the company Mr. Umang Kejriwal – Managing Director; Mr. Uddhav Kejriwal – Whole Time Director, Mr. Ashutosh Agarwal – Whole Time Director and Chief Financial Officer and Mr. Gaurav Somani – General Manager Finance.
Before we proceed with this call , I would like to draw your attention to the fact that today's

discussion may contain forward -looking statements that are subject to various risks, uncertainties and other factors which will be beyond management control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements. Please note , that this conference is being recorded. We will now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session. I will now handover the conference over to Mr. Umang Kejriwal for his opening remarks. Thank you and over to you sir .

Umang Kejriwal: Hello, everybody. So , another year goes by and I don't really remember when we have been so optimistic as we are now about the future. We always thought that water is the business of the future and we are in the right place at the right time , but for so many years we were definitely at the right place but whether , we were at the right place at the right time we didn't really know. But , today we can confidently say yes , we are at the right time at the right place. And yes things look all right for the future.

As far as figures, et cetera are concerned. They are already in the public domain and to elaborate a little more about them. I will now hand you over to Ashutosh . Thank you.

Page 2 of 18 Ashutosh Agarwal: Thank you , Sir. Good afternoon , everybody. And a very , very warm welcome in this session. I

would like to fi

rst explain you about Q4FY24 results. The result will be in two part s consolidate d results and standalone results. Consolidate d results, Electrosteel Castings total income grew by 6.8% year -on-year to Rs. 2,039 crores, EBITDA surged by 51% approximately year -on-year to Rs.346 crores. Q4FY24 includes a major renovation and repair work of approximately Rs. 60 crores at our Khardah plant in West Bengal. And the plant was also shut down for 53 days approximately during this financial year. The benefit of this shutdown and maintenance is that the efficiency of the plant subsequently will impro ve and the company will get better result out of this plant . EBITDA margin expanded by 495 bps year -on-year to 17%. PAT grew by 15 4% to Rs.227 crores . PAT margin expanded by 645 bps year -on-year to 11.1% during this quarter . Now, moving to stand alone results. The Company sold 1, 96,00 0 tonnes of D I pipe during this quarter . The Company's total income was Rs.1,812 crores . EBITDA grew by 36.7% year -on-year to Rs. 319 crores. As informed earlier , Q4 results includes major renovation and repair work and the company has incurred around INR 60 crores which has been incurred in this quarter. And the plant was also shut down for 53 days during this financial year, but the benefit of this will come in subsequent years , due to increase in the productivity and efficiency of the plant . EBITDA margin expanded by 453 bps year -on-year to 17.6% . PAT grew by 116% year -on-year to Rs. 219 crores . PAT margin expanded by 640 bps year -on-year to 1 2.1% during this quarter. Now I'm t alking about yearly results. F irst, highlighting the consolidated performance , The Company's total income stood to Rs. 7,580 crores in t FY24. EBITDA surged by 56% to Rs.1,281 crores with EBITDA margin of 17% . PAT grew by 134% to Rs.740 crores and PAT margin of 9.8% . EPS for FY24 was Rs. 12.30.

Now, highlighting about the standalone performance for the year . The Company sold 7.47 lakh tonne of DI pipe during this year . Company total income was Rs.7,044 crores during this year . EBITDA surged to 52.10% to Rs.1,246 crores with EBITDA margin of 17.7% . PAT grew by 120% to Rs. 736 crores with PAT margin of 10.4%.

Now, I'm talking about CAPEX of the existing plant , company has spent Rs 390 crores out of Rs. 650 crores CAPEX plan as on March 31st, 2024. The ongoing CAPEX plan is as per the schedule and the new capacity will be up and running by September or October 2025. Taking these accounts, the total capacity of the company would be somewhere around 9 lakhs tonne per annum . Thus , we will maintain the leadership position in the country in DI pipes and fittings. As of on 31st March 2024 at standalone level, the gross debt of the company has gone down to Rs.2,010 crores and the net debt stands to Rs. 1,523 crores. The Company 's net debt to equity ratio stands to 0.31:1 as on 31st March 2024. The consolidated level gross debt of the company is down from Rs.2,266 crores to Rs.1,722 crores. The company's net debt to equity ratio is 0.34:1 as on 31st March 2024.

Page 3 of 18 Ashutosh Agarwal: Let me introduce, I have two recent developments . The Board has approved increase of Srikalahasthi unit capacity by 1 lakh tonnes of DI pipe and the CAPEX would be somewhere around Rs. 64 crore s. This capacity will be up and running within 15 months' time , that will give a boost to the company and the total capacity of the company would be somewhere around 10 lakh, i.e. 1 million tonnes per annum . The second announcement , we made today with the approval of the Board that the company is going to acquire shortly around 500 acres of l and in the state of Odisha with the government 's support. W e are planning to set up a DI pipe and fitting plant there. So, our objective is first to acquire the land , our team is working and we will come back to you later on with the full details of the

project. Now, I request the moderator to

open the floor for the question -and-answer session by the investors .

Moderator: Certainly, thank you. We will now begin the question -and-answer s ession. The first question is

from the line of Vikas Singh from PhillipCapital. Please go ahead.

Vikas Singh: Sir, I just want to understand if I just look compare the 4Q standalone versus the consolidated numbers seems to be that the subsidiaries performance on a sequential basis have declined considerably along with the higher other expenses. So, if you could just give us some explanation, what has happened there and is that a one-off event then next quarter they will bounce back?

Gaurav Somani: Hi Vikas this is Gaurav. In case of consolidated numbers, we did an EBITDA of around Rs.346 crores compared to standalone EBITDA number of around Rs.319 crores. So, there has been an uptick in the consolidated EBITDA number.

Vikas Singh: On a sequentially basis basically I would?

Gaurav Somani: On a sequential basis yes, because what happens when we sell to subsidiaries, there is also adjustment of unrealized profit on the stocks which is lying there. So those get adjusted as per the accounting norms.

Ashutosh Agarwal: Vikas, whatever unsold stock is lying in the subsidiary companies and the profit margin we have to adjust here in the consolidated accounts as per IndAS.

Vikas Singh: Understood. Sir, secondly in terms of our CAPEX basically to 9 lakh tonne capacity by what timeframe this capacity would come and what kind of volume we should build in in our FY 25 estimates, or everything will come in FY 26?

Uddhav Kejriwal: Hi, good afternoon. So, this is '24-25 going on and we expect to conclude '24-25 with 8,50,000 tonnes, '25-26 is when we will see 9 lakh tonnes definitely. And 26-27 we will be at 1 million tonnes.

Page 4 of 18 Vikas Singh: Understood. And our blended EBITDA for this year was closer to Rs. 17,000, so is the run rate we will comfortable with, or sustainable run rate is lower run rate if you could give us some insight into that as well?

Ashutosh Agarwal: The company better with this also, but we are slightly confident about 17%, but we will chase for the better percentage.

Vikas Singh: Understood, sustaining 16% to 17% but definitely we are expecting to do better than that. In view to your 500 acres land purchase then it's probably subsequent CAPEX. How do we see debt moving from here onwards and also a little bit of insight on how we are doing this 1 lakh expansion at a very nominal CAPEX of Rs. 64 crore?

Ashutosh Agarwal: I am answering your second question first, the 1 lakh capacity we are increasing by adding some balancing equipment, so not much CAPEX is required. About your other question, the 500 acres of land acquisition, we have internal accrual funds available, the Company will not be borrowing for that.

Vikas Singh: So, debt reduction story would take a pause for some time, because we can't see both debt reduction and internal land purchase right?

Ashutosh Agarwal: No, there is some understanding gap between me and you. Whatever commitment we have made with the bankers we will meet the commitments first, then we will process fund for acquisition of the land.

Moderator: Thank you. The next question comes from the line of Gunit Singh from Counter Cyclical PMS. Please go ahead.

Gunit Singh: Sir, we are also adding capacities and some of our competitors like Jai Balaji or Tata Steel also, they have also added capacities or planning to add capacities in future. So, currently I would like to understand the market dynamics currently, what kind of overall demand do we have in India currently, for DI pipes and what kind of supply is there from all the players as of now?

Umang Kejriwal: Currently, the industry players are unable to meet the demand so the new capacity is coming up and going forward, the

budget for the current year will be announced immediately after the elections. And this situation is expected to continue. So, we don't really see much issues here.

Gunit Singh: So, as of now what should be the installed capacity in India according to you for DI pipes?

Umang Kejriwal: If you want figures then I'll ask Ashutosh to give you that.

Ashutosh Agarwal: The expected capacity in the year 2024-25 could be somewhere around 46 to 48 lakh tonnes.

Page 5 of 18 Gunit Singh: And sir what kind of capacity additions are we looking at overall for the market over the coming two to three years?

Ashutosh Agarwal: It will be difficult to comment upon 2-3 years. However, we estimate it around 57 lakh tonnes in 25-26.

Gunit Singh: Alright. And sir what is annual demand according to you, this is the installed capacity, current demand?

Ashutosh Agarwal: Currently, the demand is always better than this capacity. Hence, the other players are also going for the increase in the capacity, including us. The industry players are confident about the better demand in domestic market as well as in the international market.

Gunit Singh: Alright Sir, but are you not concerned about overcrowding going ahead as all the players are coming up with new capacity. So do you think that, there would be overcrowding going forward or how do you expect, do you expect the demand to still be ahead of the capacity that is being added. I just want to understand the market dynamics going forward because all companies in our domain have announced the CAPEX.

Ashutosh Agarwal: Sir, your company's Board as well as management has taken the decision of increasing the capacity after proper due diligence of the market and the forecast of the market domestically, as well as international demand.

Gunit Singh: Alright. Sir, so I just want to also understand one thing right now the company is going through missions like, Jal Jeevan Mission and infrastructure projects in the water domain, which probably might continue for the next three to four years. So, post the completion of such projects, what would drive demand for our products? What is your outlook on this?

Umang Kejriwal: We have to see how our GDP will grow after two, three years and after that we can share the forecast. Currently, India's GDP is growing by 7% and going forward it is expected to be better than this. So, going forward, this scenario seems to be quite alright. And there are so many other types of pipes. Once people are able to get enough ductile pipe in the market, then these other types of pipes will start converting back to ductile. That will also help.

Gunit Singh: Alright. And sir my last question is, what kind of growth are we looking at in FY 25 in terms of volumes and are we confident of maintaining the EBITDA margins that we arrived at in Q4?

Uddhav Kejriwal: So, as mentioned just a while back, we expect to close FY 24-25 with an output of 8,50,000 tonnes of pipe. So production and sale being around those numbers. And yes, we are confident of maintaining EBITDA in the range of 17% to 18%. The way things are right now, and the way things are looking going forward for the year.

Gunit Singh: Alright. And sir what was the volume in FY24?

Page 6 of 18 Uddhav Kejriwal: So, we closed '23-24 with 7,50,000 tonnes.

Moderator: Thank you. The next question is from the line of Aryan Sharma from B&K Securities. Please go ahead.

Aryan Sharma: I had questions regarding the exports situation actually, we see that exports as a percent of total volumes has fallen from 17% to 15% in FY 24. So, could you illustrate the reasons for same as to why it has fallen, and what is the mix that we can expect in the future and which region can we see demand from in the future?

Umang Kejriwal: Well, at present you have the international demand, and you have the domestic demand and you really have

to plan as you go along which demand to meet first. So, looking at 17% or 15% or 19% probably is not the way to look at it quarter-to-quarter or half year to half year basis.

The management plans and decide where to sell and supply as we go along.

Aryan Sharma: Okay, Sir thank you for clarifying. My second question is regarding the CAPEX plans. Could you just elaborate as to what are the CAPEX plans for FY 25 and 26, what will be the total amount we will be incurring for CAPEX and including the Odisha land and how much capacity addition are we expecting in Odisha through these?

Ashutosh Agarwal: As I told you the Odisha CAPEX plan will be in phases. We will increase the capacity gradually and we are seeing on the drawing board stage on Odisha project. Our debt equity will be able to be clear maybe by a month or two, but other than that, we are comfortable that the debt will be reduced as per the plan, as per the commitment with the banks. The FY25 CAPEX is at around Rs. 200 to 225 crores maximum, apart from Odisha.

Moderator: Thank you. The next question is from the line of Rakesh Roy from Omkara Capital. Please go ahead.

Rakesh Roy: Sir just one, in which case we are going to add 1 lakh capacity sir addition?

Ashutosh Agarwal: Srikalahasthi unit, situated in South India near Tirupati.

Rakesh Roy: Already in Srikalahasthi we have already nearly 5,50,000 tonnes?

Ashutosh Agarwal: Correct.

Rakesh Roy: So, again we will add 1 lakh tonnes, so after this 1 lakh it will become 6.5 lakhs tonnes?

Ashutosh Agarwal: Correct.

Rakesh Roy: Yes, Sir. My next question is the last time when we met you, you said that currently demand is high, there is a difference between demand and supply, the supply is lower and demand is higher. After two years the demand and the supply will equilibrium in that case how we maintain our growth after two or three years?

Umang Kejriwal: As per our forecast in two years it will not be equal.

Rakesh Roy: No, after two, three years as the demand and supply gap will be filled up as many companies are coming with DI pipe like Shyam Metallic's and other companies. So, in two to three years the gap will be fulfilled. So, after two, three years how we will grow, our strategy to maintain our market share? Your comments on that please.

Umang Kejriwal: Our thinking is that in two, three years the demand will not meet up. And we do have demand in the market and it will be there and because of this we are planning to increase the capacity.

Rakesh Roy: Agree. Sir one last question, any plan to add new product in our portfolio apart from the DI pipe in near future after two or three years or after one year?

Umang Kejriwal: We keep discussing about it but till we don't have anything concrete, we can't share with you. Like in previous quarters we had something about rubber, so we came to you with the information now we are firmed up with the Srikalahasthi further expansion and Odisha project. So we have come and shared that with you. So we need things to get a little advanced before we share with you.

Moderator : Thank you. The next question is from the line of Kuber Chauhan from Anand Rath i . Please go ahead.

Kuber Chauhan: I have two questions. First of all, when can we see 1 million tonnes of capacity in our plant , total capacity by which year we are witnessing and secondly, what is the current order book in our hands?

Uddhav Kejriwal: So, we will see 1 million tonnes capacity by FY 26-27 financial years definitely. And on your second question, I like most of the times even currently we see an order book of nine to ten months.

Kuber Chauhan: In units, maybe you can specify ?

Uddhav Kejriwal: 6 lakh tonnes let say, so about nine to 10 months .

Kuber Chauhan: In terms of value ?

Gaurav Somani : Around Rs. 4,500 crores approximately .

Moderator: Thank you. The next question is

from the line of Dey from Niveshaay Investment Advisory .

Please go ahead.

Page 8 of 18 Dey: I had this question regarding the competition with the OPVC pipes that we are seeing currently .

So, I believe the OP VC pipes are into diameters from 100 mm to 200 mm, I just wanted to understand the industry size or the opportunity which they might take away from the DI pipe category ?

Umang Kejriwal: We have lot of types of pipes in the market , we have ductile , we have steel, we have some different types of plastics and then one of the more different types and we feel as and when we are ready to meet the demand of the ductile pipes in the market and go further then we can again begin or again continue to take some market share of different types of pipes , till then we have to first take care of the ductile market demand itself.

Dey: So, sir you believe that this OPVC pipe which I'm talking about , would not take a significant share from the DI pipe or it will not be a competition to DI pipes right?

Umang Kejriwal: No, what I am trying to convey is that, because we are hard pressed to meet the DI demand at present, so we are not able to take away share from other types of pipes .

Dey: Correct . And sir would it be possible to give any volume or any specific guidance for the Odisha plant which is coming up , like we are taking 500 acres of lands approximate amount of volume which you can set up over there in such a area or something like that ?

Umang Kejriwal: We have not worked that out in full detail. So, as Ashutosh mentioned, we are not ready with that information, there is no point in sharing a figure with you today and changing it tomorrow.

Dey: Correct. And just a last question. In FY 25 we would be added a capacity of around 9 lakh tonnes right?

Uddhav Kejriwal: Yes.

Dey: Correct. And sir you guided for volume growth around 8.5 lakh tonnes . However, in the PPT it is mentioned volumes of around 8.95 lakh tonnes. So, which should be considered ?

Gaurav Somani : 8.95 lakh tonnes is the total capacity, there will be at a capacity of around 9 lakh tonnes. It would be operational at the end of the calendar year, so the benefit will be for the part of the year.

Uddhav Kejriwal: So, it is translates in the 9 lakh tonnes only on an annual basis for 25 -26 basically.

Moderator: Thank you. The next question comes from the line of Kirtan Mehta from BOB Capital Markets . Please go ahead.

Kirtan Mehta: In regards to Odisha plant I do understand that we have not done the work , but is it possible to share what's the sort of the typical size of the Greenfield plant that one is considering , if we

Page 9 of 18 can give a range in terms of what is the range of this plant that will make itself sort of economically feasible and what is the typical CAPEX involved in putting up this kind of plant , raw material basis in terms of per lakh tonne or something like that ?

Umang Kejriwal: Wait a bit please, we talk with you all every quarter, if it finalized before that then we will inform you all. Because what has not been confirmed by the Board we can't discuss with you all.

Moderator: Thank you. The next question is from the line of Saloni Hemnani from Molecule Ventures PMS. Please go ahead.

Saloni Hemnani: I have three questions, so the first question is regarding the existing capacity . As you had mentioned in the PPT, it's around 7.4 lakh TPA , but if I add the existing capacity mentioned by you in your results, the Srikalahasthi plant is 5.5 lakh TPA , plus if I do three, so that comes around 8.5 Lakh TPA . So, what's the correct figure in the existing capacity ?

Gaurav Somani : Saloni , 5.5 Lakh TPA is at Srikalahasthi will become after the expansion gets completed that is by around Q 3 of this financial year .

Saloni Hemnani: Okay, so it's not there yet right?

Gaurav Somani : The CAPEX is going on.

Ashutosh Agarwal: CAPEX is going

on in an advanced stage of completion also, it just at the end of quarter it will be 5.5 lakh TPA .

Saloni Hemnani: Okay. So, we are sticking with our original timeline of quarter two of FY 25, then we will have this capacity ?

Ashutosh Agarwal: We are ahead of the schedule .

Saloni Hemnani: That's great sir. The follow up question is regarding Parbatpur coal block sir, any update on that?

Ashutosh Agarwal: Very difficult to answer this question.

Umang Kejriwal: We have a hearing in Delhi High Court on 25th, you want to say that or not.

Ashutosh Agarwal: The hearing is going on, the next hearing is scheduled on 25th.

Saloni Hemnani: Okay. But any rough figure that we might be internally estimating that , we might be able to receive, like the land component or the overall expenditure that we have done?

Page 10 of 18 Umang Kejriwal: Whatever projections we have made about this in the past have proved wrong. So , all we can say is that the matter is moving forward it's not at a standstill, and we will definitely see recovery.

Moderator: Thank you. The next question is from the line of Jojo Shaju from Alpha Invesco Research Services . Please go ahead.

Jojo Shaju: Sir, I have three questions. Sir first coming to our export market , I just want to understand how much volumes are going into the USA and what sort of volume growth we are witnessing year - on-year?

Gaurav Somani : So, out of all total exports US contributes to around 10% of ECL's export .

Jojo Shaju: Okay . So, the 10% of total exports is going to the US ?

Gaurav Somani : Yes.

Jojo Shaju: Okay. Can you give how much is the absolute volume growth , there in the US market , what is the demand outlook there, are you seeing any drop in specifically to the US market?

Ashutosh Agarwal: Seeing the present situation in US, we are not hoping a great increase in the US market .

Jojo Shaju: Okay, not much growth is witnessing from US market?

Ashutosh Agarwal: Yes.

Jojo Shaju: And sir what is the realization from the US market, is there any improvement there?

Ashutosh Agarwal: It's very difficult to quantify this detail , you know there are competitors also in this call .

Uddhav Kejriwal: We will not be able to give a specific quantification of the US market realization.

Jojo Shaju: Sure sir. What would be the domestic realization?

Uddhav Kejriwal: We are happy to talk about an average realization on an overall basis . It would be not appropriate to get into micro details of domestic separately and exports separately . So, on an average basis, if you look at this year gone by about approximately Rs. 74 to 75,000 is our average realization for this year's business that has been concluded. Beyond that , I don't think it would be appropriate for us to detail out on the call.

Jojo Shaju: Sure . And sir my second question is , regarding the 500 acres of land we are purchasing in Odisha, I know you don't have the details , of the plant wise details , but why do you choose Odisha as the location, are we keeping any specific advantage over the re?

Page 11 of 18 Umang Kejriwal : Is your question why Odisha?

Jojo Shaju: Yes.

Umang Kejriwal: The port is 167 kilometers away the major raw materials are within a few 100 kilometers and it gives us a lot of confidence to go and work in Odisha with the way we see its development in the last many years. So, these are some of the reasons which we are at the forefront.

Jojo Shaju: And sir for this capacity, which is coming there in Odisha , are you targeting for the export market or is it for the domestic market specifically , any platform ?

Umang Kejriwal : Both the domestic as well as export markets will be accessible from this location.

Jojo Shaju: Okay . So even you are targeting both domestic and export segments . Thank you sir , and my last question is regarding the coking coal purchase , I just want to know the strategy behind it,

what percentage are we hedging, what sort of inventory levels we are keeping for the coking coal. Can you give some understanding over there?

Uddhav Kejriwal: So, if I understood correctly, first of all you have asked about inventory levels. And second is about buying / booking strategy , right is that the two parts of the question?

Jojo Shaju: Yes, sir.

Uddhav Kejriwal: As far as inventory levels are concerned, we ideally have to be in the zone of three to four month inventory, because this is entirely import based and most of our coals are imported from Australia. So, that is where the inventory levels are supposed to be, number one . On the second part of the question. So, basically we are keeping in mind that the plant needs certain coal at certain time periods based on inventory levels, we try not to cut it too close, keeping in mind the shipping schedules and we definitely look for the right windows to conclude our businesses for the coal buying . Keeping in mind that the coal market has been seeing a good amount of fluctuation in terms of prices in the last couple of months. We would like to believe that our calls have kind of gone right for us in the last few times. And as a result, we are in a decent space as far as our cost are concerned because coal is the kind of the largest contributor in the raw material cost.

Jojo Shaju: Okay, sir understood. But by and large you will be having three to four months of inventory ,

right?

Uddhav Kejriwal: Yes.

Page 12 of 18 Moderator: Thank you. The next question is from the line of Pramod Jain from Interglobe Finance. Please go ahead.

Pramod Jain: I wanted to understand the EBITDA done per tonne for this quarter. And what is the estimate that we can take for EBITDA margin for the next year ?

Uddhav Kejriwal: So, EBITDA per ton ne is in the range of between Rs 15,000 to Rs.16,000 per tonne . And , we have already indicated, we expect to maintain the similar range going forward. That is where the entire focus lies as of now.

Pramod Jain: Any specific reason why on quarter -on-quarter basis the EBITDA is down apart from the OPEX cost of Rs. 60 crore?

Uddhav Kejriwal: So, if you compare , I'm sure you are referring to Q3 of this year versus Q4 of this year ?

Pramod Jain: Yes, quarter -on-quarter.

Uddhav Kejriwal: So, two broad reasons if we have to put across first of all, there is the majority part of the Khardah shutdown related expenditure that has got debited in Q4 to the tune of approximately Rs. 60 - 62 crores . And the second reason would be that, if we look at the coal and iron ore, which are the two major raw materials for us, in Q4 we have seen about 8% to 10% increase in the cost of the raw materials booked through production. So, these are the two factors which sum up the answer to your question .

Ashutosh Agarwal: Just to add what Mr. Uddhav Kejriwal explain ed to you , as mentioned in the result also and the outcome also . The company has incurred around Rs.60 crore for repairs and maintenance of its Calcutta base Khardah unit plant and the plant was shut down for 53 days during this financial year. And in this quarter, the plant was shut down for 15 days. This is the main reason of reduction of EBITDA during this quarter.

Moderator: Thank you. The next question is from the line of Mira j Shah from Arihant Capital . Please go ahead.

Miraj Shah: Sir, just three clarifications. Firstly, regarding the 500 acres land that we are going to procure in Odisha , you mentioned that it will be through internal accruals only . So, how much roughly are we going to spend for acquiring this land ?

Ashutosh Agarwal: The final negotiations are still going on with the vendor , within a span of 15 days we will be able to click that deal .

Miraj Shah: Okay, the final amount we will come to kno w in 15 days , but sir a rough estimate would you be able to provide ?

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hutosh Agarwal: Not advisable as there was a restrictions from the vendor.

Miraj Shah: Okay, understood. S ir, second is that on the consolidated numbers, you clarified about this in one of the questions, but I wasn't able to understand this , one tax item pertaining to earlier years of Rs. 36.5 crores?

Ashutosh Agarwal: There was a reversal of tax provision of ea rlier years , there was a provision we were carrying on after the high court order there was no need of tax provision and we have to reverse it .

Miraj Shah: Understood. T his will be according to the High Court orde r, okay .

Ashutosh Agarwal: Yes.

Miraj Shah : And Sir lastly, on the Jal Jeevan Mission side, government when they came out with this mission they had set out an amount roughly Rs. 3.6 lakh crores that they wanted to spend , till date how much has been completely spent in that so, just to understand how much more is going to be allocated in the budget ?

Umang Kejriwal : About Rs. 3.1 lakh crores.

Miraj Shah: Rs. 3.1 lakh has been done, So, in the current budget we cannot expect more than Rs. 50,000 crores or would that amount also be revisable?

Umang Kejriwal : No, we are expecting more than Rs. 50,000 crores in the current budget . And we also expect this mission to move further from here.

Moderator: Thank you. The next question is from the line of Subash from Value Investment s. Please go ahead .

Subas h: Sir in Q2 earnings call you mentioned that you would be net long -term debt free by FY25 end, is this plan still intact considering the expansions in Srikalahasthi and the land acquisitions in Odisha?

Ashutosh Agarwal : As explained to the earlier analysts, this money lying with the company for acquisition of land and expansion of Srikalahasthi unit, the Compan y will not be increasing the debt .

Subash: Okay. So, you would be long term debt free by FY25 year end?

Ashutosh Agarwal : Yes, the Company wi ll be long term debt free in the FY25 but for doing capex for the Odisha unit we have to borrow something but that will be decided later not now.

Page 14 of 18 Subash: Okay, sure. And also you mentioned that the order book visibility is for up to six months, few minutes ago but in the presentation I see the visibility is 10 months, s o which is the correct date ?

Ashutosh Agarwal : It is about 9 to 10 months

Subash: And the value would be around Rs. 5,000 to 6,000 crores?

Ashutosh Agarwal : Rs. 4,500 to 5,000 crore.

Subash: Okay . Just to get an idea , I don't want to poke too much into the final response since you got too many questions, I'm sorry about this. So can you give me an example , let's say that in Srikalahasthi you said you have 5.5 lakh tonnes per annum capacity. So, how many acres of land do you have in Srikalahasthi , in existing plan ?

Ashutosh Agarwal : 350 acres of land approximately is the total land available to us.

Subash: Okay. And that's completely utilized in Srikalahasthi , 350 acre land?

Ashutosh Agarwal : No, there is further scope.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Sir, firstly what is the capacity of Khardah and Srikalahasthi as on 31st March 2024?

Ashutosh Agarwal : Around 7.75 lakh tonnes.

Saket Kapoor: Okay. And we are guiding for 8.5 lakh tonnage for FY24 -25?

Ashutosh Agarwal : Yes.

Saket Kapoor: And this is post this shutdown, or the repair work which we have done for which we have incurred a cost of Rs. 60 crore. This will ramp up our capacity , the debottlenecking exercise by 75,000 tonne annual ?

Ashutosh Agarwal : Yes.

Saket Kapoor: If we net off the Rs. 60 crore with other expenses then also there is an increase of Rs. 40 crore on a Q-on-Q basis on the other expensive, what explains that sir?

Uddhav Kejriwal : It's not Rs. 40 crores, it's something Rs. 30 crores.

Saket Kapoor: Okay, let me correct about Rs.

30 only so what is that?

Page 15 of 18 Uddhav Kejriwal : We told that, we have increase in our raw material of approximately 10% so because of that.

Saket Kapoor: Sir, I am asking about other expenses, if you take the consolidated number Q-on-Q, the number stands at Rs. 587 crore vis-à-vis Rs. 486 crore. So, if I net off the Rs. 60 crore also, then we are also left with Rs. 38, 39 crore increase. Whereas the tonnage has remained same, so what explains this Q-on-Q increase to the tune of Rs. 38 to 40 crore?

Ashutosh Agarwal: Mr. Kapoor I was expecting this question from you. You generally do the detailed analysis. Actually , there was a fuel surcharge imposed by the government and in Srikalahasthi , in quarter four we have provided Rs.14 crore as fuel surcharge . These we will have to pay , we may not to pay also . But for the better understanding and better results and accurate result to the shareholder we have made a provision of 14 crores in Srikalahasthi in Q4 only. Similar in Khardah also, we kept on providing and in some portion also provided in quarter four. It was just a provision that's why you are seeing other expenses.

Saket Kapoor: Ashutosh Ji, will this continue as it's a provision, so it will be implemented in next quarter as well?

Ashutosh Agarwal: We are hopeful that in the next financial year it will settled down by the government and by the court and either it will be reversed or we have to pay.

Saket Kapoor: Okay. And sir in cash flow you have shown one loss on fixed assets of Rs. 26 crores, so this assets are you attributing to this loss of Rs. 26 crores?

Gaurav Somani : We have to buy pipe moulds which are used for manufacturing of the pipes and every year it gets discarded, the discard one is not that we have sold any fixed assets, it is some of the fixed assets which gets discarded at the time of the production of the pipes .

Ashutosh Agarwal: It's life ends.

Saket Kapoor: One closing point, as Umang you are on call and we had a in-depth discussion and there were few question on Odisha project as well. And at the right time you will let us know about it but, as we can see that existing players, and the sentiments of the existing market we are giving importance to fund raising exercise as well. So, when you go to Board for the CAPEX then can you keep the QIP option open as well, because the bouncy in equity market and the growth continuity which you told us in the last 50 minutes. So, on that basis do you have the QIP mandate as well with you or you have to come to the shareholders for fund raising?

Umang Kejriwal : First we will have to decide that and then comes the point of coming to the shareholders or not. So, we do have the options open.

Saket Kapoor: One more small point, we have you on the call from promoters end and who all are addressing the call. I heard a female voice as well was that Priya on the call?

Page 16 of 18 Umang Kejriwal : We have Uddhav and Nityangi's voice was there in the background but she is not part of the call.

Saket Kapoor: It is always good that the promoters participate and we have requested and our request has been adhered and now it has been a practice. So , I congratulate the promoters also to take in keen interest in addressing your investors . Thank you once again and all the best.

Moderator: Thank you. The next question is from the line of Radha from B&K Securities . Please go ahead.

Radha: Sir, my first question was that , you mentioned that next few years debt will be repaid according to the schedule. So , could you quantify the schedule that is there for the next two years?

Ashutosh Agarwal : Next two years we have to pay Rs. 330 crores.

Radha: Sir, you are expected to generate about , if we take conservatively between Rs. 1,500 crores PAT, so from there we will be paying on ly Rs. 300 crores, so what would be the remaining profit be used for ?

Ashutosh Agarwal

I : That will be used for CAPEX what we have shared you.

Radha: Alright . Secondly, in the consolidated balance sheet so there is an item called other financial liabilities and the non-current liabilities for Rs. 250 crores . Could you tell me what is this regarding?

Ashutosh Agarwal : There was an arbitration case with the railway by the company and the arbitration was awarded in favor of your company . Then railway went to the High Court and the High Court single bench also given the reward in our favor and instructed railway to deposit Rs. 252 crores with the company against the bank guarantee . So, what we did , we have deposited Rs. 252 crores with the bank and taken a bank guarantee against that and submitted to the Calcutta High court . This is the answer of this question .

Radha: Alright sir. So, we are still expecting a favorable outcome ?

Ashutosh Agarwal : We are always expecting for the favorable outcome. The Calcutta High Court single bench has given the result in our favor, now the railway has gone to the divisional bench and we are waiting for the hearing to be happened .

Shailesh: Sir, I have one question to ask this is Shailesh, so unlike peers, we have a lot of accreditations in the overseas market and there are a lot of opportunity in the MENA and Africa region, but why you are not sounding very positive for the exports market , you are saying supply will be balanced out for both domestic and exports. So, what is the restricting as to cater more demand in the exports market when there is a good opportunity , so we are expanding the Page 17 of 18 capacity , profitability is better in the overseas market, then why we are not very bullish in the overseas market sir?

Umang Kejriwal : I don't know what I said to make you feel that we are not bullish in the overseas market. So, let me correct myself , we are bullish. And all I was trying to convey is that , from period to period we have to plan how much we should try to sell abroad and how much we should try to sell in India. That's all I was trying to say.

Moderator: Thank you. The next question is from the line of Dipesh Sancheti from Mayankar Finance . Please go ahead.

Dipesh Sancheti: The question was regarding the plant shutdown which we took, as you had mentioned that it was a 15 day shutdown last quarter and the rest of the days were for this quarter. And the total cost was around Rs 60-62 crores was it divided in quarter wise according to number of days or it was completely taken in Q4?

Ashutosh Agarwal : No. It was mainly there was shut down in previous quarter, quarter three and 15 days shutdown in quarter four.

Dipesh Sancheti: Okay. And the entire cost was taken in quarter four?

Ashutosh Agarwal : Rs. 13 crores was taken in Q3FY24 , whatever bill we have received in Q3FY24 we have considered in Q3FY24 only , balance material we received in the month of Q4FY24 only that's why it is booked in Q4FY24 .

Dipesh Sancheti: Okay. So, what do we expect from this shutdown and maintenance , how much more capacity increase would have been done with this plant shut down?

Ashutosh Agarwal : This will increase the efficiency of the plant and since the efficiency of the plant will improve , that will increase capacity also that will increase the productivity also.

Dipesh Sancheti: So directly the effect will not be on top end but on the bottom line , is that what one can expect?

Ashutosh Agarwal : Both ends.

Dipesh Sancheti: Okay . And what are the capacity utilization in this quarter for the same plant which went for ?

Ashutosh Agarwal : Q4 you mean to say?

Dipesh Sancheti: Yes, Q 4.

Ashutosh Agarwal : 93%, due to 15 days shut down.

Page 18 of 18 Moderator: Thank you. Ladies and gentlemen, due to time constraints that will be our last question for today. I would now like to hand the conference over to the management from Electrosteel Castings Limited for closing comments . Over to you sir .

Umang Kejriwal: So, I want to thank everybody for taking the time out to come and talk to us about what we are doing, how we are doing and together how we see the future evolving out. Thank you very much.

Ashutosh Agarwal : Thank you, everybody.
Uddhav Kejriwal : Thank you.

Moderator: Thank you. On behalf of Electrosteel Castings Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2024

6 August , 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 29 July, 2024 intimating that a Conference Call was scheduled to be held on 1 August , 2024, at 4.30 pm IST, to discuss Q1 FY25 Earnings of the Company.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith a copy of the transcript of the said call with the Investors .

Please also find herein below the link of the transcript of the said call that has been uploaded on the website of the Company -
<https://www.electrosteel.com/investor/investor-presentation-and-other-documents.php>

This is for your information and records.

Thanking you ,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary

Electrosteel Castings Limited – Q1 FY25 Earnings Concall Transcript
01 August , 2024

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earnings Conference Call of Electrosteel Castings Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions. Should you need assistance during the conference call, please signal an operator by pressing '*' and '0' on your touch tone phone. I hand the conference over to Mr. Vikash Verma from EY LLP. Mr. Vikash, please go ahead.

Vikas Varma: Thank you. Good afternoon, everyone. On behalf of Electrosteel Castings Limited, I welcome you all to the company's Q1 FY25 earnings conference call. To discuss the performance of the company and to answer the questions we have with us from the management team, Mrs. Radha Kejriwal Agarwal - Whole Time Director, Mr. Madhav Kejriwal – Whole Time Director, Mr. Sunil Katial – Whole Time Director and CEO, Mr. Ashutosh Agarwal - Whole Time Director and Chief Financial Officer and Mr. Gaurav Somani - General Manager Finance.

Before we proceed with this call, I would like to draw our attention to the fact that today's

discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors which will be beyond management control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements. Please note that this conference is being recorded. We will now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session. I will now hand over the conference over to Mr. Sunil Katial – Whole Time Director and CEO for his opening remarks. Thank you and over to you Sir.

Sunil Katial: Thank you, Mr. Vikash. A very good afternoon to all, and a warm welcome to Electrosteel Casting Q1 FY25 earnings concall. The company has been able to sustain its growth trajectory in the first quarter of FY25 achieving a notable 18.9% year on year increase in consolidated revenue to INR 2,036 crores driven by strong demand of DI pipes and fittings in water infrastructure projects in the domestic markets.

The EBITDA of the company has surged remarkably to nearly 102% year on year basis to INR 378 crores in this quarter. This is on account of company's consistent focus on maintaining operational excellence and improving cost efficiency through economies of scale and other initiatives. We have repaid INR 30 crores of debt during Q1 FY25 resulting into a net debt equity of 0.33 times during the quarter, thereby signifying the strength of our balance sheet.

The company's DI Pipe sales volume stood at 1.93 lakh tons in Q1 FY25. Export contributed 12% of this volume. Electrosteel Castings remains the preferred supplier of choice for major water infrastructure projects thanks to our deep domain know how both in domestic and export market and there is resultant brand image. The ongoing CapEx initiatives are progressively moving as planned to cater the growth demand of DI pipes. Thanks to the government's Jal Jeevan Mission and Amrut 2.0 Scheme, we plan to expand our production capacity to 1 million ton by the end of FY26.

We are also in the process of acquiring land in Odisha for the upcoming Greenfield DI pipe and fitting project. The project's scale is currently under final stages on the drawing board. We will update the same to all of you and our analyst fraternity through the exchange filings.

Thus, through judiciously planned expansion and execution process, Electrosteel Castings will continue to maintain its leadership stance in the domestic DI pipes and fittings industry and as well as hold its flag high in the export market.

I would now like to hand over the floor to my colleague, Mr. Ashutosh Agarwal - Whole time Director and CFO for taking you through the financial highlights.

Ashutosh Agarwal: Thank you Katial ji. Good afternoon and warm welcome to all the investors present in Electrosteel Castings Q1 FY2025 earning concall. First of all, I would like to brief you about the consolidated results of Q1 2025.

The total income increased by 18.9% year on year to INR 2,036 crore due to robust domestic demand. EBITDA surged by 102 % approximately year on year to INR 378 crores and the EBITDA margin expanded by 761 bps year on year to 18.5% led by the economies of scale. PAT grew by 202% year on year to INR 226 crores. PAT margins expanded by 673 bps year on year to 11.1% during the quarter.

Now, about the standalone results for the Q1, the company sold 1.93 lakh tons of DI pipe in this quarter. Total income grew by 21% year over year to INR 1,851 crores. EBITDA grew by 92% approximately year on year to INR 354 crores. And the EBITDA margin expanded by 705 bps year on year to 19.1% led by economies of scales coupled with operational excellence. PAT surged by 161% year on year to INR 212 crores and the PAT margin expanded by 615 bps year on year to 11.5% during this quarter.

About the Capex plan, the ongoing Capex of approximately INR 700 crores is progressing as per our schedule. The Company spend nearly INR 410 crores till Q1 2025 financial year and target to enhance its overall DI pipe manufacturing capacity to 1 million ton in the year 2026. Now, I shall open the floor for the question answer session. Thank you very much.

Moderator: Thank you. First question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Thank you for the opportunity. Sir, firstly about the Capex part, which Ashutosh ji articulated about INR 410 crores. So, this Capex is spent during which period and how much is left to be spent for this financial year?

Ashutosh Agarwal : Up to last quarter, we have spent INR 390 crores and, in this quarter, we have spent 20 crores.

Saket Kapoor: OK. And what will be the capacity augmentation, Sir by end of the year?

Ashutosh Agarwal : 5.5 lakh tons will be done and further 1 lakh ton will be next financial year in 2026.

Saket Kapoor: So, for the exit of FY25, we will be having 5.50 lakh tons for the South unit and what will be the capacity for our Eastern unit?

Ashutosh Agarwal : Approximately 350,000 tons.

Saket Kapoor: 350,000 tons. OK, so 9,00,000 will be at the exit of FY25?

Ashutosh Agarwal : Correct.

Saket Kapoor: OK. So, we will get the benefit of the enhanced 1,00,000 capacity in phase manner for the for H2 or will that benefit will get percolated to the next year?

Sunil Katia I: No. In fact, the

se facilities are expected to be commissioned by the end of third quarter. So, part of the benefit, definitely we'll start accruing from fourth quarter onwards.

Saket Kapoor: Ok. Sir, when we look at the EBITDA number and also the raw material environment currently. So, this EBITDA trajectory looks to be on a steady set of state and these numbers look sustainable now, taking into account the major raw material price trends currently?

Sunil Katia I: Yes, that's what looks like, though there are some interim fluctuations, actually the coal prices have a bit softened, but at the same time the iron ore has had the upward trend in both Karnataka region as well as Odisha. So, but possibly, I mean these will get netted off more or less and we should be able to hold on to the trajectory.

Moderator: Thank you. Next question is from the line of Pinaki Banerjee from AUM Capital Private Limited. Please go ahead.

Pinaki Banerjee: Thank you, Sir, and thanks for the opportunity. So, my first question is that for previous participants, all that coking coal prices have been under pressure for some time now. So, is that aiding in your margin growth for the current moment and where do you see the trend going in future?

Sunil Katia I: Actually, speaking the coking coal prices have a bit softened in the last 2-3 months, so but it's very difficult as of now to really say how it is going to look like. In fact, there have been some fire in one of the major mine in Australia, and also a bit of a lull in the steel market and China was also on the back foot as a result of all this you know, in between, I mean this coking coal prices have taken a downward impact, but now China has started getting back so, let's see, really.

Pinaki Banerjee: Sir, your final terms and contracts with the final customers are they fixed price contracts, or do you have the option of renegotiating if the import price goes up?

Madhav Kejriwal: Sir, Close to 90 to 95% of our contracts are fixed priced.

Pinaki Banerjee: OK. So actually, the prices go up, then you can have a relative disadvantage over there. Am I understanding correct, Sir?

Madhav Kejriwal: Yes, along with the certain delay, obviously because of stocks that we have for our existing order book, it will be an impact, but that similar trend is also playing in reverse because that we will then book orders for elevated raw material prices and if the prices fall, then we will see an upsurge in the margin. So, on a mid-term to long term basis, you will see a streamlining of the margins.

Pinaki Banerjee: Actually, just now, Mr. Ashutosh said that you have repaid about 30 crores of debt. So actually, what is the current debt and cash position now?

Ashutosh Agarwal: The current long term debt is around INR 489 crores as on 30th June 2024 and the short term is INR 1,367 crores. Total is 1856 crore, but the net debt after deducting the cash available in the system is approximately INR 1,500 crores.

Pinaki Banerjee: Ok, Sir. And just like to ask you the last question, it's just hypothetical one. Sir, now in the Union Budget, the finance minister has allocated about INR 16,000 crores for Telangana and so are you seeing any opportunity over there?

Madhav Kejriwal: I think you mean Andhra Pradesh, Sir.

Pinaki Banerjee: Yes, Andhra Pradesh.

Madhav Kejriwal: Yes, most definitely. We will benefit from that, especially considering that our South plant, which is the bigger capacity one is in Andhra Pradesh itself.

Pinaki Banerjee: Ok, Sir, that's all from my end. Thanks, and all the best for the future.

Moderator: Thank you. Our next question is from the line of Radha from B&K Securities.

Radha: Congratulations. Sir, I wanted to understand that export mix has come down in this quarter to 12%.

So, with increased capacity in place after 3Q, how do you see the export?

Madhav Kejriwal: Ma'am, with regards to the export,

at this point, due to the robust demand in the domestic market,

it's a decision that we've taken keeping in mind margins to reduce export, it's by design that this has taken place. Also, there are fluctuations in the ocean freight going to various global affairs. So, it's not really an indicator of what will be happening on a long-term basis. We would like to increase our presence in the export market in tandem with the growth that we are seeing in our capacities.

Radha: Sir, do you believe in the export markets, realizations are slightly better?

Madhav Kejriwal: It usually is, Madam, but as I mentioned, there have been some major upheavals in the transportation costs which are going to be temporary in nature and also there was good demand pull from the domestic market for this particular quarter, being close to the election period, so that's the reason why we see this trend for that.

Radha: Because of the lower supply in the export market recognition, because the domestic demand is very good. So, do you expect any loss in market share in the in the export due today?

Madhav Kejriwal: As I mentioned earlier, ma'am, this is not a trend for the long-term future. This is a momentary one. So, what you're saying would probably apply for a period of six months or so. Nothing longer.

Radha: Secondly, another 75,000 tons capacity is expected to come from the Srikalahasthi plant for FY25 out of this, how much are we planning to sell from this additional capacity this year?

Madhav Kejriwal: We would be selling most of that, ma'am. I don't think there will be any unsold capacity from the additional.

Radha: Can you do north of 8 lakhs tons of DI sales this year?

Madhav Kejriwal : We will be hitting somewhere around the ballpark figure of 8.5 lakh tons this year.

Moderator: The next question is from Kuber Chauhan from Anand Rathi. Please go ahead.

Kuber Chauhan: Thank you for the opportunity and congratulations on good set of numbers. There are two questions from my side. When you are saying about the demand, so from which region we are looking, we are getting more demand. And my second question is on the land which we have acquired in Odisha, can you give some highlight on that?

Madhav Kejriwal : Sir, I'll start off by answering the second question first. It's a little early for me to throw any light on our plans in Odisha right now. So, I shall refrain from that. In regard to the demand pool today, there is decent amount of work left almost all over the country. So, there is no single state which is really pulling a lot of demand. There are ups and downs regard due to seasonality or fund availability for that particular moment. So, at times you will see a state pulling in more but there is not really one location I think, Andhra is going to pick up for the near future, so that's going to be one market, which we are optimistic about. And of course , Odisha, Madhya Pradesh, Rajasthan, UP, etc. remain strong markets for us as well.

Kuber Chauhan: And what would be our volume on an annualized basis if you can give some percentage or any ballpark number?

Madhav Kejriwal : Our sale volume will be around as I mentioned earlier, would be around in the ballpark of 8.5 lakh tons for this financial year.

Kuber Chauhan: Ok. Thank you.

Moderator: Thank you. Next question is from the line of Mr. Gunit Singh from Countercyclical PMS.

Gunit Singh: Sir, I would like to understand with our competitors and players across the board, in DI pipes coming up with capacities in FY26 and in the coming 2-3 years, I mean, do we see there to be any margin pressures in the future with respect to DI pipes? And do we expect the, I mean the supply to outrun demand or how does the overall industry scenario and DI pipes look like for the coming 2-3 years in terms of demand supply dynamics?

Madhav Kejriwal : Sir, in the near-term, I look at it as a positive with

the increasing capacity in the industry, because at this moment, there is a major gap between demand and supply which causes this thought and mindset of changing pipe material, but with the strong domestic industry, we will only see the demand being pulled up, so it's a kind of cycle where if availability of material increases, so will the demand. That is one part of the equation. The other is that we are very far from installing even our first virgin infrastructure for water pipeline across the urban and the rural sectors we've just about started with irrigation, so the next five years is quite an optimistic view.

Gunit Singh: Policies of vertical discrepancy between demand and supply would I mean, can you quantify the industry wise number if possible?

Madhav Kejriwal : We would be looking at a demand scenario of approximately 5 to 6 million tons over the next five years, each year and supply would be meeting this I think around the 3rd or 4th year, so we have some time to go.

Moderator: Thank you. The next line is from Mr. Avinash Nahata from Parami Financial services. Please go ahead, Sir.

Avinash Nahata: Thanks for the opportunity. I have two questions. I've been following the company for quite a long period of time when we have spoken in the past, let's say last year. So, we spoke about EBITDA per ton and the management team has indicated that 11/12 /13 thousand should be the right way to look at it. If I look at last four quarters, it's an upward of 15/16/17 thousand and this quarter was more than 18,000 EBITDA a per ton the product. The sales were 1,93,000 ton, right?

Madhav Kejriwal : Yes, please.

Avinash Nahata: Yeah. So, I have two questions. What has transpired in the last four quarters, which has seen what we used to do 10/11/12 thousand EBITDA per ton and we are now doing 16, seventeen, 18,000 EBITDA per ton? What are the key reasons from both demand and supply perspective, if you can tell us? And my second question is what is the sustainable number? I had asked this question last year also when you guys said 11/12 is a good enough this number to carry.

Madhav Kejriwal : I think last year the reason for those numbers were because we didn't want to over-commit. I do agree on the fact that it was probably not envisaged that we will see such a jump in the overall margins, although now that we study the reasons, it seems like those reasons are going to be valid for the foreseeable future. So, saying that, I think being around these margin numbers is pretty much valid. The reasons are largely demand and supply related. The numbers have, as I've mentioned just a while ago was that there is a gap of around a million to a million and a half at this moment between the demand and supply, which will take some time to narrow down. It's largely related to that. There have been some unlocking of efficiencies that we've seen as we've expanded, of course, there's also the matter of economies of scale that adds to the equation.

Avinash Nahata: Yeah. So, I mean, two questions again from my side is one is we were running our plants at full capacity earlier also. I mean and 2nd from the demand side when you're saying there is a gap of 1 million ton, so that gap existed one year back also two years back also.

Madhav Kejriwal : I would not say that the same gap remained one year back and two years back as well, the demand scenario has been picking up. The avenues for the demand pull have also increased by way of

irrigation starting to pick up and AMRUT 2.0 expenditure starting as well. The other aspect in regard to our full utilization of plant, we have obviously made some improvements in the overall equipment and that really helps you hit better efficiencies. You see that it is not a pro rata jump in your efficiency when you go from a certain size of equipment to a much bigger size. So that comes into play. Half a million tons steel plant and

the 1 million ton both running at full capacities will not have the same performance indexes.

Avinash Nahata: OK. So, are you saying that INR 15,000 per ton is maintainable, maybe 18-19 is on the higher side, but INR 15,000 EBITDA per ton is maintainable according to you over the next I mean whatever foreseeable future you can look at?

Madhav Kejriwal : Yes, please.

Avinash Nahata: And what was the export number we did in terms of tonnage?

Gaurav Somani : We sold around 24,000 tons.

Avinash Nahata: Thanks a lot, and all the very best.

Moderator: Next question is from the line of Mr. Jojo Shaju from Alpha Invesco Research Services. Please go ahead Sir.

Jojo Shaju: Yeah. Thanks for the opportunity. Sir, most of my question is already answered. So just two questions from my side. One is on the exports. So, exports volume as you mentioned came down to 12%. And if I look back, it was around 20 % in the Q1 of last financial year. So just want to check what is the outlook on the export market and if you can specifically talk about Europe and Middle East market?

Madhav Kejriwal : The demand in Europe and Middle East are very much stable. In fact, in the Middle East there is an upswing in demand. Europe has seen a very temporary downturn. That's more seasonal and also, there are there were a lot of elections going on this year so a bit of a slowdown going to that account. In regard to our percentage of shares for export, because of the fluctuations in the ocean freight, there was a bit of a downturn in this quarter. I don't think that this trend will maintain for too long. We are seeing trends for us to maintain the 20 % export contribution.

Jojo Shaju: Ok, Sir. And how about the US market doing for us? What is the outlook over there?

Madhav Kejriwal : The US market is very protectionist in nature and it has its own difference in material type which is one of the reasons why it cannot be completely capitalized by an outsider and it also has a very strong indigenous manufacturing ecosystem. So, owing to that, we don't see the US being a market where we can exponentially grow, but we will maintain our existing hold.

Moderator: Thank you. Next question is from the line of Mr. Bharat Sheth from Quest Investment. Please go ahead, Sir.

Bharat Sheth: Hi, good afternoon, Sir. My question is we wanted to work on to improve the contribution from joint business, so which can help us which is a higher EBITDA margin. So, can you give how the trend is and what currently is the contribution and whatever in past and they do we see in couple of years?

Madhav Kejriwal : I'm sorry. So, you'll have to elaborate a bit on that question please.

Bharat Sheth: See, we have two products, joints and the pipes, correct?

Madhav Kejriwal : At this moment, we have been continuously expanding our capacity for fittings. I think that is what you're referring to.

Bharat Sheth: Correct. Yeah. Fittings correct.

Madhav Kejriwal : We are looking at having an installed capacity of 24,000 tons even for the Greenfield project of Odisha, there are plans at this point to see if we can expand it. Of course, nothing is concrete. We are hopeful that we maintain the contribution of fittings at around 5 to 10% and going forward, I think that will be a good value add for us. You can say cherry on cake scenario.

Bharat Sheth: Ok, so currently it is in what range and where do we see in FY25 and FY26?

Madhav Kejriwal : It contributes around 4 to 5% at this moment.

Bharat Sheth: OK. And we want to take it to 10% in two years' time?

Madhav Kejriwal : Somewhere between 5-10.

Bharat Sheth: Ok, thank you. And all the best.

Moderator: Thank you. The next question is from the line of Deepesh Sancheti from Maanya Finance. Please go ahead Sir.

Deepesh Sancheti: Yeah. Well, I just wanted to know the capacity utilization is 100%, right?

Madhav Kejriwal : Yes,

please.

Deepesh Sancheti: Yeah. So, what is the raw material mix? How much of the raw material like how much iron ore and how much is that coal? Does that affect our raw material prices in terms of percentage?

Sunil Katial : As a percentage, the coal prices are around 52% and iron ore is around 26-27%.

Deepesh Sancheti: 26 to 27% OK. And what is the order book right now?

Madhav Kejriwal : We have approximately 11 months of order book.

Deepesh Sancheti: 11 months and with the increased capacity, are we looking? I mean, how much is the order book is from exports and from domestic?

Madhav Kejriwal : Approximately 15% would be from export and the remainder from domestic.

Deepesh Sancheti: OK. And I know you get this question, but any update on the money from JSW?

Madhav Kejriwal : Being an election quarter, there was a lot of lulls on that front, to be very frank.

Deepesh Sancheti: OK, there was a bit lull, but now with the same government elected, do we expect that this will expedite?

Madhav Kejriwal : I've been wrong in my assessment of this in the past. I'm still optimistic because it's moving in the right direction, but it's a little slower than what we expected. So, I think it's best if I don't give any timelines at this point.

Deepesh Sancheti: Right. But there has been no advancement or anything, nothing in this quarter, at least?

Madhav Kejriwal : From the last concall, no Sir, there have not really been any advancements at the same time, it's not going back either. So, there's nothing negative.

Deepesh Sancheti: OK. So, we are hopeful. Now just wanted to understand with our Odisha expansion and other state expansion, how does the change of government affect our expansion plans, or you know do we get the orders from state government or from directly from central government? How is it?

Madhav Kejriwal : The orders are coming in from the state government, but I think both the past and the current government are quite efficient and focused towards the infrastructure development, so I don't see any change in stance over there.

Deepesh Sancheti: OK, so with the Maharashtra elections or any other elections coming in for the future also we don't see any big change?

Madhav Kejriwal : Not at all. I'm of the view that now every government has realized that infrastructure development is a core part of what is required to be done and I find that focus is there water is also a very essential, probably the top one or two points for what's in focus so I don't see any real impact coming in due to the government change there might be a slowdown due to fund allocation for a temporary period, but nothing more.

Deepesh Sancheti: OK. And just wanted to understand this JSW matter, is it stuck with the central government, right? Which ministry is generally involved in this?

Madhav Kejriwal : It's the Ministry of Coal, please.

Deepesh Sancheti: Ministry of Coal. OK. Thank you so much, Sir. Thank you. All the very best and we are hopeful that you'll get the money soon.

Madhav Kejriwal : Thank you for that. We are very hopeful too, Sir.

Moderator: Next question is from the line of Radha from B&K Securities. Please go ahead ma'am.

Radha: Thanks again, Sir, your guidance of 8.5 lakh tons volume. Does it include fittings and cast iron pipes or this is purely DI pipe?

Madhav Kejriwal : These are just the ductile iron pipe figures, ma'am.

Radha: OK. How much are we expecting to do in fittings and cast iron?

Madhav Kejriwal : Approximately 36,000 tons in cast iron and 22,000 to 24,000 tons in fittings.

Radha: 24,000 tons in FY25?

Madhav Kejriwal : Yes, please.

Radha: Sir, wanting to know the sales volumes of DI fittings and cast iron for this quarter as well as for last year first quarter.

Gaurav Somani : In fittings, we sold 4,100 tons in this quarter and last year, same quarter it was 3,900 tons.

Radha: OK.

Thanks.

Gaurav Somani : Cast Iron pipes, we sold around 9300 tons and in the previous year quarter, it was 5000 tons.

Radha: OK. Thanks, and all the best.

Moderator: Thank you. Next question is from the line of Siddhant of AVS Equi-invest. Please go ahead, Sir.

Siddhant: So, a part of my question is answered. I was asking regarding the EBITDA margin. We had discussed previously that 18,000 per ton is the best scenario. So, can we expect this for the entire financial year or will we like there were some specifications like is there only specific quarter and performance?

Madhav Kejriwal : We're optimistic to have these tailwinds stay for the entire year in fact, for the remaining three to five years. So, to answer your question, yes, of course I can't give you a specific number on the percent itself.

Siddhant: But can we do 18,000 per ton like scenario for this financial year whole? Because realistically I'm thinking about that on the year-on-year basis, you sell around 8 lakh tons. So, given that number, like can I come up with that expectation?

Madhav Kejriwal : Sir, as I mentioned, it's a little difficult to give you a specific number, but we will be in the ballpark of this, yes.

Siddhant: Another question is regarding the payment side of structure, because most of the orders are from the government directly. So how does the payment structure, is it structured well in advance and or is it like you know the difference in?

Madhav Kejriwal : Our domestic part, majority of our orders come in from EPC contractors. It's private companies. They in turn have their linkage with the government. At times when as it was asked previously in this concall, when there's a government change, sometimes there's a bit of a slowdown from the government to the EPC contractor doesn't turn out, and comes down to us as well, but for around 85% of our order book, which is through EPC contractors, it's all backed up by LC's bank guarantees or advance payments.

Siddhant: OK. Thank you. Thank you so much.

Moderator: The next question is from the line of Mr. Surendra Khemka, individual investor. Please go ahead, Sir.

Surendra Khemka : In March quarter, the plant was shut down while it was not shutdown during Q1 FY25, the sales numbers should have been higher in Q1 FY25. I mean, our ton wise production was less, it should have increased, right?

Madhav Kejriwal : Sir, when you are coming out of the expansion, it takes some time to ramp up the production. So that is the reason why the total tonnage is where it is plus owing to the seasonality factor of it of largely heat, you know there is some minor inefficiencies that come in in the first quarter.

Surendra Khemka : I am from Assam and here Electrosteel is sold at premium price only. Our plant is in Durgapur, right? In Bengal, right?

Madhav Kejriwal : Yes, not it is not in Durgapur.

Surendra Khemka : Is it in Bengal?

Madhav Kejriwal : One is in Bengal and one is in South.

Surendra Khemka : I have seen your prices are premium only, around 18-18.5% it is. Our customers get diverted due to the high prices, due to premium price.

Madhav Kejriwal : Sir, our Electrosteel is a very old brand and in today's time, there is a lot of demand, so we command the premium for that reason.

Moderator: Thank you. Next question is from the line of Mr. Rajesh Bhandari from Nakoda engineers. Please go ahead, Sir.

Rajesh Bhandari: Good afternoon, Sir. Congratulations for the good numbers. I wanted to know this Electrosteel, that mining thing was there, have we received the payment money?

Madhav Kejriwal : So, it was in the Electrosteel Casting company that the coal mine was present and this has been recently allocated, not recently, but it's been some time since JSW has been allocated the mine.

Unfortunately, the processes that lead up to the final finalization of the value are still going on so although thing

s have been moving on the right track, there is no real firm date as to when we can see this materialized.

Rajesh Bhandari: What is the expected amount, Sir?

Madhav Kejriwal : As per the value on our books that is going on, INR 1,258 crores.

Rajesh Bhandari: And sir other thing I was seeing is debt approximately attracts INR 160 crores interest on that so why? These days there is a fashion of QIP. Everyone is taking QIP then us being an established company, why are we not taking QIP?

Madhav Kejriwal : We see a sustainable level. More of the debt if you see, is related to the working capital. Debt is well taken care of, looking at this trend, we don't feel the need of QIP right now.

Rajesh Bhandari: Sir, Blackrock is your shareholder which is 8 trillion so because of that name itself, huge crowd will get attracted.

Madhav Kejriwal : Thank you for your suggestion, Sir. We shall take that into consideration.

Moderator: Thank you. Next question is from the line of Radha from B&K Securities. Please go ahead.

Radha: Alright. Thanks again. What is the average cost of coking coal for this quarter? And with respect to that, what is the inventory that they're holding and coking coal cost for the inventory that they're holding?

Madhav Kejriwal : I think that's too detailed an answer to provide.

Radha: OK, Sir, could you tell me what is the how many months of inventory are we holding as of now?

Sunil Katial : Around 4 and a 1/2 months.

Radha: OK. The second thing is this acquisition that we are about to do for Singapore, there we have planned to expand in the overseas areas. Could you explain what is the opportunity size that you're looking at?

Madhav Kejriwal : So, ma'am, the thought behind Singapore is that with our growing capacity, markets which we have earlier avoided due to China's influence the Southeast Asian market of Vietnam, Thailand, we would like to start exploring that we've become more competitive on the pricing front with the Chinese so we thought that Singapore is the best place to be for these markets as a hub, this opportunity came in front of us so it was best to capitalize it.

Moderator: Thank you. Next question is from the line of Mr. Saket Kapoor from Kapoor and company. Please go ahead.

Saket Kapoor: Sir, firstly if you could explain me what led to this increase in our consolidated profit this time when we look at our turnover that has risen from INR 1,832 crore for standalone to INR 2,012 crore approx. for consol. Whereas the raw material consumption is similar the same amount. If we keep the consol and the standalone numbers, the material consumption is same. So, if you could just explain and I think this is the first quarter where in we are seeing these higher amounts of profit at consol level, earlier consol levels used to report lower profit. So, if you could let explain any exceptional part for this quarter?

Madhav Kejriwal : So, Sir, as per the accounting norms, because of the lower export from India, the stock build up at the subsidiaries are lower. Thus, there's an amplifying effect of the sales both here and in the subsidiaries, which was erstwhile replenished by new stock from India. And we would have to reduce that from the stand-alone numbers as per the accounting norm earlier, there were exports

were less so because of the negation factor did not come into picture.

Moderator: Thank you, Sir. I now hand the conference over to the management of Electrosteel Castings limited for their closing comments.

Madhav Kejriwal : I would like to thank everybody for taking out their valuable time and listening to us patiently at the end of this very interactive call. I would like to reiterate that the company continues to grow along with maintaining its balance sheet strengths and further is well positioned to benefit from the growing water interest spending in case of any query, please feel free to connect with E

Y, our IR

consultants. Thank you.

Moderator: Thank you. On behalf of Electrosteel Castings Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you so much.

Call: Nov 2024

6 November , 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 25 October, 2024 intimating that a Conference Call was scheduled to be held on 30 October , 2024, at 4.30 pm IST, to discuss Q2 & H1 FY25 Earnings of the Company.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith a copy of the transcript of the said call with the Investors .

Please also find herein below the link of the transcript of the said call that has been uploaded on the website of the Company -

<https://www.electrosteel.com/investor/investor-presentation-and-other-documents.php>

This is for your information and records.

Thanking you ,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary

Electrosteel Castings Limited
Q2 & H1 FY25 Earnings Conference Call
Oct 30, 2024

Moderator: Good day and welcome to the Q2 & H1 FY'25 Earnings Conference Call of Electrosteel Castings Limited.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Verma from EY LLP . Thank you. And over to you.

Vikash Verma: Thank you, Mike. Good evening, everyone. On behalf of Electrosteel Castings Limited, I welcome you all to the company's Q2 FY'25 Earnings Call.

To discuss the performance of the company and to answer the questions we have with us from the management team, Mr. Madhav Kejriwal, Whole-time Director, Mr. Sunil Katiyal, Whole-time Director and CEO, Mr. Ashutosh Agarwal, Whole-time Director and Chief Financial Officer, and Mr. Gaurav Somani, General Manager, Finance.

Before we proceed with this call, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors which will be beyond management control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements. Please note that this conference is being recorded.

We will now start the session with opening remarks from the Management Team, afterwards, we will open the floor for an interactive Q&A Session.

I will now hand over the conference over to Mr. Madhav Kejriwal for his Opening Remarks.

Thank you and over to you, Madhav.

Madhav Kejriwal: Thank you, Mr. Vikash. A very good afternoon and a warm welcome to all. I would like to start by wishing everybody a Very Happy Diwali.

Let me run through the Company's Financial Results for Q2 & H1 FY'25. The Company's total income stood at Rs.1,849 crores during the second quarter of FY'25, down 4.6% compared to Q2 of the last financial year. This was mainly on account of the shutdown taken of the MBF at the Sri Kalahasti unit.

Our H1 total income stood at Rs.3,885 crores, which is up 6.5% compared to the previous H1.

Our production is now stabilizing and we expect improvement in volumes and overall profitability going ahead.

Highlighting our balance sheet strengths, our net debt-equity has further improved to 0.27 times as on 30th September 2024.

We are very pleased to inform you that all our long-term

credit rating has been upgraded by

India Ratings from 'AA Minus' to 'AA' during the quarter.

The company's DI Pipe sales volume stood at 1.76 lakh tons in Q2 FY'25 and 3.68 lakh tons in H1 FY'25. Export contributed to 13% of the total DI volumes for the first half.

We at Electrosteel are amongst the few companies in the globe with the pure play focus on ductile iron pipes and fittings. We are the pioneers of ductile iron pipe products in India and have maintained our leadership stance in the industry by building capacity at regular intervals to drive growth. The company's ongoing CAPEX is progressing as planned. We aim to enhance production capacity to 1 million tons by the end of FY '26.

The Government of India's Vision Bharat Vision, which includes Jal Jeevan Mission and AMRUT 2.0 provide robust demand visibility for DI pipes and fittings. Additionally, the governments across the globe are looking forward to modernizing their water infrastructure. We are one of the most preferred suppliers of ductile iron pipes, thanks to a strong brand recall.

ECL is well placed to ride on growing water infrastructure globally spending. Our team across functions offers a customized solutions to our esteemed customers, resulting in customer satisfaction.

I would now like to hand over the floor to my colleague, Mr. Ashutosh Agarwal, Whole-time Director and CFO for taking you through the Financial Highlights.

Ashutosh Agarwal: Thank you, Madhav, ji. Good afternoon to everybody and wish you a very, very Happy Diwali to all of you. Today, we are in discussion with the earning call for Q2 and H1 of FY 2024-25. First of all, we would like to discuss about consolidated results of Q2 FY 2024-25. Total income stood to 1,849 crores, impacted by planned shutdown as narrated by Mr. Madhav Kejriwal of our blast furnace in Kala Hasthi unit during this quarter. EBITDA was at Rs.289 crores, EBITDA margin declined by 82 bps year-on-year basis to 15.6% impacted by lower volume as stated by us. PAT reported at Rs.155 crores, PAT margin was 8.4%.

Now, on the "Consolidated H1 Results." Total income grew by 6.5% year-on-year to Rs.3,885 crores. EBITDA surged by 31.8% YoY to Rs.666 crores, EBITDA margin expanded by 329 bps YoY basis to 17.2%. PAT grew by 52.8% YoY basis to Rs. 381 crores in H1, PAT margin expanded by 297 bps YoY basis to 9.8%.

Now, we are talking about "Standalone Results of Q2 FY 2024-25." Total income stood to Rs. 1,712 crores impacted by plant shutdown as stated by us. EBITDA is Rs. 270 crores. EBITDA margin was 15.7%. PAT stood to Rs. 152 crores, PAT margin stood to 8.9%.

Now I'm talking about "Standalone Results of H1 for the year 2024-25." Total income grew by 4.3% year-on-year to Rs. 3,564 crores, EBITDA surged by 21% year-on-year to Rs. 623 crores, EBITDA margin expanded by 242 bps year-on-year to 17.5%. PAT grew by 37.2% year-on-year to Rs.364 crores, PAT margin expanded by 245 bps year-on-year to 10.2%.

I am talking about CAPEX plan. We have spent nearly Rs. 440 crores till September 2024 and the progress of the balance portion is as per the schedule. We target to enhance that our DI Pipe manufacturing capacity to 1 million ton maybe by FY 2026. Now, we open the floor for question-answer session. Thank you very much.

Moderator: We will now begin the question-answer session. The first question is from the line of Vikas Singh from PhilpCapital. Please go ahead.

Vikash Singh: Sir, my first question pertains to our gross margin, which though improved on sequential basis, improvement is slightly lower than what we would have anticipated. So what kind of coking

coal and iron ore benefit we have got in 2Q and what it is going to be in 3Q.

Gaurav Somani : So, Vikash, in Q2, our gross margins what we reported was around 50.7% as compared to last year it was 49.4%. So, we have done around 130 basis points improve

ment. So on the gross

margin side, there's improvement if you see year -on-year or maybe quarter -on-quarter . The coking coal prices have come down during the quarter and as we speak, it is further down. So, obviously the benefit of the coking coal price will be there. Iron ore prices were little volatile between Q1 and Q2, it was on the upper side, now it's more or less stable. So we expect the raw material prices to support going forward.

Vikash Singh : So just wanted the quantification, what kind of benefits we can get in 3Q? Have we got the majority of the benefits already in 2Q or majority will come in 3Q if you just could clarify on that point?

Gaurav Somani : Vikash, we have booked good amount of coking coal and we have inventory and in Q3 going forward we feel that there will be some more benefit coming from coking coal side.

Vikash Singh : Second question pertains to the shutdown thing. So how much on the EBITDA per ton basis is impacted and going forward what should we take as a steady state EBITDA per ton for the second half?

Madhav Kejriwal: I think in terms of EBITDA per ton, maybe you can say half a percentage impact has come from the shutdown and going forward, stability on the EBITDA for the short to mid-term is envisaged.

Vikash Singh : Second question pertains to the general market. A couple of the people have in the same space have commented that of late the order inflow had been a little bit slow from the government side. Just wanted to know your comments, how we should look the order book for yourself as well as if the inflow is really slowing down or you are seeing the market being buoyant as usual?

Madhav Kejriwal: So, the reason for the slowdown is essentially that now that the new term has started, they are kind of collating and recalibrating the progress made so far and what the ways forward is. I'm not very concerned about this on a long-term perspective and I'm very hopeful that the outlook for demand remains the same, it's a temporary pause.

Vikash Singh : What is your current order book in terms of month or tonnage whatever you can give us? And also the next one to two years kind of the market of the DI total tonnage which is pending to be awarded, if you would have that number?

Madhav Kejriwal: Today, we stand at around nine-month order book and at the moment around 6.5 million tons worth of order book is pending, to be finalized and I don't think this will change anytime soon. Whatever order booking will be done, will be constantly refilled with new demand. Maybe 6 to 6.5 million tons of requirement will constantly be there in the pipeline.

Vikash Singh : From 18 to 24 months perspective, right?

Madhav Kejriwal: Yes, please.

Moderator: We have the next question from the line of Radha from B &K Securities. Please go ahead.

Radha : Just continuing with the question that the previous participant has asked, so you mentioned that we will see the benefit of coking coal prices in the coming quarters 3Q or 4Q if we assume.

So, the EBITDA per ton of second half could look much higher than the first half. So, on a blended basis, if we take Rs.18 or Rs.19 or Rs.20 per Kg for FY '25, assuming we are targeted to do 8.5 lakh tons of volume in FY25, so our DI EBITDA comes to Rs. 160 crores. But when this benefit of coking coal subsides, maybe after two to three quarters when the price is stabilized, so next year we are targeting to achieve around 9.3 lakh tons of volume, so 10-11% volume growth, but on the other hand, the EBITDA per ton could come down because of the stability in coking coal prices. The 10% volume growth may not be enough to offset the stabilization in coking coal prices. So, just wanted to know that is it a fair assumption that the FY'25 EBITDA on DI because of these dynamics will remain stable in FY'26 and on an overall DI EBITDA may not be a growth in FY'26?

Sunil Kat

ial : I agree with you on the fact that the stability of EBITDA going forward will be there. Growth beyond this point will not be, I don't know, I mean if luck favors then yes of course, but barring that from what we can envisage further growth from here is not something that we are looking at, in terms of percentages, not in terms of absolute numbers of course.

Madhav Kejriwal : Madam, one thing, when the volume will go up, there will be a decisive advantage also on the variable cost and major on the fixed cost. So that also should take care of a part of the negative impact of what you thought about coking coal and all that.

Radha : Sir, assuming that in FY'25, if we close the year with Rs.19 per Kg EBITDA on DI, so assuming all

those benefits come through, do you expect the EBITDA per Kg to be slightly lower than FY'25 in FY'26?

Madhav Kejriwal: It will be very difficult to give you an answer in absolute numbers, ma'am. Again, as I mentioned, percentages is a better way of looking at it because of course if there is an eventual impact on selling price of the reduction in the raw material prices, it does not reflect immediately, but if both coking coal and iron ore prices reduced, from a mid-term perspective, we will see an impact on the per ton selling price. So, we like to stick to the percentages and I'm highly confident that we will be able to maintain these percentage points.

Radha: My second question is on the bidding front. I just wanted to understand that when we started the year in FY'25, so what were the realizations that we were getting while bidding for the project on a per ton basis? And considering that there is correction in raw material prices, so just wanted to understand that for the current bidding that we are doing currently, so how has the realization spread out now compared to what it was six months back?

Madhav Kejriwal: There's a very minor downward correction.

Radha: How do you see it going forward, sir, considering that raw material prices are coming down?

Madhav Kejriwal: The raw material prices are coming down. Demand is still robust. So, I don't feel that there will be any major correction in the selling price as of now, maybe a slight dip and then a slight increase from quarter-to-quarter depending on the demand pull as we were discussing earlier in the call, because there was a minor slowdown due to the rains, plus the government kind of wanting to recalibrate what the ground situation is like, there's a couple of percentage points drop maybe in the selling price. Similarly, come Q4 when usually demand picks up again, we might see the opposite side of this happening. So, it's going to be a minor correction upward and downward as compared to the raw material prices.

Radha: Continuing with this bid book question, so just wanted to know what is the bid book size currently for AMRUT and other irrigation projects?

Madhav Kejriwal: So, Ma'am, I will have to get back to you on the exact number for our current order book on that front on how much is coming out of AMRUT and how much is from irrigation, but on the demand front, overall for the industry we can say that the AMRUT demand is around 20%-25% and the same for irrigation.

Moderator: We have the next question from the line of Prathamesh Dhiwar from Tiger Assets. Please go ahead.

Prathamesh Dhiwar: Sir, just wanted to know on the industry front, like we said earlier, currently the orders are muted from the JJM. So, from when we are seeing the pickup in the order inflow by the government?

Madhav Kejriwal: I think by the beginning of next quarter, we should start seeing the JJM order book pick up again.

Prathamesh Dhiwar: From Q3? And sir, what are the average order sizes of these projects?

Madhav Kejriwal: That varies by such a huge margin. It would be incorrect for me to give you a particular answer on that.

Moderator:

We have the next question from the line of Rakesh Roy from Omkara Capital. Please go ahead.

Rakesh Roy: My question is related to volume numbers comparing on a sequential basis or year-on-year basis it has come down due to plant shutdown. But when come to realization, that has improved. Any reason your realization improved or have you taken any price increase in Q2 or Q1 or first half?

Madhav Kejriwal: Pricing is stable, Sir. There is no real major improvement in the realization per ton, it's similar.

Rakesh Roy: Iron ore pricing is down compared to H1. So next realization will be same or will come down?

Madhav Kejriwal: Like I mentioned Sir, recently there has been a very minor reduction in the realizations on the order book front. That's also reflecting a temporary slowdown from Jal Jeevan Mission and as I mentioned that these kind of things they move a few percentage points up and down depending on the time of the quarter. So maybe come Q4 once JJM picks up again, we'll go back to better realizations, but again that is a slight difference. This I'm talking about in the range of maybe 2%, 3%, 4% like that.

Rakesh Roy: We have taken less projects on Jal Jeevan, but many projects come from state government. Are we supplying to state government also for state funded project?

Madhav Kejriwal: Yes, absolutely. We are supplying to state funded projects, we're supplying to foreign funded projects.

Rakesh Roy : In Jal Jeevan, how much is a state funded project?

Madhav Kejriwal: Sir, Jal Jeevan is a part of state -funded , it's not that Jal Jeevan is completely central -funded. Independently , state-funded projects , most of the irrigation projects are independently state -funded and you have a few other foreign -funded projects which are direct loans to the state. So, I would say around 30 % are independent of any central schemes.

Rakesh Roy : Export sir?

Madhav Kejriwal: 13%.

Rakesh Roy : Is there any impact due to this increase in shipping cost?

Madhav Kejriwal: Yes, sir, there are two aspects as to why exports are little lesser than what it usually is. One is the impact of the ocean freight and the other part is that because the demand in domestic is so robust . We are finding the domestic markets a little more interesting in terms of margins for some markets . So, we are concentrating on the higher margin markets in totality. A Part of the reason is because the ocean freight of course if that gets a little better, we will be back to decent realizations again in the export markets , is the ones which we are not concentrating right now as well.

Rakesh Roy : Hopefully Q3 number will be same for the export market at 13%?

Madhav Kejriwal: I think it might be a little better off, but it won't be substantial. It's difficult to comment on what will happen later because it really is very much dependent on the movement of the ocean freights. Unfortunately, the ocean freights are dependent on the geopolitical scenario of that region and I don't think any of us are equipped to really answer that particular question.

Rakesh Roy : How many days we had a shut down ?

Madhav Kejriwal: We had a shutdown of approximately 7-7.5 days , something like that.

Rakesh Roy : Is this the annual maintenance or is it the one or two, three years ?

Madhav Kejriwal: This is a part of the annual maintenance shutdown. We have extended it a bit longer than we usually do because we want to try a few more things .

Rakesh Roy : So, this is the reason our volume is down ?

Madhav Kejriwal: This is the major reason why our volumes are down . Stability post the shutdown did not come in as quickly as we thought it would. Now , we are seeing better stability at the blast furnace.

Moderator: We have the next question from the line of Niraj from Ashika. Please go ahead.

Niraj : So, the first question is could you share any update on the Greenfield project?

Madhav Kejriwal: Sir, as I mentioned at this point I can't share too much information because we're not at that stage yet . Things are going on as per plan though . We are getting closer and closer to finalizing the end result and then disclosing it.

Niraj : And how are we planning to fund this project ?

Madhav Kejriwal: It will largely be through internal accrual and if required there might be a minor leveraging . But we don't see our overall leverage going up as we'll be repaying loans as well.

Niraj : How do you see the opportunities from river interlink as there are some three to five river interlinks were identified and how do you see the orders coming in from this?

Madhav Kejriwal: So, from the orders coming in perspective, we are at a bit more of a nascent stage than that level of majority of the river linking. Ken -Betwa is one which is progressing with good speed .

So, river linking is interestingly a part of irrigation. It's going to end up being a part of Jal Jeevan as well because that will give sustainable source of raw water supply. So, I am relatively excited about it to tell you the truth, not only from the perspective of demand for our pipes, but also as a showcase of infrastructure progress of the country. So , we are very,very hopeful that we implement exactly as we are planning. I'm glad that the government has taken this initiative up this time with more aggression than it had last time as well.

Niraj : Can we expect in FY '26 more and more incremental order book to be generated from river interlinks or anything new ?

Madhav Kejriwal: It seems so yes, it seems so.

Moderator: We have the next question from the line of Rajesh Agarwal from Moneyore . Please go ahead.

Rajesh Agarwal : Sir, my question is , is this the shutdown over or we will take more shutdown in the next second half?

Madhav Kejriwal: Well, Sir, as I was mentioning the stability of the SW blast furnace was not as quickly as we thought, and it's still not reached the exact level . So, we will do whatever is required to bring it to the point that we need to for it to be running optimally and it's difficult to say whether we

will need another shutdown for that or we can manage operationally. So , if anything comes up , as we did last time, we will be communicating to every one.

Rajesh Agarwal : Can you quantify how much production was lost or how much of sales was lost or what EBITDA was lost because of the shut down ?

Madhav Kejriwal: Approximately 12,000 tons.

Rajesh Agarwal : Do you feel this Jal Jeevan Mission outgo a little bit slow is because of the elections or it will improve from here?

Madhav Kejriwal: It's because of the election. The new government just wants to kind of recalibrate what has happened so far. The first phase was supposed to end with the term . So now they're just kind of collating everything, seeing what the progress is like, and then we will spend going forward depending on the results of that . Even as per the dashboard if you see that we're still at around 78%, 79% and 20% is required as per the dashboard. We feel that more will be required also since some work within the 78 % is pending, plus new work are also getting added up.

Rajesh Agarwal : Are there possibilities of the efficiency or scale and the margins improving further from here apart from the realization?

Madhav Kejriwal: I think going by a stable margin at this level would be a better way to look at it.

Moderator: We have the next question from the line of Muskan from B &K Group. Please go ahead.

Muskan : My question is you have guided 8.5 lakh tons for the full year , and in the first half you've done 3.69 lakh tons volume. So , in 3Q we can produce maximum 2 lakh tons, so balance is 2.8 lakh tons. Can we do it in 4Q onwards ?

Madhav Kejriwal: So due to the slower pace of stabilization of the blast furnace, we are feeling

that there might

be a reduction in the total outlook. There's also been a minor setback in terms of the equipment supply coming in from China by a month, not longer. So , these two factors I think we were talking about a range of 8 to 8.5 lakh tons . We were hopeful to hit the upper end of that spectrum. I think we might be at the lower range of that number.

Muskan : In first quarter , you mentioned that the contribution in the fitting currently is 4% and we aim to reach around 5 % to 10% in two years. So , for this , are we planning to do any capacity expansion for the fitting?

Madhav Kejriwal: So, this is all a part of what will come in the Greenfield project . Exact tonnages are not clear . But definitely it's something that is being considered.

Muskan : Like out of Rs. 700 crores , we have spent Rs. 440 crores of the CAPEX , right, so what would be the CAPEX for this year and for the next year, sir?

Ashutosh Agarwal: We are yet to spend around Rs. 260 crores for completing the running projects and the project is on schedule.

Muskan : And the balance for the next year, sir?

Ashutosh Agarwal: This Rs. 260 crores will be required for completing the entire balance project and the second half would be somewhere around Rs. 150, 160 crores , balance Rs. 100 crores will be in a subsequent financial year.

Moderator: We have the next question from the line of Ankit Puri , an investor. Please go ahead.

Ankit Puri : I've got two questions. Can you please share the company's vision with regards to the acquisition of Singardo International , what exactly does the company plan to achieve with this acquisition? And the second question is, any updates on the case with regards to the coal block settlements?

Madhav Kejriwal: In regard to the Singardo acquisition, the thought behind that was that Singardo was the authorized distributor for Electrosteel pipes , fittings in the southeast market. We wanted to further aggressively expand into that area we look at markets like Vietnam, etc. , as a good opportunity as we expand our total production. And also in regard to using the other traded products of Singardo we are hopeful we will be able to capitalize on that a little more as well , we are hopeful that we will be able to use the network of Singardo for other products which we don't manufacture to increase trade within the water industry. In regard to the dates for the coal block, it is sometime in November , I'm very sorry I don't remember the exact date, but it's in the Delhi High Court right now the case and that's unfortunately during the last hearing the judge was not available , so the matter has been now pushed to a date in November.

Ankit Puri: So, I think we hope to get some updates hopefully in the next concall I guess . And with regards to the first question again , so basically when do we start to see addition from Singardo acquisition coming up in the numbers , in subsequent quarters and what kind of numbers are we looking at, any idea on that?

Madhav Kejriwal: Numbers in terms of the turnover and the margins over there ?

Ankit Puri: That's correct.

Madhav Kejriwal: In terms of the turnover and margins being worked out from the traded products, we have not finalized on specific numbers yet, we do see a lot of opportunity over there. So, it will be a little difficult for me to answer that question. We are seeing that our total tonnages in the Southeast Asian market might improve by 5% to 7%.

Moderator: We have the next question from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: So just continuing the discussion on our Singardo acquisition, if you could provide us some more details on the financials of the company for the last three years, what was the average turnover and the profitability and how did we value it at say the Rs.49 crores when we came to the price, if you could delve a bit more on the same?

Gaurav Somani: Revenue of Singardo, it has been around 13 million Singapore dollars for '23-24 and same around for '22-23 as well and EBITDA margins has been around between 10% to 13%. As far as our cost of acquisition, it's based on the book value of Singardo.

Saket Kapoor: When you were mentioning about stable EBITDA margin, we had I think closer to 18% for Q1 and lower of 16% for Q2. So what should be the EBITDA margin range for H2 now?

Madhav Kejriwal: I think as you rightly fully mentioned, sir, it will be the 16% to 18% range is what we're looking at. In fact, I will be looking at that range for a mid-term perspective.

Saket Kapoor: And for the tonnage part, sir, you outlined that we will be doing closer to 8 lakhs and we did 3.69 lakhs in the first half. So, something around 4 to 4.3 lakhs is what can we envisage for H2?

Madhav Kejriwal: Yes, please.

Saket Kapoor: As we have gone through this shut down, have we incurred any one-off expenses for this quarter? What was the period for which the shut down happened, in which month?

Ashutosh Agarwal: Shutdown happened sometime in the month of August and we have incurred around 13 - 14 crores and that is for the long-term benefit and the shutdown was 7 days plus few hours.

Saket Kapoor: As Madhav ji was mentioning that there can be proper yield in blast furnaces, so we will be spending more for this quarter also on top of the Rs.12 crores which was spent?

Sunil Katial: Yes, actually we are going to decide in maybe another 10 to 15 days time what to do to bring it to an optimal production level. So, it may also involve another shutdown, there is a possibility, but nevertheless it will not be very capital-intensive.

Saket Kapoor: Sir, our capacity for year ending FY '24-25 would be 9 lakhs or 8 lakhs? In the presentation it was mentioned 9 lakhs for the next year.

Madhav Kejriwal: So, we are still hopeful for that. That number still holds for FY '25 you said, right. Post the capital expenditure that we will have for the expansion that was planned in the mid of this quarter which has been shifted to the end of this quarter, our installed capacity will become 9 lakh tons which we will see us manufacturing for FY '26. Our rated capacity will become such.

Saket Kapoor: Have we repaid all our long-term borrowing? I missed the commentary on that.

Ashutosh Agarwal: As on 30th September, it is around Rs. 450 crores of long-term borrowing in our books and we are sitting that much of cash in our system.

Saket Kapoor: What should we end this year sir in terms of the net debt levels, absolute number?

Ashutosh Agarwal: Net debt level including working capital?

Saket Kapoor: Yes, Sir.

Ashutosh Agarwal: It will be around Rs. 1,300 crores including working capital.

Saket Kapoor: With this rating we have been upgraded, what will be the blended cost of fund?

Ashutosh Agarwal: Including term loan and working capital or both?

Kapoor & Co.: Blended.

Ashutosh Agarwal: Term loan is around 8% and working capital is 7.5% approximately. It is very fluctuating nowadays.

Moderator: We have the next question from the line of Radha from B & K Securities. Please go ahead.

Radha: I just wanted to know this shutdown expense of Rs. 14 crores you mentioned. That has already been accounted for in this quarter?

Ashutosh Agarwal: Yes.

Radha: The second question was on the Ken-Betwa project that you spoke about and you said that now

the government on the river linking project has increased. So, I think the project cost is around Rs. 54,000 crores. So, in this, there would be other requirement of pipes as well. So, how much of this could create DI demand?

Madhav Kejriwal: It's a little too early to be able to answer that question. They have not finalized on their DPRs and other aspects which are required for me to answer that question.

Radha: Sir, if we take per kilometer, what would be the metric ton of DI pipe requirement?

Madhav Kejriwal: As you would know that in a pipeline it's not only ductile iron that is used, we use steel, ductile iron and plastics. So, it really depends. The entire project is across two states and it will have multiple distributors. Now, depending on the requirement and the functioning of each distributor, the demand outlay for ductile iron separately and plastic and steel will come out. It's a bit nascent for me to be commenting on what the exact demand outlay for this project will be.

Radha: Historically, there has been quite some delays in these projects. Now, is it a fair understanding that not only in Ken-Betwa but across other projects also that have been announced, we can expect some higher thrust in these projects maybe in the ensuing quarters or from FY'26?

Madhav Kejriwal: I am relatively certain that at least river linking projects which are interstate or intrastate between two states which have the same government that will see good thrust.

Moderator: We have the next question from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: Sir, on the depreciation part, we find depreciation line item being at Rs. 36 crores which is also up around 20% YoY. So, what have we capitalized in terms of value terms and also in terms of assets for this quarter, in particular for the first half? And also we were doing some minor CAPEX in terms of fittings and some gaskets which we used to outsource earlier. So what is the update on that?

Ashutosh Agarwal: The depreciation change is due to capitalization of some projects in Kalahasti which the project is on the pipeline. Some of the projects completed and we have capitalized and we are getting the benefit out of that. Second question about this gasket, we are setting up a plant in Punganur maybe around 125 kilometers away from Kalahasti and we will be using mostly the output for our captive purpose, anything surplus will be sold in the market.

Saket Kapoor: On the fitting front, any kind of CAPEX or debottlenecking exercise we are doing?

Ashutosh Agarwal: Not exactly at the moment.

Saket Kapoor: Historically, correct me, whenever we have done this maintenance work for the southern unit, we have faced challenges. If I correctly remember in 2018, 2019 also we faced similar type of issues with the blast furnace. Where is this disconnect that our technical teams or people in the southern unit, what are the key reasons, why we do face these issues, correct me if my memory is not serving right.

Sunil Katial: No, no, you are absolutely right. Earlier also we had an issue. See, first of all, the problem in south plant has been the raw material quality is varying very, very extensively and particularly the impurities in the iron ore, namely, the silica and alumina, these components are going very high, which are creating a change in the behavior of the blast furnace flows. So, we did talk to the designers, we did talk to the suppliers and we also got some experts. But in fact, with all that, I mean, it has lot of linkage with the raw material. Now, we are trying to actually improve our charge mixes accordingly and do some small corrections in the blast furnace so that these types of problems can be checked for long.

Kapoor & Co.: As there is some carbon footprint issue also with these types of our manufacturing units, so our investment in the renewable segment and any other that we have outlined going that may reduce also our carbon footprint?

Sunil Katial: In fact, in our Greenfield project, so we are taking it in a big way, and in our existing operations also we are taking a project for taking up green power plus we are now interacting to have a green power tie-up. These are the three, four directions in which we are working out.

Saket Kapoor: You mentioned we are looking for a tie-up?

Sunil Katial: Yes.

Saket Kapoor: We will be buying the open source scheme that the government has envisaged?

Sunil Katial: Yes.

Saket Kapoor: When we look the cash flow part, this direct taxes paid line item, so that that is inclusive of the TDS also that that has been paid on our account, how to get this number correct of Rs. 130

crore s has been paid as direct taxes for the first half ?

Ashutosh Agarwal: Yes, this is inclusive of TDS deducted .

Moderator: That was the last question. I now hand the conference over to the management for closing comments.

Madhav Kejriwal: Thank you , everybody for taking out your valuable time and listening to us patiently. I would like to reinstate that the company continues to grow along with maintaining its balance sheet strength and further is well position ed to benefit from the growing water infrastructure spending globally. I would also like to wish everybody a very, very Happy Diwali once again . And in case of any query, please feel free to connect with EY , our IR consultants. Thank you.

Moderator: On behalf of Electr osteel Castings Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

5 February, 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 28 January, 2025 intimating that a Conference Call was scheduled to be held on 31 January, 2025, at 4.30 pm IST, to discuss Q3 & 9MFY25 Earnings of the Company.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of the transcript of the said call with the Investors.

Please also find hereinbelow the link of the transcript of the said call that has been uploaded on the website of the Company-

<https://www.electrosteel.com/investor/investor-presentation-and-other-documents.php>

This is for your information and records.

Thanking you,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary

Page 1 of 20 Electrosteel Castings Limited
Q3 & 9M FY25 Earnings Conference Call
January 31, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9MFY25 Earnings Conference Call of Electrosteel Castings Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing *, then 0 on your touchtone phone.

I now hand the conference over to Mr. Vikash Verma from EY LLP. Thank you and over to you, sir.

Vikash Verma: Thank you. Good evening, everyone. On behalf of Electrosteel Castings Limited, I welcome you all to the company's Q3 & 9M FY25 Earnings Call.

To discuss the performance of the company and to answer the questions we have with us from

the management team, Mr. Madhav Kejriwal – Whole-Time Director; Mr. Sunil Katial – Whole-Time Director and CEO; Mr. Ashutosh Agarwal – Whole-Time Director and Chief Financial Officer, and Mr. Gaurav Somani - General Manager, Finance.

Before we proceed with this call, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors which will be beyond management control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements. Please note that this conference is being recorded.

We will now start the session with opening remarks for the management team; afterwards, we will open the floor for interactive Q&A session. I will now hand over the conference over to Mr. Madhav Kejriwal for his opening remarks. Thank you and over to you, Mr. Madhav.

Madhav Kejriwal: Thank you, Mr. Verma. A very good evening to all and a warm welcome to Electrosteel Castings' Q3 and 9M FY25 Earnings Call. Let me share a glimpse of our financials and industry demand scenario.

The company's total income stood at Rs. 1,816 crores during the Q3FY25. This was down 4% compared to Q3 of last Financial Year, which was mainly on account of a shutdown of the MBF Page 2 of 20 at our South unit. The company's DI pipes sales volumes stood at 1.77 lakh tons in Q3 FY25 and 5.45 lakh tons for the 9 months. Export contributed to 14% of the aforesaid DI pipe volumes. On the ongoing brownfield expansion to reach capacities of 1 million tons of DI pipes, out of our planned CAPEX of Rs. 700 crores for Phase-2, we have already spent Rs. 480 crores till 31st of December. There is a minor delay of around 2-3 months on account of manpower shortage and delays in supply of equipment, and we are hop

eful to reach installed capacity of 9 lakh tons

by the end of March 2025. We are also happy to inform you all that our long-term credit rating has been upgraded by CRISIL from AA- to AA.

Coming to the industry demand scenario, the demand for DI pipes and fittings continues to be robust on account of initiatives like River Linking, Viksit Bharat Vision, Jal Jeevan Mission and AMRUT 2.0. Although there is a pause for some time from the government on spending, which has been seen across all sectors, we are optimistic the government will continue to push towards infrastructure spending from the upcoming Union Budget FY2025-26.

I would now like to hand over the floor to my colleague, Mr. Ashutosh Agarwal – Whole-Time Director and CFO for taking you through the financial highlights.

Ashutosh Agarwal: Thank you, Madhavji. Good evening and a warm welcome to all the investors present in Electrosteel Castings Q3 and 9M FY25 Earnings Concall.

First of all, I would like to brief you about the consolidated financial results of Q3 FY25. Total income stood to Rs. 1,816 crores, partially impacted as informed by Madhav ji due to shutdown of blast furnace of Kalahasti unit. EBITDA reported to Rs. 294 crores with EBITDA margin of 16.2%, although margins were down year-on-year due to lower volume on account of shutdown but saw an improvement from the previous quarter. PAT reported to Rs. 160 crores with PAT margin of 8.8%.

Highlights on consolidated 9M FY25 results. Total income grew by 2.9% year-on-year to Rs. 5,701 Crore. EBITDA increased by 2.7% year-on-year to Rs. 961 crores and EBITDA margin stood to 16.9%. PAT grew by 5.5% year-on-year basis to Rs. 541 crores in 9 months. PAT margin stood to 9.5%.

Now, I am talking about standalone results of Q3FY25. Total income stood to Rs. 1,673 crores impacted by shutdown as intimated earlier. EBITDA stood to Rs. 280 crores with EBITDA margin of 16.7%. PAT stood to Rs. 157 crores with a PAT margin of 9.4%.

Highlights of our standalone 9M FY25 results:

Total income was Rs. 5,236 crores, EBITDA stood to Rs. 903 crores and EBITDA margin stood at 17.2%. PAT was Rs. 521 crores, PAT margin stood at 10%.

Page 3 of 20 About the ongoing CAPEX plan, as intimated by Madhav ji, total plan was for around Rs. 700 crores for Phase-2 and we have spent around Rs. 480 crores till December 2024. We target to enhance our DI pipe manufacturing capacity to 1 million ton by 2026 March.

Now, I will open the floor for question and answers. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone wishes to ask questions may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking questions. Ladies and gentlemen, we will wait for a moment while the question queue assembles. To ask questions, please press * and 1. The first question is from Gargi Singh from Value Investments. Please go ahead.

Gargi Singh: Am I audible?

Ashutosh Agarwal: Your voice is not clear, ma'am.

Moderator: Gargi, if you are using a handset, request you to come closer to the mic. We can't hear you.

Hello. I am sorry, missing. We can't really hear. We request you to call us back, maybe from a different number. We move to the next question. The next question is from Rajesh Agarwal from Moneyore. Please go ahead.

Rajesh Agarwal: Hello. Sir, how much day's production was lost in this quarter and can you quantify the revenue out of it? And second question is the outlook on the order because other companies, pipe companies were saying, the order is moved from central government to state government and your outlook on the orders?

Madhav Kejriwal: So, we have lost approximately 8 days of production which is around 18,000 tons. In regards to the total revenue, Gaurav, why don't you?

Gaurav Somani: So, I think in terms of total revenue, it should be around

d Rs. 45 crores.

Rajesh Agarwal: Rs. 45 crores.

Gaurav Somani: So, what happened was there was a shutdown between December 2024 and January 2025 intimated to stock exchange, so around approximately 6 days in December 2024 and 7-8 days in January 2025.

Rajesh Agarwal: So now it has started?

Gaurav Somani: Total loss.

Rajesh Agarwal: Understood. Up to 7 January or it is only for the quarter, December 7 days.

Page 4 of 20 Gaurav Somani: So with the total loss that was given by Madhav ji was for the total 12-13 days and in December what we have lost is around Rs. 45 crores of revenue.

Madhav Kejriwal: Yes. I apologize, I said 8 days, it is actually 6.

Rajesh Agarwal: I understood, sir. And now that blast furnace has stabilized now?

Madhav Kejriwal: Yes, please. Of course, there is a time lag between firing and stability at the required production level. So now after the restart, it has taken us around 20-25 days to ramp up to its capacity, but now we are seeing stability at the blast furnace.

Rajesh Agarwal: And has the efficiency improved, sir?

Madhav Kejriwal: Yes, definitely.

Rajesh Agarwal: And now on the order book, outlook on the order book?

Madhav Kejriwal: So, we have around 8-1/2 months of order book at the moment, so around 6 lakh tons of DI pipes.

Rajesh Agarwal: Hello.

Madhav Kejriwal: Yes, please.

Rajesh Agarwal: And outlook, order book is decreasing because we are expecting after the elections some orders will come, so your outlook on that?

Madhav Kejriwal: Well, there has been a momentary slowdown from the government side on the expenditure towards Jal Jeevan Mission, which was tantamounting to around 50% of our total order book and also the total demand in the market. For this particular quarter post the budget which is scheduled for tomorrow, we are very optimistic that spending will restart and starting April, I think things would be back to the way they were earlier in regard to the demand pull. Parallely, new initiatives by the Government on the front of River Link, Irrigation at the state level and AMRUT 2.0 are seeing good impetus.

Rajesh Agarwal: So, our bidding pipeline is strong, we may expect some orders by April 2025?

Madhav Kejriwal: Absolutely. We usually keep an order book of around 8-10 months we are at the lower end of that range, but is still within our general trend.

Rajesh Agarwal: And Sir, the outlook on the export market?

Page 5 of 20 Madhav Kejriwal: Optimism is there towards growing upcoming economies like the Middle East. Unfortunately, we have seen a bit of a hit on our business in the US. But Europe continues to be stable. UK is improving, but of course it is a smaller part of the entire equation. We have also started exploring more markets in Southeast Asia and Africa, but at the moment it is difficult to give you an exact number of the growth over there, but it seems like there is a lot of potential.

Rajesh Agarwal: And Sir, pricing in the margins will hold on or there will be improvement in the margins from here?

Madhav Kejriwal: I think historically, if you see these, we have always hit a margin of 15%-18%. At the moment, we are at 16.7%. I think these are pretty stable numbers which we should be able to carry on for the foreseeable future.

Rajesh Agarwal: And just, any fluctuation in the raw material?

Madhav Kejriwal: I am sorry, I couldn't quite get you there.

Rajesh Agarwal: Any fluctuations in the raw material quarter to quarter?

Madhav Kejriwal: Any fluctuations in the raw material?

Sunil Katial: Actually, in the raw material front, on the coke front, and coking coals and all that, there has been a downward trend. And the price correction to the tune of some \$35-\$40 has come down, but at the same time, as far as iron ore is concerned, there has been an upward trend, so practically on raw material front, they have neutralized each other, more or less.

Rajesh Agarwal: Thank you, sir. I am through.

Madha

v Kejriwal: Thank you.

Moderator: Thank you. Before we take the next question, a reminder to participants that you may press * and 1 to join the question queue. Next question is from Gargi Singh from Value Investment.

Please go ahead.

Madhav Kejriwal: I am really sorry, but your voice is breaking and it is very inaudible.

Gargi Singh: Yes, I am trying again. So, is it better?

Madhav Kejriwal: Now, it is much better

Gargi Singh: My first question was that, Sir, in the last quarter concall, you had alluded that coking coal benefit will be seen in this quarter, but the numbers suggest that it is not visible. The coking coal prices is fallen by 30% in the last one year, yet in the last 1 year the gross profit per metric Page 6 of 20 ton is same at Rs. 52 per kg. So, this is not even increased by Rs.1. So, what is limiting the expansion in gross profit and why are we unable to see any gross margin expansion?

Madhav Kejriwal: Ma'am this, I will answer your question in three parts. First as mentioned by Mr. Katial, we have seen an increase on the iron ore prices, which has an equal bearing on the costing. The second part of it is that due to our shutdowns, there are some increases in costs that are there and as mentioned, we were having some instability in the blast furnace, which throws our efficiencies and productivity a little out of whack. So, these elements cause a minor disruption in the costing on the operation side. And on the input material side, iron ore, somewhat made-up for it. The third point here is that we carry stock. So, you will see that the impact of the reduction in costs don't take place immediately. It takes a little time for that impact to come into place. So, although we are looking at a much lower cost on our stock as opposed to the beginning of this Financial Year, it has not come down as much as it seems to have on an index.

Gargi Singh: And Sir, in response to that, actually, historically, if I see the raw material cost, then as compared to the iron ore, then the overall cost of production and the coking coal price will be at least be 3X of the iron ore considering the requirement and the price is how it fairs out. So the benefit of coking coal should be significantly higher, and I have been waiting for this for quarter-on-quarter, but for the last five quarters it is at this level. So hence this doubts that why aren't we seeing this number, Sir and when do we expect to see this?

Madhav Kejriwal: Ma'am, on the 3X part, it might seem to be on the absolute term. But it is also important to understand that the consumption of iron ore and coke are different. And although you are right, the impact of coking coal is higher on the cost than iron ore. But it is not 3X.

Sunil Katial: The usage factors are totally different. Actually, the consumption of coke to iron ore is in the ratio of 1:3 roughly, three times, iron ore. Iron ore, we consume around 1.7 tons for making one ton of iron and coke we consume around say 500 kg, so less than one-third of that. So those are on the price index, what you said is absolutely correct that the impact of reduction in the coal pricing is much higher, but because the multiple of that as a usage factor, it is less. So that is how it is getting neutral.

Madhav Kejriwal: And the difference in the data of the cost of coking coal and iron ore is unfortunately we have lost out on that due to minor changes in our KPIs which is our key performance indexes because of the disturbance in the blast furnace.

Gargi Singh: So how long this is expected to continue because usually the blast furnace shut down. I thought it would, because in your previous call you had alluded that it will not get extended post November. But in the opening remarks, and to the previous participant you mentioned that?

Madhav Kejriwal: The timeline for the shutdown was only to start in December, so if I have said that I might have miscommunicated or there is some

sort of misunderstanding I feel.

Page 7 of 20 Sunil Katial: No, actually when October we discussed, ma'am, the point was that we are having problem in the blast furnace. We are in the process of procuring the material for that and in all probability in the last week of December or so after 20th, we should be able to take the shutdown. Actually, some small gap has taken place and we will definitely look into that how. But that is what actually has been the plan.

Sunil Katial: And we just want to clarify that we took the shutdown in end of December, 6 days into December and then 8 days into January. So, after that, the blast furnace has come up. There were small teething issues, and now, blast furnace is nearly stabilized. It is working fine now.

Gargi Singh: Sir, second question was that going forward, if we see the coking coal price is sustaining at \$200-\$220 per ton, then there will be a revision in DI prices according to this, because of the lower coking coal prices. So, a few of the competitors have indicated that there is a correction in DI prices according to the coking coal prices, so at the current level, we are doing Rs. 16 per kg EBITDA. And when we reach 1 million ton volume and if we do considering the correction in prices, if we do around Rs. 14 per kg in EBITDA, then from a base of FY25, the EBITDA growth CAGR is coming in single digit. What is your take on this?

Madhav Kejriwal: Ma'am, at the moment, to really be able to quantify what will be the rupee value of EBITDA on our production is difficult because we are going to be reaching 1 million tons say in FY27. At that moment, to clearly know what the raw material price movement will be difficult. It has never been so that for 2-3 years, there has been stable pricing on raw material to have 14 rupee per ton EBITDA margin. Thus, we would like to fall back on percentages. So, I am very optimistic and I am very sure that we will be able to maintain an EBITDA margin of 16%-18% and considering that our growth will take place as our quantities increase.

Gargi Singh: The third question was on.

Moderator: Ma'am, I am really sorry to interrupt, but maybe request you to rejoin the queue as there are several participants waiting their turn.

Gargi Singh: Yes.

Moderator: Thank you. We take the next question from Deepak Lalwani from Unifi Capital. Please go ahead.

Deepak Lalwani: Hello, sir, Thank you for the opportunity. Sir, first question is that given the weakness in water infrastructure spends, is there any order execution risk that we will probably see in Q4FY25 and going ahead?

Madhav Kejriwal: No, all these projects that we have in our order book, majority of them are projects which have already broken ground. So, the risk of losing out on business is negligible. There might be a bit Page 8 of 20 of a stretch in the delivery because of the slower expenditure by the government, which also I feel is momentary.

Deepak Lalwani: Fair enough. Understood. And sir, secondly, a related question, so you said that the outlook is strong, but given that the Jal Jeevan is almost 80% over, the AMRUT scheme is fairly small compared to Jal Jeevan. So, what gives you the confidence for the demand growth for DI pipes? And secondly, the demand supply scenario, how should it pan out for the industry? And thirdly, have you witnessed any pricing moderation for our product?

Madhav Kejriwal: On the pricing moderation front, it is minor and it is related to the correction on the raw material front. Answering the question regarding AMRUT being a smaller CAPEX than Jal Jeevan, Jal Jeevan today is around 79%-80% on the website. But if you see the actual impact on the ground, there are many places where the tap connections are there, but there is a dearth in drinking water available. That is because those taps are not really connected to a perennial source. So, there is a lot of work left. The initial outlay for Jal Jeevan was actually

twice as what was decided to be spent by the government. So, they will need to spend more money to make this project and mission successful. In regard to other demand sources, India is very strongly and aggressively moving towards pipes irrigation as against canal. There are many advantages that have been proven in that process, so there is increase spent on the front of the states on that. Another very ambitious project which seems to have finally picked up pace is River Linking. It was something that was probably started in the early 2000s, but now there is actual work on the ground that is happening. That is again going to be a good source for demand for us. Owing to these 3-4 reasons, I find that the medium-term situation on the demand front is quite robust.

Deepak Lalwani: And the supply addition that you guys are doing and also the other industry players, will it disturb the demand supply gap? Should there be any risk of pricing relating to the supply being more than demand, in your opinion?

Madhav Kejriwal: I am not really concerned about demand supply mismatch whether supply is more at least for the next 3 years. There might be temporary blips like we have seen in the last quarter, but that is very momentary. The kind of live orders in the market, once the fund flow start we will go back to a situation where demand is surpassing supply.

Deepak Lalwani: That is good to hear. I wanted to clarify one number. So, what was the order inflow in terms of tonnage in this quarter versus Q2FY25?

Madhav Kejriwal: Can I get back to you on that separately please, because I don't have that number ready at this point?

Deepak Lalwani: Yes. Last question was on the margin outlook, sir, on a tonnage basis, per ton basis, what should we be budgeting in for the next quarter Q4FY25 and the whole year of FY26?

Page 9 of 20 Madhav Kejriwal: Sir, I think it will be difficult for me to give you an exact number in terms of rupees per ton, but as a percentage, I think we will be able to hold on to the performance we had so far.

Deepak Lalwani: Thank you. Those are my questions. Thanks.

Moderator: Thank you. The next question is from Ankur, who is an Individual Investor. Please go ahead.

Ankur: Good evening to everyone.

Madhav Kejriwal: Very good evening.

Ankur: Sir, in the opening remarks, Shri Kejriwal said that the expanded capacity will start in the month of March 25 and on the other hand, GM Finance said if I am not wrong, he said that the capacity will start in March 26. So, I would like to please correct the statement, sir, if I am not wrong?

Madhav Kejriwal: I am sorry. I will just bring clarity to that. Mr. Agarwal, who is the CFO, was mentioning the final capacity which is around 1 million tons. I was highlighting the number of 9 lakh tons which is our first step towards that.

Ankur: By when it will get start sir, in FY25?

Madhav Kejriwal: In FY25, we will have an installed capacity of approximately 9 lakh tons, 8.5-9 lakh tons and then during the course of the Financial Year, we will put in more capital to take our capacity up to between 9.5 to 1 million tons.

Ankur: My second question is, Sir, your forthcoming Odisha plant, sir what is the position as of now, sir? When will it get start?

Madhav Kejriwal: So, there is very good progress on the overall due diligence of this project. And I am hoping that we will have cemented plans to present to the public soon enough.

Ankur: Sir, can expect that it will get start in FY27?

Madhav Kejriwal: The project itself?

Ankur: Yes, sir. 0.5 million ton, sir.

Madhav Kejriwal: I think somewhere between FY27-28 is a bit more realistic.

Ankur: Thank you so much, sir.

Madhav Kejriwal: Thank you.

Page 10 of 20 Moderator: Thank you. Before we take the next question, a reminder to participants that you may press * and 1 to join the question queue. The next question is from Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Namaskar Sir, thank you for the opportunity. Just to, while you were answering to the earlier participant about the Odisha project. So Sir, have we outlined the capacity? He was mentioning about 5 lakh tons?

Madhav Kejriwal: Yes, please.

Saket Kapoor: Sir, the earlier participant was mentioning about 5 lakh tons, so have we outlined this capacity we would be coming up for the Odisha project?

Madhav Kejriwal: That is a somewhat approximate figure. Like I mentioned that you have to kind of get into the optimization of capital expenditure to capacity installed and with the kind of sizes that we have to reach a good level of production and efficiency somewhere between 4-5 lakh tons should be the minimum that a company should be looking at. So, basis that that is the genesis of this number.

Saket Kapoor: Sir, if you could just provide me firstly with the tonnages for Q3 and last year comparable and also for 9 months and 9 months comparable?

Madhav Kejriwal: Yes, sure. So, for Q3, our production this year has been 1,77,000 tons. Q3 FY24 was 1,84,000 tons. Our 9 MFY25 has been 5.5 lakh tons and for 9MFY24 it was approximately the same give or take 2000-3000. It was 5,47,000 tons.

Saket Kapoor: Now sales?

Madhav Kejriwal: We have had a Q3FY25 sales of 1,77,000 tons. It is matching our production. Last quarter, we had more sales than production. It was at 1,95,000 tons. The 9M FY25 sales was 5,45,000 tons and it was 5,50,000 tons in 9MFY24. So, we are somewhat matching our production to sales.

Saket Kapoor: So, for 9 months it is 5,25,000 vis-a-vis 5,50,000?

Madhav Kejriwal: It is 5,45,000 tons please.

Saket Kapoor: Sir, taking into account the shutdown which was in the month of January and now the revamping of the MBF, what should be an ideal number to end the year?

Madhav Kejriwal: Sir, we are hoping that we will end that somewhere north of 7.5 lakh tons both on production and on sales.

Saket Kapoor: 7.50 lakh tons?

Page 11 of 20 Madhav Kejriwal: Yes, little north of that.

Saket Kapoor: And last year, what was our sales?

Madhav Kejriwal: Just short of that, it was 7.47 lakh tons.

Saket Kapoor: A small request sir, if the volume data can also be provided in your presentation or in the press release which was earlier a norm, so that would suffice and it will save lot of time also.

Madhav Kejriwal: Yes, sir, we will look into that.

Saket Kapoor: Now, coming to the impact of this shutdown, I think so even if it is an absolute number, you could give us some idea how much we lost. We lost about revenue of Rs. 45 crores for the six days you told about and for the balance 7-8 days, it should be closer to Rs. 60 crores, I think so in that proportionate, but in terms of the expenses that we have incurred which does not commensurate with the revenue, though what is the impact of that on the other expense line item if you can tell us Ashutosh Ji?

Madhav Kejriwal: So, the total expense for the shutdown is around Rs. 7.5 crores.

Saket Kapoor: This is for all the 15 days total?

Madhav Kejriwal: 14 days, yes, please.

Saket Kapoor: So, then what explains this other expense line item growing disproportionately, if we take the year-on-year comparison also and also for the quarter-on-quarter at the console level?

Gaurav Somani: Saket ji, one factor is ocean freight which had gone up compared to last year. So that led to increase in other expenses. Also, since production was low, so the fixed cost absorption to correct. So that was the second reason which led to a fall in the margins and higher other expenses.

Saket Kapoor: And Sir, for other income, there is also a significant increase if you take the console number at Rs. 39 crores but it is Rs. 21 or 22 crores for the previous two quarters, so what has attributed and what should be a sustainable number for the other income?

Madhav Kejriwal: So, Sir, this is on account of anti-subsidy refund that we have got

from the European

Commission. There is an anti-subsidy duty that they avail on us, but we keep applying for refunds and we have managed to get a refund of Rs. 23 crores in this quarter. Going forward, I think in this quarter as well, we will be expecting some sort of refund. This is an exercise that

is ongoing, Sir. We do it every year, some days, some years we are able to get a substantial refund. Some years, it is lesser. It is difficult to give you an exact stable number for this.

Page 12 of 20 Saket Kapoor: Two more points, Sir. Madhavji, you mentioned about US business getting a hit. So, can you explain the reasons? What has led to this and what steps are we taking? Exactly, what has happened for the US business?

Madhav Kejriwal: So, there is an overall slowdown in the US market for our product as a whole. And secondly, because of the impending possibilities of tariffs that to come and Made in America programs that are there. The customers are a little apprehensive in buying non-American products right now. They are afraid that those products won't sell into the market. Unfortunately, Sir, this is an issue the solution to which is to go local manufacturing there. But for that we have no immediate solution. We are looking at increasing our market share in other geographies so that we don't lose out on our overall export percentages.

Saket Kapoor: And Sir, for USA. What percentage attributes to our total export? What was the business we did last year business?

Gaurav Somani: Saket ji, it is very small amount, maybe 1% of the total export that we do now.

Madhav Kejriwal: Now, it has come down to 1% it was probably at some 5% levels earlier.

Saket Kapoor: And lastly, Sir, on the coal block part, already we have seen in precedent that whenever the party who has acquired sub block and start mining operations, then there are payments in packages that are released. So, I think it was JSW mentioned in your notes to account, it speaks about the mines being handed over to them so exactly, Sir where are we in terms of whether the right figure has not been determined or if you could just give some more color to the same?

Madhav Kejriwal: Sir, classification of the assets into the right categories and then its valuations as an exercise that has been ongoing for a little longer than we had expected it to go on for as well. Of course, it is a very voluminous procedure. At the moment, JSW has, yes you are right, they have been handed over the mine, but within the mine if you look at the order, it says that undermine infrastructure it says nil, which is the reason why today they cannot start operating it at a commercial level. So, at this junction, we are still waiting for proper categorization and valuations of all the assets. They have managed to do some of it. There is some still left.

Saket Kapoor: Any timeline, we are working only.

Moderator: Mr. Saket Kapoor, I am really sorry to interrupted.

Saket Kapoor: Sir, yes, I am just joining only, Madhav sir has just communicated, I was just also. Any timeline we can look forward, sir? Or is it a judicial process wherein?

Madhav Kejriwal: I am saying this for the last two quarters that I have gone wrong on this timeline so if I comment on this then it would be wrong again I would rather just say that things are optimistic because we know that it is in the right stages.

Page 13 of 20 Saket Kapoor: Thank you, sir. I will join in the queue.

Madhav Kejriwal: Thank you.

Moderator: Thank you. Next question is from Deepesh Agarwal from ICICI Asset Management. Please go ahead.

Deepesh Agarwal: Hello, Sir. Good evening. So, a couple of questions. The first question was, so we are looking at increasing our capacity to almost 1 million tons at FY26 and you just mentioned that we are currently matching like the current demand scenarios are matching our capacity. So do we have any tangible proof or any tangible like proof that FY26 will actua

lly meet that 1 million tons of

capacity. We really have that demand process for the next couple years?

Madhav Kejriwal: Yes, well, you see, the capital expenditure at the governments and both state and central that was being done up till say mid of this year or even may be a little beginning of this year, owing to that expenditure there was a demand supply gap of almost 25% whereas the demand was higher. So, of being optimistic on the fact that we will at least go back to that level of expenditure, it seems obvious that there is good space for growth. Beyond that, there are also new projects that are coming up. As I mentioned earlier, River Linking is very big robust project which is seeing light up there now. I think there are around 8 or 9 projects of which three of them have really picked up pace and there is good outlay against them. It will take 5-7 years for them to be completed, but every year there will be a good allocation towards those projects. So keeping that in mind and when you kind of understand the growth trajectory of a developing economy to a developed economy, you try to replicate the growth story of demand for the product in China, in the States and in other similar economies, you will realize that at this particular junction, when you are in the transitionary space, demand just keeps growing and we need to maintain our market share, if not grow it.

Deepesh Agarwal: Right. Understood. So, can you give me your geographic breakdown of our revenue?

Madhav Kejriwal: You mean in terms of country by country?

Deepesh Agarwal: Country by country, yes.

Madhav Kejriwal: Sir, this is something that fluctuates every quarter, every 6 months because as you know, it is a project-based business. Today, we are seeing Middle East take up a big chunk of our exports, whereas a year back it was not much. And say to your previous to that America was a little bigger than what it is today. Europe also fluctuates. I think for me to give you a particular trend

would be incorrect because within 6 months that would change. I can give you a breakup of export and domestic is approximately, for this quarter it was 14%, but our general average is around 18%-20%.

Page 14 of 20 Deepesh Agarwal: I think the reason I ask that question was not just India, the whole world is actually looking to

build a clean water infrastructure, so not just India, there is a lot of opportunity that lies in this particular aspect, so just wanted to understand the company currently has a good presence to capitalize on that or are we making any such expansion plans to capitalize on this?

Madhav Kejriwal: No, of course, while we expand our capacity is here in India, we will also be looking at increasing our market share in different continents. We tend to keep a minimum baseline quantity in each major country that is there and then based on where the projects come, we expand. We have been selling in the Middle East for many years and there was a peak during the Qatar World Cup and now there is a peak again due to Saudi. Similarly in Europe, just post COVID, there was a big peak because the government spent a lot of money to get the economy starting again. So, this is something that as you rightly said, every continent, every country is looking at expanding, but they don't spend money at the same time, fortunately, so we are able to capitalize on different places based on what they are doing at that moment.

Deepesh Agarwal: Right, the last question, are there any R&D expenditures that we are looking that may help us or maybe work better on our capacity utilization or help us in executing projects faster? And secondly, are there any new business verticals that we are looking to tap into like the management of the Board believes there are much better opportunity maybe other verticals that the company can explore?

Sunil Katial: Well, in fact, in the recent past only, we have added some capacities with newer pr

oducts or

new type of coatings and all that. Our major focus on R&D is on the fittings area whereby we are continuously trying to develop new type of fittings to suit different terrains and applications.

Madhav Kejriwal: Also, in regard to different verticals, we see ourselves as a water solutions provider. So, we are continuously exploring, increasing our product portfolio to satisfy the customer's needs and move more towards a one stop solution for our customers both in India and overseas. So that is continuous exercise. We are improving. In fact, let me highlight the fittings numbers, we have already seen an increase of approximately 3000 tons this Financial Year, 9 months average as opposed to last year and this is all owing to the addition of new product lines. So as such, we are looking at going up to 25,000 odd tons over there. So that is all a result of R&D. On the pipe front, we continuously look at finding ways of giving the customer a solution depending on its requirements on soil, pressure, quality of water, so Electrosteel today offers one of the widest range of linings and coatings on a pipe that any ductile iron producer gives in the world, not just in India. In India, we are definitely the largest supplier of various combinations, but even in the world, Electrosteel is probably in the top one or two.

Deepesh Agarwal: Alright sir. That was very useful. Thank you so much.

Madhav Kejriwal: Thank you.

Page 15 of 20 Moderator: Thank you. Before we take the next question, a reminder to participants that you may press * and 1 to join the question queue. Next question is from Dheeraj Ram from Ashika Institutional Equities. Please go ahead.

Dheeraj Ram: Hi. Thank you for taking my question. My first question is, what can you expect as a volume of sales in FY26 and how can you see the margins going ahead in FY26?

Madhav Kejriwal: Sir, on the margin front, as I mentioned that depending on the overall scenario, it will be between 16%-18%. On the volume front, we are hoping to hit a figure of somewhere between 8.5 lakh tons to 9 lakh tons.

Dheeraj Ram: Got it, sir. And my second question is, Sir, are we seeing a slowdown since we ordered the tender outflow in Jal Jeevan Mission is facing some headwinds and even AMRUT 2.0 is facing some headwinds in terms of tender outflow. So, do you see any slowdown at least for the short term in this particular segment?

Madhav Kejriwal: Definitely, there was a bit of a slowdown in Q3 and even in Q4FY25. As of now, it is not at the same pace that it was at say last quarter 3 and quarter 4. But as with all other infrastructure spending such as railway and highways, we are pretty sure that come the new Financial Year and even the last one or two months of this quarter with the budget coming out tomorrow, there will be a good allocation towards water infrastructure because the stage we are at right now, it is kind of not here not there which they have to spend to make all that infrastructure complete and successful.

Dheeraj Ram: Got it, Sir. Thank you.

Madhav Kejriwal: Thank you.

Moderator: Thank you. Next question is from Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Good evening, Sir. I wanted to know what is our total present capacity of DI pipes, 7.5 lakh tons?

Madhav Kejriwal: Sir, 7.5 lakh tons is what we will achieve. Our install capacity is close to 8 lakh tons.

Rajesh Bhandari: And sir, you said 9 lakhs by March 2025 or March 2026?

Madhav Kejriwal: Our installed capacity will be close to 9 lakh tons around March 2025.

Rajesh Bhandari: Production?

Madhav Kejriwal: Sorry?

Page 16 of 20 Rajesh Bhandari: Production?

Madhav Kejriwal: Production for the year, Sir, because this is going to get installed and then it takes a little bit of time to start ramping up to that level. As I mentioned, our production will be somewhere between 8.5-9 lakh tons.

Rajesh Bhandari: Right, by March 26,

we will have 8.5-9 lakh tons?

Madhav Kejriwal: Yes, please. And similarly, we would have put up an install capacity of approximately 1 million tons by March 2026, our production will be somewhere in the range of 9.5-1 million in March 2027.

Rajesh Bhandari: In March 2027, we will have that 9.5-1 million.

Madhav Kejriwal: Yes, please.

Rajesh Bhandari: Normally, sir, 1 lakh tons means around approximately Rs. 800 crores?

Madhav Kejriwal: Sir, 1 lakh ton exercise we have not done ever because that always seems like it is too small number. You can't really hit economy of scale.

Rajesh Bhandari: No, why I am interested in knowing by March '27, what will be our approximately turnover because right now our turnover is around Rs. 6000 crores.

Ashutosh Agarwal: You can consider at Rs. 9000 crores.

Madhav Kejriwal: Considering that our raw material price trends remain the same, it will be around Rs. 9,000 crores.

Rajesh Bhandari: Around Rs. 9,000 crores.

Madhav Kejriwal: Yes, because the business works a lot on margin percentages rather than absolute numbers. Raw material prices become half.

Rajesh Bhandari: Yes, correct. Naturally, the turnover will come down.

Madhav Kejriwal: Yes.

Rajesh Bhandari: One more thing sir is there is anything where we are doing the expansion to increase the turnover.

Page 17 of 20 Madhav Kejriwal: Sir, fitting for production, we are looking at expanding substantially. We are also exploring, as I was mentioning just to the previous gentleman that we are exploring adding to our kitty further product lines towards the water infrastructure space.

Rajesh Bhandari: Sir in that do we expect Rs. 1000 crore to Rs. 2000 crore of increase in that?

Madhav Kejriwal: Sir, around Rs. 300-Rs. 500 crores.

Rajesh Bhandari: So, we can come by March 2027, say approximately Rs. 9,000-Rs. 10,000 crores.

Madhav Kejriwal: Somewhere between that, a little more towards, I would say between Rs. 9,000-9,500 crores.

Rajesh Bhandari: Approximately it will be one and half times till March '27?

Madhav Kejriwal: Yes.

Rajesh Bhandari: Sir, the mining which we have given to JSW what would be the expected amount on that sir?

Madhav Kejriwal: Our claim is of Rs. 1200 crores so the way it is going on we are optimistic that the majority of this will be realized.

Rajesh Bhandari: So, it will come all to Electrosteel only.

Moderator: Really sorry, but.

Rajesh Bhandari: Sir, only I have to complete my question, that is all.

Madhav Kejriwal: Yes, please. The answer to your question is yes, please.

Moderator: Thank you. Next question is from Kaushal Bhagnani from Jindal. Please go ahead.

Kaushal Bhagnani: Thank you for taking my question. I have gone through your results and presentation. It is a good presentation. Only a couple of points, I think management may consider it favorably because a couple of other participants have also requested.

Madhav Kejriwal: These are always open to the interest of our shareholders.

Kaushal Bhagnani: I have noticed that on quarter-on-quarter basis, the EBITDA margin has increased and PAT has also increased. Now, the operational impact is not clear in absence of tonnages because what has happened is despite production being lower by 10% on quarter-on-quarter basis, EBITDA margins have stayed improved or that can only be visible if you provide the tonnage data, because that impact is not evident to someone who doesn't participate in the call or doesn't

Page 18 of 20 go through the transcript and only goes through the presentation. So, if in the next presentation maybe management can consider including tonnage data.

Madhav Kejriwal: Sir, I can commit to you from now itself that this will be done.

Kaushal Bhagnani: Because if we are good at something, I think other people should also know that we are good at it.

Madhav Kejriwal: More definitely, Sir. We generally remained slightly shy organization on that front, but I do completely

agree with you and this will be done. We will not need to rediscuss this.

Kaushal Bhagnani: Thank you. In one of the earlier discussions, you have mentioned that you are getting good

orders from the Middle East, do you believe that more orders specifically from Saudi Arabia are expected in current quarter and in next quarter?

Madhav Kejriwal: Sir, for the current quarter, the dispatches against the orders that will happen for orders that are already booked. But yes, we are seeing a steady growth in our order book from the Middle East, especially from Southeast, mostly Saudi Arabia right now, when I say Middle East.

Kaushal Bhagnani: Finally, I have noticed that the promoter holding has remained at 44%-46% levels for quite some time. Is there a view within the promoter group or with the promoter of increasing this stake going forward?

Madhav Kejriwal: I would say, there is no real discussion on this front at this moment.

Kaushal Bhagnani: So maybe if there is an update on this, we would appreciate if that can be communicated going forward, whenever there is an update.

Madhav Kejriwal: Absolutely, sir.

Kaushal Bhagnani: Thank you.

Madhav Kejriwal: Thank you.

Moderator: Thank you. A follow up question from Mr. Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Sir, I just wanted to know what is the holding of BlackRock?

Madhav Kejriwal: Just a minute, please.

Rajesh Bhandari: BlackRock holding, sir, in Electrosteel?

Page 19 of 20 Gaurav Somani: 0.5% Rajesh ji.

Rajesh Bhandari: 0.5% is the holding okay sir and Rs. 1,200 crores of JSW, it is all expected to come to the Electrosteel Castings only?

Madhav Kejriwal: Yes, please.

Rajesh Bhandari: And that will be added in our kind of a reserves or whatever. But it will be the money for Electrosteel Castings?

Ashutosh Agarwal: Yes, the money will be received by Electrosteel Castings only and it will not be credited to the reserves because there is a receivable.

Rajesh Bhandari: I didn't get you, sir.

Ashutosh Agarwal: There is a receivable outstanding in our balance sheet. It will be adjusted against that, but the cash flow will be available for Electrosteel Castings.

Rajesh Bhandari: It is not going to Electrosteel Steels?

Ashutosh Agarwal: No, it does not belong to Electrosteel Steels.

Rajesh Bhandari: Right, Sir. Thank you, sir. Thank you.

Moderator: Thank you. Next question is from Vikash Jain from Urban Steel. Please go ahead.

Vikash Jain: Hello, can you hear me?

Madhav Kejriwal: Yes, Mr. Vikash, please go ahead.

Vikash Jain: Hi. I would just like to have a thought from yours. Your shares have been one of the worst performers in last like 3-4 months, and mutual funds have also more or less exited from your company. So what sort of a thing can we do to win their confidence back?

Madhav Kejriwal: Sir, I think consistent performance. We would like consistent performances. I think work and actions speak much louder than words, so to be able to perform consistently to the commitments that we make and adequate transparency in time communication to our shareholders. That is the best way.

Vikash Jain: Somehow this doesn't seem to be working with them. They seem to be exiting. Like whatever the holdings, whatever the miniscule holdings they were having, they are still exiting that also it seems.

Page 20 of 20 Madhav Kejriwal: Well, so that is a question that you will have to ask them. It will be difficult for me to answer. But with due course of time, I will not be surprised that there will be a re-entry of the same people.

Vikash Jain: Let us hope so. Thank you.

Madhav Kejriwal: Thank you.

Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Madhav Kejriwal: Yes, thank you all for dedicating your valuable time and engaging with us during the concall. Should you have any q

uestions, please feel free to reach out to E&Y, our Investor Relations consultants. Have a very good evening. Thank you.

Ashutosh Agarwal: Thank you everybody.

Sunil Katial: Thank you.

Moderator: Thank you very much. On behalf of Electrosteel Castings Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: May 2025

16 May, 2025

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National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 12 May, 2025 for uploading audio link of the Conference Call held on Monday 12 May, 2025 at 4.00 pm IST, to discuss Q4 & FY25 Earnings of the Company.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of the transcript of the said call with the Investors.

Please find below the link of the transcript of the said call that has been uploaded on the website of the Company- <https://www.electrosteel.com/investor/investor-presentation-and-other-documents.php>

This is for your information and records.

Thanking you,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary

Page 1 of 18 Electrosteel Castings Limited
Q4 & FY'25 Earnings Conference Call
May 12, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Electrosteel Castings Limited Q4 & FY'25 Earnings Conference Call.

As a reminder, all participant lines will remain in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal the operator by pressing “*” then “0” on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Verma from EY LLP. Thank you and over to you, sir.

Vikash Verma: Thank you. Good evening, everyone. On behalf of Electrosteel Castings Limited, I welcome you all to the Company's Quarter 4 & FY'25 Earnings Call.

To discuss the performance of the Company we have with us from the management team, Mrs. Radha Kejriwal Agarwal – Whole-Time Director; Mr. Madhav Kejriwal – Whole-Time Director; Mr. Sunil Katial – Whole-Time Director and Chief Executive Officer; Mr. Ashutosh Agarwal –

Whole-Time Director and Chief Financial Officer, and Mr. Gaurav Somani - General Manager, Finance.

Before we proceed with this call, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors which will be beyond management control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements. We will now start the session with the opening remarks for the Management Team; afterwards, we will open the floor for interactive Q&A session.

I will now hand over the conference over to Mr. Madhav Kejriwal for his Opening Remarks.

Thank you and over to you, Mr. Madhav.

Madhav Kejriwal: A very good evening to all. I am pleased to highlight the Company's performance and the promising industry demand outlook going forward. I would like to walk you through some of the major developments and challenges we have faced this year.

Page 2 of 18 The first half of the Financial Year demonstrated growth over the previous half year, while the second half witnessed some slowdown. This was primarily due to two key factors, reduced spending by the central government on its flagship scheme, the Jal Jeevan Mission, the initial budget for FY'24-25 was Rs.70,000 crores, which was subsequently revised down to Rs.22,000 crores. However, recognizing the critical importance of the scheme, the government has extended it till 2028 and allocated a significantly higher budget of Rs.67,000 crores for FY'25-26. In parallel, work has commenced on long pending river linking

projects, a notable milestone

was the inauguration of the Ken-Betwa River linking project by PM Narendra Modi on December 25th, 2024. An important step forward in India's water resource management strategy, this I will cover in detail after taking you through the performance of the Company. We undertook two shutdowns of the blast furnace at our South unit, one during Q2 and another towards the end of Q3 which extended into the early days of Q4, these maintenance activities, while essential temporarily impacted production volumes in the later half of the year. The Company's consolidated total income stood at INR 7,443 crores during FY'25 reflecting a temporary dip due to two shutdowns, as I mentioned and a slight slowdown in the market demand. The plant has regained stability since, our phase wise expansion to take the capacity from 6.8 lakh tons to 1 million tons is in progress as per schedule, and I am delighted to share that our installed capacity has now been enhanced to 9 lakh tons by the year end. This added capacity is expected to yield higher volumes as we gradually ramp up production in the coming quarters, positioning us for robust growth. We have already incurred approximately Rs. 500 crores of the CAPEX for this expansion up to FY'25 out of the planned CAPEX of approximately Rs. 700 crores. The DI sales volume for the quarter was approximately 1.71 lakh tons, and 7.17 lakh tons in FY'25 with exports contributing 15% of the total DI volumes. I would like to highlight the demand of DI pipes, going forward.

The government has prioritized revenue growth over expenditure expansion to achieve the reduced fiscal deficit targets so as to keep inflation down. Going forward, the Jal Jeevan Mission has received a budget allocation of Rs.67,000 crores by FY'26 and has been extended to the year FY'28. This is a reflection of the government's commitment to provide safe and adequate drinking water through household tap connections in rural areas. Respectively, matching funds will be borne by the states. Disbursement of central funds is in process and will revive pipe demand in due course of the year. As of the latest reports approximately 12.38 crore rural households have been provided with tap water connections with many schemes needing source sustainability and operation and maintenance fixes. In many cases, the projects are still partially complete and the water source sustainability is not fully established. The work left to be executed is more than four crore households, and JJM, as previously mentioned has already been extended up to December 2028.

I will move on to the progress and allocation under the AMRUT scheme, the Atal Mission for rejuvenation and urban transformation, launched on October 1st, 2021 is a five year initiative by the government of India aimed at enhancing urban infrastructure, ensuring water security Page 3 of 18 and promoting sustainable urban development across the country. The total indicative outlay was Rs. 2.99 lakh crores over five years, out of which the central assistance is Rs. 76,760 crores as of November, 2024, 8,998 projects worth Rs. 1,89,000 crores have been approved. We expect substantial expenditure on pipe procurement via AMRUT 2.0.

Some updates from the river linking project, which is managed by the National Water Development Agency under the Ministry of Jal Shakti. This project envisages the interlinking of rivers to enhance irrigation, mitigate floods and ensure water availability across the nation. The main project that is taken up at present for implementation is the Ken-Betwa Link project. It has a Rs. 44,000 crore scheme to irrigate 10.6 lakh hectare in Bundelkhand. A number of other projects are also in the pipeline. National river linking project has the potential to generate considerable demand for both pipes and fittings in the future.

Irrigation is another major demand driver for our pipes. India's irrigation sector has seen

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significant advancements. The government has prioritized irrigation development there has been a shift to pipe irrigation to lower losses and ease land acquisition problems. There is an estimated growth in the irrigation flood control at the state level of 23% year-on-year. Moving on to exports. The Middle East and Africa pipe markets are valued at Rs. 8.13 billion in 2023 and is projected to reach Rs. 11.56 billion by 2031 growing at a CAGR of 4.5%. This growth is driven by infrastructure development and urbanization in the region. Similarly, the Middle East iron and steel pipe market is expected to see steady demand growth over the next decade. Demand is driven by the good growth prospects in many Middle East countries, mainly Saudi Arabia. In Europe, we are the second biggest supplier of Ductile Iron Pipes and in the Middle East, we are the largest exporter. The recent US tariffs on iron and steel product imports have introduced volatility in the global steel prices affecting the pipe industry. These tariffs can lead to increased cost, impacting manufacturers margins and pricing strategies. However, the tariff on Indian DI exports to the US remains limited up to 10% which will be reviewed again in July. I would now like to hand over the floor to Mr. Ashutosh Agarwal, Whole-Time Director and Chief Financial Officer for taking you through the financial highlights.

Ashutosh Agarwal: Thank you, Madhavji. Good afternoon to all the investors present in this call. I would like to brief you about the financial results consolidated for Q4 2025. Total income stood at Rs. 1,739 crores, partially impacted by the plant shut down as explained by Madhavji. EBITDA at Rs. 198 crores, EBITDA margin stood at 11.4%. PAT reported Rs. 168 crores which includes Rs. 81 crores on account of one-time adjustment of deferred tax. Here, I would like to mention to the investors that, in 2017 as per the accounting standard (Ind-AS), there was a window given to us, and we have revalued the land of the Company. And now in 2024 the government of India has changed the long-term capital gain tax rate from 20% to 12.5%. On account of that, there is a reversal of deferred tax liability of Rs. 81 crores. That is nothing to do with the cash flow of the Company, it is just an accounting entry for general information please.

Page 4 of 18 Highlighting our consolidated Financial Year 2025, the Company as a whole, the total income stood to Rs. 7,443 crores, EBITDA stood to Rs. 1,159 crores, EBITDA margin stood at 15.6%. PAT stood to Rs. 710 crores, which includes Rs. 81 crores as I explained to you earlier.

Now, I am talking about standalone results of Q4 FY2025. Total income stood to Rs. 1,601 crores impacted by the plant shut down, as mentioned by me and Madhavji. EBITDA stood to Rs. 213 crores, EBITDA margin 13.3%, PAT stood at Rs. 191 crores, which again included Rs. 81 crores as explained by me in my earlier note.

For the year standalone results are, total income was Rs. 6,840 crores, EBITDA Rs. 1,116 crores, EBITDA margin 16.3%, PAT Rs. 712 crores which include Rs. 81 crores as mentioned to you.

The Board recommended Rs. 1.40 dividend per equity share, it means 140% dividend. We are maintaining the dividend from last year.

The CAPEX as mentioned by Madhavji, we had a plan of Rs. 700 crores, and we have spent around Rs. 500 till March 2025, and balance Rs. 200 crores will be spent later on. The DI pipe capacity will be around 1 million tons in 2026-27.

Now, I am opening the floor for the question-answers. Thank you very much.

Moderator: Thank you. Ladies and gentlemen we will now begin the question-and-answer session. The first question comes from the line of Rajat Sethia from iThought PMS. Please go ahead.

Rajat Sethia: A couple of questions, the capacity that we have, the same plant or the same line make different sizes, different diameters pipes, or we need to have dedicated capacity for different sizes as the p

ipes?

Madhav Kejriwal: Sir because of the machine mix that we have taken up as we have expanded our capacity, we do have a flexibility of 10% to 15% between different size mixes. So, we can play with the capacity basis the requirements in the market.

Rajat Sethia: Okay. So, you are saying a particular line can make a pipe which can vary in diameter by 10% to 15% of its fitted production sizes, right?

Madhav Kejriwal: Yes, please.

Rajat Sethia: Sir one question regarding there is lot of talks are there about the OPVC pipes. So how do you see the development of OPVC pipes effect DI pipes and what size in it?

Madhav Kejriwal: Sir, I can answer this question in two parts, one from the short to mid-term, and then from the long-term perspective. For the short to mid-term, most of the projects that I have spoken about which are under Jal Jeevan, etc., for them the detailed project reports, etc., have already been Page 5 of 18 made, and the chances of any upcoming, recent demand being converted to OPVC is negligible.

From the medium to long term perspective, Sir if you look at the percolation of OPVC in markets where they are being used, like North America and South America, yet there is decent amount of demand for smaller dia pipes in those markets. Coming to Europe, we are finding that OPVC is practically not there. The other aspect also is Sir, that because of many characteristics of a plastic pipe versus a metal pipe, the use cases are not overlapping in its entirety, there is a there is an overlap but it's not that you can use a metal pipe wherever a plastic pipe is used and you cannot use a plastic pipe in a lot of use cases where only a metal pipe can be used. So, I don't find OPVC to be a real threat this sort of mindset or rather concern had also come up when HDPE was introduced in the domestic market, but we find that smaller diameter pipes

still run the demand for Ductile Iron Pipes. So that, in itself gives an answer of whether OPVC really would become a threat going forward, as it was felt HDPE would.

Rajat Sethia: So, you are saying it is kind of a replacement, but it's not really affecting the larger application and use cases on the impact, right?

Madhav Kejriwal: Yes, please. There might be a small percentage of the demand that can get converted at a local level, but that's not going to have a material impact on the demand of Ductile Iron Pipes.

Rajat Sethia: Okay. And up to what diameter is it going to present as an alternative?

Madhav Kejriwal: If any replacement, then it would probably be up to diameter 150 or 200, not beyond that. They do operate till dia 400 but above dia 200 there is practically no chance of replacement.

Rajat Sethia: Understood. And our total capacity for the sales, what is the sales mix for us 200 or 300 dia or more than that?

Madhav Kejriwal: Sir, our demand scenario is that we will have approximately 40% to 50% up to dia 400 and another 50% to 60% up to dia 1200. So, it's a 40:60 sort of mix you can say going forward.

Rajat Sethia: Thanks and for our increased capacity also the mix will be same?

Madhav Kejriwal: I am sorry, kindly repeat.

Rajat Sethia: Okay, I was saying for the increased capacity, when our capacity goes to 1 million tons, the mix will remain in the same range, right?

Madhav Kejriwal: Yes, please. Our mix is to make between 40% to 50% up to 400 dia and approximately 50%-60% above 400 dia, so its in-line with the market demand.

Moderator: Thank you. The next question comes from the line of Akshay Deshpande from Ashika Institutional Equity. Please go ahead.

Page 6 of 18 Akshay Deshpande: I just wanted to know, have you received any cash from JJM projects in the previous three months?

Madhav Kejriwal: Have we received any cash from the?

Akshay Deshpande: JJM projects, Jal Jeevan Mission?

Madhav Kejriwal: There has been an ongoing movement in JJM it's not that because the center has temporarily halted CAPEX th

at the projects have stopped as you must be aware that the state takes care of 50% of the expenditure, so the states which have reasonable resources, like Odisha, MP over there we are seeing movement. It's not at the same term as it was six months back, but not that there is complete switch off on the JJM.

Akshay Deshpande: Understood, Sir. Would you be able to quantify it?

Madhav Kejriwal: It will be little difficult for me to exactly quantify what has been the state wise expenditure over the last six months. I would not have that information.

Akshay Deshpande: Okay, I understood.

Madhav Kejriwal: It is something, get back to you if you like.

Akshay Deshpande: I Understood, Sir. So, my second question, how was the price volatility in the previous three months for coking coal and iron ore?

Sunil Katial: On the coking coal in the last three months the prices have been actually varying to the tune of say \$20, so more or less we can say that the coking coal have been more or less steady for the last three months. As far as iron ore is concerned, iron ore there is a small upward trend, not really much to the tune of say Rs. 200 to Rs. 300 a ton or so. So broadly speaking, both of these are remaining steady.

Moderator: Thank you. The next question comes from the line of Aashav Patel from Molecule Ventures. Please go ahead.

Aashav Patel: Sir my first question is that, we have been hearing all the JJM outlay from the center side is expected to be significantly cut down from Rs. 2.8 lakh crores to Rs. 1.5 lakh crores, almost a cut down of Rs. 1.25 lakh crores, which would largely has to be borne by then states, which we also know is quite difficult to get funds out of the state governments. So, what's your view on this ongoing shrinkage of the JJM allocation?

Madhav Kejriwal: Sir, as I had mentioned, and I have been mentioning for many investor calls, the initial outlay for Jal Jeevan was Rs. 8 lakh crores. That was during 2019, post that there has been a shift in prices of all materials and even manpower. So, to finish the project, they will require the

Page 7 of 18 estimated Rs. 9.10 lakh crores, there is no two ways about it. Your apprehension is well placed when it comes to certain states where they are running into financial troubles, but there are specific states where there will continue to remain central support such as Bihar and Andhra Pradesh and Madhya Pradesh. And also there are certain states which are reasonably well to do from their cash flow perspective, such as Odisha. So, your concern is limited to specific states for me, Karnataka probably is one state where there might be some work which will take longer than what it should to finish. But again, most states which are struggling financially, fortunately have a double engine, so they have the support from the center. So, in some or the other, I am very certain that the government would like to finish the work to its to completion, have it completed.

Aashav Patel: Got it and Sir, as per the JJM progress, which is mentioned on the website, they are claiming to have 80% of the penetration. But ground level scuttlebutt from our side suggests that the actual penetration is much lower, closer to a 60% level. So, what is your view on the same, have

we penetrated 80% of the targeted JJM market?

Madhav Kejriwal: I have been saying since 1.5 years to 2 years that we have a coverage of 40% to 50%. So, what I was saying, I find that that has now come out in public, but this is a reality that I am noticing on the ground because of our network, we are well aware of the ground realities, we have probably the strongest sales and marketing network in the country for Ductile Iron Pipes, and that helps us get a better understanding of what's happening on the ground. And that's the reason why the past few quarters I have been mentioning that the real work on the ground is far lower than what it is stated, yes, the tap connection

s are there, and yes, we have made

commendable progress there is no two ways about it. But we are a very big country with a huge landmass and a huge population, so it takes time, I draw parallels to countries like the USA and China, since they have similar, they face similar population growth recently and you will find that even today they have a substantial demand.

Aashav Patel: Do we expect by FY'28 we would largely be able to achieve the JJM target, or it could even then further fall off even after FY'28?

Madhav Kejriwal: So Sir, if the situation happens so that the burden of the Rs. 1.5 lakh crores goes on to the states, then in my opinion this might get pushed to maybe FY'30, for those specific states which are going to be struggling financially. Apart from that, I think by FY'28, 90% to 95% of the work should have been done. There is a population growth that is also constantly happening, so that's why I say 90% to 95% and to reach 100% will take some time for our country.

Aashav Patel: Makes sense. And we have also been hearing in terms of fund flow slowdown specifically across and that is something which is across the B2G companies, but specifically to the Jal Jeevan Mission and water infrastructure, it has been the most impacted industry. So, what is your view on that, are you seeing challenge in terms of working capital over last couple of quarters, and do you see it easing out anytime soon?

Page 8 of 18 Madhav Kejriwal: Sir there has been a marginal increase in the debtor cycle for the Company, but we adhere to a very strict policy when it comes to our supply chain, outward supply chain especially, where in we don't look forward to, we don't allow for open credits beyond a certain number of days and beyond specific customers. So because of that, we have not seen a major impact and if anything going forward, things are to only improve, from the cash flow perspective although not much impacted with we are at rock bottom.

Aashav Patel: Okay. But you have visibly in the slowdown over last couple of quarters?

Madhav Kejriwal: Very marginal, as I was mentioning there are also other demand drivers today in the market. So, it's not that there's ever a time that suddenly because Jal Jeevan has slowed down or stopped there is a zero cash income inflow cycle.

Aashav Patel: Absolutely agreed. And the last question on my side, as per Coal India website, almost 70% of the pending compensation regarding the suspended coal mine have already been settled. What is the update on our expected compensation are we seeing any positive development there?

Madhav Kejriwal: Sir, there are definitely some positive developments so far, I have been mentioning that, I don't want to comment on timelines, because I have been proved wrong, but with recent developments. I am hopeful that this financial year we should see this matter settled towards to a very large degree.

Moderator: Thank you. The next question comes from line of Abhishek Yogesh Shah from Valcore Capital Advisors. Please go ahead.

Abhishek Yogesh Shah: Sir, I just wanted, so I was looking at the numbers, we have seen a sharp fall in your margins and realizations also. So just wanted to get some understanding on how are you seeing the realization shape up say in the coming quarter, and also on what sort of bottom line could we be looking at because EBITDA per ton last year we were looking at upwards of say, Rs.16-18 per kg we have seen a fall. So, I am just trying to understand, where do you see it for the year?

Madhav Kejriwal: So, I would prefer answering margin related questions in percentages, because that's a better matrix, our product is 60% to 70% iron and coal cost dependent, so the absolute value per unit is moving because of that. So, it's better to talk on percentages in my opinion. As this particular financial year, we have hit a EBITDA margin of approximately 16% and we been mention that 15% to 18% is the range that

we are looking at in the mid to long term. In good years, we see ourselves operating sometimes even above that, historically Ductile Iron Pipes as an independent operating business has never gone below 15%. Moving forward, for this particular quarter things have started moving now in the center, because of the revamped estimates there's a lot of paperwork and administrative approvals that are going to take maybe another two, three months to come into place since it's a big mechanism, it takes some time to move but things are moving forward as you must be seeing articles coming out every week or so
Page 9 of 18 about what the update is on Jal Jeevan spending. So, things are moving forward at the central level and very soon the money will start coming in. Starting Quarter 2, there will be an up cycle again. So, I am very hopeful that we will be able to stay on the upper side of this bandwidth for the medium term.

Abhishek Yogesh Shah: Got it. Sir, and how are you seeing capacity addition, we are adding substantial capacity which is due to come soon. At industry level, also we have seen significant capacity additions so if you can maybe throw some numbers on that and give us some idea how do you see the demand and supply shaping up for the next year or two?

Madhav Kejriwal: Sir, the demand scenario at the moment with the river linking projects, the irrigation business and the reinstated budget of Jal Jeevan, demand will which was earlier beyond supply by 25% will remain to be ahead of supply by approximately 10%, 12% for the next two years. Coming to FY28 and FY29 that's when the demand and supply cycle will meet.

Moderator: Thank you. The next question comes from the line of Subhash from Value Investments. Please go ahead.

Subhash: Okay, I just had a question on your revenue, and I understand that from the last 2 Quarters you had some maintenance in your manufacturing units, maybe 1 or 2 Quarters ago, you even said that the maintenance was almost complete, but the output was not as per the expectations. But I see in your investor presentation that you have mentioned that the production will be stabilized going forward. So, is the revenue down because of that, or is it because of the, say it's not spending much money as you mentioned about Jal Jeevan Mission, is it because of that you are seeing less income?

Madhav Kejriwal: Sir, I would say the bigger part of the reduction in revenue is owing to the maintenance shutdowns that we had. Definitely the slowdown in expenditure has played a part in the reduced revenue for the second half of the year, first half remains strong. So, one of the reasons why also the decision for taking a shutdown was taken, although we had taken one in Q2 was because of this slowed demand situation. We are very certain of the fact that going forward, the demand will pick up so it was an opportune time for us to take the shutdown right now, rather than having to do it at the time when the markets are high.

Subhash: Got it Sir. And, how do you account the revenue, is it as soon as you supply the materials from your manufacturing units to the sellers, or do you record the revenues after you receive actual cash?

Ashutosh Agarwal: The moment material reach to the customer site we are recognizing in the income.

Subhash: Okay. So, for this quarter you are around EBITDA margin of 11.4% and I understand because of the maintenance, but going forward as you said, it would be around 15% to 18% right?

Page 10 of 18 Madhav Kejriwal: Sir, I am very hopeful that for the medium term after FY27 or FY28 we will be on the upper end of this band.

Subhash: Okay, that's great to hear, thank you. And do you have any update about the latest land acquisition that you did around Odisha, I guess which you announced maybe 3 Quarters ago?

Madhav Kejriwal: Yes, please. We are very closely in touch with the government to get our approvals and other auxiliary requirements in pl

ace. I think, there was a bit of a slowdown due to this government change in Odisha as well, it was taking a little longer, they took a couple of quarters to really get everything back in in order. But plans are still on, and I am very excited to bring about some good news very soon for the investors.

Subhash: That is great to hear because the next question I had about was, in your presentation you have mentioned that by FY'26 you will have 10 lakh tons of production capacity. So, this is without considering the latest land acquisition, right so this could go up?

Madhav Kejriwal: So, 1 million is our existing facilities, approximately 1 million will be our capacity in the existing facilities that we are still in progress for that, because that is no nexus with the expansion in Odisha.

Subhash: This plan does not include the Odisha land acquisition plans like whatever you have for future for that land?

Madhav Kejriwal: Yes, please.

Moderator: Thank you. The next question comes from the line of Rajesh Agarwal from Money Ore. Please go ahead,

Rajesh Agarwal: Sir, this quarter we have taken a maintenance shutdown. So, can you quantify the production loss or any one off for the shutdown?

Madhav Kejriwal: Sir, owing to the maintenance shutdown we have had a reduction in the output by approximately 50,000 tons. For the one that was there in Quarter 3, Quarter 4.

Rajesh Agarwal: Expenses for the shutdown on this one maintaining the plant or whatever, onetime expenses?

Ashutosh Agarwal: We have incurred around Rs. 13 crores for that.

Rajesh Agarwal: Okay. So second you said tariff, the 10% tariff will affect our export, no?

Page 11 of 18 Madhav Kejriwal: Not really, sir. I don't see, just to give some further clarity on this, please. Our total export to the US that amounts to around 1.5% to 2% of our exports. So, we are not very dependent on it to begin with. And to add to that, a 10% tariff will not make our competitiveness in the US market any lesser. So, I don't see it impacting the 1.5% to 2% either.

Rajesh Agarwal: Okay. So, other countries won't have an advantage to us, either in Saudi and all Middle East also?

Madhav Kejriwal: No, Sir. So, apart from Electrosteel there is no other Company who exports into the US market.

Rajesh Agarwal: Understood. Sir, why the working capital days have gone up. If you see the presentation , working capital days have gone up?

Ashutosh Agarwal: Debt is reduced, it was Rs. 1,800 crores earlier working capital debt now it is Rs. 1,400 crores.

Rajesh Agarwal: Not the debt, number of days?

Ashutosh Agarwal: Number of days yes, number of days it is.

Madhav Kejriwal: So, that is in two parts. As mentioned earlier, we have seen a slight slowdown in the customer payment cycle, we had pushed some of our material to our subsidiaries across the globe because we were expecting sales pickup, which we will see in due course, reflecting in our in figures. So there is some extension in the overall.

Rajesh Agarwal: Going forward it will improve, the days will improve?

Madhav Kejriwal: Absolutely.

Rajesh Agarwal: Okay. And I heard state government is trying to do a water project in HAM model, so for tying up the funds with the investors. So, will that affect our business, will the business go up?

Madhav Kejriwal: I am hopeful that it will, because earlier, whenever HAM has been tried, it's not been very successful. So, I cannot be very confident about it, but the mindset of the investors towards public private partnerships have considerably changed over the last five, six years. So, I am positive about it, yes.

Rajesh Agarwal: So, after April, the allocation of JJM has increased so you are seeing a moment in there, tender movement, inquiry or?

Madhav Kejriwal: You mean JJM?

Rajesh Agarwal: Yes, JJM.

Page 12 of 18 Madhav Kejriwal: Sir, there has been a lot of positive movement at the central level when it comes to approval of funding,

etc., which in fact seen a bit of a stalemate for six months. Impact on the ground will start coming in from Quarter 2.

Rajesh Agarwal: Okay. And sir you said Ken-Betwa the project cost is Rs. 45,000 crore. Can that result into a huge DI pipe order or what percentage can be DI pipes contribution in that?

Madhav Kejriwal: Sir that is going to be a mixed bag of canal, dam and pipe irrigation, and we will see demand come up mainly in DI and HDP. So, I would say approximately 15% odd.

Rajesh Agarwal: 15% odd?

Madhav Kejriwal: Yes, please 15% to 20%.

Rajesh Agarwal: It will start by when, the demand for DI pipes and all?

Madhav Kejriwal: Sir, I think second half of this financial year we should start seeing some demand from Ken-Betwa come into DI pipes.

Rajesh Agarwal: Okay. And Sir the last question, on this Indus Water Treaty, whatever has been activity happened, the government starts activity of their building a dam and other water infrastructures, that can also result into orders for DI pipes?

Madhav Kejriwal: Absolutely, Sir. It's not something we want to highlight much right now, because very nascent but, this is something that we have at the back of our mind.

Rajesh Agarwal: I have a feeling the moment in that will be very fast, that is what my guess is.

Madhav Kejriwal: I am very certain of it Sir, but as there is nothing concrete we can't.

Rajesh Agarwal: I understood, but the DI pipes will be required there?

Madhav Kejriwal: Absolutely.

Rajesh Agarwal: And Sir the last question, what will be the CAPEX for FY'25-26, maintenance CAPEX?

Ashutosh Agarwal: The CAPEX for FY26 will be somewhere around Rs. 200 crores.

Rajesh Agarwal: Okay. And maintenance CAPEX?

Ashutosh Agarwal: Additional CAPEX, including maintenance CAPEX.

Rajesh Agarwal: Okay. CAPEX and maintenance. So, maintenance will be how much and CAPEX will be how much?

Page 13 of 18 Ashutosh Agarwal: Maintenance CAPEX altogether will be Rs. 35 crores and Rs.165 crore would be regular CAPEX.

Moderator: Thank you. The next question comes from the line of Ankit Puri, an Investor. Please go ahead.

Ankit Puri: I want to check up, can you please comment on the reason for the increase in the inventory levels and how do you see it panning out going ahead. Also, if you can provide insights into the current and future capacity utilization?

Madhav Kejriwal: So Sir, the increase in inventory level is owing to a slight slowdown in the market demand. In regard to the capacity utilizations, I am expecting that over the next two to three years for the industry, the capacity utilization should be somewhere between 85% to 90%. We will probably be operating at a slightly higher level than that.

Ankit Puri: Alright. And what has been for this particular quarter and for FY'25?

Madhav Kejriwal: So for this particular quarter, our capacity utilization has been probably 60% or so, but that is owing to the shutdown. Subsequently, going forward from Quarter 1 to Quarter 3, we should see a ramp up of 10% to 15% each quarter as we are coming out of the maintenance shutdown and ramping up, and also support from the markets for demand.

Ankit Puri: All right. Lastly, what updates can you provide on the traded products through the Singardo

acquisition panning out?

Madhav Kejriwal: So, one very good movement that we have seen that we have managed to do due to the acquisition is to enter the Vietnam market, although we started with very small orders, but because we improved our presence so in the area, we have now started discussing reasonable size orders with the local contractors and business houses. So that's one big benefit. We are also being able to procure a small quantity of products via Singapore from countries around like Vietnam and China, etc., for products in the basket which we are adding, like coupling adapters, etc., for our subsidiaries in the Western hemisphere. This is just a beginning, with time we will see

this grow substantially.

Moderator: Thank you. The next question comes from the line of Rajesh Bhandhari from Nakoda Engineers. Please go ahead.

Rajesh Bhandhari: Sir, in the settlement of coal mines, how much amount are we expecting?

Madhav Kejriwal: I won't be able to let you know a figure, there is no exact indicative amount.

Rajesh Bhandhari: Not exactly, but approximately Rs. 200, Rs. 500, Rs. 1000 crore like that.

Madhav Kejriwal: It will be difficult to tell but we will recover a reasonable chunk of claim.

Page 14 of 18 Rajesh Bhandhari: How much is our claim?

Madhav Kejriwal: Rs. 1200.

Rajesh Bhandhari: Okay, let's see how much we get, whatever we get is good. And the Russia Ukraine is settling and Hamas is also cooling down, so will the demand increase in that?

Madhav Kejriwal: If there is some settlement on Hamas issue then our supply chain will be with our existing market, since few years we have seen some problem there and we have to keep more stock there and our credit time has increased too. If that's works out then we will get good relief.

When war started there we already started to invest there via salient marketing and Eastern Europe is a very important and new frontier so as and when the matter ease off we will restart the efforts and definitely we will see demand improvement there.

Rajesh Bhandhari: Demand will increase there and if we have our influence there then naturally we can have a good chunk of order there.

Madhav Kejriwal: We had started establishing presence over there.

Rajesh Bhandhari: Okay. And currently like we are having regular plant shutdown so the ones which we have already taken will there be any more in upcoming days?

Madhav Kejriwal: There won't be any shutdown requirement in near future, as I was mentioning in the past the shutdown which we have taken in Quarter 3, Quarter 4 that was just to further enhance what we could not achieve from the first shutdown and because the market was slow we thought that it's a good time to exercise this option.

Rajesh Bhandhari: How month's order book we have now?

Madhav Kejriwal: Around seven and a half months.

Rajesh Bhandhari: Okay. And we expect it to be better in future?

Madhav Kejriwal: Yes.

Moderator: Thank you. The next question comes from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

Saket Kapoor: Madhav Ji, only residual questions and some clarifications. Firstly, Sir you mentioned that this would be the financial year where we would be expecting some conclusion on the coal compensation part. So, if you could just elaborate what factors have engulfed, on which ground you are getting this trust because there has been no reconciliation of the figure, there is dispute on the amount. So, if you can let us know on this.

Page 15 of 18 Madhav Kejriwal: Activity level or interaction level has increased a lot. There were few steps, that were not cleared out by the government for JSW to start operating like there are different types of clearances for mining, as and when JSW is also getting those mines, those clearances and those steps are clearing out, both the parties and even the mining ministry wants to now see the conclusion happen so that the asset can be revived. So, that is my reason for showing some positivity on that front.

Saket Kapoor: Okay. So, sir JSW has already paid to the Ministry for the existing orders, which they have received?

Madhav Kejriwal: There are certain breakup, the money which they have to pay to the government they have done that but the amount which they have to pay is will be established as and when they will reimburse us.

Saket Kapoor: Okay. And Sir secondly for this financial year we have lost tonnage closer to 50,000 ton because, had these two shutdown not been planned, our tonnages we would have, the sales would have been higher by 50,000 tons this is what the understanding is?

Madhav Kejriwal: Sir, if both the shu

tdowns are considered, then probably we would have seen a slightly even higher than 50,000 tons production number, around 60,000 to 65,000 tons would have been more.

Saket Kapoor: Okay, this much definitely we will add for this year. What I was mentioning sir, that is on top

of 7,17,000 tons definitely we will be adding 60,000 tons for this financial year, this should be the base minimum that we should be doing because now the capacity has also move up to 9 lakh tons.

Madhav Kejriwal: So, sir 9 lakh tons installed capacity is there, since it takes a little time to ramp up we are expecting to hit something between 8.3 lakh to 8.5 lakh this financial year.

Moderator: Thank you. The next question comes from the line of Muskan Rastogi from B&K Securities. Please go ahead.

Muskan Rastogi: Sir for the last few quarters the Company has been guiding that there has been no weakness in the realization. However, the realizations are still on a downward trend, we also interacted with L&T team, and we got a feedback that the realization of DI is at Rs. 58 to Rs. 60 per kg range, and demand is also subdued. So, can you please give color on this and also what would be your volume guidance for FY'26-27?

Madhav Kejriwal: Well, ma'am as I was mentioning previously in this call, the absolute realization numbers is a result of both demand and the movement of the iron ore and coal pricing, part of the reason for the softening on the realization is also that the input material costs have come down. Going Page 16 of 18 forward the movement of the realization is going to be a consequence of the demand moving up, which will create an upward pressure and we are hoping that the pricing for the raw materials remains stable seeing that possibly no major geopolitical issue arises. There might be some upward movement in the iron ore if and when the government starts picking up on many of its infrastructure projects beyond Jal Jeevan as well. So this will, lead to the average realization going up, currently the realization is between Rs. 58 to Rs. 60 per kg, but that is for new orders we are carrying over orders from the past as well. So, the effective realization is always a blend of old and new orders.

Muskan Rastogi: Sir, what would be a volume guidance for next two years?

Madhav Kejriwal: Volume guidance, please?

Muskan Rastogi: Your volume guidance for, sales volume guidance for DI the next two years?

Madhav Kejriwal: Ma'am for the next financial years we will be somewhere between 8.3 to 8.5 lakh tons, and in the subsequent year, we should be crossing 9 lakh tons.

Muskan Rastogi: Okay, sir my another question, in a normalized spread scenario, if we do Rs. 9 to Rs. 10 EBITDA per kg, then post tax ROC for the core business comes to around 10%. I just want to understand, what is the reason behind going for such large CAPEX in same business in Odisha, if the return ratios are just 10%?

Madhav Kejriwal: Ma'am Rs. 9 to Rs. 10 would be a conservative figure, the return on capital for the core business would be a little higher than that. We also have to keep in consideration that Electrosteel as a Company has historically also exported pipes, and we are also looking at an expansion in our fittings business which is a higher capital return business. So, we are very certain of hitting around 12% to 13% at a very, I would say realistic, slightly conservative level.

Muskan Rastogi: Sir, within this quarter it was Rs. 8 per kg hence, I was asking it.

Madhav Kejriwal: Well ma'am one has to appreciate that the last six months has possibly been rock bottom for the DI industry. So we cannot plan basis that, as when last year around Quarter 3, Quarter 4, we were hitting +20% EBITDA numbers. Even at that point we had also mentioned that +20% is an unsustainable number, we are hopeful to, we are very certain of maintaining a range of 16% to 18% so those are the figures that we have to look at. We cannot g

et swayed by short

term up and down swings.

Moderator: Thank you. The next question comes from the line of Rajat Sethia from iThought PMS. Please go ahead.

Rajat Sethia: Sir, what is the maximum achievable capacity utilization possible at the plant at the Company level?

Page 17 of 18 Madhav Kejriwal: Between 90% to 95%.

Rajat Sethia: Okay. And you mentioned that we will soon be hitting those numbers in the next one year or so right?

Madhav Kejriwal: Yes, please.

Rajat Sethia: Okay. And we are adding capacity, so that's how we expect our growth to come down, and we expect to maintain these higher levels as well for the next three, four years?

Madhav Kejriwal: Yes please.

Rajat Sethia: And Sir what is the frequency of shutdowns generally, in how many years do we need that shutdown?

Madhav Kejriwal: So, Sir we have an annual shutdown which average is around 10 to 15 days in each unit. Barring that, we have shorter one or two day shutdowns every alternate month. Katial ji why don't you mention the total shutdown days for a unit of our industry?

Sunil Katial: Normally, the running days in a year are in the range between 346 to 350 days.

Moderator: Thank you. We take the next question from the line of Aashav Patel from Molecule Ventures PMS. Please go ahead.

Aashav Patel: Sir my question is, if we end up receiving the coal compensation whenever we receive it. How do we envisage to consume that capital?

Madhav Kejriwal: In the new project.

Aashav Patel: Okay. But we don't plan to deleverage the balance sheet meaningfully from around Rs. 2000 crore debt level?

Madhav Kejriwal: So, Sir moving forward we will probably maintain and slightly reduce our total leverage position while still going ahead with the greenfield project. So that's quite a comfortable level for us, maintaining million ton plus production capacity in pipe by keeping up say Rs. 1,500 crores to Rs. 2,000 crores total net debt level, it's something that we are targeting to achieve, and is very much in our grasp.

Aashav Patel: Got it Sir. And just wanted to understand what your thought in terms of selection of product is when it comes to a greenfield expansion because what we have also been hearing is that we have been seeing a steep competition from some of the non-listed DI manufacturers in terms of the margins, they are aggressively pricing their product compared to what pricing we are Page 18 of 18 doing. So, don't you think there is so much of competition in terms of the supply side is also increasing for the DI, so don't we plan to enter into newer products for the greenfield?

Madhav Kejriwal: Most definitely sir, there are new products that are being envisaged. We mentioned before that as a Company we wish to move towards a manufacturer and supplier of the entire water infrastructure space. So, slowly we are covering all products, very recently we set up a small production line for gaskets also which goes into the pipeline. And similarly, in the new production facility, we will add products that go into the water infrastructure space beyond just fittings and pipes.

Moderator: Thank you. Ladies and gentlemen, we take that as a last question and conclude the question-and-answer session. I would now hand the conference over to the management for their closing comments.

Madhav Kejriwal: I would like to thank all our investors for dedicating a valuable time and engaging with us during this concall. I want to reaffirm that the Company is not only expanding but also preserving the robustness of its balance sheet. Moreover, we are strategically poised to capitalize on the increasing domestic and global investments in water infrastructure. Should the investors have any further questions, please reach out to E&Y, our Investor Relations consultants. Thank you.

Moderator: Thank you. On behalf of Electrosteel Castings Limited, that concludes this conference. Thank you for joining us and you may n

ow disconnect your lines.

Call: Aug 2025

Page 1 of 19 Electrosteel Castings Limited
Q1 FY '26 Earnings Conference Call
August 06, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY '26 Earnings Conference Call of Electrosteel Castings Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing *, then 0 on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Verma from EY LLP. Thank you and over to you Mr. Verma.

Vikash Verma: Thank you. Good evening, everyone. On behalf of Electrosteel Castings Limited, I welcome you all to the company's Q1 FY '26 Earnings Call.

To discuss the performance of the company, we have with us from the management team, Mr. Madhav Kejriwal – Whole-Time Director; Mr. Sunil Katial - Whole-Time Director and Chief Executive Officer, and Mr. Gaurav Somani - General Manager Finance. Please note, our CFO Mr. Ashutosh Agarwal is not available on this earnings call as he is unwell.

Before we proceed with this call, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors, which will be beyond management control. We kindly request that you bear in mind there may be uncertainties when interpreting such statements. We will now start the session with the opening remarks from the management team. Afterwards, we will open the floor for interactive Q&A session.

I will now hand over the conference over to Mr. Madhav Kejriwal for his opening remarks.

Thank you and over to you, Mr. Madhav.

Madhav Kejriwal: Thank you. A very good afternoon to everyone and thank you all for attending our earnings call. As anticipated, the quarter gone by was a challenging one. The slowdown continued that began in the second half of the last financial year. During this quarter, we have sold 1.63 lakh metric tons of pipes and fittings compared to 1.89 lakh metric tons in Q4 of FY '25 and 2 lakh metric tons of Q1 FY '25.

Page 2 of 19 Exports contributed to approximately 20% of our total pipe volumes. The decline in government spending on water-infra-related infrastructure in particular contributed to this subdued demand. Additionally, we undertook our annual maintenance shutdown of 9 days at the West Bengal unit which marginally impacted our production. Under JJM, the rural households have reported to have tap water connections at the beginning of the mission of 3.23 crores which has grown to 15.67 crores as of July 2025. Although new scrutiny has shown that the Functional household tap connections is at approximately 50% of the target which is 19 crore households.

There are headwinds at the moment, but we are optimistic about the future. The extension of the Jal Jeevan Mission has announced during the finance budget and the budgetary allocation of Rs. 67,000 crores for FY '25-'26 are positive indicators. We expect that the demand will start improving from the second half of this financial year. Additionally, the government is also prioritizing on river interlinking projects through the Interlinking River Program which is aimed at redistributing water from surplus to deficit regions across India. This signifies huge long-term potential for our pipes in the coming years.

India remains one of the fastest growing global economies with an ever-increasing need for robust water infrastructure in both rural and urban areas. This will continue to drive the demand for pipes and fittings. In the meantime, we are using this period to optimize resources across all levels to minimize costs to enhance operational efficiency and for implementing IT solutions. We believe these challenges are temporary and do not alter the long-term gro

with

prospects of the industry. We have proactively enhanced the capacities and are well-positioned to capitalize on the demand resurgence as it materializes.

Coming to the performance of the 1st quarter of FY '25-'26, the company's consolidated total income stood at INR 1,586 crores, reflecting slowdown in the JJM and maintenance shutdown undertaken at our West Bengal unit. I would also like to take the opportunity to mention that we are reorganizing our CAPEX plans in light of the current demand scenario and certain other new acquisitions.

I would like to share some updates on the coal mine compensation matter as well. As for the coal mine compensation, I am pleased to inform that the office of the Nominated Authority from the Ministry of Coal, Government of India, has issued Provisional Compensation Order dated 15th May 2025 in respect of compensation for cost of geological report, cost of consent,

land and inclined and shaft infrastructure payable to prior allottees at Parbatpur Central Coal Mine in terms of Coal Mines Special Provisions Act, 2015. As per the aforementioned Provisional Compensation Order, the Ministry of Coal has estimated an amount of INR 500 crores approximate as compensation to the company.

Coming to the recent acquisition, I am very pleased to inform you of the acquisition of TIS Services S.p.A, an Italian valve manufacturing company. It is a prominent international designer Page 3 of 19 and manufacturer of valves and equipment used in water mains, sewage treatment plant and hydroelectrical power stations. Its comprehensive product portfolio includes butterfly valves, gate valves, air release valves, hydropower valves, hydraulic control valves and turbine as well. TIS operations are strategically located across Europe and are engaged in production and commercial operations as well as R&D activities. Its major markets are Europe, Middle East, the US and Africa. This acquisition marks significant strategic move by ECL which it has long aimed to enter into which is the valve business to bolster its footprint in the water infrastructure sector. Given that ductile iron pipes and valves are typically installed together in pipelines, the acquisition enables ECL to offer integrated solutions and a more comprehensive product package to its customers.

The turnover of TIS is around 40 million Euros and its EBITDA margin is of 13%. We look forward to ramping up the business and aim for revenue growth of at least 15% in CAGR over the next 3 years and significantly improve the EBITDA margins. The global valve market is expected to grow at a CAGR of 4.6% and will go from 17.6 billion in 2023 to 26.4 billion in 2032.

I would now like to hand over the floor to Mr. Sunil Katial – Whole-Time Director and CEO for taking you through the financial highlights.

Sunil Katial: Thank you Madhavji. Good afternoon to all the investors presents in Electrosteel Casting Q1, Financial Year '26 Earnings Concall. I would like to brief you about the consolidated results in Q1 FY '26. Total income stood at INR 1,586 crores that has been mainly impacted due to decline in government spending on water related infrastructure and planned maintenance shutdown at Khardah as already explained. EBITDA reported at INR 198 crores, EBITDA margin stood at 12.5%, PAT stood at INR 89 crores with PAT margin being at 5.6%.

And moving to standalone results for Q1, total income stood at INR 1,426 crores, EBITDA stood at INR 186 crores, EBITDA at 13.1%, PAT at INR 86 crores, PAT margin at 6%. Net debt has further reduced and now stands at INR 1,400 crores including term debt of INR 346 crores only. Net debt equity ratio has improved to 0.24:1.

Now, I open the floor for question-and-answer session. Thank you very much.

Moderator: Thank you very much, Sir. We will now begin with the question-and-answer session. The first question is from the line of Vikas Singh from ICICI Securities. Please go ahead.

Vikas Sin

gh: Good afternoon, Sir. Thank you for the opportunity. Sir, my first question pertains to the government orders or the slowdown which most of the companies are talking about. Despite the allocation in the budget, what was the problem that the spending is not coming up as of now? So, if you could throw some light on the JJM and related issues?

Page 4 of 19 Madhav Kejriwal: Sir, there is an approval mechanism that the government has put in place for allocation of funds. And since the budget is still pending to be decided, the extended outlay in toto up to 2028 is still not completely finalized. Thus, the allocation of funds is at the moment moving very slowly. The states have started spending money, but the center is holding on. I think in the coming 1 month or so, all these formalities will be completed and then we will see fund flow even from the central level for JJM.

Vikas Singh: So, another 1 or 2 months and you think that this issue will get resolved?

Madhav Kejriwal: Absolutely.

Vikas Singh: And Sir, concurrently there was a big story which was going up on the inter-connection of Riverside. Any thought process on that? Anything has moved on or this is still more on the paper?

Madhav Kejriwal: Sir, there is a lot moving especially between the UP-MP Ken-Betwa linkage. There is also one in Rajasthan which is seeing some good activity levels. So, I am very optimistic on the fact that these two will definitely see the light of day. The other projects are all in planning stage, but I think this is a long run process. It is an 8-10 years activity since you are talking about moving huge quantities of water across a very large landscape of geography. So, the other projects will take another year or two to start showing up.

Vikas Singh: Sir, second question pertains to our new acquisition, TIS. We have gone overseas for the valve thing. Usually, the experience has not been better for many of the steel companies who have tried to fetch some assets in the overseas. So, just wanted to understand that thought process and would be because these manufacturing facilities are also abroad. Wouldn't it have been better if we would have done this in India because our cost of production would have been much lower in India?

Madhav Kejriwal: So, Sir, what is important to understand is that the type of valve that is being produced in TIS, what it specializes in is a valve that is not made by anybody in India. In fact, TIS and the other big manufacturers of the water valve industry are exporting from Europe into India. So, this is

not a product that is being made at all within the country nor is it being made successfully by any manufacturer who is from the country at the moment. When we talk about the cost of production, the cost of production for that company today even after that they are looking at an EBITDA level of 13% and that is in a very specialized area in terms of geography. Even when you talk about Europe, they are present strongly in specific markets of Europe, but not all of Europe. We on the other hand have a very strong presence all across Europe and this is a very complimentary product to our existing product basket. You can say this acquisition is done more to gain the knowledge. While I say that it is also important to mention that definitely for the higher value products and even the lower value products that are being manufactured Page 5 of 19 there, we are looking at starting localized production, we are looking at setting up an R&D facility here in India as well which should not take more than a year and a half to 2 years.

Vikas Singh: Noted. Sir, just one thing in conjunction to this, you said 13% EBITDA margin and at the same time you are talking about some of the specialized products. Shouldn't the margin be on a higher side because if you are making something which is unique, you should command a better margin, right? So, anything to do with, what is the basic devi

ation here because we have

seen with some other companies, the margin for a specialized product is always higher?

Madhav Kejriwal: Well, if you look at the industry as a whole, you will see that they are actually hitting 2%-3% higher margins than the other manufacturers within Europe itself. Once we utilize the know-how and spread this across Middle East and India as well in terms of manufacturing and sales, even stronger than what it is already, you will find that this margin is going to move up significantly. So, this is a margin despite high costs and despite being in Europe. So, once this comes to India, you will find the value unlock happen and you will find much higher EBITDA levels of 18%-20%.

Vikas Singh: So, just a clarification that 15% EBITDA is basically we are targeting India for that kind of growth, right?

Madhav Kejriwal: Sir, we are targeting India, we are targeting the Middle Eastern markets where we are stronger than TIS is present and also the European markets where we are more strongly present than TIS.

Vikas Singh: So, what is the current capacity utilization for TIS?

Madhav Kejriwal: Well, for one plant, it would be 100%, for the other plant, it would be around 45%.

Vikas Singh: So, significant leg room is there?

Madhav Kejriwal: Absolutely. And we will also create some capacity here in India.

Vikas Singh: Noted. Sir. Lastly, if I can squeeze in one more question. This Rs. 500 crore compensation which they have basically rewarded, had we received the money and what is the timeline if we haven't received the money?

Madhav Kejriwal: Sir, we haven't received the money yet. It will be a little difficult to comment on the timeline exactly, but we are hopeful that it will take probably 6- 8 months, maybe a year.

Vikas Singh: That is all from my side and all the best for future.

Madhav Kejriwal: Thank you.

Page 6 of 19 Moderator: Thank you. We will take the next question from the line of Aashav Patel from Molecule Ventures PMS. Please go ahead.

Aashav Patel: Thank you for the opportunity. Sir, my first question is, consistently after many quarters of volume growth, this quarter we have seen volume degrowth. As you rightly mentioned, it is linked to the slowdown in JJM. So, can you please be more specific and give us more insights with regards to the slowdown, whether the new project tendering has been slowing down or the fund release has been slowing down and when can we expect a quarter of volume improvement again?

Madhav Kejriwal: Sir, both paths have slowed down. The payment to the contractors has slowed down, which in turn has reduced the order booking from their end and also the new tendering processes have been put on hold because new fund allocation is yet to happen. So, that is the current scenario. I am very sure about the fact that from quarter 3, we will start seeing an increase in volume again. Quarter 2 will also be a slow one as quarter 1 has been.

Aashav Patel: And AMRUT 2.0 is also facing similar challenges?

Madhav Kejriwal: Not really, Sir. But AMRUT 2.0 is a relatively new initiative as compared to Jal Jeevan. So, a lot of the work is still in its design phase and it has not yet picked up full pace, although there is still business coming from there, but it is not at full pace.

Aashav Patel: Got it. And Sir, my second question would be regarding the Rs. 500 crores, provisional compensation which the government has allotted to us. So, we were expecting a number closer to Rs. 1,200 crores. Is that right?

Madhav Kejriwal: Sir, this Rs. 500 crores does not include all aspects of the mine infrastructure. This is only taking into consideration land and one particular mine infrastructure, which is the biggest mine infrastructure that is the incline and shaft. There are other aspects to the infrastructure for which the valuation is in progress. Thus, this is a provisional order.

Aashav Patel: So, we are still hopeful of receiving the

entire investment around Rs. 1,200 crores, right?

Madhav Kejriwal: It will be difficult to say whether we will get the entire investment, but yes, we are hopeful to get close to the entire.

Aashav Patel: Significantly higher?

Madhav Kejriwal: Higher, I would say higher.

Aashav Patel: Got it. And Sir, last question from my side. Many of our peers like Rashmi Metaliks, Welspun, Jai Balaji, everyone has started venturing into this new segment called OPVC pipes. So, why are we falling behind and we don't have any such plans to add OPVC lines?

Page 7 of 19 Madhav Kejriwal: Sir, I wouldn't exactly call it falling behind. OPVC pipes is something that is an opportunity. That

is definitely something we are looking at, but there is nothing concrete. And we are keeping our ears close to the ground about the opportunity present. Although we are not very hopeful that it will become a huge market as it is expected to become because we find that in the western markets, which usually are a precursor to what happens here in India, OPVC hasn't picked up much and it has been there for many years. In Europe it is practically not present.

The only market where it has been successful is the US.

Aashav Patel: Got it, sir. That is all from my side. All the very best.

Madhav Kejriwal: Thank you.

Moderator: Thank you. The next question is from the line of Muskan from B&K Securities. Please go ahead.

Muskan: Hi, Sir. Thank you for the opportunity. Sir, in the past, you have mentioned that we will balance domestic and export based on the demand. When there is weak demand in domestic, knowing that there is near term challenges, can we increase our focus to exports as margins will be better? And how is the export business opportunity and is it easy to scale business in export market in the last 3 quarters since the demand in domestic is weak? Why have you not been able to scale it up in terms of sales?

Madhav Kejriwal: There is a bit of a delay between preparation and execution when it comes to being able to start increasing your exports to that level where there has been a slowdown. It is always easy to manipulate it by 5%-7%, but when we are talking about wanting to move the needle by a double-digit percentage number, it requires some time. Same that we have increased our focus towards volume markets now, like Africa and we are starting to explore the South American region as well. But it takes a little time and also this business is such where you are working with slow-moving projects, especially in countries like Africa, it takes some time. This quarter, you will find that we have increased our export though as compared to quarter 1, hopefully.

Muskan: So, which means export percentage has gone up because domestic mix has come down, right, sir?

Madhav Kejriwal: Yes, please.

Muskan: And Sir, like you spoke about re-strategizing of CAPEX in your opening remarks. Does this mean you are putting the Odisha CAPEX on hold for now and you are changing the products planned in Odisha?

Madhav Kejriwal: You can say that due to the acquisition of TIS and as I was mentioning earlier on the call, we want to localize so that what is being imported today into India can be manufactured and sold within India, there will be some restructuring and also there are some delays on the land acquisition for the project. So, things are moving quite slow on that front. Saying that, we are going to be seeing how we can optimize on our capital allocation and move forward accordingly.

Muskan: Sir, if the coal block compensation is Rs. 500 crores, how much more are you expecting and when are you expecting to receive these funds?

Madhav Kejriwal: Ma'am, when is a question which is difficult to answer, I am expecting it between 8 months to a year. How much it will increase, again, that is something that we are constantly working on. We have only managed to get the valuation for the land, the geological report

and one big mine

infrastructure. So, it is difficult to give a number on that exactly, but definitely it will be a bigger number than this.

Muskan: Sir, one last question. Sir, margins in DI has come down sharply because of a lot of capacity addition by the players. So, with all this capacity addition, can we still do Rs. 15 per kg EBITDA in the coming years?

Madhav Kejriwal: Again, ma'am, looking at it on the basis of rupees is not the right way. I always encourage looking at it on a percentage basis. I have said that 15%-18% EBITDA range is what we will be hitting and I am still certain that if you look at it from a mid-term perspective of a year, for the entire financial year, we will still hit that range.

Muskan: All right, Sir. Thank you so much and all the best.

Madhav Kejriwal: Thank you.

Moderator: Thank you. The next question is from the line of Deepesh Sancheti from Maanya Finance. Please go ahead.

Deepesh Sancheti: Hi. Am I audible?

Moderator: Yes, Sir. Please proceed.

Deepesh Sancheti: What is the effect of the US tariffs on the company? How much is the percentage of sales to

the US? You said that 20% is exports. How much is that to the US?

Madhav Kejriwal: Sir, of the total sale, our US sales is approximately 1%. So, there will be negligible to no impact on our overall performance based on US tariffs.

Deepesh Sancheti: And regarding the compensation, which is from JSW, the temporary order which we have received, the compensation order, has JSW filed anything against it or what has been the response from JSW?

Page 9 of 19 Madhav Kejriwal: They have seek some clarifications which we are in the process of giving. So, far there is no issue.

Deepesh Sancheti: There is no issue. You mentioned that you expect 6-12 months for the money, for the Rs. 500 crores to be received.

Madhav Kejriwal: Yes.

Deepesh Sancheti: When do you expect that the entire amount of Rs. 500 crores plus would be received?

Madhav Kejriwal: That is a difficult one, Sir. It will be difficult for me to give you an answer on that.

Deepesh Sancheti: Fine. That is all. If there is any other question, I will come back. Thank you.

Madhav Kejriwal: Thank you.

Moderator: Thank you. We will move on to the next question, which is from the line of Ankit Puri, an Individual Investor. Please go ahead.

Ankit Puri: Hi. Good evening, Mr. Madhav. The first question is with regards to the acquisition. What are the prospects of the cross-selling and when do we start to see the results of the same on the balance sheet going forward? This year, next year?

Madhav Kejriwal: I think within this year itself, you will start seeing some impact. Substantial impact because of our overall size of the acquisition, probably sometime mid-next year to the end of next financial year, you will start seeing a major impact of the acquisition on our books.

Ankit Puri: Alright. And what about the prospects of the cross-selling? Do we hope to increase our sales with regards to DI pipes as well with their clients?

Madhav Kejriwal: Yes, please. Absolutely. This will encourage sales in the market where TIS is strong for our existing product line of both pipes and fittings.

Ankit Puri: Excellent. Secondly, what is the current inventory level and number of days in consolidated and standalone basis as of today, if you talk about quarter 1 at the end?

Gaurav Somani: So, in terms of quarter 1, the inventory days is around 110 days and it has gone up compared to Q4 of previous year.

Ankit Puri: So, 110 days vis-a-vis what?

Gaurav Somani: It was around 97-98 days.

Page 10 of 19 Ankit Puri: Alright. Thanks for the information. Lastly, will you be still sticking with your overall guidance of 8-8.5 lakh tons for this FY26? And as you mentioned, with things expected to pick up in H2?

Madhav Kejriwal: Due to the slowdown in the first 2 quarters, reaching that target will be difficult. We are looking at a flattish growth with

regard to last year. So, you can say, 7-7.5 lakh tons.

Ankit Puri: But will the additional in terms of the fitting acquisition as well as the TIS acquisition, will they play a role in at least giving us better numbers compared to the last financial year?

Madhav Kejriwal: I would say that we will have similar numbers as the last financial year because we saw a slight slowdown in the last quarter whereas in this year, the 1st two quarters will be exceptionally slow. So, things will pick up in the second half, but it will not be so much so that we will surpass last year's performance.

Ankit Puri: Alright. So, we are looking at a flattish basically in this financial year?

Madhav Kejriwal: Yes, please.

Ankit Puri: That will be all from my side. Thank you so much. All the best.

Madhav Kejriwal: Thank you.

Moderator: Thank you. The next question is from the line of Rajat Sethia from Ithought PMS. Please go ahead.

Rajat Sethia: Hi. My first question is about what could be the industry level utilization in DI at the moment?

Madhav Kejriwal: Around 60%-65% please. This is just for quarter 1 and quarter 2.

Rajat Sethia: Right and where do you see this moving? Let us say once ordering begins in 2, 3, 5, 6 quarters?

Madhav Kejriwal: Once the taps for the funds have opened up, Sir, we will again be in a situation where the demand will be outweighing the supply. We still haven't reached that stage where enough capacity has been added. So, I think probably 90%-95% which is the norm for capacity utilization of every plant in Ductile iron.

Rajat Sethia: And you see this happening sometime in next year, right?

Madhav Kejriwal: Starting H2, Sir. Maybe starting H2 or a couple of months into H2

Rajat Sethia: That soon?

Page 11 of 19 Madhav Kejriwal: Yes, absolutely. It is just a very temporary slowdown because of a lot of, I would say, hierarchical approvals that are required at the government level to allow for funds to be allocated. There is nothing else that is holding this back. So, once that starts, we will see a good growth potential over here.

Rajat Sethia: And in terms of OPVC, how much of DI volumes would have been taken up by OPVC already? Any estimate that you would have?

Madhav Kejriwal: I think at the worst-case scenario, it will be 2%-3%, if at all.

Rajat Sethia: And all in the smaller sizes, right?

Madhav Kejriwal: Yes.

Rajat Sethia: In terms of volumes, I think smaller sizes would not be big as a percentage for the overall DI pipes, right?

Madhav Kejriwal: No, sir. Smaller sizes contribute to around 40% of the DI demand. But again, OPVC, as HDPE had when it had come in, it cannot be a replacement for DI. It has its own set of applications and the overlap is very minor.

Rajat Sethia: If you can elaborate a bit on the last part, where you say overlap is very minor?

Madhav Kejriwal: The use case for a plastic pipe and a metal pipe is very different, Sir. It depends a lot on things beyond just transporting the water. It goes into pressure, overload from the soil, soil condition, water condition, etc. So, there are multiple aspects that determine whether plastic pipe goes into the ground or a metal pipe goes into the ground. And considering India's weather and other soil conditions, it is a very small use case where you can use either a DI or an OPVC or an HDPE. In most cases, it will be a clear-cut answer that for this application, we have to use DI and for this application, we can use an HDPE or an OPVC.

Rajat Sethia: And Sir, one final question about the acquisition. What is the valuation that you are paying for the acquisition?

Madhav Kejriwal: Around 7-8 times of EV/EBITDA.

Rajat Sethia: So, you said margins are 13%, so maybe 5 million is the margin. So, we are paying almost Euro 35-40 million?

Madhav Kejriwal: Yes. Euro 35.5 to be exact, actually.

Rajat Sethia: And how much debt in the books will be acquired?

Page 12 of 19 Madhav Kejriwal: Around Eur

o 19 million.

Rajat Sethia: Thank you so much.

Madhav Kejriwal: Thank you.

Moderator: Thank you. The next question is from the line of Deepesh Agarwal from ICICI Prudential AMC. Please go ahead.

Deepesh Agarwal: Hi, Sir. Good evening. So, a couple of questions. Firstly, how was the demand scenario in terms of pipe irrigation and dam improvement projects this quarter? And how are we expecting it to be in the coming financial year as well?

Madhav Kejriwal: Sir, the dam improvement projects, and irrigation sector are slightly intertwined as well because a lot of the development that takes place there will help to expand the irrigatable land available. So, I would say that in terms of irrigation today, whatever sales that are happening are largely because of pipe irrigation demand and AMRUT demand. When we talk about dam improvement, I think the impact on the ground will take another 6-8 months to take place, Sir.

Deepesh Agarwal: All right, Sir. How is our current cash position looking like and how are we planning to fund our future CAPEX, like will it be debt heavy or will it be internal accrual heavy?

Gaurav Somani: So, we have net debt of around Rs. 1,400 crores and we are sitting on cash of say around Rs. 250 crores. We have healthy cash generation out of the business operations, and our term debt has come down to Rs. 345 crores. So, our repayments for term debt is not very huge. We will have substantial amount of cash coming in from our operations to meet our CAPEX requirements.

Deepesh Agarwal: So, can you expect most of the CAPEX will be cash funded, internal cash funded only?

Madhav Kejriwal: Absolutely. Majority of the CAPEX will be cash funded, and we don't see any plans or any requirements to taking on substantial debt for any of the future expansion plans.

Deepesh Agarwal: All right. My last question was around development of the new products. I think in the last call, we had mentioned that we are looking to foray into gaskets as well and other new products to create a whole ecosystem of water infrastructure. So, how is that development going on right now?

Madhav Kejriwal: Sir, this valve is a huge step in that direction. I think I have been mentioning that this is a product that can be a good addition. So, this is a big step and gaskets, we have already started our manufacturing for gaskets in the South. The plant is commissioned. In fact, we are looking at a minor increase, a minor expansion in that as well. So, we are slowly moving towards that.

Page 13 of 19 It will of course, these things take some time and very soon, I think in the next year, year and a half or so, you will start seeing the impact of the diversified product portfolio on the books.

Deepesh Agarwal: All right, sir. That is all I have.

Madhav Kejriwal: Thank you.

Moderator: Thank you. The next question is from the line of Rajesh Agarwal from Moneyore. Please go ahead.

Rajesh Agarwal: Sir, my question is, do we require DI pipes in hydroelectricity projects?

Madhav Kejriwal: You can require DI pipes in hydroelectric projects, but because the size is very big and it is beyond what the scope of DI pipes usually is, we don't end up making our way into that market per se. But for fittings and for valves, definitely that is a big market. It is a very niche market, in fact.

Rajesh Agarwal: Sir, second question is regarding the provisional figure of Rs. 500 crores, have we received or we have not received that money?

Madhav Kejriwal: No, Sir. We have not received it yet since it is a provisional order. There are clarifications required from our side also and from JSW's side. So, we are in the process of getting that completed.

Rajesh Agarwal: And Sir, do we have a scope to export DI pipes to Middle East countries because there are a lot of requirements there. Today, in the concall of Jindal, they said that they have in fact backed a new DI pipe order of 2,75,000 tons also.

Madhav Kejriwal

: That is not from Middle East per se. Also, approximately 45% of our exports of DI pipes goes to the Middle East. So, we are already very strongly present there.

Rajesh Agarwal: So, we are supplying to the contractors?

Madhav Kejriwal: Yes, please. We are the largest exporters of pipes into the Middle East. Jindal has a plant inside Middle East already.

Rajesh Agarwal: So, that order is a local order or it is a Middle East order? Any idea?

Madhav Kejriwal: From what I gather, it is a local order, please.

Rajesh Agarwal: Sir, the order traction has happened. I understand the money is tight because the contractors are not getting paid on time. Once they start, the orders will pick up. But has the order, tender and all that has started?

Page 14 of 19 Madhav Kejriwal: Sir, tendering is an active process. It is ongoing. But participation from the contractors are low

because of their own limitations.

Rajesh Agarwal: I understand. So, once that is sorted out, once they start receiving money, they can bid for new orders. Then the cycle may start?

Madhav Kejriwal: Yes, please.

Rajesh Agarwal: Thank you, sir. And sir, second on the coke and all, the prices there stable?

Sunil Katial: Yes, coke prices are stable.

Rajesh Agarwal: They are stable. Thank you, Sir.

Moderator: Thank you. The next question is from the line of Ninad Sabnis from Sabnis Financials. Please go ahead.

Ninad Sabnis: Yes. Hi. Thanks for the opportunity. I have a small question to start off with. Is there any update as to have we started receiving orders on the river interlinking project?

Madhav Kejriwal: No, Sir. We have not received any orders yet because the final detailed project reports have just been finalized for the MP-UP river link project, which is the Ken-Betwa project. It will be another few months before we see the orders come into our books.

Ninad Sabnis: Just looking at the big picture here because this presents a lucrative opportunity, what could be the volume? Can you quantify the opportunity and what could be the ramp-up, say, going forward next year?

Madhav Kejriwal: Well, I can have somebody work out the exact potential for all the projects together, but I would say that it will contribute to around 20% of the total demand over the next 7-8 years.

Ninad Sabnis: Great. That kind of give fair enough ballpark.

Madhav Kejriwal: Yes, please.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Namaskar, Sir, and thank you for the opportunity. Firstly, on the TIS acquisition, Sir, we mentioned sales of 40 million Euro and a debt of €19 million on the book?

Madhav Kejriwal: Yes, please.

Page 15 of 19 Saket Kapoor: So, these are very significant debt numbers. What was the purpose of these closing debts? Have they done any capacity expansion or what is the nature of the debt?

Madhav Kejriwal: Sir, a big part of the debt is working capital. In fact, I would say around 80%-85% of the debt is working capital. And the rest of the 15% debt is for the capital expansion that they have done in their plant in Turkey, which is underutilized at the moment. That is where we saw the opportunity for this project. And also, the reason for the increased debt level is because one of it is the nature of the business itself requires you to carry some spares because a valve is like a car wherein you have to keep some spare parts, not like a pipe that it has only one component. So, you have to get into a bit of operation and maintenance along with its sale. So, you have to keep a stock of some spare parts. Another reason is that they had built up stock in expectation of certain orders and also due to the increased supply chain from China and India.

Saket Kapoor: And they have their two plants, one is located in Turkey and the other one is?

Madhav Kejriwal: Is in Italy, please.

Saket Kapoor: In Italy. And the capacity is equally

divided or which plant is larger in capacity?

Madhav Kejriwal: It is equally divided, please.

Saket Kapoor: Sir, second question is on the blast furnace yield at our Southern unit, Sir. Are the yields have now improved for our Srikalahasthi unit and what is the update for the further unit trends it

will start being operational and the yield improvement?

Sunil Katial: No. In fact, because of the ongoing low demand scenario, the blast furnace is being operated with a lower yield for now. But as such, the problem which it had has been rectified and it is now capable of. In fact, a couple of months back, it was producing full volume.

Saket Kapoor: This is for the Southern unit, Sir?

Sunil Katial: Yes.

Saket Kapoor: And what is the update on the Khardah unit?

Sunil Katial: So, Khardah unit, the blast furnace is working normal. Here also, again, presently, we have lowered production because of this demand issue which is ongoing.

Saket Kapoor: But the 9-day shutdown was just an annual shutdown, Sir. This is not?

Madhav Kejriwal: This is a normal course maintenance shutdown.

Saket Kapoor: And that is now up and running, Sir?

Page 16 of 19 Madhav Kejriwal: Yes. It was a short 9-day shutdown, Sir. It was not a major overhaul of any sorts. We do this every year. Every year, we have an annual shut down for maintenance work.

Saket Kapoor: Yes. Sir, on the tonnage part, you mentioned that on a total basis, we will be flat on the pipe sales closer to 7 lakhs tons. So, for this quarter, our total number was 1.63 lakhs tons, that is the pipe and I think the fittings and CI, everything. So, what was the pipe tonnage and what should we expect in terms of the tonnage for Q2?

Sunil Katial: Sir, Q2 will be around, say, 150,000 tons. A slight dip there and we are expecting that possibly by next month, the funds from JJM will start flowing in. So, it will recover after that.

Saket Kapoor: So, 1.63 lakhs tons will go down to 1.5 lakhs tons for next quarter?

Madhav Kejriwal: Yes, around 1.5 to 1.55 lakhs tons, something like that.

Saket Kapoor: Fine, Sir. We hope for things to change and look better.

Madhav Kejriwal: We are very certain of it, Sir. Don't worry.

Saket Kapoor: Yes, Sir. We, by nature, are optimistic. But let us see how things shape up. We don't know. We have been contemplating this for 9 months now and things have just deteriorated over every quarter.

Madhav Kejriwal: I understand your apprehension, Sir. But it is just the time of bureaucracy that is about it. Principally, everything is in the right direction.

Saket Kapoor: Right, Sir. On the Odisha part of the story, where we were acquired some land and some greenfield, that is on hold now or what is the update, Sir?

Madhav Kejriwal: Sir, we had not acquired land. We had identified the land, and we were in the process of acquiring. Since that has been delayed, thus the entire project at the moment is running delayed. And because of the acquisition of or rather because of the opportunity of this valve company, we have decided to reorganize our capital expenditure a little bit. So, once there is some opportunity, once there is some progress on the land, then we will take up to see what kind of CAPEX we want to do and what size we want to operate.

Saket Kapoor: Right. Thank you very much.

Madhav Kejriwal: Thank you.

Moderator: Thank you. The next question is from the line of Muskan from B&K Securities. Please go ahead.

Page 17 of 19 Muskan: Hi, Sir. Thank you for the opportunity. Sir, how much order book do we have in 1st quarter versus last quarter in terms of metric ton? And also, how much DI volumes we have done in 1st quarter out of 1.63 lakh metric ton?

Madhav Kejriwal: So, out of the 1.63 lakh metric ton, I would say around 1.55 lakh metric ton is DI pipes.

Muskan: And how much of order book do we have in this quarter versus last quarter in terms of metric ton?

Gaurav Somani: We have order book of around

4.7 lakh tons this quarter end. And if you compare it with previous quarter end, it was slightly higher. It was around 6.7 lakh tons.

Muskan: Sir, like since we have received like my earlier question that we have received Rs. 500 crores compensation, we already have like Rs. 1,200 crores in work in progress. So, my question was would you be accepting this or would you be renegotiating this because if we accept it, we would have to write off the balance, right?

Madhav Kejriwal: Well, ma'am, as explained earlier, this is not compensation for the entire mine. This is compensation for a particular asset within mine. In fact, the valuation given is the exact valuation that is on our books of accounts for this particular asset. So, in that case, we are running in line. Saying that, of course, there will be some sort of negotiation and there will be some haircut of sorts, you can say. But it will not be this substantial.

Muskan: Sir, my last question, like you mentioned that we will be doing similar numbers as of FY '25 and this quarter we have done like almost 13% of EBITDA margin, which means we have to do 15% in next 3 quarters in order to match the last year numbers. And you mentioned that next quarter would also be little subdued, so, then how are we planning to achieve the levels as of last year?

Madhav Kejriwal: Ma'am, we are hopeful of the second half giving us better returns than that.

Muskan: Thanks, again.

Moderator: Thank you. The next question is from the line of Rajesh Bhandari from Nakoda Engineers.

Please go ahead.

Rajesh Bhandari: Good afternoon, sir.

Madhav Kejriwal: Very good afternoon.

Rajesh Bhandari: We have order book of 4.7 lakh tons so this is for how many months and FY '26 second half as you have informed that it will be a little slow and after that it will be better. So, how the demand Page 18 of 19 for FY'26, FY'27 and FY'28 going to be and correspondingly what kind of demand do you expect for Europe at that time?

Madhav Kejriwal: I will start by answering in sequence. Our existing order book is around 6- 8 months for the execution. Some of the orders may prolong in duration and some may get over earlier as well.

In regards to the demand scenario for the next 3 financial years, I am very certain that it is going to remain very robust because there used to be a lot of work left to do. 50%-55% taps which have installed they are functioning and other taps which we have yet to get functional and the new taps which we have to install and make it functional for that we need a good amount of CAPEX and a good amount of demand would be generated so for the next three years I am certain that the demand scenario will be quite robust and as far as Europe is concerned European Union also taking up a lot of projects to revitalize their water structure because their infrastructure is old and because of global warming whatever water availability is depreciated in a certain pockets they have to make up for that so there is a lot of work that is happening in Europe at the moment for that.

Rajesh Bhandari: And secondly sir we have got the partly compensation of Rs. 500 crores. What was our estimate for that sir, was it 550 crores, 600 crores, 650 crores, 700 crores approximately if you can give?

Madhav Kejriwal: Our estimate was approximately Rs. 600 crores to Rs. 650 crores.

Rajesh Bhandari: So out of Rs. 1200 crores we can hope that we would be able to get back net-net Rs. 900 crores to Rs. 1000 crores.

Madhav Kejriwal: It is difficult to give you the exact number

Rajesh Bhandari: That is why I was asking if they had done from Rs. 600 crores to Rs. 650 crores. And Sir what can we expect the revenue of valves in Europe over the next three years? And what is the turnover of gasket?

Madhav Kejriwal: The factory of gasket is just commissioned one or two months back. It will take another one to two months for that to be fully operational so there is no subst

stantial revenue generation has happened. It will take some time.

Rajesh Bhandari: If it will be operational at full capacity then? Is the demand of that product good?

Madhav Kejriwal: Sir demand is good. Whatever pipes we put the gasket is being used in every pipes. There is another aspect to it. Plus we are looking at other products that we can make with the same machinery so we are on the drawing board how to maximize this. In terms of valves as I mentioned sir, Euro 40 million is already the turnover and we are expecting 15% growth in this year-on-year.

Rajesh Bhandari: Yes, so will they give in India now or will you start in India now?

Page 19 of 19 Madhav Kejriwal: Sir, they are already supplying in some particular markets in India but they are supplying from

Italy. So, as I mentioned, this is a product which is not manufactured in India at all. A lot of what they manufacture, some of it is a lot of what they manufacture and specialize in is not made in India. So, our whole idea behind this acquisition is to gain the know-how and the production strength from them and then replicate that at a cost effective level at India and not only manufacture in India for India but also export from here.

Rajesh Bhandari: Yes, of course, that will be a big gain Sir.

Madhav Kejriwal: Absolutely. We have retained the entire team and the gentleman who was the promoter of TIS, he has come on board to head the entire valve unit for us. So, it's going to be a very interesting exercise and a very promising one.

Rajesh Bhandari: In fact, there is a lot of demand for such valves in India.

Madhav Kejriwal: They are all imported.

Rajesh Bhandari: Yes Sir, if they start being manufactured here, then in fact your gasket will be in that too.

Madhav Kejriwal: Yes Sir.

Rajesh Bhandari: Thank you very much.

Madhav Kejriwal: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Thank you and over to you, sir.

Madhav Kejriwal: Thank you all for dedicating your valuable time and engaging with us during the concall. I want to reaffirm that the company is not only expanding, but also preserving the robustness of its balance sheet. Moreover, it is strategically poised to capitalize on the increased domestic and global investments in water infrastructure. Should you have any questions, please reach out to E&Y, our Investor Relations Consultants. Thank you.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Electrosteel Castings Limited, that concludes this conference. We thank you for joining us and you may now

disconnect your lines. Thank you.

Call: Nov 2025

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14 November , 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 10 November , 2025 for uploading audio link of the Conference Call held on Monday 10 November , 2025 at 4.00 pm IST, to discuss Q 2 & H1 FY26 Earnings of the Company.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of the transcript of the said call with the Investors.

Please find below the li nk of the transcript of the said call that has been uploaded on the website of the Company - <https://www.electrosteel.com/document/Transcript-of-Investors-Concall-held-on-10-November-2025.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary
ICSI: A20387

Encl: as above

Page 1 of 17 Electrosteel Castings Limited
Q2 and H1 FY'26 Earnings Conference Call
November 10, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '26 Earnings Conference Call of Electrosteel Castings Limited.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then '0' on your

touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Hiral Keniya from EY LLP. Thank you, and over to you, sir.

Hiral Keniya: Thank you, Sagar. Good evening, everyone. On behalf of Electrosteel Casting Limited, I welcome you all to the company's Q2 and H1 FY '26 Earnings Con Call.

To discuss the performance of the company, we have with us from the management team, Mr. Madhav Kejriwal – Whole-Time Director; Mr. Sunil Katial – Whole-Time Director and CEO; Mr. Ashutosh Agarwal Whole-Time Director and CFO; and Mr. Gaurav Somani – General Manager, Finance.

Before we proceed with this call, I would like to draw your attention to the fact that today's discussion may contain forward-looking statements that are subject to various risks, uncertainties and other factors, which will be beyond management's control. We kindly request that you bear in mind that there may be uncertainties while interpreting such statements. We will now start the session with opening remarks from the management team. Afterwards, we will open the floor for interactive Q&A session.

I will now hand over the conference over to Mr. Madhav Kejriwal for his opening remarks. Thank you, and over to you, sir.

Madhav Kejriwal: Thank you, Mr. Hiral. A very good afternoon to all. Thank you for joining us. The environment over the past few quarters for the Ductile Iron pipe industry has been challenging, and this quarter reflects the same. The Ductile Iron pipe segment continues to face demand slowdown due to delays in government spending. Consequently, production levels have been moderated, costs have increased and there's a downward pressure on pricing. Collectively, these factors have impacted profitability and created a challenging operating environment.

Page 2 of 17 That said, despite these headwinds, our other business segments such as Cast Iron pipes, ferroalloys

, DI fittings and exports, along with the higher other income have supported the overall performance. Our Balance Sheet continues to remain strong, underscoring the Company's inherent financial resilience. We are certain that the current phase is a temporary adjustment rather than a structural shift. The sector fundamentals remain strong, and we are optimistic about the medium- to long-term outlook. The nation's development vision is deeply linked with the creation of robust infrastructure, and we see the Government's continued commitment to expanding drinking water and sewage networks as a major driver for growth. With this, I would like to hand over to Mr. Sunil Katial.

Sunil Katial: Good afternoon to all. The extension of the Jal Jeevan Mission to 2028, coupled with the expected demand from river interlinking projects, irrigation through pipe networks and the replacement and maintenance work, which is coming for the old pipelines and all that underpins our confidence in the long-term growth trajectory of the sector but the pace of recovery may take a quarter or two at the most as it looks.

We anticipate a strong rebound beginning in calendar year 2026. Additionally, I am pleased to share that following our acquisition of the T.I.S valve business in Europe, we are progressing with plans to integrate valves into our product portfolio, overseas as well as in India.

To conclude, while the challenges we face are transitional, the opportunities ahead are transformational with robust demand drivers, government initiatives gaining momentum and our expanded product portfolio, we are confident that Electrosteel Castings is well-positioned to deliver sustainable growth and create long-term value to all our stakeholders. Thank you, and we are looking forward for sharing more details as we proceed.

With this, I would like to hand over the floor to Mr. Ashutosh Agarwal, our Whole-Time Director and CFO, for taking you through the financial highlights.

Ashutosh Agarwal: Thank you, Katial Ji and Madhav Ji. Good afternoon, and warm welcome to all the investors joining for this call.

Sales volume of DI pipe, fittings and CI pipe during the quarter stood to 1.39 lakh tons, down by 28% year-on-year, which impacted the overall financial performance of the company as intimated by Madhav Ji and Katial Ji. For the half year, sales volume was 3.02 lakh tons, a 25% decline compared to H1 of 2025. Decline in volume was primarily due to slowdown in the domestic market. However, export market volume grew by 8% year-on-year partially offsetting the weakness in domestic demand and providing support to overall business performance.

During the quarter, other income include provision written back to the extent of INR 64 crores following the settlement of Entry Tax matter of West Bengal government, which was a onetime Page 3 of 17 payment only. This provision has been created in the books during the FY 2013 - 2018 and the following settlement, it was no longer required. The reversal also resulted in a corresponding reversal deferred tax amounting to INR 21 crores. Net debt at a stand-alone level stood INR 1,626 crores. The utilization increased by around INR 230 crores compared to June 2025 mainly due to cash outflow relating to acquisition of valve company and other business requirements. Interest cost more or less remained stable in spite of high utilization, supported by lower borrowing cost.

Now I will take you through consolidated financial results for Q2 FY 2026. The total income

stood to INR 1,491 crores lower year-on-year, primarily due to reduced sales volume. EBITDA, including other income stood to INR 188 crores with a EBITDA margin of 12.6%. EBITDA excluding provision of write-back of INR 64 crores as intimated to you earlier in this statement stood to INR 124 crores. PAT was at INR 78 crores, translating to PAT margin of 5.3%. Now I am highlighting our consolidated performance of H1 FY2025-'26. Total

Income stood to

INR 3,077 crores EBITDA was INR 386 crores with an EBITDA margin of 12.6%. EBITDA excluding write-back stood to INR 322 crores and PAT reported to INR 167 crores.

Moving to stand-alone results of this quarter. Total income stood to INR 1,283 crores lower year-on-year due to reduce in sales volume as intimated by Madhav Ji. EBITDA was INR 174 crores with an EBITDA margin of 13.5%. EBITDA excluding the provision written back of INR 64 crores stood to INR 110 crores. PAT stood to INR 76 crores, translating to PAT margin of 5.9%. Now I am highlighting our stand-alone performance of H1 FY26. Total income stood to INR 2,709 crores. EBITDA was INR 360 crores with an EBITDA margin of 13.3%. EBITDA excluding provision write-back stood to INR 296 crores. PAT reported to INR 162 crores.

With this, I would like to open the floor for the question and answers, if any. Thank you very much.

Moderator: Thank you. We will now begin with our questions and answers session. Our first question comes from the line of Pujan Shah from Molecule Ventures. Please go ahead.

Pujan Shah: Sir, my first question pertains to, so as we expect that the demand would be revived or rebound in starting calendar year '26. So just wanted to understand on your part, sir, what makes us so confident enough that the demand will rebound because like in last 12 to 15 months, the JJM has been slowed down, and we are witnessing challenge in terms of fund flow. So just wanted to understand your view.

Madhav Kejriwal: Sir, there is definitely work pending to be done, which is evidenced from the fact that there is adequate order book in the market. It is about whether that order book materializes to material getting dispatched. Now the level of activity that is taking place, if you see even in the news, Page 4 of 17 it's highlighted that the central government is working towards getting clarities on certain issues that have been shown that has been reported to them and they are doing this because they have a clear intention that they need to clarify these issues and continue with the project and implement whatever is remaining to be implemented. So this Jal Jeevan Mission is definitely something that is there at the center of the government's attention, and they want to move on with it and tick mark the complete box. So, for that to take place, they will have to allow the projects to finish, and that will require funding, and they are quite keen on that once they get clarity on certain issues that have been highlighted and reported to them through the local authorities and by the society and population in general.

Pujan Shah: Got it. So just wanted to understand the second thing is, so we have seen some key challenges also by the government and there was a key notification also mentioned by the government that there are some work has not been done as per the guided time lines. So, is that outcome has been considerable from by the government or it is still under purview by the government?

Madhav Kejriwal: Sir, there are multiple issues that have been highlighted to the government, one of which is non-timely completion of projects. So, in certain cases, that is a fact. Now some of the delays have happened due to funding constraints. Some delays have happened due to operations. Some delays have taken place due to administrative problems. So, it's kind of a mixed bag of a lot of things and the problem is that water being a state subject, the administration is very much distributed and diluted at the ground level. So, to accumulate and come to a conclusion for something like that takes time. And that is why they are taking a little longer than what it should to come to conclusions for the underperformance. Once that clarity is there, I'm very certain that things will restart. So, the long and short story is that they will take a little bit of time to come to conclusions of why certain delays or certain incorrect laying

and other such

problems have happened. But most definitely, corrective action and further implementation of the program will happen. If that was not in the interest of the center, then they would have probably not extended it with an enhanced budget. And they wouldn't be following up so aggressively to draw conclusions. It is because they can restart the process.

Pujan Shah: Got it, sir. My last question would be, so the government is representing that they have done a work of around 81% around of what they have been planned to commit it. So just wanted to understand on the ground reality, how much percentage of work has already been laid off or how much percentage of work has been done considered to what they have been stating out?

Madhav Kejriwal: Sir, functioning household TAP connection would be close to between 50% - 60%.

Pujan Shah: So still 40% of work needs to be done, than what is stated.

Madhav Kejriwal: I would say from the supply of pipe perspective, around 40% and from the work on ground perspective, probably 50% -55%.

Page 5 of 17 Moderator: Thank you . Our next question comes from the line of Sailesh Raja from B&K Securities. Please go ahead.

Sailesh Raja: Sir, there was an article in the Indian Express today mentioning that the central government, as you rightly pointed out that they have been taking actions against several officials and contractors across multiple states and union territories also following the complaints that they have received regarding the financial irregularities and the poor quality of work under the JJM. So, some states still they have not shared complete details with the central government. So do you think that once this review process is fully completed, then the government will resume, or they will accelerate fund deployment under this JJM program. You are confidently saying that from the beginning of the calendar year, the government will deploy the fund. So can you give clarity on this? What gives you the strong feel that it will start?

Madhav Kejriwal: Sir, based on the progress they have made so far and the further inquiries that they have shared with the states, that makes me feel that starting calendar year, they would have reached their conclusions and they will start opening up the funds. And as and when they do that, there's always a delay of 2, 3 months for it to show in your books, in your performance because there is the buildup of stocks and everything that's associated with it, like how when there's a slowdown, it took a quarter to take effect. So based on those movements that I see, I am fairly confident that starting next calendar year, things will start moving. Right now, there's a deadlock because of dissipation of information and scrutiny. Once that scrutiny comes to a conclusion, based on the conclusions of the scrutiny, maybe some states will start much faster. Some states will require further scrutiny. But definitely, it will start.

Sailesh Raja: Okay. Okay. Sir, can you give volume guidance in this year? And also if demand comes back, can we expect double-digit, in terms of kg I am asking. So in this quarter, it is around INR 6- 6.5 per Kg. Can we expect this is bottom? Or do you see further correction in next 2 quarters? And next year, with expected improvement in the demand, can we expect double-digit EBITDA per kg next year because there is an increased supply in the market. If you can please give clarity on this?

Madhav Kejriwal: Sir, starting next year, I think starting quarter 2 next year, we can start seeing a dramatic improvement in the production levels and also in the margins per ton. So definitely, I think a double-digit margin per ton is very much achievable starting Q2 next year. Q1, things will start moving. Q2, there will be a pickup.

Sailesh Raja: This is financial year, you are talking?

Madhav Kejriwal: Yes, sir. First quarter 4 this FY and then quarter 1, quarter 2 of next FY you will see

e an

incremental improvement as per our assessment.

Page 6 of 17 Sailesh Raja: Okay. So what is the total volume you are expecting this year?

Sunil Katial: This year, possibly, it could be 550,000 around that.

Sailesh Raja: Okay. Okay. Sir, what about the next year, sir? How much you are expecting with whatever that you are saying that it will come back? So in that case, what could be the number for the next year?

Sunil Katial: Next year, as of now, we are thinking that we should get to possibly between INR 8-8.5 lakhs MT, in that range.

Sailesh Raja: Okay. Great, sir. Sir, what is the CAPEX plan we have, sir, this year and next year?

Sunil Katial: For this year, predominantly, we are focusing on sustenance CAPEX like at Srikalahasthi, we are rebuilding one of our battery. And apart from that, the major focus is definitely on, I mean, sustenance-based Capex. Figure, it may be difficult for me, but possibly around INR 300 crores or so, everything put together.

Madhav Kejriwal: This would include minor debottlenecking capital expenditures as well. So a mix of maintenance and debottlenecking. There is no major CAPEX per se that is planned for this financial year or the next.

Moderator: Thank you. Our next question comes from the line of Rudraksh Raheja from Ithought Financial Consulting. Please go ahead.

Rudraksh Raheja: Sir, could you throw more light on the gross margin expansion in H1 FY '26? We have seen some revenue contraction, but gross margins have expanded.

Gaurav Somani: Yes. So gross margins was around 48% for the first half. It has been more in line with what it was last year because the prices of the products have come down, but also at the same time, raw material prices have also come down. And hence, gross margins have been intact. Revenue has come down, yes, because what we said, as we mentioned, the volumes were lower. So revenue got impacted during the first half.

Rudraksh Raheja: Got it, sir. And sir, the other income component is higher in H1 of FY '26. Could you provide more details on that?

Ashutosh Agarwal: Other income increase is just because of reversal of our previous liability, which I have said in my opening remarks on account of this Entry Tax matter. Entry tax matter got resolved, and there was a case going on with the government of West Bengal, INR 64 crores amount has been reversed. That is why the other income has increased in the P&L.

Page 7 of 17 Rudraksh Raheja: Got it, sir. The employee expenses, I am assuming that since we have added some capacities

since last year, so employee expenses have increased in line with that. So going forward, do

we see this INR 150 - 160 crores as the quarterly rate? Or do we expect more increase in employee expenses?

Madhav Kejriwal: There might be a marginal increase in the employee expenses as we expand our business in the valves product portfolio. In fact, this increment is largely related to that portion. So there will be a marginal increase, but it will not be substantial enough really. It might be that it goes to INR 165 crores or something like that.

Rudraksh Raheja: Understood, sir. I think I may have missed on the volumes part. You said you were expecting around INR 5.5 lakh tons in FY '26.

Madhav Kejriwal: Between INR 5.5- 6 lakh, somewhere between that.

Rudraksh Raheja: Yes. And how much have we done in the first half?

Madhav Kejriwal: 2.7 lakh tons

Rudraksh Raheja: Okay. Understood, sir. And sir, do we have like a sustainable maintenance CAPEX that we have to incur every year? Let's say, we are not expanding in any year, but still we have to incur some maintenance CAPEX. Do we have a number for that?

Sunil Katial: No. In fact, we have a broad plan for next 3-4 years. We have planned that possibly it could be around, say, INR 500 crores for next 4 years.

Rudraksh Raheja: And any kind of capacity addition would be over and above this INR 500 crores?

Rudraksh Raheja: Yes, please. This is

, as already clarified, it is predominantly for sustenance and some component of that is for debottlenecking only.

Moderator: Thank you. Our next question comes from the line of Deepesh Agarwal from ICICI Prudential AMC. Please go ahead.

Deepesh Agarwal: I can see there is a dramatic increase in your overall cash and bank balances on a consolidated basis, we have gone up by more than INR 400 crores. So, is this on the back of the subsidiaries or anything else?

Gaurav Somani: So, there were some fixed deposits, which as per Ind AS, beyond 12 months were clubbed in other Non-current assets, which are now supposed to get matured and hence, has been transferred to Current assets. So, it was always there in the books.

Page 8 of 17 Deepesh Agarwal: All right. Where is our current capacity standing? I think we had plans to scale up to 1 million tons by the end of this year. So where are we standing? And are there any plans to incur any more capacity addition?

Madhav Kejriwal: So, we were looking at the capacity expansion of 950,000 to 1 million tons. At the moment, our installed capacity remains at 850,000 tons, and we are hoping to get to 90%, 95% of that figure next financial year. Due to the slowdown in the domestic market, this financial year, we have had to moderate our tonnages. As mentioned, we will be getting somewhere between 5.5 lakh - 6 lakh tons. As for the CAPEX for the expansion from 850,000 - 950,000 tons, at the moment, we have kept it on hold till there is a cleanup of inventory and pickup of capacity to 850,000 tons. And after that, we shall take a decision.

Deepesh Agarwal: Right. Just a couple more questions. During previous calls also, I think you have highlighted that in order to reduce the dependency on JJM and expand more revenue streams, there were certain other investments being done in terms of gaskets, in terms of the acquisitions and even the subsidiary we had and even acquisition we made in Vietnam. So any update on or any progress that has been made in all of these areas?

Madhav Kejriwal: So acquisition in Singapore, I think you mean?

Deepesh Agarwal: I mean the Singardo . Yes, at Singapore, yes.

Madhav Kejriwal: Yes. So sir, Singardo , we have seen positive results for the quarter and half yearly. There is a slow increase in the other product portfolio within Singardo, where we are seeing that almost 40%- 45% of its revenue is coming from other items that we are buying and selling over there for the water and gas companies.

As for T.I.S, it has only been merged. It has been 2 months. We are very much deep into the integration process. And I think by the end of this FY, we will be pretty much in tune with them. And there are aggressive expansion plans that have been put in place for that. Of course, once they are concrete, we will be able to share them exactly with you. But definitely, these 2 factors are going to play especially the valve is going to play a big role in diversifying our portfolio, both geographic and customer base.

Moderator: Thank you. The next question comes from the line of Rajesh Agarwal from Moneyore. Please go ahead.

Rajesh Agarwal: Sir, out of the pending order of 6 - 7 months, how much is government order of Jal Jeevan and private orders? Can you quantify that?

Madhav Kejriwal: A round 60% would be JJM. If you include domestic, it will be around 50% - 55%. And the rest is non-JJM and export.

Page 9 of 17 Rajesh Agarwal: Okay. So we will continue to getting how is the traction in non-JJM orders that is good for this balance 40%?

Madhav Kejriwal: So that is -- even Amrut at the moment is a little slow, slower than the pace that it had at the beginning, but it's not poor in the sense that it's not on hold like it is with JJM. But irrigation has picked up quite well. And at the moment, the entire industry is largely operating on

irrigation and a fair bit of Amrut.

Rajesh Agarwal: Is the traction in irrigation orders?
Madhav

Kejriwal: Good, decent traction in irrigation, please.

Rajesh Agarwal: Okay. And sir, my next question is that Indus Water, whatever is the government is moving very fast that project DPR reports and everything has been called. So can that be a big opportunity for us?

Madhav Kejriwal: I'm sorry, you weren't very clear which water?

Rajesh Agarwal: Indus Water treaty, which was scrapped. I think government is moving fast, they are called for a DPR and all. In fact, the next 6 months, they will be started allocating orders. So whether that is a good opportunity for sir, big opportunity for us?

Madhav Kejriwal: Sir, it will be a good opportunity, no doubt. I mean, the River Link project as a whole, this will be a similar nature project as the River Link. It will be a diversion of huge volumes of water. So this, along with the River Link seems like a good opportunity. Of course, the initial movement or divergence of the route is done through canal. But then all the distributaries of that, which go into irrigation and drinking water will use piped. So with a slight delay, there will be good opportunity coming up from that.

Rajesh Agarwal: And the government was saying the Naxalite areas which have been cleared, that also is a good area of opportunity for irrigation if the work starts there?

Madhav Kejriwal: That actually is something that is going to probably fructify even before the River link.

Rajesh Agarwal: River Linking, Okay. Sir, our payments also got stuck with the EPC contractors?

Madhav Kejriwal: A little bit, sir. There is a slight increase, although we have been very disciplined about it. So, it's not shot up too much. But there have been delays through the EPC contractors. A couple of major delays had happened with the government departments, but that is slowly clearing up now.

Page 10 of 17 Rajesh Agarwal: Sir, what I heard from the other players, there are a lot of orders pending in the system, old orders, not the new. The payment for that has not been released. So people are going slow on that order.

Madhav Kejriwal: So, as I was mentioning earlier in this call, there is no dearth of order. It's the dearth of dispatchability of that order because of the stoppage of the fund.

Rajesh Agarwal: So, any particular reason for stoppage of funds because this year also government has spent only 4% of the allocated in the budget. Sir, any particular reason?

Madhav Kejriwal: They want to try and understand why there are certain delays and why there are certain complaints and reports that have gone to them, which are negative in nature. And only it is like a check-back mechanism, sir. So, they are trying to course correct before it gets too late. So there is a temporary slowdown or temporary shutdown for that reason.

Rajesh Agarwal: And sir, one question, whether a lot of hydroelectricity projects will come in Brahmaputra and whether that also are opportunities for us?

Madhav Kejriwal: I am sorry, sir, many what projects?

Rajesh Agarwal: A lot of hydroelectricity projects will be also coming in.

Madhav Kejriwal: Sir that will give a slight push to our pipe business, but it will give a very good push to our valve business.

Rajesh Agarwal: And sir, now there are 2 bookkeeping questions. Whether this quarter, the acquisition which we have done, it includes the revenue for that acquisition, i.e the Italian acquisition?

Ashutosh Agarwal: 2 months revenue.

Rajesh Agarwal: That is how much, sir?

Ashutosh Agarwal: That is INR 55 crores.

Rajesh Agarwal: Okay. And that EBITDA level, we are breaking even, we-are making money?

Ashutosh Agarwal: Yes, it is more than breakeven.

Rajesh Agarwal: More than breakeven. So that business has the opportunity to scale up?

Ashutosh Agarwal: Definitely, yes.

Page 11 of 17 Rajesh Agarwal: Okay. And sir, last question, when you said INR 60 crores was the other income extra for the entry tax, and you said below what is the net effect? I want to understand

the net effect on
other income.

Ashutosh Agarwal: Basically, INR 64 crores is on account of our entry tax there was some income on account of FD interest. On the fund we got from the railway department, we got the income on the FD. And some INR 6 crores refund we got from the department that is also included there.

Rajesh Agarwal: Okay. So, the net effect is how much? That is what I wanted.

Ashutosh Agarwal: Net effect is around INR 65 crores.

Rajesh Agarwal: INR 65 crores is extra other income.

Ashutosh Agarwal: No, the interest on FD is not extra other income. It is a regular income since last 2 years.

Moderator: Thank you. Our next question comes from the line of Saket Kapoor from Kapoor Company.

Please go ahead.

Saket Kapoor: Sir, on the receivable front, are we also facing any issue or those payments are in line with the

deliveries that have been done as on date?

Madhav Kejriwal: Sir, there is no issue in regard to the realization of the receivables. There are certain delays that are there, but they're all backed financially by BGs, LCs, etc. Our clean credit exposure is less than 1%, so that is practically nothing.

Saket Kapoor: And what should be that amount, sir, where we have this underlying BG and all, how much should be the receivable?

Ashutosh Agarwal: Almost 100%.

Madhav Kejriwal: So 99-point-something percent of our receivable today is against BG or LCs.

Saket Kapoor: Okay. Sir, any update on the coal compensation part, I think so lastly, there was one asset that was valued. And so any follow-up on the same? What's the currently the road map for the same?

Madhav Kejriwal: Sir, there are some clarities that have been requested for by the allottee JSW. So, we have submitted our answers against all those clarities. And we are hopeful that within this financial year, we will get some at least on the asset which has been valued, at least we should see further work.

Saket Kapoor: And pending revaluation and how are things progressing there?

Page 12 of 17 Madhav Kejriwal: So that will happen one after the other. They have cleared a very big chunk. Out of our INR 1,200 crores, I think we had received around INR 80 crores something earlier, and this is around INR 500 crores. So, half of it has been cleared up. Now once this is cleared, then they will start working on the other aspects and then we will see where we get to.

Saket Kapoor: Okay. Sir, in the cash flow, we have made a payment of INR 120 crs for business acquisition. So this is pertaining to this valve company only that we have paid?

Madhav Kejriwal: Yes, please.

Saket Kapoor: Okay. And when will we start seeing the revenue and how have we outlined the business that we are envisaging going ahead for the remaining part of the year?

Madhav Kejriwal: So, sir, since it is only been 2 months since we merged, and it's a same industry but very different products. So, this particular year, we will probably see a similar performance as it had last financial year, which is approximately EUR 37-38 million revenue with profit margins of around 8% to 10%. I am talking about profit margin, not EBITDA, EBITDA is around 15%, 16%. And then starting next year, once the integration process is done, we should see good jumps. What those jumps will be, sir, I will only be able to tell you maybe in the next financial year itself, maybe quarter 4.

Saket Kapoor: Sir, total cost of acquisition is INR 120 only, we have paid the entire money.

Ashutosh Agarwal: Yes.

Moderator: Thank you. Our next question comes from the line of Rajesh Bhandari from NAKODA Engineers. Please go ahead.

Rajesh Bhandari: One of the question, you had said that this year, it will be 5.5 lakh tons per annum. And next year, it will go to around 8.5 lakh tons. What makes you so confident, sir, that it will go to 8.5 lakh tons?

Madhav Kejriwal: Sir, next year, the demand situation, the current stop that has happened to the funding will open up. And we are

prepared to ramp up production from the capacity perspective. So, both these scenarios put together simply would lead to us feeling that we will be able to do it/

Rajesh Bhandari: We'll be able to even supply and realize the money, 8.5 lakh tons.

Madhav Kejriwal: I mean, sir, there is a quarter's delay usually that is there

Rajesh Bhandari: Yes, realization, yes, I know quarter delay. Sir, valves revenue you have per year, what is the revenue expected?

Page 13 of 17 Madhav Kejriwal: Sir, last year, the company did a revenue of around EUR 36 million, EUR 37 million, which is around INR 350 crores. This year, it will be- we might see a 10% growth on that. Starting next year, from our current estimates, there should be decent growth. To give you an exact number, sir, it will be incorrect at the moment because we've only started integrating. So if you allow us a little more time, we'll be able to give you more concrete numbers as per our plans for valves.

Rajesh Bhandari: INR 350 crores sir what you are saying, that is for India as well as outside?

Madhav Kejriwal: Sir, INR 350 crores is largely outside. The company's presence in India is negligible at this point.

Rajesh Bhandari: By when can we expect them to become active in India as well?

Madhav Kejriwal : Sir, next year, manufacturing setup and all the approvals and everything is already in process. And from next financial year, we will start selling in India, Middle East and a little bit in Southeast Asia as well. So these are the 3 main markets, which we will open up for the T.I.S valve business. At the moment, they largely operate within Europe.

Rajesh Bhandari: Next 5- 7 years, what is the future prospects, sir?

Madhav Kejriwal : For this product?

Rajesh Bhandari: No, not for this product only, this product as well as our DI pipes.

Madhav Kejriwal : Sir, we are fairly certain that going forward, growth in valves, our focus towards improving efficiencies and operating at full capacity. The package that we will offer to our customers having valves, fittings and pipes, there is definitely a USP in that.

Rajesh Bhandari: Yes, you will have an edge over others, no doubt about it.

Madhav Kejriwal : And we are already starting to see sentimentally at least that play a little bit in Europe. We participated in multiple water expos and exhibitions. And the feedback from the customers are very, very positive. They already have a good impression of Electrosteel and seeing that we will be able to cater to their need for valves, which is a very critical aspect, albeit in terms of value terms, it is small, but in terms of criticality, it is very high.

Rajesh Bhandari: Yes, yes. Correct, sir.

Madhav Kejriwal : So all products coming from the same supplier gives them a lot of confidence, and we are confident that we can use this to gain an edge over our competition.

Rajesh Bhandari: Yes, that is surely going to happen because not any party in India at least has DI pipe and also valves.

Page 14 of 17 Madhav Kejriwal : Right, sir.

Rajesh Bhandari: Sir, when can we expect to achieve that INR 150 crore quarterly profit?

Madhav Kejriwal: Sorry, sir INR 150 crore?

Rajesh Bhandari: Our net profit, which was normally around INR 150 crore per quarter, has now dropped significantly. When will we be able to get back to that level, sir?

Madhav Kejriwal : Sir, I think Q2 next FY, we should start seeing numbers close to that.

Rajesh Bhandari: Okay. You mean to say around Q2 FY '27?

Madhav Kejriwal : Yes.

Rajesh Bhandari: There is one last question.

Madhav Kejriwal : You will see pickup from Q1 FY27.

Rajesh Bhandari: I know, I know. Yes, yes. Sir, Blackrock Still they are the shareholders?

Rajesh Bhandari: Okay. With the same level?

Ashutosh Agarwal: Almost same level.

Moderator: Thank you. Our next question comes from the line of Vipul Kumar Shah from Sumangal Investments. Please go ahead.

Vipul Kumar Shah: So my question pertains to this coal

block compensation. So there is a figure of INR 498 crores mentioned, which has been approved. So when is it likely to flow? And is this the final verdict? Or are we going to appeal this?

Madhav Kejriwal : This is the valuation for one particular asset, which had not been valued so far. It is close to our estimate as well. This probably it would be incorrect for me to give any sort of deduction on when we can realize it, but there is active persuasion from the side of the new allottee and also the ministry. So hopefully, within this financial year, sorry, we should see this work out.

Vipul Kumar Shah: But if this is not challenged in the higher court, then naturally, that money should accrue in reasonable time. Is that understanding correct, sir?

Madhav Kejriwal : Yes, please.

Vipul Kumar Shah: So, you said this is valuation of one asset. So how many more assets are remaining to be valued, sir?

Page 15 of 17 Madhav Kejriwal : So, there are two more big assets and then a plethora of smaller assets.

Vipul Kumar Shah: So, 2 more are likely to be valued or total two are there and one is valued?

Madhav Kejriwal : Two more are to be valued.

Vipul Kumar Shah: Okay. And sir, my last question is regards, your capacity on your presentation, Slide 5, it is mentioned that your capacity is 10,11,000 tons and whereas somewhere in the call, you mentioned that our capacity is 850,000 tons. So, what I'm missing?

Madhav Kejriwal : That is an accumulation of all our products. This is the DI pipes, then we have another 50,000 tons of CI pipes, then we have 25,000 tons of DI fittings.

Vipul Kumar Shah: Okay. 8,50,000 tons is only for DI, right?

Madhav Kejriwal : 8,50,000 tons is only for DI, sir.

Vipul Kumar Shah: So right now, if we split our revenue between different products, what should be the percentages, sir, roughly?

Gaurav Somani : DI pipe would be the highest chunk, which will be around 75%-80%

Vipul Kumar Shah: 85%?

Gaurav Somani : 75% - 80% will be DI pipes.

Vipul Kumar Shah : Okay.

Gaurav Somani : And DI fittings would be around 5% DI pipe, CI pipes also 5%, so these are the main items.

Moderator: Thank you. Our next follow-up question comes from the line of Rudraksh Raheja from Ithought Financial Consulting. Please go ahead.

Rudraksh Raheja: Sir, you mentioned that government is like course correcting because of a lot of complaints and everything. Is there any pattern like are these complaints pertaining to a specific product segment or some region is affected or some kind of players or products are affected, like just to get a sense on what kind of problem we are looking at?

Madhav Kejriwal : There is no pattern per se. There are 3 main, I would say, topics of issues. One is the incorrect physical implementation of the pipelines, financial mismanagement and quality of water problems. So, these are largely what you see as the topics of discussion. There is no specific product or specific contractor or specific state department issue per se. I mean, there are talks about UP having certain irregularities. But across the board, you're seeing that actually.

Page 16 of 17 Rudraksh Raheja: Got it, sir. Sir, you mentioned something about that. We are holding off currently on the 1 lakh

ton expansion in the DI pipes. As and when we decide that we are going for it, how much time would it take to install that capacity?

Madhav Kejriwal : I think it will take around 6 to 8 months for the capacity to get added another 3 months, you can say, 1 year or so.

Rudraksh Raheja: And the amount of CAPEX that would be required for this?

Madhav Kejriwal : Around INR 60 crores.

Rudraksh Raheja: Understood, sir. A broad idea on our international business, like we have acquired this plant in Italy. Like do we have a number in our mind that we want to achieve. I'm not talking about next year, let's say, in 3 to 5 years, some kind of target with respect to our international revenues that we have, the share

of international revenues in our broader revenue mix, something along those lines that we are thinking.

Madhav Kejriwal : I think, sir, I will be equipped to answer that question to you by the end of this financial year when we are doubly, triply certain about the potential of the market. Today, any number I will give you will be based on an educated guess and without backup of a floor plan. So, it won't be correct for me to share that with you.

Rudraksh Raheja: Got it, sir. Fair enough. And when we say that acquiring this valves manufacturing plant, we can integrate that what we are supplying in India like with DI pipes, we can add valves and all of that. Does that mean that valves would be manufactured in Italy and we'll take that from that plant and then sell in India? Or will we install a new plant in India for manufacturing that?

Madhav Kejriwal : We are going to install a new plant in India as well. That plant will continue to cater largely to that geography itself. Some of the products that they make are very high-value, low-volume products and very specialized so that today in India is imported entirely. So, for that product, we continue to purchase from Italy and sell in India. But apart from that, the other day-to-day products that they are making, we will start manufacturing in India. In fact, we would like to manufacture in India and export them.

Rudraksh Raheja: Got it, sir. And just the last question, if I can squeeze in. You said that last year, this Italian business did around INR 350 crores of revenues. What was the utilization of the plant at those levels?

Madhav Kejriwal : Sir, I would say around, 70% -75%.

Moderator: Thank you. Our next question comes from the line of Hari Kumar S, an investor. Please go ahead.

Page 17 of 17 Hari Kumar S: Only 1 question. Regarding the international market, is there a total lack of demand or you are very highly competitive because we are not getting more orders which we are getting earlier?

Madhav Kejriwal : Sorry, sir, your question was not very clear. Regarding the international market.

Hari Kumar S: Is there a total lack of demand or there is more competitive intensity because we are not getting more export orders, which we are getting earlier?

Madhav Kejriwal : You mean our interest in the international market?

Hari Kumar S: Yes, sir. Regarding the DI pipes.

Madhav Kejriwal : We have always been a company which has hedged its business geographically across the board. Historically, also, Electrosteel has exported more than what the rest of the industry as a whole exports and it remains so. A slowdown in the domestic market has allowed us to get a little more aggressive and soften the blow of the slowdown over here, I would say. So that's what it is.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to the management from Electrosteel Castings Limited for closing comments.

Madhav Kejriwal : Thank you, everyone, for joining us today and your continued trust in our company. We remain committed to driving sustainable growth, strengthening our balance sheet and creating long-term value for all our shareholders. We appreciate your support and look forward to updating you on our progress in the coming quarters. Good day.

Sunil Katial: Thank you, everybody.

Moderator: On behalf of Electrosteel Castings Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

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10 February , 202 6

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 06 February , 2026 for uploading audio link of the Conference Call held on Friday 06 February , 202 6 at 4.00 pm IST, to discuss Q 3 & 9M FY26 Earnings of the Company.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of the transcript of the said call with the Investors.

Please find below the link of the transcript of the said call that has been uploaded on the website of the Company - Transcript -of-Investors -Concall -held-on-06-February -2026.pdf

This is for your information and records.

Thanking you,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary
ICSI: A20387

Encl: as above

Page 1 of 16 Electrosteel Castings Limited
Q3 & 9M FY 2026 Earnings Conference Call
February 06, 2026

Moderator: Ladies and gentlemen, good day, and welcome to Q3 and Nine Months FY 2026 Earnings Conference Call of Electrosteel Castings Limited.

As a reminder, all participant lines will be in the lesson-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hiral Keniya from EY LLP. Thank you, and over to you,

sir.

Hiral Keniya: Thank you, Iqra. Good evening, everyone. On behalf of Electrosteel Castings Limited, I welcome you all to the company's Q3 and Nine months FY 2026 earnings concall.

To discuss the performance of the company, we have with us from the Management Team, Mr. Madhav Kejriwal – Whole-Time Director; Mr. Sunil Katial – Whole-Time Director and CEO; Mr. Ashutosh Agarwal – Whole-Time Director and CFO; and Mr. Gaurav Somani – General Manager (Finance).

Before we proceed with this call, I would like to draw your attention to the fact that today's discussion may contain some forward-looking statements that are subject to various risks, uncertainties and other factors, which would be beyond Management's control. We kindly request you to bear in mind that there may be uncertainties while interpreting such statements.

We would now start the session with opening remarks from the Management Team.

Afterwards, we will open the floor for an interactive Q&A session.

I will now hand over the conference over to Mr. Sunil Katial for his opening remarks. Thank you, and over to you, sir.

Sunil Katial: Good afternoon, everyone, and thank you very much for joining us today. At the outset, I would like to mention that this is a period of resilience for the company as well as Ductile Iron Pipe sector, where we are navigating short-term challenges, which now gradually are getting better visibility on the road ahead.

Page 2 of 16 For the quarter, our sales volume of ductile iron, cast iron, fittings was down by 3.5% quarter-on-quarter basis and realizations also declined. Thus, it has impacted our top line, which was partly compensated by the sale of intermediary products such as cokes, sponge iron, pig iron and ferroalloys. I would like to share our perspective

on the current environment and how we are positioning ourselves going forward.

Over the past few quarters, the domestic water infrastructure sector has gone through a challenging phase, as all of you know. And this quarter also reflects that environment. Demand for Ductile Iron Pipes has remained subdued, largely due to temporary delays in Government spending under JJM at both central and state levels. Drinking water and urban infrastructure projects, which are closely linked to Government funding, saw much slower execution during this period. As a result, industry-wide production levels were impacted and also the pricing remained under pressure.

As mentioned in our earlier concall, I would like to emphasize that this slowdown appears to be temporary rather than structural. We all know that during the budget discussion when the Government has come out with whatever are their plans regarding the funds on JJM and all that. And definitely, the focus of the government remains, which definitely is bringing a better sentiment to the whole water infrastructure sector.

We are now seeing definitely some signs of improvement after that. Funds releases under these key water supply programs like AMRUT and JJM are just starting to resume in the remainder of this year. According to multiple recent reports, the Government of India has revised the Jal Jeevan Mission budget outlay for the current financial year 2025-2026 to approximately Rs. 17,000 crores in the revised estimate, which may be released before March 2026.

In the budget presented on 1st of February 2026, for the next year, Rs. 67,600 crores has been allocated against JJM. These developments reiterate our confidence that the recent slowdown was largely administrative and fiscal in nature and not due to any shift in policy intent at the government level. We expect demand conditions to improve gradually with a stronger rebound expected from now onwards.

Coming back to our performance:

Despite these headwinds, Electrosteel has managed its operations with disciplined prudence and a lot of focus on cost reductions. Our strong footing in the overseas market has helped us in strengthening our exports. Export volumes during the quarter was up 11% Q-o-Q basis. Our balance sheet remains strong, reflecting the company's financial resilience and conservative approach during these challenging times. Looking ahead, the long-term outlook for the water sector remains positive.

Page 3 of 16 India's structural drivers such as rapid urbanization, rising per capita water demand, climate resilient infrastructure needs, replacement of aging pipelines, interconnectivity of different rivers, etc. continue to be very strong. We are also eyeing for demand for pipes coming from river linking in coming few years. The Government's continued focus on improving safe drinking water to every household and strengthening sewage and water network supply supports sustained demand over the medium to long term.

So with this, I would like to hand over the floor to Mr. Ashutosh Agarwal – our Whole-Time Director and CFO, for taking you through the financial highlights. Thank you very much.

Ashutosh Agarwal: Thank you, Katialji. Good afternoon, everybody, for joining this call for Q3 and Nine months FY2026, results of Electrosteel Castings Limited. Some brief information on our agenda.

Sales volume of DI pipe, fittings, and CI pipe during this quarter stood to 1.34 lakh tonnes, down by 31% Y-o-Y basis, which impacted the financials of the company also. For Nine months, sales volume was 4.36 lakh tonnes, a 26% reduction as compared to corresponding period. The decline in volume was primarily due to slowdown in the domestic market. However, export piped volumes grew by 11% Y-o-Y basis, partially offsetting the weakness in domestic market and providing support to overall business performance. During the quarter, other income includes income and provision written

back to the extent of Rs. 28 crores received from South Eastern Railway on account of railways sidings.

On the standalone level, gross debt stood to Rs. 1,436 crores. This decreased by Rs. 455 crores from the previous quarter due to lower working capital requirement. Long-term debt stood to Rs. 406 crores and short-term debt stood to Rs. 1,030 crores. Net debt at a standalone level stood to Rs. 812 crores. During the quarter, arbitration award of Rs. 370 crores received by the company on account of wagon scheme with respect to South Eastern Railway, which was unencumbered and released to the company.

I will now take up to you consolidated basis the results for Q3FY26:

The total income stood to Rs. 1,526 crores, lower on year-on-year primarily due to reduced volume in the domestic market. EBITDA stood to Rs. 88 crores with an EBITDA margin of 5.8%. PAT was reported at a loss of Rs. 22 crores. This includes an exceptional item of provision made for Rs. 38 crores towards new labor laws. On the consolidated basis, the performance for nine months are as under. Total income stood to Rs. 4,602 crores, EBITDA Rs. 474 crores, and EBITDA margin 10.3%. PAT Rs. 145 crores and PAT margin 3.2%.

On a standalone basis for Q3FY26 results:

Total income stood to Rs. 1,290 crores, lower year-on-year by 23% due to the lower volume as stated earlier. EBITDA, including other income, stood to Rs. 83 crores with EBITDA margin of Page 4 of 16 6.4%. PAT reported loss of Rs. 20 crores. As stated earlier, Q3 and nine months FY26 results includes exceptional item on account of provision of Rs. 38 crores on account of new labor laws. Highlighting on standalone performance of nine months are as under. Total income more or less Rs. 4,000 crores, EBITDA Rs. 442 crores, EBITDA margin 11.1%, PAT reported to Rs. 142 crores.

With this, I would like to open the floor for question-and-answer session. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rajesh Agarwal from Moneyore. Please go ahead.

Rajesh Agarwal: Any idea how much the payment of JJM has been released in starting January because a lot of EPC contractors were saying they have received money and what is the pending amount?

Madhav Kejriwal: Good evening, this is Madhav. At the moment, the Rs. 17,000 crores has not yet been released. Whatever money EPC contractors are getting is from the side of the state government because the state governments had the budget prepared. They just could not go ahead with it because the central shares were not being released. Even as of now, the Rs. 17,000 crores is pending cabinet approval, which we are very optimistic that it should happen in the next four to five days or maybe one week at best. And after which the central share of Rs. 17,000 crores will be released.

Rajesh Agarwal: If both are released, then the complete money gets released by this year i.e by March 2026?

Madhav Kejriwal: Sir, so the Rs. 17,000 crores is the central share. There will be approximately a similar amount, you can say around 45%, I mean, central to state is about 50-50. So you will have around Rs. 34,000 crores spent this year as opposed to the initial budget, which was Rs. 67,000 crores by the central and another Rs. 60,000-67,000 crores by states. So there's a severe drop of almost Rs. 90,000 crores for this financial year in the total spending between state and center.

Rajesh Agarwal: Okay. So as soon as you feel that the amount gets released, will it result into fresh tendering or fresh orders?

Madhav Kejriwal: Most definitely, sir. I am quite sure that come Quarter 2 in the next Financial Year, things will start looking healthy again. Even the First Quarter of next Year, we are very sure that things will definitely be better off than Quarter 3 and Quarter 4 of this Financial Year, which I am pretty sure is going to be the lowest point for our oper

ations.

Rajesh Agarwal: Sir, third question. A lot of contractors were saying, because I heard them in the concall, once they get the money they will evaluate whether they want to take fresh orders or not. So what's your comment or view on that? Because they said they have burnt their fingers, the money is not coming. So they may evaluate if they have to take fresh orders or not.

Page 5 of 16 Madhav Kejriwal: Sir, it's a situation of once bitten, twice shy, I would say. And every businessman, sir, if they see

opportunity as much as they want, they will not be able to prevent themselves from stepping into it. At the moment, things are seeming very pessimistic. You must understand that the humans are very sentimentally driven like how the markets are. Logic does not always drive our decisions. But in the mid-to-long term, I am very certain that things will go back to being

normal.

Rajesh Agarwal: And sir, suppose the budget, which has been reduced, what you sold Rs. 90,000 crores now it has come to Rs. 17,000 crores. Now this has been extended up to 2028. Suppose we take the run rate of Rs. 60,000 crores for next two years, 2027 and 2028, you feel that is sufficient for us to complete pending projects?

Madhav Kejriwal: Sir, Rs. 60,000 crores would be central's share and another Rs. 60,000 crores, you can say, will come from the state. Although, from the current requirement, it seems that the states will have to provide a bit more because the outlay total is, I think, approximately Rs. 8.5-9 lakh crores to Rs. 9 lakh crores. The center has only allowed for another Rs. 1.6 odd lakh crores. So as against, I think, Rs. 2-2.5 lakh crores or Rs. 2.5 lakh crores that was needed. You can say that there will be a 40:60 or 35:65 split between the central and state going forward over the next two years.

Rajesh Agarwal: And sir, the corruption case and everything, that has been sorted out? There's a corruption case, the files are pending with the PM to release the money and that has all been sorted out?

Madhav Kejriwal: Yes, sir. I would look at the progress. If you see over the last three to five months, we have been hearing a lot of news about irregularities that have come up in JJM, which has caused the pause button to be pressed. Now they have come up with many, I would say, very prudent prerequisites to release of fund, which will make sure that this does not happen, including channelizing payments through the SPARSH platform directly to the contractor from the center rather than channelizing it through the accounts of the states. So this will allow for better control and for smoother operations.

Rajesh Agarwal: Sir, apart from JJM are you seeing traction in any other business, any other sector? A lot of DI pipe manufacturers are saying there are a lot of huge export orders for Middle East. So are we supplying to Middle East or not?

Madhav Kejriwal: Absolutely, sir. Around 40% of our exports are to the Middle East. In fact, we are the largest exporters into the Middle Eastern market, even if you take into consideration the Chinese. So Electrosteel as a company exports more into the Middle East than any other organization. Of course, there are indigenous manufacturers who are supplying more into the market than we are. But as exporters, we are the largest.

Rajesh Agarwal: And how is the realization there for export orders?

Page 6 of 16 Madhav Kejriwal: It would be with the current dulled down situation of the domestic market, it's marginally better, but usually, it's the same. Certain specific countries have more stringent requirements, so they allow you to derive a small premium. But overall, it would be similar to the domestic market, please.

Rajesh Agarwal: And sir, the last question, the realization was pressured due to demand or there's any other reason for the realization to be under pressure?

Madhav Kejriwal: It's just a demand-supply mismatch.

Rajesh Agarwal: Thank you. Best of lu

ck for the future.

Moderator: Thank you. The next question is from the line of Eshaan from Aakash Emprise. Please go ahead.

Eshaan Kulshreshtha: Thank you, sir, for the presentation. So, I could see that the gross profit have fallen by 1,222 basis points Y-o-Y. Can you share, like, can you throw some light on why it has fallen?

Madhav Kejriwal: So it's largely down to three things, please. One would be the reduction in the per tonne realization. Number two, would be the overall lower production levels due to muted demand.

And I would say number three, there has been some corrections even at the end of certain raw materials, which are stabilized, and that's why the overall revenue per unit has gone down. So it's mainly these three factors.

Katijji, if you'd like to add anything to that, please?

Sunil Katial: No, no. Fair enough. I think these are the major reasons. But the crux of this is a mismatch because of the manufacturing capability in the country and the demand going practically to around 50%. Because if we see overall, the JJM component in the total water requirement is close to 50%. And I mean, so far due to whatever anomalies have been found in the execution of water infrastructure projects, the funds against JJM have been put on a total hold so far. So it has reduced the demand so substantially, I think which has created a practically NSR collapse. And the stock swelled with every supplier. So everybody came under a cash crunch and a business issue. So definitely, these are the major reasons. But I think looking forward, now we are expecting now things should be really looking up.

Eshaan Kulshreshtha: Understood. Sir, do you expect the gross margin to get back to the similar levels of around 50% or something like, once the cycle gets stabilized?

Sunil Katial: Honestly speaking, we are thinking it will be somewhere midway. It's yet to be seen, I mean, it takes a bit of time because it will not immediately recover, it will gradually recover. It is for sure that it will have a correction, because at the moment, where the whole business proposition is there all around. This industry is in a very unstable type of zone. Practically, everybody is in business trouble. So we are expecting NSR definitely will improve, but it will take some time. It Page 7 of 16 will gradually start improving and possibly somewhere midway it will stabilize. It won't be to the level where it was one and a half years back or so, that's what we think.

Madhav Kejriwal: Just to add to that, please, we also are looking at a situation where, going forward, we will be

able to capitalize better on our product portfolio with the addition of Ductile Iron valves that we will be introducing in the domestic market. So I suppose we can be looking at a 30%, 35% gross margin number.

Eshaan Kulshreshtha: Okay, understood. All the best.

Moderator: Thank you. The next question is from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Good afternoon, sir. Sir, I wanted to know, the Budget that has been released plus the trade deals that we have had with Europe, UK, Australia and USA, will it have any positive impact on our business?

Madhav Kejriwal: Sir, I cannot commit exactly much, because the exact details have not yet come out. The European Union is a very big export market for us, but their process to materialize this deal is very long, because they have to get it approved at the commission level, at the union level, which takes a six months to a one year time period. So that might cause some delayed additions. It's difficult to quantify what will be the benefits because we are unaware of the details of what is being signed.

There have been some smaller things that are to benefit us, such as our trade deal with Oman, which will make us more competitive in that market. Similarly, with the U.S. market trade deal happening, I am hoping that our other products like fittings and

such will get a slight boost.

These are not going to make a substantial difference. But definitely, once we get more details, we will be able to identify opportunities. I am sure that we will work towards trying to take as much advantage of that as we can.

Rajesh Bhandari: And what's your opinion on the budget that's been presented, what benefit we could get?

Madhav Kejriwal: Sir, the biggest benefit with the current budget is that the Government wants to infuse capital in Jal Jeevan mission with full enthusiasm, so that's the most encouraging thing for us. Like our CEO sir mentioned, our 50% market used to come from JJM, but it is on a steady decline. And slowly it's starting to fizzle out and other markets like irrigation and river linking will take over. But the sudden full stop on the outflow of capital by the government was a big turning point for us as our performance shows on the financial front.

Rajesh Bhandari: What was the reason, why they had blocked the payments?

Page 8 of 16 Madhav Kejriwal: Officially, last year the JJM had finished. They had to extend it considering the progress that was done. But when they went into the details to see what work has happened, what has not happened, it had come to the manifest that there are a lot of irregularities in the implementation. Many places the faucet has been installed, but there is no pipe attached to it, it was kind of a sham fulfilment that was happening. Since the detailing needs to be done at the grass root level to understand the reality, so just to figure out the problems were how deep, it took them much time to figure it out. Our country is quite large, and water is a state matter, because of that it took a while for the government to put everything together.

Rajesh Bhandari: But now how will it be, because if payments are stopped for all then how would someone work?

Madhav Kejriwal: I do not think everything would stop. I believe the process that they have applied now, the payment should smoothen up.

Rajesh Bhandari: How much payment hold-up is there, sir?

Madhav Kejriwal: At the company level, I do not think there's so much of a problem because all our payments, majority, I would say, 95% of them are backed up by LCs or BGs. At the Government level towards the contractors, I would say approximately Rs. 30,000 crores-Rs. 35,000 crores is pending for the works. So I think with this Rs. 17,000 crores central share and Rs. 17,000 crores that will come from the state, all of this will get geared up. So we will start the next financial year on a fresh note.

Rajesh Bhandari: How much payment was pending for us, Rs. 500 crores-Rs. 1,000 crores?

Madhav Kejriwal: Exact figure, Gaurav, why do not you share the exact outstanding for domestic?

Gaurav Somani: Rajeshji, as Madhavji mentioned, we do not have much of outstanding on account of JJM. Most of our receivables, in fact, you can say all our receivables are either LC backed or Bank Guarantee backed. And we have received collections on time. So we do not have significant any outstanding on account of these.

Sunil Katial: So usually it is impacted for a business impact. The opportunity has been lost to do business. We have a loss there.

Rajesh Bhandari: Sir, the loss that has occurred, plus we also have an inventory of Rs. 220 crores.

Gaurav Somani: Sir, if you see, our debtors has reduced compared to previous quarter. Our inventory has reduced, our debtors too has reduced.

Rajesh Bhandari: But this Rs. 221 crores of inventory that's there, what about it?

Page 9 of 16 Ashutosh Agarwal: It is all inclusive, including pipes and everything.

Rajesh Bhandari: It shows changes in inventories of finished goods, stock in trade and process work.

Gaurav Somani: Sir, that inventory has been used to do the sale. This quarter production was less and sale was more. There was an inventory reduction this quarter.

Ashutosh Agarwal : From opening to closing.

Rajesh Bhan

dari: What is the order status now with us, for how many months?

Gaurav Somani: Our order book would be of around seven months.

Rajesh Bhandari: And what is the progress on valves, sir?

Madhav Kejriwal: Sir, valve is, I think the integration work between our team and their team has picked up quite well. We have also formed a small team over here for the domestic market. Our approval processes have started for the markets that TIS was not in, mainly it would be the Spanish, French, U.K. markets, and the Middle East and Indian markets. These are the places where we are seeing that we can contribute largely in. So, one is, we have an obstacle of approvals because of which there's a delay. We are in that stage right now, I think another three months to six months, and we would be able (Inaudible 0:32:01.6).

Rajesh Bhandari: Sir, how much turnover and value would we get?

Moderator: Rajesh sir, sorry to interrupt you, can you rejoin the queue for more questions?

Rajesh Bhandari: One last question. Is it permitted? Sir, valve business and future prospect as a shareholder, what can I expect from the company?

Madhav Kejriwal: Sir, currently, the turnover has seen a growth. They follow a calendar year, so if you look at the growth of revenue calendar year wise, we have seen an approximate 10% growth from the previous year's operations. So, I am assuming that with the synergy that will come after the approvals are in place for the other regions, as I mentioned, 15% to 18% growth rate year-on-year for the next three to four years is quite achievable.

Rajesh Bhandari: And the company's future prospects, as a shareholder? This is my last question.

Madhav Kejriwal: Sir, about company's future prospects, if you see our product portfolio and the market which it caters to, of water, it will always be there. As they say, the demand for water and alcohol is perennial. So, I am quite optimistic.

Rajesh Bhandari: Sir, but all the companies relating to this industry are all in loss.

Page 10 of 16 Madhav Kejriwal: Temporary slump, sir I suppose.

Rajesh Bhandari: Do you believe in the next six months it will cover up?

Madhav Kejriwal: I am quite certain.

Rajesh Bhandari: Okay, sir. Let's hope for the best.

Moderator: Thank you. The next question is from the line of Ujjain Shah from Molecule Ventures. Please go ahead.

Ujjain Shah: Thanks for the opportunity. Sir, just wanted to understand first of all is that last year we have seen the changes to JJM that was Rs. 17,000 crores flow has been done by the government and still the government is estimating the Rs. 67,000 crores. So is that a right understanding that the government has allocated a budget from Rs. 50,000 crores to Rs. 67,000 crores, or likewise that it is a historical state and the spending was done by the state government.

Sunil Katial: So, in fact, the basic understanding of Jal Jeevan Mission is that 50% by the state and 50% by the center. So earlier, it was that center was generally sending the funds first and then the state was accordingly apportioning equal amount and then executing the project. But thereafter, it has been found out that there were some diversions in these funds. That is why all these delays and last few months whatever happened, resulting into a non-issuance of the funds for JJM. So going forward, now the central government is saying that first state should come forward and give a plan and also show the allocation on their part, and then only the funds will be allocated by them. So they have put the onus on the states by issuing a circular to that extent. So in view of this last one month's development, whereby the government now is really trying to finalize all this, we are expecting that possibly the share of the states may go in excess of 50% in the times to come. So that's how it is looking like.

Ujjain Shah: Sir, just wanted to dig down deeper on this. So assuming that Rs. 60,000 crores has been allocated by the g

overnment, that justifies that half of will be spent by the state and half of will be spent by the central or this Rs. 67,000 crores will only spend by the central only?

Sunil Katial: No, equal amount. I am saying Rs. 67,000 crores is the central kitty, the states have to spend possibly more than Rs. 67,000 crores. So it will be Rs. 135,000 crores actually put together.

Ujjain Shah: Total. Okay. Got it. And sir, just wanted to understand right now, I understand the demand scenario, but wanted to understand also the supply constraint and supply side as well. So there is also one of the product which is the OPVC, which is saying that, that could replace the DI pipe. I understand that it is a very difficult task and tall task to shift from this product.

Page 11 of 16 But I am coming with the same question is, once there is so stringent things which will be going on and once the EPC players have a very stringent control on their spend, will the shift to that new pipe, which is called OPVC? The reason being that would be a cost control measure for EPC player and the cost benefit for them, or it is just a haywire, it won't happen this way.

Madhav Kejriwal: I would say that with the new requirements that are there to allocate funds for these projects, which include a long-term O&M period, the EPC contractors will prefer putting a ductile iron pipe which is proven in its durability and its strength over and above an OPVC pipe. If it was a dig, lay and forget kind of project, they might still go ahead with (Inaudible 0:38:46.)

Sunil Katial: And to clarify, I mean, apart from the longevity of service of ductile iron pipes, there is also an issue of microbiology and all that. Actually, the water quality, I mean, loss of micro plastics into the water, all these are under very, very strict, I mean, checkup from medical and hygiene point of view. So its not looking like that this sector really will be able to replace.

Madhav Kejriwal: I was mentioning that logics that are required to allow for the payments to go through smoothly, which include a stringent plan on O&M, operations and maintenance, metals towards ductile iron which usually have a lower lifespan and generally more fragile as a piping material.

Sunil Katial: I think connection has a serious problem. Actually, Mr. Madhav, in fact, is not in station. He's not in the office. He has joined from a remote place, and that's why we are sorry for these intermittent disturbances. I think we all want to address to your points. I mean we are all there, and he is also from an remote location, so we are sorry --

Ujjain Shah: No, no, that is perfectly fine, sir. Just last point coming to this is, considering the current realization, overproduction and everything is happening with us. So just wanted to understand when should we expect a normalization coming back going forward? And what are new strategies we have been keeping in mind considering the scenario which is happening right now?

Sunil Katial: Two points there. One, your first point first that we are expecting that now onwards actually gradually the rebounding of the situation should start. And as very rightly said, the whole of ductile iron pipe sector is in a bit of a problem. So it may take a bit of a time, maybe three, four months, that's what we are thinking. But the market sentiment has started already getting waves of positivity, not only from the budget declaration that the Government's focus remains, but also from all these European Union deals, USA agreements, that is creating a positive wave only. So it may take a bit of a time, maybe three to four months' time for things to really shape up back. That is one part.

And second is that we are definitely thinking that we should also have a diversification. So we should add to our product basket. So we are also trying to work towards adding more products
Page 12 of 16 to our kitty to bring a better stability to our overall bus

iness. In the times to come, I am very

sure that we will be able to give you more of information once we have finalized those.

Ujjain Shah: And sir, sorry but this is my last question. Just want to understand, is there a possibility just to want to get your view on OPVC because can we add as a product category in our portfolio, which will help ultimately the EPC players to selecting from one company and ultimately ultimate have a diverse product diversification. Is that a possibility we have been looking at it or we have been not looking currently?

Madhav Kejriwal: Sorry about my connection. So sir, there have been multiple times that we have studied the opportunity of getting into plastic pipes, but we firmly believe that for the applications or in the markets that we are, Ductile Iron pipes is the best material that can be used. So we believe that to get into a pipe product that would oppose our bread-and-butter product would not be the most feasible thing to do. If we had a network of retail businesses and we were already investing in the retail plastic pipe, then we could add this to our portfolio. But with our current line of work, it does not fall well into place. And we, as an organization, also do not believe that OPVC per se is a great alternative. It's very commercially viable up to a certain diameter, but that diameter constitutes a small percentage of our sales.

Ujjain Shah: Thank you. That's quite detailed sir. I will join back the queue.

Moderator: Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead.

Radha Agarwalla: Sir, regarding the coal block case, Rs. 250 crores was declared and your result block states that even this Rs. 250 crores has been challenged by JSW. That is on one hand. And on the other hand, I do understand that the soft costs are yet to be finalized, but considering everything Rs. 1,200 crores of assets is still sitting on your books. So given the scenario, how much of write-off do you think should be done in this financial year-end of these assets? And how much in reality are you expecting the compensation?

Madhav Kejriwal: Ma'am, I think it's a little early in the day to be answering that question. As you can see that there are some clear numbers that are coming out and these numbers are exactly what is reflected in our books. Of course, the person who has to pay will always try to delay the payments. So they are doing their part of what they can do, and we will have to do our part. Eventually, what will happen is difficult to predict, but all we can say at this moment is that whatever numbers that are reflected in our books of accounts is what, after multiple scrutinizes, is coming up by the Nominated Authority at the Ministry level also. So our numbers are definitely ones which are holding true and are in good faith.

Radha Agarwalla: The second question is in the nine months, as you highlighted that you have executed about 4.2 lakh tonnes of DI. So out of this how much of the payments have you received and how much is pending? And is there any pending of last year's receivables?

Page 13 of 16 Madhav Kejriwal: I couldn't quite get that question. Could you repeat that, Radha, please?

Radha Agarwalla: Yes. I am saying that in the nine months, you have executed about 4.2 lakh tonnes of DI Pipe. So out of this, what percentage of payments have you received? And how much is pending?

And is there any pending receivables for the last year's execution?

Madhav Kejriwal: Gaurav, apart from our subsidiary payments which sometimes run beyond 8-9 months, could you give an answer to how much is pending beyond nine months in the domestic market? I do not think it would be anything.

Gaurav Somani: Our debtors, ma'am, it's on time. And in fact, if you see, if you compare it from March end the number which was there, the debtors outstanding, it has reduced during the year. We are receiving collections on time and domestic

collections are around, say, 50 to 55 days cycle. So we do not have any outstandings which are overdue.

Radha Agarwalla: Okay. And going forward, sir, for fourth quarter, considering the scenario, you said that you are expecting to improve after three to four months only. Then how do you plan to execute?

Madhav Kejriwal: Ma'am, fourth quarter will be more of weathering the storm situation as we have in Quarter 3. So we will have to hold the fort for another couple of months till we are able to start seeing improvements, which I am very optimistic about starting April 2026.

Radha Agarwalla: Understood. So 50 - 55 days cycle only it is pending, I am assuming that --

Madhav Kejriwal: On the domestic side.

Radha Agarwalla: Yes, sir. On the domestic side. So I am assuming that at least for, till first quarter of FY 2026, all payments have been received. Is that sort of fair understanding, sir?

Madhav Kejriwal: Absolutely. Yes, please.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Sir, firstly, in terms of the Q4 deliverables, we will be in line of what we have done for Q3 as you have been telling just now we will be 1,34,000 that is the pipes and the fittings, which will be delivered for Q4 also or can we see any uptick?

Sunil Katial: Saketji, in Q4, by volume, it will be similar to Q3 only.

Saket Kapoor: Okay. Sir, in the opening remarks or during the interaction, sir, was mentioning about some portal through which now the entire EPC planning and all is done. Can you mention the name once again, its SPARSH portal or something, Madhavji you were mentioning?

Page 14 of 16 Madhav Kejriwal: That is not the planning part, sir. That is the payment of the central share to the contractor will

be done through the SPARSH portal, yes. SPARSH platform.

Saket Kapoor: Okay. So sir then taking that into account and since the funding is to be released by March 2026, I think so then the uptake should be better than what we are planning as of now. We are doing it in terms of our understanding that no money is to be received by March 2026. This is what our guidance for deliverables is according to that aspect only?

Madhav Kejriwal: Sir, cycle of demand is such, the government pays the contractor and then the contractor pays us. Now the mismatch that has happened is that because our payments are backed by LCs and BGs, the contractors had to pay us, but then they are not paid by the Government. So on the pretext of this pending payment is received, the contractors will start further work. So this is more of a relief from a pain for the contractors than a kick starter for demand on an immediate basis. Once this pain is relieved for them, then with the onset delay they will start. So I am assuming that, that is the reason why we are mentioning that the uptick will start from April and not within the fourth quarter.

Saket Kapoor: Okay. And sir, very categorically, you have mentioned that we have to weather the storm. So representing the promoter side, sir, what are the course correction exercise currently in the organization that you must be putting into implementation or in the programming stage so that we could be a much more efficient organization going ahead.

And sir, secondly, I think so there was some embargo over the promoter and our honorable CFO also for participation in the capital market. So that part of the story is now over, that period is over?

Madhav Kejriwal: Yes, please. That part is over.

Saket Kapoor: That part is over. So what I feel is that a message from the promoters would also be from -- in the point of the valuations at which currently our company market cap or enterprise value is a point of creating acquisition would have sufficed a lot of nerves for your investors if you are well below 50%.

Madhav Kejriwal: I would agree with that statement, sir. I cannot comment further to that than just saying that I would agr

ee to that and as for the strategy part, one bit of the strategy is what we did with the acquisition of the Italian company, which is a high-technology valve manufacturer. Although, it keeps us in the water industry, it opens up a broader portfolio, and this is disconnected to only the Ductile Iron Pipe business because valves are used regardless of the material of the pipeline, whether it's plastic, steel or ductile.

And this is also a high-technology company. So there is a very strong moat around its product line. As for other strategies, Mr. Katial had mentioned rightfully that we are looking at

Page 15 of 16 diversifying our portfolio, and we are working very diligently towards creating a strong organization for all our shareholders, which will be robust against such surges and dips in the

future.

Saket Kapoor: Ma'am, I will just conclude, ma'am. Everybody has got their fair share, ma'am. Allow me to conclude. Sir, when we look at the river linking project part of the story for the state of Rajasthan and Madhya Pradesh, there have been announcement regarding the order tendering and all. So have we seen anything on that front from the EPC players? And any portion of our order book is resembling about the demand from the river linking part of the story, sir?

Madhav Kejriwal: Sir, Ken-Betwa, which is between UP and MP are picking up faster than the one between Rajasthan and MP. But like I have mentioned in previous calls, I was a skeptic till 2 years back, but the last 1.5 years and 2 years, I have seen that things are really moving forward. Of course, a lot of things are still at project's DPR stage, but definitely, work is happening now on the ground slowly, and I am quite optimistic that this will play out. At least these 2, I am very optimistic on the UP and MP- Rajasthan projects.

Moderator: Thank you. The next question is from the line of Rajesh Agarwal from Moneyore. Please go ahead.

Rajesh Agarwal: Sir, what was the turnover in the calendar year for the valve company. Turnover and EBITDA margins?

Madhav Kejriwal: So taking everything in line, our turnover was approximately EUR 37.8 million. So you can say close to Rs. 400 crores, please.

Rajesh Agarwal: And the EBITDA margins?

Madhav Kejriwal: Gaurav, do you have the numbers immediately with you? If cannot remember, the color...

Gaurav Somani: It should be on the higher side of 12%, 13% approximately.

Moderator: The next question is from the line of Eshaan from Aakash Emprise.

Eshaan Kulshreshtha: So sir, I have one question regarding how much of the coverage in JJM has been done so far? Is like the portal is showing around 80%, so the actual number is 80% only --

Madhav Kejriwal: Sir, actual number will be close to 55%-60%, sir. Because - if you see the news, you will see that there is statements that around - 60% - 70% of 80% is functional. In fact, that even leads us to a lower number. So you can say around 50%- 55% is what is functional work that is done. For the rest of it, some infrastructure has been built, but those are not functional household tap connections. So they will require some more infrastructure building behind them.

Page 16 of 16 Eshaan Kulshreshtha: Okay. And - out of that, how much is Electrosteel expecting, like is it a substantial share, like

40%-45%?

Madhav Kejriwal: So sir, at the moment, around 20% of the domestic ductile iron market is our share. It fluctuates between 18% - 25% depending on how much we export. So that is the current expectation.

Eshaan Kulshreshtha: This is a domestic share that you have.

Ashutosh Agarwal: Yes.

Madhav Kejriwal: Yes.

Eshaan Kulshreshtha: Okay. And it is the largest share?

Madhav Kejriwal: I would say there are two to three players all with similar capacity, sir. So we all have similar market shares -- between 18% to 20%- 25% between 3 players and then everybody else has a 10% to 15% odd market share.

Moderator: Ladies and gentlemen, due to time constraints

, that was the last question. I would now like to

hand the conference over to the management from Electrosteel Castings Limited for the closing comments.

Sunil Katial: Thank you, everyone, for joining us today and for your continued trust in our company. We remain committed to driving sustainable growth, strengthening our balance sheet and creating long-term value for all of our stakeholders. We appreciate your support. We look forward for updating you in our progress in the upcoming quarters. And we are hoping definitely the things are going to look up from now onwards. Thank you very much.

Ashutosh Agarwal: Thank you, everybody.

Madhav Kejriwal: Thank you.

Moderator: On behalf of Electrosteel Castings Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: May 2026

21 May, 2026

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code: 500128
ISIN : INE086A01029
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol: ELECTCAST
Dear Sir/Madam,

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Conference Call

This is in furtherance to our letter dated 11 May, 2026 intimating that a Conference Call was scheduled to be held on 18 May, 2026, at 4.00 pm IST, to discuss Q4 & FY 26 Earnings of the Company.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith a copy of the transcript of the said call with the Investors.

Please also find hereinbelow the link of the transcript of the said call that has been uploaded on the website of the Company- <https://www.electrosteel.com/document/Transcript-of-Investors-Concall-held-on-18-May-2026.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For Electrosteel Castings Limited

Indranil Mitra
Company Secretary

Page 1 of 17 Electrosteel Castings Limited
Q4 FY '26 Earnings Conference Call
May 18, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Q 4 FY25-26 Earnings Conference Call of Electrosteel Castings Limited.

As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone telephone.

Please note that this conference is being recorded. I will now hand the conference over to Mr. Hiral Keniya from EY LLP for opening remarks. Thank you and over to you.

Hiral Keniya: Thank you, Ryan. Good evening, everyone. On behalf of Electrosteel Castings Limited, I welcome you all to the company's Q4FY26 & FY25-26 Earnings Conference Call.

To discuss the performance of the company, we have with us from the Management Team Mr. Madhav Kejriwal – Whole-Time Director; Mr. Sunil Kataria – Whole-Time Director and CEO; Mr. Ashutosh Agarwal – Whole-Time Director and CFO and Mr. Gaurav Somani – General Manager, Finance.

Before we proceed with this call, I would like to draw your attention to the fact that today's discussion may contain some forward-looking statements that are subject to various risks, uncertainties and other factors, which would be beyond management's control. We kindly request to bear in mind that there might be uncertainties while interpreting such statements. We will now start the session with opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session.

I will now hand over the conference call to Mr. Madhav Kejriwal for his opening remarks. Thank you and over to you, sir.

Madhav Kejriwal: Very good afternoon, everyone, and thank you all for joining us today. I would like to thank all our shareholders, customers, lenders, employees and business partners for their continued trust and support throughout the year.

Page 2 of 17 FY 25-'26 has been a challenging year for the water infrastructure sector. The domestic Ductile Iron Pipe industry operated in a relatively subdued environment. This is mainly on account of slower execution of water infrastructure projects by the states due to the delay in funds disbursement under the key government programs, mainly the Jal Jeevan Mission.

Our exports business performed well during this year, helping us diversify our revenue mix and partially offsetting the softness in the domestic market. We continue to deepen our presence in international markets and remain optimistic about future export opportunities.

. Our sales

volumes towards exports during FY 25-'26 has increased by 7%, which is largely contributed by the Middle East. We were able to do good business in Q4FY26. However, there will be an impact on the sales to the Middle East starting from March '26 onwards due to the US-Iran conflict. I would also like to take this opportunity to touch on our acquisition of T.I.S. Italy, which is our manufacturing wing. As per our expectations, the company has performed well with some challenges towards the end of the year.

Revenue grew by 15% in the Calendar Year 25 to EUR 41 million versus 2024 and EBITDA margins also improved. Our vision is to double the revenue in the next 4 (four) years. We have already started the development work for Valvecastings in India and look forward to production soon. Despite all the challenges, we continue to manage our operations with discipline, maintaining positive cash flows and building a strong balance sheet with nominal long-term debt. The approval of the Jal Jeevan Mission 2.0 marks a significant and long-term positive development for the Indian water infrastructure sector.

The budget outlay has been extended to INR 8.69 lakh crores up to December 2028. The Central Government has enhanced its contribution to INR 3.59 lakh crores from INR 2.08 lakh crores.

With this enhanced outlay extending up to December 2028 and increased budgetary commitment from the Central Government, the program reaffirms the Government's continued focus on providing safe drinking water connectivity across the country and strengthening water transmission and distribution infrastructure. With this positive development, we are hopeful and expect some demand to restore by early 2nd Quarter of this financial year. We believe that JJM 2.0 along with continued investments in urban infrastructure, sewage networks, irrigation and the much looked forward to river linking project will create substantial medium to long-term demand opportunities for the Ductile Iron Pipe industry.

I would like to reinstate and reaffirm that our integrated manufacturing operations and strong distribution network continue to provide us with strategic advantages in serving both domestic and overseas markets. As we move into the new Financial Year, we remain cautiously optimistic. While some near-term challenges may continue in certain regions due to project execution timelines, global geopolitical stresses, we feel the overall industry visibility has improved meaningfully compared to earlier quarters. We expect demand momentum to strengthen gradually as execution under JJM 2 accelerates and Government spending gains pace.

With this, I would like to now request Mr. Ashutosh Agarwal, our Whole-Time Director and CFO to take you through the operational and financial performance for the year in greater detail. Thank you once again.

Ashutosh Agarwal: Thank you, Madhavji. Good afternoon, everybody. I will take you through some financial details of the company for the 4th Quarter as well as for the Full Financial Year.

Sales volume of DI Pipe, Fittings and CI Pipe during the 4th Quarter FY26 stood to 1.48 lakh tons down by 21% year-on-year basis. In 2025-26 full year, the sales volume was 5.84 lakh tons, 25%

decline from the previous year, which thus impacted the overall financial performance of the company.

The decline in the volume was primarily due to slow down in the domestic market. However, export pipe volume grew by 7% in FY2025-26, partially offsetting the weakness in domestic market and providing support to overall business performance. At a standalone basis, gross debt as on 31st March 2026 stood to INR 1,202 crores, which decreased by INR 598 crores from the previous year.

The long-term debt stood to INR 352 crores and short-term debt stood to INR 464 crores. I will now take you through the consolidated results of the 4th Quarter FY26 and full year FY

2025-

26. Total income stood to INR 1,530 crores in the 4th Quarter FY26 and INR 6,133 crores for the full year. Sales were lower year-on-year primarily due to reduced volume in the domestic market. EBITDA including other income for the 4th Quarter FY26 stood to INR 99.3 crores with EBITDA margin of 6.5%.

For the full year, EBITDA stood to INR 573.6 crores with EBITDA margin of 9.4%. PAT for the 4th Quarter FY26 stood to INR 15.9 crores and for the full year it is INR 161.5 crores.

Now I am moving to the standalone results for the 4th Quarter FY26 as well as for the full year.

Total income for the 4th Quarter FY26 stood to INR 1,228 crores, lower year-on-year basis by INR 372 crores. For the full year it stood to INR 5,228 crores due to lower sales volume.

EBITDA including other income for the 4th Quarter FY26 stood to INR 57 crores with EBITDA margin of 4.7% and for the full year approximately INR 499.5 crores with EBITDA margin of 9.6%. PAT for the quarter was a loss of INR 10.7 crores while the full year it stood to INR 131.3 crores.

Page 4 of 17 In this position, Board has decided to reduce the dividend from 140% to 90% subject to shareholders' approval. While 2025-26 remain challenging due to softer domestic demand, we believe that long-term outlook for the water infrastructure sector continues to remain strong.

With this, now I am opening the floor for the question-and-answer session. Thank you.

Moderator: Thank you. We take the first question from the line of Riddhesh Ram Gandhi from Discovery Capital. Please go ahead.

Riddhesh Ram Gandhi: I just wanted to understand, a few years ago we read a number of reports about how the opportunity in Ductile Iron Pipe for many, many years was going to be extremely strong and the opportunity was extremely high and obviously over the last year or so, we have seen the demand fall off quite materially and supply also increase materially. So, is this new normal? I just wanted to know what has changed?

Madhav Kejriwal: There were certain issues around the way Jal Jeevan Mission has been implemented so far and going through that the scrutiny and the complete blocking off of central funds over the last 1.5 years is the main cause for the sudden drop in the demand. JJM constituted 50%-60% of the industry's total demand and we never expected that due to some irregularities, we will be in a position where there will be such a strong and such a sudden handbrake from the spending on that front. So, this is the major reason. In my opinion, most definitely this is not the new normal, this is the rock bottom. Of course, at the time of the last year and the year before that, we were quite certain that, that is also not a normal, that is the upper end, here we are at the lower end. So, I am fairly certain that we will go back to our older days of earning 15%-16% EBITDA level and maybe the volume growth will be a little more, I would say, less jumped and more slow, but definitely we are not at all thinking that the industry running at 50% capacity is the new normal.

Moderator: Thank you. We take the next question from the line of Pinaki Banerjee from AUM Capital Pvt Ltd. Please go ahead.

Pinaki Banerjee: Good afternoon, Sir. Thanks for the opportunity. Sir, you have mentioned that Jal Jeevan Mission 2.0, you are expecting a sizable chunk of business, but actually you have also mentioned that this Jal Jeevan Mission 1.0 actually where there was a slowdown in government regarding the projects and blocking of funds. So, how optimistic are you in this segment, first?

Madhav Kejriwal: Sir, all the scrutiny that had to be done has been done and after that revitalized Jal Jeevan under the name of Jal Jeevan Mission 2.0 has been taken out by the government. The Cabinet has approved it. States are now being allocated funds. There is a very strict regulatory prerequisite that is needed from the states for the disbursement

of the funds to take place. So,

it's moving towards it is being a more foolproof funding mechanism. So, the fact that the

Central Government is spending so much time and effort towards this exercise, it's a clear

Page 5 of 17 indicator that it is still a part of their priority otherwise they would have dropped it by now and

I am very certain that being the pet project of the Honorable PM, this is going to be something that he is going to see to the very end.

Pinaki Banerjee: Sir, my next question is in this year, actually the exports were a cushion to you to report a steady number, but now due to this Middle East crisis, how are you coping up or what will be your strategy going forward?

Madhav Kejriwal: Sir, the Middle East impact is definitely going to have a somewhat downward pressure. Middle East contributed to approximately 50% of our exports. Saying that, I think with the improvement in the domestic market starting Quarter 2, and say mid-Quarter 2, there will be some improvement from that aspect and for the remainder of it, I think a little bit of product diversification that we have done with valves will help us create some cushioning.

Pinaki Banerjee: Okay. Sir, and just one last question, I will just squeeze in. Sir, in the balance sheet, you are showing us investments Rs. 531 crores. So, the current investments, are they liquid in nature?

Ashutosh Agarwal: Almost liquid in nature.

Pinaki Banerjee: Okay. So, considering that cash and bank balance and these investments add up to around Rs. 800 crores. So, how do you plan to deploy these funds?

Ashutosh Agarwal: As we have declared that we are also setting up a Paint plant. Some money will be invested there. Balance we are earning interest from that. Some portion will set up a valve plant in India.

Pinaki Banerjee: That's all from my end. Thank you and all the best for the future.

Moderator: Thank you. We take the next question from the line of Pujan Shah from Molecule Ventures.

Please go ahead.

Pujan Shah: Hi, Sir. Thanks for the opportunity. So, my first question would be, so just want to understand in our PPT, we have mentioned that there is a fund release from government end of INR 15,000 crores. So, just want to understand if you can spell out how much money is still pending from government end to be released or need to be released and how this situation will pan out like in Q2, what are we seeing is the release of funds gradually or we have been seeing a new tender is being opening up, which will create a new opportunity for the company as well as the industry?

Madhav Kejriwal: So, Sir, the government budget for this particular financial year under JJM is INR 67,670 crores. Just a correction, sir, the disbursement that was done last year was not INR 15,000 crores, it was INR 1,500 crores because the cabinet approval came at the very end of the financial year. But nevertheless, this is a fund that has been released after many months. So, it was a few drops of water on a very dry soil. Saying that, I think the government of West Bengal post the Page 6 of 17 election announced some INR 2,700 crores and as such there has been MOUs being signed with various states for disbursement of money. So, I think Q2FY27 onwards, as I said, the jumps will not be very sudden, but it will be a steady increment of demand increasing over 3 to 6 months and that will help us position ourselves back to strength. I am fairly certain that Q3 & Q4 of this financial year, you will see us slowly getting back into the saddle.

Pujan Shah: Sir, I just want to continue with the same question. So, obviously, I understand the situation as the fund flow has not been released, so the new activity might not be happening up. But I just want to understand, can we see the new tenders being flowing around right now or it is very early to say due to all the situation crisis has already halted all the operations, which

EPC needs to make?

Madhav Kejriwal: No, sir. Inquiries from customers have started coming in now.

Pujan Shah: But it is on a meaningful way or it is just beginning of a very nascent stage?

Madhav Kejriwal: It is somewhere in the middle of both, Sir. It is not nascent for sure. There is serious interest from our customers for supplies even within this quarter. So, it is not that it is nascent, but at the same time, it is not close to its fullest potential. So, it is somewhere in the middle of the two.

Pujan Shah: Got it, sir. And, sir, the Jal Jeevan Mission 2.0 might end in December '28. So, I understand that there might be delay in terms of execution. But I just want to understand on a broader aspect, then what are the demand drivers that will be there forward to 2028 that will ensure our growth and growth trajectory towards what we want in a sustainable manner?

Madhav Kejriwal: Sir, post-2028, the two largest drivers for demand for us will be irrigation and something linked to it, which in my opinion will give us a good impetus is the river linking project. Along with that, demand from the urban sectors and the rising pressure for increasing infrastructure in tier 2, tier 3 cities is also seeming to contribute overall, although it is not something as big as a Jal Jeevan Mission, but it definitely has its own contribution. These are going to be the main drivers for DI Pipes. And for us at Electrosteel, our recent diversification into valves, which is a water-specific product, but it is not specific to Ductile Iron as a material. It is used regardless of what pipe material is being utilised. And our other investment diversification that we are looking at, such as paints, is going to help us cushion ourselves against any undulations as we have faced over the last 1 & 1.5 years.

Pujan Shah: Got it. Can you give us a brief idea on how much money receivables it has been stuck in fund flow from JJM and how much it has been released till date?

Page 7 of 17 Gaurav Somani : There is no significant funds stuck for us because we are supplying to EPC players. So our collections are mostly on time. Our debtors, what you see, are regular debtors. So, it is not any significant overdue one.

Pujan Shah: Got it. My last question would be on the coal block. I just want to get an update on the coal block amount. Can you give a specification of what is happening?

Madhav Kejriwal: So, the soft cost for the one particular asset, which is the shaft and inclines, is yet to be

announced by the Ministry. The hard costs have been announced and they are roughly similar to what our estimates were. So, it is a long-run process, sir. It will take time, but I am again certain that our numbers are strong. So, these things take time, but they happen eventually.

Pujan Shah: Thank you so much, sir. And all the best.

Moderator: Thank you. We take the next question from the line of Rajesh Agarwal from Moneyore. Please go ahead.

Rajesh Agarwal: Sir, what is our current order book, whether it is 5 months, 6 months, 9 months? First question. And second, sir, what is the difference between Jal Jeevan 1 and 2? What difference does it make to us? And the third question is, the amounts of money which is getting released now, are they resulting in inquiring our new fresh orders because the pending order itself is huge? These are the three questions.

Madhav Kejriwal: So, our order book at the moment is between 4 to 5 months. When you say new orders, all the tenders that were to be released under Jal Jeevan Mission have already been released. Of course, there are always some adjustments to those tenders, but a lot of those tenders are yet to be allocated to EPC contractors and then in turn coming to us. While that is the case, there is also, as we have 4-5 months of order book, other manufacturers have 4-5 months of order books. On top of that, contractors have tenders which

they have worked, for which they have

not yet placed the order. So, these three are major drivers. I mean, if you put aside the orders that we have already booked, orders with contractors that are yet to be booked and tenders for which contractors are yet to be allocated, these two are the main driving forces under JJM.

Rajesh Agarwal: Any rough idea what is the quantum of orders in terms of volumes, metric tons? The tender, the old one, everything?

Madhav Kejriwal: I would say around 3 to 3.5 million tons.

Rajesh Agarwal: So, the chances of us backing, what is our strike rate of backing the orders?

Madhav Kejriwal: We have around 20%-25% of the domestic market.

Page 8 of 17 Rajesh Agarwal: And Sir, whenever the order comes and the plant runs in capacity, the EBITDA margins will come back immediately, 15%-16% EBITDA margins?

Madhav Kejriwal: Sir, immediately, as I said, it will be a steady growth rate but I am fairly certain that we will get to a 15% EBITDA margin.

Rajesh Agarwal: Is there any pressure from the cost side?

Madhav Kejriwal: We are facing some increments going to the war. I will allow Mr. Katial to give a more elaborate answer on this, please, on cost pressure due to war.

Sunil Katial: On the cost front, principally, the freight has gone up. That is one major component and we have a major input in the form of coking coal which comes from overseas. So, that is one area where the cost is getting substantially impacted. And now, gradually, the energy cost in India also has already gone up by almost 70%-80%. Added to that, now, as a third phase, the government is also raising for general transport also, the diesel and petrol prices are going up. So, that also will impact. Now, these three factors are actually causing a bit of a dislocation of the whole thing. Second is that the movement of ships are also getting delayed which is also creating a type of a problem because the whole cycle of movement is disturbed. So, these are all having an adverse impact on the cost.

Rajesh Agarwal: Sir, going forward, will we be able to pass on the cost? Disruption is a different thing that is due to the war. The cost can be passed on or not?

Madhav Kejriwal: It has a slightly delayed onset in the sense that the cost goes up today because we will have existing order book for the increased sales price to reflect in our performance, it takes around a quarter. Post that, you will see that there is an input of the cost into the selling price.

Rajesh Agarwal: So, the last question, what was the component of exports in this quarter, current Indian quarter?

Gaurav Somani: Component in the sense, sir?

Rajesh Agarwal: Total exporters on the volumes, what was the exporter in terms of value? Suppose, we did INR 1,500 crore turnover at this time, what was the export order?

Gaurav Somani: So, exports contributed for this quarter around 23 % of our revenue.

Rajesh Agarwal: Okay. So, going forward, it can be the same year for exports?

Madhav Kejriwal: With the expectation of the Indian market picking up and with the Middle East being a little muted, we are seeing that this will come down to probably 17%-18%.

Page 9 of 17 Rajesh Agarwal: Okay. Thank you, Sir.

Moderator: Thank you. We take the next question from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: Sir, taking into account our deliverables for the current financial year, what is the likelihood for this current year not factoring in what Madhavji was mentioning in terms of Q3 and Q4, we are seeing an uptick. In the normal course of business with the type of sentiment that currently is, what should be the deliverables for the year and what should be our EBITDA margin trajectory?

Madhav Kejriwal: Sir, can you elaborate a little bit on what you mean by deliverables?

Saket Kapoor: Deliverables means, Sir, what is the delivery of the scheduled pipe for this financial year

r?

Madhav Kejriwal: Sir, we are expecting that we will have a dispatch of around 7 lakh tons approximately this financial year. This is including our export numbers. And in terms of our EBITDA margins, I think, considering a slower Q1 & Q2FY27 and a slightly better Q3 & Q4FY27, approximately 13%-14% is achievable.

Saket Kapoor: On a consolidated basis for the year?

Madhav Kejriwal: Yes, please.

Saket Kapoor: Sir, when we mentioned 7 lakh tons, it is only about the pipe or pipe fittings and everything altogether?

Madhav Kejriwal: This is just our pipes.

Saket Kapoor: Okay. So, our number was 5,84,000 for pipe fittings. So, if you could give the pipe number?

Madhav Kejriwal: It will be around 7.4 lakh tons, please.

Saket Kapoor: Sir, then about the Italy acquisition, what is the current order book and what steps are we taking exactly, sir? What kind of revenue profile will open up in times to come? I think with product development, what are we eyeing to achieve from this investment?

Madhav Kejriwal: So, Sir, this financial year will be a bit more stable than a growth-based trajectory because of the issues around the supply chain. Valves is also a business which has a lot of components coming in from many different parts of the world. So, this pressure on freight costs is going to have a bit of impact on our overall business. But our projection is that we will double up our revenue in the next four years. That is approximately a 20% growth rate. That is what we are eyeing. This will be contributed through India, the Middle East and Europe.

Page 10 of 17 Saket Kapoor: Okay. Sir, just two small points. On the revenue profile, how should DI work, meaning it should be at the optimum level. If you could just give in rupee terms, how should this entity perform?

Madhav Kejriwal: So, last year they had a revenue, if you consider the calendar year was approximately INR 400 crores. We are seeing that this financial year, instead of a 20% growth rate, we should probably hit a 14%-15% growth rate. So, I think around INR 450 crores. The last entire year's revenue is not reflected in our books because the company was acquired in August 2025. So, what you see in the books of accounts is a half-year situation. They were running on a calendar year basis. So, if you consider this calendar year, I think they should be at around INR 440 -INR 450 crores.

Saket Kapoor: And margin profile?

Madhav Kejriwal: 14%-15%.

Saket Kapoor: And, when you mentioned 7 lakh ton of pipes, you are factoring it that the Jal Jeevan and all schemes will be gaining traction from Q3FY27 onward. That is what the hypothesis is, currently?

Madhav Kejriwal: Steady traction, sir, not pedal to the metal traction. We are considering, as we said, we are being cautiously optimistic, not overtly optimistic.

Saket Kapoor: And, Sir, the last part is on the promoters buying. I think the promoters have endorsed their faith by upping the stake from the open market acquisition. So, for your minority shareholders, what should they anticipate? Are we done with our exercise or we can look forward for the activity or you still find value to invest more?

Madhav Kejriwal: Sir, at this moment, we invested what we were capable of investing from the promoter's side. Of course, we also have to look at our personal financial capabilities more than just the confidence of the company. I think going forward, definitely, if we could, we would invest further.

Saket Kapoor: And it was the lower challenges only that led to the standalone losses for this quarter or the lesser absorption of fixed costs or what could be the main reason for us posting, not being able to cover our finance costs and other aspects and reporting losses of INR 7 crores on a PBT level?

Madhav Kejriwal: Sir, loss of tonnage, there is an exceptional cost of around INR 38 -INR 40 crores on account of the new labour rules. That and

definitely, the margins being squeezed due to a dearth of demand, these are the three major factors due to which we booked a loss.

Saket Kapoor: Then the realization for Pipes are also down, sir? Are the pipes realization also lower because of overcapacity in the system and lesser demand from, the lesser amount of pickup of stock from EPC players?

Page 11 of 17 Madhav Kejriwal: Yes, sir. I think as similar to what is reflected by a lower EBITDA margin, our cost to realization

delta has reduced. That has also caused a downward pressure on the profitability.

Saket Kapoor: One should conclude that even for Q1FY27, sir, this is the trend because the things have not changed as of now. We are already half of what 45 days into the quarter, so there is no further change in the profile for the company's operating and financial performance?

Madhav Kejriwal: Nothing substantial, sir.

Saket Kapoor: Okay, sir. Thank you.

Moderator: Thank you. We take the next question from the line of Rajesh Bhandari from Nakoda Engineers. Please go ahead.

Rajesh Bhandari: Sir, just like you said that we have an order book of 4-5 months, so after that also we expect orders from the contractor. Do contractors have the orders?

Madhav Kejriwal: Yes, sir. Contractors have substantial orders, plus there are tenders for which the contractors have not yet been selected. So, both of these factors are there.

Rajesh Bhandari: Not like, we have problems in orders after 4-5 months?

Madhav Kejriwal: No, sir. I am optimistic that after 4-5 months, things will get better, not worse.

Rajesh Bhandari: Sir, as you told that, in budget, INR 8.69 lakh crores total budget, INR 3.59 lakh crores is given by center and INR 5.1 lakh crores is given by state.

Madhav Kejriwal: Right, sir.

Rajesh Bhandari: So, this budget is only for Jal Jeevan Mission or is it also to Irrigation system, River linking, Urban Infra, Sewage system, everything included?

Madhav Kejriwal: This is just Jal Jeevan Mission, sir.

Rajesh Bhandari: And this Jal Jeevan will finish in December '28, after that there will be no orders from there, then we are dependent only on these river-linking, Irrigation system and all that?

Madhav Kejriwal: Sir, it's not that it will go away today. Rural demand which is under Jal Jeevan is giving us 50%-60% of the total demand. I am fairly certain that even after these investments, it will go down to probably half of what it is today, so it will still contribute to 25% of the demand. It cannot be that it will completely go away because even when we started, there were X number of households which were having water but those pipelines are old, they need replacement, there is always some repair work going on. The 19-crore number that was there was based on an Page 12 of 17 earlier population census. I am sure they will find that they will need to keep investing, albeit in a smaller scale and more state level than central, but some investments will keep coming up.

Rajesh Bhandari: Sir, after December '28 also, we will have Jal Jeevan Mission to some extent.

Madhav Kejriwal: Sir, I will give you an example. Haryana as a state has achieved 100% tap connectivity, but they still have tenders coming up in rural. So, it's not that it will go away. It might not be called Jal Jeevan Mission, but rural India's demand for pipes will continue.

Rajesh Bhandari: Sir, so we can expect, how much tonnage in manufacturing we can expect?

Madhav Kejriwal: Approximately 7 lakh tons.

Rajesh Bhandari: But our total capacity is 9 lakhs ton, sir?

Madhav Kejriwal: Between 8.5-9 lakh tons, right.

Rajesh Bhandari: Sir, our past glory, when we will be able to do it or won't be able to do, may be a few years from now?

Madhav Kejriwal: Sir, past glory, it was said that the EBITDA margin is 19%-20% in the quarter, that is an optimistic situation. Similarly, now we are in a pessimistic situation. So, according to me, we will stabilize

at 15%-16%, worse case 14%. We will stabilize at this level and EBITDA will remain at 13%-14%, 12%-14%. But I think 14%-16% bandwidth as opposed to 17%-18% that we were hitting at the optimistic level is doable, sir, because even before JJM and pre-COVID, the Indian Ductile Iron Pipe industry had an average EBITDA level of 15%. So, that is pretty much doable.

Rajesh Bhandari: I remember, sir, you said two years ago that we have never seen such a best time. Such a good time is going on now. So, when can we expect that situation again, sir?

Madhav Kejriwal: Sir, that is very cyclical. Just like in the steel industry, there is an opportunity like that once in ten years. Similarly, in our business too. Optimism at that level is difficult to predict. I can give more of a stable size at where we can go. I was quite sure that that is a glory year's situation. It is not that it will not return, but it is difficult to pinpoint that it will come exactly at this time.

Rajesh Bhandari: Yes, I understand. But in 2-3 quarters, the results have been quite problematic. So, better results, better profit, like you gave in the past, when can expect those kind of profit, sir?

Madhav Kejriwal: Sir, we can expect stable profits at that level from the next financial year, depending on the kind of geopolitical situation we have.

Rajesh Bhandari: Yes, I understand. So, how much is your contribution in foreign countries?

Page 13 of 17 Madhav Kejriwal: 20%-22% of our sales are in exports, sir.

Rajesh Bhandari: Okay, 20%-22% And did you get money from JSW?

Madhav Kejriwal: Sir, some amount has been released to us for a particular asset. Its hard cost has been released. The numbers were close to our number but slightly lesser. Time 44:36

Rajesh Bhandari: But you got it a year ago, sir.

Madhav Kejriwal: No, after that another disbursement happened, sir.

Rajesh Bhandari: Okay.

Madhav Kejriwal: Slowly-slowly disbursements are happening and it will take time, sir. This is a long-run process. There is a hard cost, soft cost element to all the assets that are there. They will go through that process slow and steady. JSW is also facing some delays in their approvals for the mining. You know how things move, sir, in this regard.

Rajesh Bhandari: Means, in the second half of FY 2026-'27 and further, we can expect the same Electrosteel Casting as in the past?

Madhav Kejriwal: I am very hopeful, sir. We are also investing and diversifying in different products, so that should help give us some boost.

Rajesh Bhandari: Different products like?

Madhav Kejriwal: Valve has already done it, sir.

Rajesh Bhandari: Yes, Valve has already done it, sir. It has been over a year now.

Madhav Kejriwal: No, sir. A company came to us in August.

Rajesh Bhandari: Okay, 9 months. So, can we expect a good business in India?

Madhav Kejriwal: Definitely, sir.

Rajesh Bhandari: There is another company in Calcutta for valve. They are also into the same kind of valves? Worthington Pumps.

Madhav Kejriwal: Not entirely, sir.

Rajesh Bhandari: Okay. In India, do we have a kind of a monopoly?

Page 14 of 17 Madhav Kejriwal: No, I wouldn't say we have a monopoly. There are other companies also, international companies that are there in India. But, of course, they don't have the team strength and the reach, depth that we do with our customer base.

Rajesh Bhandari: They will only have Valve. You have Valve, you have pipe, you have everything.

Madhav Kejriwal: Yes, sir.

Rajesh Bhandari: So, that will help us in getting our turnover also?

Madhav Kejriwal: Yes.

Rajesh Bhandari: Because Valve will have a much better profitability?

Madhav Kejriwal: Margins, imply a better company.

Rajesh Bhandari: Okay, sir. All the best to you, sir. Thank you.

Moderator: Thank you. We take the next question from the line of Ankit Puri, an individual investor. Please go ahead.

Ankit P

uri: Hi, good evening, Madhavji. I have got two questions. One is, given the significant exposure to government infrastructure and water projects, does the recent change in state governments have any bearing on the project execution, order in flows, payment cycles, approvals or policy continuity? Have you observed any slowdown or reprioritization in decision-making at the state level?

Madhav Kejriwal: Well, two major states where there has been, I would say three states, in terms of their contribution to our business, Kerala, Tamil Nadu and Bengal. These states, of course, there is a small slowdown during the election period and due to the change, there may be a month or so of slowdown. But at the policy level, I don't see the new governments not wanting to pay attention to JJM. Bengal was very quick to announce disbursement, in fact, from the central. They were disbursed money or allocated money rather. Sorry, my apologies. Allocated money, not disbursed. So, I find that whatever slowdown is there is only administrative in nature, not policy or mindset in nature.

Ankit Puri: Alright. The second question I would like to request your views on, we are expecting severe drought conditions this year, as predicted by many, including IMD. Do you foresee any reallocation of State or Central Government spending away from existing infrastructure programs towards emergency relief measures? Or could that affect project execution timelines or order inflows as well?

Page 15 of 17 Madhav Kejriwal: So, the bigger threat at the moment is the energy security of the nation. Drought, of course, has a major impact as well, considering that India is still very largely dependent on its agriculture industry. But it seems the top of the town is the energy sector and there is less being thought of in regard to the Super El Nino effect that we are expecting. Saying that, at one end, it might cause certain delays, although very temporary in nature, maybe a quarter or two, but it will also give us impetus to get the Government to focus on understanding that the time of the old ways of irrigation are over and more and more infrastructure towards piped irrigation needs to be put in place. Pipe irrigation is, to a very large extent, armored against these major issues of climate uncertainty.

Ankit Puri: And if the Iran conflict escalates into a prolonged energy disruption, do you expect the impact to be primarily on the input costs, supply chain, continuity exports or demand destruction as well?

Madhav Kejriwal: In my opinion, there will be an impact on both demand and on supply chain and input, but the contribution of the disruption from demand side will be lesser. There will be a higher impact of cost and supply chain. But definitely all three will be impacted, there is no doubt about that.

Ankit Puri: Lastly, you had earlier indicated plans to expand into industrial paints and protective coatings. Could you elaborate on the business roadmap here, including target industries?

Sunil Katial: On the paint front, in fact we are getting into industrial paint segment and the plan is that we have principally driven a five-year roadmap by which we will go to a business revenue topline of around INR 600 crores by that time.

Ankit Puri: What is the initial outlay? Is INR 200 crores expected to be spent over how much period?

Sunil Katial: This is expected to be spent over a span of 1.5 to 2 years roughly.

Ankit Puri: When do we see the positive effects being reflected in the bottom-line?

Sunil Katial: Bottomline, from Financial Year 2028-2029, we will see a positive impact of that.

Ankit Puri: Alright sir, that will be all from my side. Thank you very much, all the best to you all.

Sunil Katial: Welcome.

Moderator: Thank you. We take the next question from the line of Hari Kumar, and individual investor.

Please go ahead.

Hari Kumar: Ken-Betwa, out of this INR 40,000 crores, how

much of that share could be pipeline work, sir?

Madhav Kejriwal: Around 10%-15%, please.

Page 16 of 17 Hari Kumar: Okay, sir. And this feasibility reports like DPRs have been completed for river projects, like when can you expect them to be executable stage, sir?

Madhav Kejriwal: So, sir, every project is in a different stage. As you mentioned, Ken-Betwa is in the further most advanced stage. Then there is the river link between Rajasthan and MP. And there are some works going on within Tamil Nadu and within Maharashtra as well. So, each project will have its own timelines. It's difficult to say that, it's not one project really. It's all under the garb of river link, but there are many multiple, and each project very mega-sized being executed at different timelines. So, I feel that river link as an overall subject will take our country around probably 5-7 years to execute.

Hari Kumar: Is there a policy taken that they would be through pipes and not open canal, sir?

Madhav Kejriwal: So, up to a certain mass, it has to be done through open canal, sir, because you cannot use pipes to move that level of water. The main vein that will be used to connect the rivers has to be open canal. But all the subsidiary pipelines that will come out, all the routes that will come out from that main vein, those will all be in pipes. And they will contribute to irrigation, to rural water supply, and in some cases even Urban water supply.

Hari Kumar: Okay, sir. That's all from us. Thank you very much.

Moderator: Thank you. We take the next question from the line of Rajesh Agarwal for Moneyore. Please go ahead.

Rajesh Agarwal: Sir, my question is on the Jal Jeevan Mission 2.0, which has been, is there has been a condition that if the last mile water connectivity has to come on the track, only then the payments will be released. So, then the EPC contractors will get less cycle of money, and that in turn will result in our payment also getting delayed?

Madhav Kejriwal: I wouldn't say that will result in the payment getting delayed, but as I mentioned, the growth for demand, which was more like a floodgate release during the previous years, that will become bit more steady. So, there will be stability in the demand, which has a positive aspect to it also, that there is no ups and downs. It's not that there will be a major delay on the payment, because even the EPC contractors through the last few years of experience of a massive upswing and a massive downswing, have started operating in a more stable way rather than being extremely opportunistic.

Rajesh Agarwal: So, working capital cycle may get elongated?

Madhav Kejriwal: I don't foresee that happening, sir, because we are hedged across multiple states, and it's not just Jal Jeevan Mission. So, even with Jal Jeevan Mission, it is still 35%-40%, or even lesser in Page 17 of 17 fact, actually 35%-40% of our contribution to demand today, for Electrosteel specifically. So, within that, even if it goes up by 10%, it's not so much of a difference really.

Rajesh Agarwal: And last question, what will be the CAPEX and the maintenance CAPEX in FY 2026-'27?

Ashutosh Agarwal: Around INR25 -30 crores.

Rajesh Agarwal: That will be maintenance CAPEX?

Madhav Kejriwal: Maintenance CAPEX, yes.

Rajesh Agarwal: No new CAPEX?

Madhav Kejriwal: So, for the Paint plant and for our Valve plant in India, which are both in design and development stage, these two will have a CAPEX, but of course, we have not determined exactly how much will be required this financial year, how much will flow into the next financial year, because the plants are still in design stage. So, this will take some time.

Rajesh Agarwal: So, in two years it can be how much, if you can quantify that, INR 200 to INR 300-odd crores?

Madhav Kejriwal: Between INR 200 to 250 crores.

Rajesh Agarwal: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to

time constraints, we take that as the last question

and we conclude the question-and-answer session. I now hand the conference over to the management from Electrosteel Castings Limited for closing comments.

Madhav Kejriwal: Thank you everyone for joining us today and thank you for your continued trust in our company. We remain committed to driving sustainable growth, strengthening our balance sheet and creating long-term value-add for all our shareholders. We appreciate your support and we look forward to updating you on our progress in the coming quarters.

Moderator: Thank you. On behalf of Electrosteel Castings Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.